

Sammaan Capital (SAMMAANCAP)

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Call: Aug 2022

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Date: August 18, 2022

Scrip Code - 535789

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Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, as amended - transcript of conference call – financial results for the

quarter ended June 30 , 2022

Dear Sirs,

We refer to our intimation dated August 10 , 2022, informing that the Company has uploaded the audio recording of the conference call hosted by it on August 10, 2022 to discuss the financial results of the Company for the quarter ended June 30, 2022 , on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

for Indiabulls Housing Finance Limited

Amit Jain

Company Secretary

Enclosure: as above

CC:

Luxembourg Stock Exchange, Luxembourg

Singapore Exchange Securities Trading Limited, Singapore

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“Indiabulls Housing Finance Limited

Q1FY23 Earnings Conference Call ”

August 10, 2022

MANAGEMENT : MR. GAGAN BANGA - VICE CHAIRMAN , MD AND CEO,
INDIABULLS HOUSING FINANCE LIMITED
MR. ASHWINI HOODA - DEPUTY MANAGING DIRECTOR ,
INDIABULLS HOUSING FINANCE LIMITED
MR. SACHIN CHAUDHARY - CHIEF OPERATING OFFICER ,
INDIABULLS HOUSING FINANCE LIMITED
MR. MUKESH GARG - CHIEF FINANCIAL OFFICER , INDIABULLS
HOUSING FINANCE LIMITED
MR. ASHWIN MALLICK - HEAD TREASURY , INDIABULLS HOUSING
FINANCE LIMITED
MR. RAMNATH SHENOY - HEAD IR, INDIABULLS HOUSING
FINANCE LIMITED
MR. VEEKESH GANDHI - HEAD MARKET , INDIABULLS HOUSING
FINANCE LIMITED
MR. HEMAL ZAVERI - HEAD BANKING , INDIABULLS HOUSING
FINANCE LIMITED
MODERATOR: MR. BHUVNESH GARG - INVESTEC

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Page 2 of 11 Moderator: Ladies and gentlemen. Good day, and welcome to the Indiabulls Housing Finance Limited Q1 FY'23 Earnings Conference Call hosted by Investec. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhuvnesh from Investec. Thank you, and over to you, Sir.

Bhuvnesh Garg: Yes. Thank you. Good evening, everyone. To discuss the financial performance for Q1 FY '23 and to address your queries, we have with us today Mr. Gagan Banga ; Vice Chairman, MD, and CEO , Mr. Ashwini Hooda ; Deputy Managing Director , Mr. Sachin Chaudhary ; Chief Operating Officer , Mr. Mukesh Garg ; Chief Financial Officer , Mr. Ashwin Mallick ; Head Treasury , Mr. Ramnath Shenoy ; Head IR , Mr. Veekesh Gandhi ; Head Markets, and Mr. Hemal Zaveri ; Head Banking.

I would now hand over the call to Mr. Gagan Banga for his opening comments. Over to you, Sir.

Gagan Banga: Thank you. A very good day to all of you and welcome to the quarter one fiscal '22 -'23 earnings call. I hope all of you and your families are doing well and are safe. Before we get into the numbers for the quarter, I will briefly give you an update on our operational performance.

As a leader, there is no greater joy than to witness optimal execution of strategy towards desired results. Almost three years back, the management of the company took the decision to pivot its business model in a completely different direction. From having grown our balance sheet at a CAGR of over 20% for over a decade, we decided to shift to a balance sheet light model. We were amongst the first few companies to stick our neck out and declare that an asset-light model, a combination of co-lending and portfolio sell down, in partnerships with banks, is the future for non-banks. While at that time we were met with naysayers, now the point of view and commentary of businesses, lenders, investors, as well as research analysts seems to have completely changed. Every non-bank lender today is looking to increase co-lending partnerships to take advantage of an equity-light model. Not only non-banks, even the banks have realized the benefit of this model and are vying to increase their partnerships as well as are investing monies in implementing the techno

logy platform for the solution.

IBH has been a huge beneficiary of taking steps early and is clearly ahead of its peers in the space. By the beginning of fiscal 2022, the company had already tied up its intended co-lending partnerships and had started ramping up disbursements under the model from quarter

two, fiscal 2022. With the partnership s maturing over the year and through its established 'originate and securitize' model, the company reached a quarterly disbursement run rate of ₹ 1,500 crore through the asset light business model in the second half of fiscal 2022.

Normally the first quarter is comparatively weaker for businesses than the fourth quarter. In spite of that, in quarter one fiscal 2023, the company has scaled up its disbursements under the asset-light model to ₹ 2,260 crore s. We have completed our co-lending tech integration with three partners and expect to complete the tech integration with the remaining four partners within the current financial year itself. As tech integrations are completed, the pace of disbursements will scale up further. Total retail disbursements for the company in quarter one were at ₹ 3,000 crore s. Our digital lending platform will help us expand our reach to Tier 3 and 4 towns through lean branches and aid in our target of adding 250,000 retail customers between fiscal 2023 and 2025. Technology backed underwriting will also help increase our efficiency and reduce our turnaround time of disbursing a loan. Overall, we are confident and on track to achieving our targeted retail disbursements of ₹ 15,000 crore during fiscal 2023.

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Page 3 of 11 Another point of delight for the management is that in line with our guidance, the AUM of the company is now on the right trajectory. We ended quarter one fiscal 2023 with an AUM of a little over ₹ 73,000 crore, and we are now on track to grow it at about 10% for fiscal 2023. As I had guided in the past, under the asset-light model, our AUM will keep compounding, while our balance sheet size and on-balance sheet loan book will stay flat or marginally reduce.

The macro for residential real estate is, also as a backdrop, continuing to show growth momentum. As per a recent Knight Frank report, housing sales in the top eight Indian cities recorded approximately 60% Y-o-Y growth in H1 calendar year 2022, and approximately 19% growth compared to H2 calendar year 2021. By volume, housing sales in the first half of calendar 2022 reached a nine year high in terms of half yearly sales. Residential project launches too showed growth momentum, witnessing an approximate 56% Y-o-Y growth in H1 calendar 2022 and 25% sequential growth.

As I mentioned during the last quarter's earnings call, we are continuing to scale up our capacity by adding manpower and opening new branches. In quarter one fiscal 2023, on a gross basis, we added 657 new people to our workforce and opened nine new branches. We are currently at a run rate of approximately ₹ 1,000 crore of loans per month. As employees get trained and productivity improves with vintage, we are on track to disburse and increase this number to about ₹ 1,500 crore by the end of the fiscal without significant proportionate increase in manpower.

The commercial real estate market too has started showing strong growth momentum. In the first half of calendar 2022, commercial office space absorption registered a growth of 107% Y-o-Y, with 25.3 million square feet office space getting transacted. New completions too picked up significantly with 24.1 million square feet space getting delivered in the first half of calendar 2022 which is a growth of 61%. This is an opportune time for us to recommence doing our wholesale loan business. As I had mentioned in my last earnings

call, we've already received SEBI approval for one of our AIF funds through which we intend to disburse wholesale loans. For this fund, we've already finalized our first disbursement of ₹ 200 crore to a leading developer in North India. ₹ 200 crore per loan is the sweet spot that we see for the fund. The documentation for the said disbursement is underway and we expect the disbursement to happen within August 2022. We also aim to launch and operationalize two more AIF funds within the current year, subject to receipt of regulatory approvals. Overall, the goal is to get to about ₹ 10,000 crore of annual disbursements through these three AIF funds.

Combined, through the retail asset light model and the AIF model for wholesale loans, we should be able to grow our AUM by the guided 10% in fiscal 2023. While we pursue both the tracks, we will continue with the exercise of de-risking the balance sheet through reduction of the legacy wholesale book. We are on track to reduce it further by 20% by the end of the calendar year from March 2022 levels.

As an important track on the institutionalization of the company, the de-promoterisation

of Mr. Gehlaut, the founder of the company, and its group companies have been approved by the lead lender of our working capital consortium. This was a key step in the overall process. We expect the complete process of de-promoterisation to be completed within the current calendar subject to receipt of other requisite approvals.

I will now quickly cover the headline numbers for the quarter.

Will request you to please refer to Slide #3.

■ As at the end of June 2022, our assets under management stood at ■ 73,047 crore while loan book stood at ■ 60,194 crore.

■ Since September 2018, on gross basis, IBH has successfully repaid over ■ 1 trillion to the system. As we did this, our net gearing has reduced from 7x in fiscal 2018 to just 2.5x now. As I had mentioned during the last quarter, the net gearing will stabilize at
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Page 4 of 11 the current 2.5x level, as incremental business will be done in an asset-light model and the AUM should grow by about 10% in the current year.

■ Our capital adequacy at the consolidated level stands comfortably at 34.0% of which Tier 1 capital is 27.5%.

■ With the increase in repo rate by the RBI and in line with our industry peers, we raised our reference rate on our retail products by 140 basis points, and on the wholesale product by 160 basis points. Of the total, 40 basis points of rate increase was passed on through the first quarter and the rest is being passed on in the current quarter. The rate increase resulted in our book spread expanding marginally by 30 basis points at the end of quarter one fiscal 2023. Our cost of funds on book is standing at 8.1% and book yield at 10.8%. An increasing interest rate cycle is always beneficial for our spreads, as over 99% of our advances are on floating rate basis, wherein we pass on the rate increase almost instantaneously, whereas a large part of our funding mix, that from NCDs, is on a fixed rate basis. The rate increases will thus help us to maintain our spreads or marginally improve it and also maintain/improve our net interest margins going ahead.

■ Our net interest margin on loan book for quarter one fiscal 2023 was at 3.75%

■ Our PAT registered a Y-o-Y growth of about 2% and came in at ■ 287 crore versus ■ 282 crore last year

We continue to work diligently on maintaining a fortress balance sheet through the pillars of strong capital adequacy, low gearing, high liquidity, and robust provisioning, which provides a strong base for growth in fiscal 2023 and beyond.

Now, please refer to Slide #6 of the earnings update for an update on asset quality.

As at the end of June 2022, our gross NPAs stood at ■ 2,159 crore, down from ■ 2,318 crore in the previous quarter. Our net NPA stood at 1.71%. Our Stage 3 provision cover stands at 42% compared to 41% in the previous quarter.

Our total provisions at ■ 2,080 crore are at a healthy 3.5% of loan book, which is 2.8x times of the regulatory requirement and 96% of gross NPAs. High provision cushion places the portfolio in a strong position to negotiate any macroeconomic uncertainties and provide a strong base for growth.

On the back of strong pickup in the real estate sector, the company has seen strong recoveries in the last few quarters. Loans restructured under the restructuring framework 1.0 and 2.0 of the RBI have now reduced to just ■ 74 crore from ■ 155 crore, while loans given under ECLGS have run down to ■ 176 crore from ■ 217 crore disbursed. We expect this trend to continue in the coming quarters as well. As such, these numbers are extremely, extremely small.

Our retail collection efficiency too has normalized to pre-COVID levels and stood at 98.7% for quarter one fiscal 2023.

The pristine quality of retail assets churned out by Indiabulls has been the primary reason for its sell down relationships to have remained strong and have grown over the years. We started disbursements under our asset-light model from fiscal 2022 and the asset quality of

these assets too has impressed our partners . Since fiscal 2022, we have disbursed retail loans of ₹ 5,500 crore under the asset-light model and 90 plus delinquencies today stand at a very low number of 0.10% for these ₹ 5,500 crore of disbursements that we have done.

As communicated last quarter, we expect our overall gross NPAs to remain in the range of 3.0% to 3.5% for some time . As the AUM starts to grow, we expect stability in our gross and net NPAs. For fiscal 2023, we expect credit costs to remain at between 100 to 150 basis points and from fiscal 2024 onwards, credit cost should reduce substantially from these levels.

Moving on to the next important pillar of our operations, liquidity and ALM management.

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As at the end of June 2022, we had a liquidity buffer of ₹ 5,765 crore, which is approximately 10% of our loan book. Given the improving business environment and the relatively stable asset quality and funding access, the company has rationalized its liquidity buffer to minimize the negative carry and has utilized the liquidity for business development.

Coming to the topic of ALM management.

As we've been discussing over the past few earnings calls, we had voluntarily created reserve fund for repayment of the \$350 million worth of dollar bonds, which became due on 28 May, 2022. On the due date, the dollar bonds were successfully repaid, utilizing the proceeds of the voluntarily refunded fixed deposits.

We have repeatedly provided reassurance to all our debt investors that the Company has a conservative approach to ALM management and we plan well ahead for repayments. As mentioned, since September 2018, we have repaid over ₹ 1 trillion to the system. The company's ALM management and liquidity planning does not assume refinancing of domestic or international borrowings or term loans.

IBH will continue to maintain a strong capital and liquidity position to provide comfort and confidence to its bondholders and other debt providers. In line with this principle, the company has decided that it will be setting up a similar voluntary pre-funding arrangement for its ECB loan repayments due in fiscal 2024 and FCCB repayments in fiscal 2024 and 2025. Next week itself , we will create the first tranche of pre-funded fixed deposits for the ECB loan repayments coming due in

fiscal 2024.

As per RBI's master directions for housing finance companies, introduced in February 2021, Indiabulls Housing was required to maintain a liquidity buffer in terms of liquidity coverage ratio of 50%. Against this requirement, the company's LCR stood comfortably at 246% as at the end of June 2022. Please note that the liquidity coverage ratio is only based on the high quality liquid assets maintained as defined by the Reserve Bank of India. The actual liquidity with IBH was actually higher.

Our ALM as at the end of June 2022 is published on Slide #7.

The ALM is shown on a cumulative basis up to each bucket. We are positive across all buckets and will have a positive net cash of approximately ₹ 14,000 crore at the end of the first year. Our detailed 10-year quarterly ALM is in the appendix slide of the earnings update on Slide 16 to 20.

This was the update for the quarter.

Our situation today reminds me of 2011 when our retail disbursements were in the same handle as today. Our ratings too were at the same AA level , and we at that time used to rely heavily on portfolio securitization to raise funds. The home loan lending rate at that time was between 9.5% to 10% and the real estate cycle was in an up trend. While most of the things are the same, we are today at a significantly advantageous position. The home loan lending rates are still in the corridor of 7.5% to 8%, and affordability has vastly improved on account of steady wage inflation and stable real estate prices. But most importantly, Indiabulls today has a team which has a rich experience of over a decade in

scaling up this product. This is the same team which took Indiabulls from being a new entrant in 2009 to being the 3rd largest mortgage originator in the non-bank space and that's the position that we continue to hold onto. The team is now fully geared to repeat that performance and take Indiabulls to, again, not only remaining the 3rd largest mortgage originator but becoming a multiple of the 4th and the 5th in terms of disbursements. The vast experience of the team will enable it to achieve this feat in lesser time than what we took during our first leg of growth.

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Page 6 of 11 I remember a couple of years back, I was part of a panel discussion at a conference where the panelists had asked me my thoughts on the future of non-banks given the liquidity constraints being faced by the sector post the IMF crisis. I had given a cricket analogy at that time that considering this as a test match, the non-banks were in the period of the first 10 to 20 overs of the first day of the match, wherein the pitch assists the fast bowlers. There is swing and uneven bounce for the bowlers and the batsman has to carefully play out these overs. Well, I can now say that we have very ably navigated those initial overs and the batsmen are all well set. The sun is now shining bright and the ball is coming nicely onto the bat. All we have to do now is to create a partnership and put on a good score on the board. Similarly, all macro indicators are shining bright for the housing finance space and for Indiabulls, and all we have to do now is scale up our set asset-light model to bounce back to our glory days. As we do so, I am confident that all our stakeholders viz. shareholders, lenders, as well as employees will be duly rewarded for the faith that they have reposed in the company's management, and its long-term growth journey.

With this, the IBH management team is now open for questions. Thank you.

Moderator: Our first question is from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.

Abhiram Iyer: Congratulations for good set of numbers. You mentioned that the liquidity buffer stands at

around ₹ 5,700 crore. May I ask why this is a bit different from say the cash and investments of around ₹ 7,000 crore mentioned in the presentation on Slide 16? Is that sort of difference in terms of some cash being restricted and the second thing is you mentioned that you will be setting up sort of similar arrangements for your other external borrowings, which are coming due in FY 2024 and FY20 25, obviously, there are a long way away, but could you just give us some color on the timeline for the same?

Gagan Banga: Sure. So there are three types of liquidity buffers that we track. There is one which is the regulatory buffer, which is high quality liquid assets, which are defined by the RBI, where we have to maintain 50%. And as I mentioned, we are at over 250% there. Then there is an internal working, where we look at all of our cash and investments and strip those to what is going to be available to us on a T +1 basis. So ₹ 5,700 crore is our investments, which will be available to us on T +1 basis. These would be fixed deposits, investments in high-grade bonds, government securities, so on and so forth. There would be other investments, which would be stickier, which would appear in the line of investments, but can't really be liquidated on a T +1 basis. This could be inventories and stuff like that, which are not considered as part of our liquidity buffer, and therefore we exclude that and that's the differential, I believe, between the ₹ 7,000 and the ₹ 5,700. Ramnath, correct me if I've answered this correctly or not, and if you have anything else to add, then please do.

Ramnath Shenoy: Yes, that's fine.

Gagan Banga: As far as the repayments are concerned, we are particularly sensitive to overseas stakeholders. We have quarterly repayments, which come up. The chunkiness of repayments have largely evened out. That said, there would be some ECB loans which are dollar loans, which are lent to us by banks which are overseas and then there are foreign currency convertible bonds, we've done two tranches of those. Again, those are invested by overseas investors. We believe the line of sight that local banks have on cash etc. makes them a lot more privy to information versus overseas lenders/investors. So, for all of our overseas borrowings, we will follow a principle, much like we did in our dollar bond repayment, which is one year before the repayments coming due, on a quarterly basis, we will set aside 25% in terms of fixed deposits such that that fixed deposit, four tranches of that can automatically convert into the repayment on the due date. The first such maturity will be of some dollar loans for which we'll be setting aside approximately ₹ 500 crore per

quarter, give or take, that number is roughly ₹ 2,000 crore in about year's time from now and starting next week, we will keep setting aside ₹ 500 crore a quarter such that one year from now, that ₹ 2,000 crore, which is not a very large sum of money from a repayment perspective, but to give comfort to overseas lenders / investors, we will continue to follow this factors for all of our overseas borrowings.

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Moderator: Our next question is from the line of Hari. Please go ahead.

Hari Hariharan: Gagan, thanks for doing the call. They say that the more and more boring investor calls become, the more dependable, consistent, and on -message the management team is and I want to congratulate you because this is getting into a good groove here where you are addressing the same set of issues continuously and you appear to be doing what you're saying and saying what you're doing.

That said, I have a couple of observations. Number one is, can you tell me what is the size of

the legacy loan book which you said you would reduce by a further 20% by the end of calendar? What is left?

Gagan Banga: Yes, roughly \$2 billion.

Hari Hariharan: Okay. And the reason I ask is, I want to go back to what I mentioned in the previous call. The price -to-book of the company as I speak to you as of close of business today is 0.35. So the company has a market cap now of ₹ 58 billion . Whereas , if it's given one book it should be at ₹ 165 billion . So roughly, there is a ₹108 billion haircut for whatever set of reasons, but if we were to attribute it purely to the concerns about the legacy book etc. So related to that, here's my first question. You said that you accomplished a reduction in this quarter. Can you tell me very roughly what percentage what was the percentage of recoveries? In other words, if you sold ₹ 100 worth of these legacy loans, what are you recovering? Recovering pretty close to ₹ 100 or ₹ 90 or ₹ 80 or how does that compare to the provisions you have in the book?

Gagan Banga: So Hari, we carry provisions of approximately ₹ 2,800 crore. This book is worth about ₹ 15,000 crore. So we carry almost like 18% to 20% of this book is provided in some sense. What gets into NPA, we are generally being able to recover anywhere between 70% to 80% of what's going into NPA. This book has been static for a while, and therefore the slippages into NPA are going down on an incremental basis, which is reflected in the stability of the gross NPA, etc. and our recoveries from whatever we've classified in the past as non - performing, that also continues. So I continue to believe, as I've said to you in our previous calls, that the company's valuation today is whopped and cannot be an outcome of the fact that the market expects us to lose ₹ 10,000 crore on this book. The fact of the matter is that if this entire book is , to tomorrow, in theory, become an NPA, despite not having been an NPA while the worst period of the real estate cycle was on, we will lose around ₹ 3,000 crore , which we already keep as provisions. So net -net we will lose nothing , neither on our earnings nor on our capital , and hopefully, that's sort of an extremely worst case that we're speaking about here.

I believe that the market needed to see some sort of stability in our AUM. This is the first quarter after 15 quarters that the AUM has stabilized and that should give a bit of comfort to the market, and as we grow this AUM now, I am quite hopeful that the price -to-book catch up to at least one time book will happen sooner than later. My belief continues to remain that the overhang on the price is because of lack of buyers. Buyers today are looking for growth. We have finally at least come back to stability and we should hopefully in a quarter or two get back to growth.

The good news is that for the first time in our history, the influential high net worth investor in India, who is also an opinion maker, these are the type of investors who are now coming in into the stock at these levels, and this is something that we've prominently lacked, which is why the volatility in the stock used to be very, very high. These investors have their ears on the ground. They have access to management , they know exactly how our disbursements are panning out. Their channel checks are that much more easily done and since we are operating in the local environment, it happens. If we are able to continue to create a base of domestic investors, I'm sure this catch -up will happen even faster, and

that's what, personally, I am focused on right now, bases advice or well-wishers such as you. So that's how I would like to summarize this.
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Hari Hariharan: Okay. Now because it seems

to me that the more granularity you provided on the fact that the pace and the level at which the amount of recoveries you're getting as you de-risk this book, the discounts should obviously disappear because there is no other reason to believe, even Moody's etc. had commented about quality in the wholesale loan book, and so I think you're on the right track, but it just seems to me that this is a very unjustified haircut to the book value which as the market understands and you provide more granularity, hopefully will go away and get the stock to a much more sensible level.

I have one other quick question, I think I know the answer, but I want to hear it from you. There's been recent concern about rupee weakness and you do have a certain amount of dollar obligations. My recollection from the past is that you are fully hedged and you're not exposed to the foreign exchange rate, is that correct?

Gagan Banga: That is absolutely correct. We are fully hedged and we've hedged, it at pretty sensible levels. Today, in our Board meeting this was also a topic of discussion and we were pleased to inform the Board that our hedges have worked out beautifully for the company. So there is absolutely no risk that we carry, irrespective of the movement of the rupee, and that's the principle we historically follow and we will continue to fall.

Moderator: Our next question is from the line of Kayur Asher from PNB MetLife. Please go ahead.

Kayur Asher: So my question has been partly answered but, sir, could you throw some light on the plans regarding a potential equity raise or funding via convertible debt? I understand this was also one of the key Board agenda.

Gagan Banga: Yes. At this point in time we chose to defer this, there is no immediate plan. This was considered actively at the Board level but given our current capital adequacy at give or take 35%, we feel that equity or convertible is not the way to proceed. That said, if there has to be any sort of dilution, it would happen at least in the near term, I expect it to happen more as an outcome of a strategic discussions that can't ever be taken off the table. That's something that would only provide stability to the company. But aside of that, a typical capital market raise is not something that we're looking to do anytime in the near future. We would want the return on equity to at least double from here before we consider any such corporate action.

Moderator: Our next question is from the line of Shabad Thadani from Arkkan Capital. Please go ahead.

Shabad Thadani: Congrats on a decent set of numbers. Just a couple of questions from my side. One is on the whole sale book. The reduction of 20% that you talked about, can you just give me a sense of how much of that you expect to be driven by repayments from the borrowers, just given the pricing that you're taking, or how much of that is by virtue of transfer of assets, out to ARC and so on?

Gagan Banga: Shabad, all of this will be through actual repayments. There is no transaction structured or any other which we are factoring in. In normal course, there is refinance that some of these borrowers land up doing, but that's a normal course of business, that's more led by the borrower than by us. I do know that there is a \$200 million refinance which is being worked out by one of our large borrowers. So if that is to happen, there would be 50% of our 20% target will be met by just that one transaction. But that is not at our behest, that is at the behest of the borrower. So we expect regular repayments and whatever actions borrowers have to take for this 20% reduction, we are not looking at doing anything out of the normal course of getting our repayments as per the schedule.

Shabad Thadani: Okay and then just a follow-up on that. Some of the provisions that you've taken obviously over the last 12 to 24 months has been with resp

ect to that particular portfolio, right? So

as those repayment start coming in, would you see an unwind of some of those provisions start flowing back through the income statement?

Page 9 of 11 Gagan Banga: Not at least in fiscal 2023, I would say not at least in the next year and a half. We are going to look very hard at the hardening interest rate cycle to see how demand plays out. While one expects that home loan rates should not go beyond 9%, but if they are to go beyond 9%, then does demand come off. If the demand comes off, all the momentum that we're seeing on the real estate portfolio side, does that get affected? So we will wait and watch as to how interest rate transmission happens. There has been 140 basis points hike in just about four months. So we do know that there is going to be some sort of push back as far as home loans are concerned, how big is that pushback, is it a significant value, does it impact the sales cycle on the real estate side? That's something that one would need to watch out over the next six to 12 months before I can take any decision around provisions.

For right now, as I guided, this year, we expect 100 and 150 basis points of credit cost and next year that to come down, but no unwinding per se to happen at least for the next year and a half.

Shabad Thadani: And then just last question. I think last quarter you had guided to about ₹ 2,000 crore to ₹ 3,000 crore of retail NCDs being placed into the market during the course of fiscal 2023. Obviously, market dynamics have changed now. So do you think you need to start looking for replacement channels of financing for that or was that just more gravy that you can run the business?

Gagan Banga: So from what I recollect, I had said that we will do about ₹ 2,000 crore to ₹ 3,000 crore of total bonds. I'd also mentioned that we were going to do one ₹ 500 crore 10-year bond, which we have already done about a month back. We would continue with our quarterly cycle of public issues, each of which should garner anywhere between ₹ 100 crore to ₹ 200 crore. So let's say optimistically ₹ 1,000 crore coming from there and the balance happening through private placements. That's how I would like to look at the bond issuance process.

To that end, I see no reason why we will not be able to achieve this. Now that the results are out, over the course of the next two weeks, we will do our first public issue. We should be able to do four such issues in the full year and garner anywhere around ₹ 800 crore to ₹ 1,000 crore through that. And that should continue any which way. So that number of about ₹ 2,000 crore should happen despite the increase in interest rates or volatility in the bond market.

Moderator: Our next question is from the line of Sanik Ajmani, a shareholder. Please go ahead. Mr. Ajmani, your line has been unmuted.

Sanik Ajmani: Hi Gagan, your results are really good. Just want to check what you're doing, something for the shareholder. We have been holding here right for last three years and this year, sir, all going down. Every quarter we hear a lot of good things, right? The value of the share still if you compare it for last three years, it's been going back to bad.

Gagan Banga: Thanks for holding onto the shares and thanks for being a shareholder and a supporter. As management, we've had to, over the course of the last three years, recalibrate the entire business. As I had mentioned, three years ago, we started this journey of recalibration and building an asset-light business model. I remember it was early October 2019 that we spoke about this asset-light business model. In around three years, we got it to a reasonable level of scale, and as we

get to get past the ₹ 1,000 crore a month to ₹ 1,500 crore a month, just the retail franchise value, 250,000 high value customers, being added. It creates a lot of franchise value which should end up in the catch-up of at least the company going back to 1 - 1.5 times price-to-book, which is where I see us going back in the short term. So I think now that, as I mentioned, a short while back, now that the AUM has sort of stabilized and should grow hopefully for at a rate of about 10% for the year, we should be able to convince some investors on the positive side to look at us as a growth stock, and I think that's the best way to position us and that would be the endeavor of the management besides focus on continuing to perform on a fundamental basis. Markets unfortunately are beyond our direct control. So aside of this, there is very little I can do,
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Page 10 of 11 but you have my assurance that we continue to work very, very hard to make sure that we are walking the talk. What we are saying we are doing and what we are doing, we are saying. So that's how we will continue to operate.

Moderator: Our next question is from the line of Mahendra Kanakiya . Please go ahead.

Mahendra Kanakiya : My questions are; Company granted stock offer at ₹ 96 at very low price compared to book value, intrinsic value, and even lower than your own word . Low share price baffles me. Why not at the promoter selling price of ₹ 269? Why not at year high? Why not at average price? What price the company repurchased the share and why not at that price? This is a clear-cut case of transfer of shareholder wealth to all the internal shareholder.

Number two; Company was kicked out of NIFTY 50, lost AAA, destroyed shareholder wealth by more than 90% from the all-time high. EPS is about one-fourth of all-time high EPS , even though now the capital per share is higher. Currently very low ROE but higher salary and perk to the management and Board. September 3, 2020 , slide presentation show that dividend of ₹ 43 for 2023 and ₹ 58 for 2024, but even now earning may not be even that much. Due to all these failure, management and Board , all must resign, as they are on a mission to inflict the pain and destroy the shareholder wealth.

Number three ; start paying interim dividend , put the company on sale, start treating shareholder like partner, owner in Warren Buffett terms. Start buying back share and not selling share at ridiculously low price, lower than your own word, low price baffles me. Selling price of less than book value is not acceptable. All you must be realizing now that how bad and shareholder's wealth destroying decision were made to sell not one-time, but two times FCCB and paying interest and hedging cost, higher than the rate of you are lending the money. So these are my questions.

Gagan Banga: Sir, you are obviously pained because of the way that the stock has performed and as I'd explained to the previous gentleman who had asked a question that we are trying to recalibrate the Company . The Company's true resources were trying to recalibrate the business, trying to build a granular business . There are hundreds and thousands of employees who are the beneficiaries of these employee stock options. It's not as if the promoter is getting anything, it is professionals who are running the company on a daily basis , who are managing our branches, who are engaging with our customers and are creating the franchise or recreating the franchise, who are benefiting, hopefully. The same employees have also exercised options at ₹ 1,200, and ₹ 1,600 rupees and so on and so forth. So as a retention tool, all financial institutions have to periodically give stock options and then

use stock options would be based on the price of the day. They can't be offered at a discount, otherwise the hit would come in the P&L. So we are careful that no hit comes on the P&L and that's something that we continue to do .

As far as management is concerned, management had taken through the period of COVID, a very steep salary cut, which was restored only a couple of quarters back and not even restored, even today, I'm earning less than 50% of what I used to earn , same I can say for my other senior colleagues. If we lose talent, we will not get anywhere. That said, we will continue to make efforts towards trying to claim back our glory days as I had mentioned in my comments, and hopefully, the stock will perform and hopefully you will get good returns on your investments. That's the only commitment that I can provide to you at this stage.

With that, I would like to thank everyone for supporting the company. We've had a reasonably good quarter and hopefully we should come back with an even better performance in quarter two. Thanks for your support and look forward to speaking with you again after the quarter two results. Thank you.

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Page 11 of 11 Moderator: Thank you very much. Ladies and gentlemen on behalf of Indiabulls Housing Finance Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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Date: November 17, 2022

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Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended - transcript of conference call – financial results for the quarter and half year ended September 30, 2022

Dear Sirs,

We refer to our intimation dated November 14, 2022, informing that the Company has uploaded the audio recording of the conference call hosted by it on November 14, 2022 to discuss the financial results of the Company for the quarter and half year ended September 30, 2022, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company. Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

for Indiabulls Housing Finance Limited

Amit Jain

Company Secretary

Enclosure: as above

CC:

Luxembourg Stock Exchange, Luxembourg

Singapore Exchange Securities Trading Limited, Singapore

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“Indiabulls Housing Finance
Q2 FY23 Earnings Conference Call ”

November 14 , 2022

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN MD AND CEO,
INDIABULLS HOUSING FINANCE

MR. ASHWINI HOOD – DEPUTY MANAGING DIRECTOR ,
INDIABULLS HOUSING FINANCE
MR. SACHIN CHAUDHARY – CHIEF OPERATING
OFFICER , INDIABULLS HOUSING FINANCE
MR. MUKESH GARG – CHIEF FINANCIAL OFFICER ,
INDIABULLS HOUSING FINANCE
MR. ASHWIN MALLICK – HEAD TREASURY ,
INDIA BULLS HOUSING FINANCE
MR. RAMNATH SHENOY – HEAD, IR AND ANALYTICS ,
INDIABULLS HOUSING FINANCE
MR. HEMAL ZAVERI – HEAD BANKING , INDIABULLS
HOUSING FINANCE
MR. VEEKESH GANDHI – HEAD MARKETS ,
INDIABULLS HOUSING FINANCE

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Moderator : Ladies and Gentlemen , Good day and welcome to the Indiabulls Housing Finance Q2 FY23 Earnings Conference Call. As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone . Please note that this conference is being recorded.

From the management team we have with us Mr. Gagan Banga ; Vice Chairman, MD and CEO , Mr. Ashwini Hood a; Deputy Managing Director , Mr. Sachin Chaudhary ; Chief Operating Officer , Mr. Mukesh Garg; Chief Financial Officer , Mr. Ashwin Mallick ; Head Treasury , Mr. Ramnath Shenoy ; Head, IR and Analytics , Mr. Hemal Zaveri ; Head Banking , Mr. Veekesh Gandhi ; Head Markets .

I now hand the conference over to Gagan Banga. Thank you and over to you, Sir.

Gagan Banga : Thank you. A very good day to all of you and welcome to the quarter two of fiscal '22-'23 earnings call. Before we get into the numbers for the quarters , I will briefly cover the update on macros.

The growth trend in the real estate sector continues to be strong . As per a recent Knight Frank Report , housing sales in top 8 Indian cities recorded a 15% YoY growth in Q3 of CY2022 and a 20% growth compared to the quarterly average sales observed during the pre pandemic times of 2019. Suppliers have also picked up growing 18% YoY in Quarter 3 Calendar 22. Units launched have also picked up . The developers have responded well to the upswing in demand levels over the last past year , Launching new projects compatible with the current need of home buyers . Though they continue to wonder where future capital for construction finance sectors is going to come by and that something that I will ponder upon with you during the course of this call.

The commercial real estate market has started showing strong growth momentum after the pandemic with 16.1 million square feet getting transacted during Quarter 3 calendar 22, it represents a 30% year -on-year growth, but we also see the likes of the largest commercial real estate investors in what they call a harvesting mood rather than an investing mood and therefore what one has to think of , is it a opportunity for an organization such as ours or should we continue to use this as an avenue to exit whatever loan investment we had made in the past.

On the retail side , the repo rate hike has resulted in a pass on in terms of the reference rate hikes from us , that has resulted in our books spread expanding from 3.1% at the end of fiscal as of 2.7% a quarter ago . This is transitional, but at the same point in time it indicates our pricing power and the pricing power of NBFC in general to be able to hold on to their spreads.

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I will now quickly cover the headline numbers for quarter ;

The balance sheet, loan book and AUM has stabilized as I had been promising you for the last three quarters and now I think we formed a base as you may have read from our earnings update , the balance sheet has marginally grown the AUM and loan book has stabilized and I believe in the second half of this year we should be able to record conservatively at 10% , optimistically at 15% AUM growth. Here on we will track AUM growth only. I promised to you two quarters ago that we will stabilize AUM balance sheet and then start growing the AUM which we have achieved and here on the management would like to be track on AUM growth. The PBT and the profit after tax has been stable for many quarters. So, while there has been serious volatility in our peers in terms of various numbers, I th

ink over the last 6 to 7 quarters

we have while maintaining a picture of absolute stability, been able to manage our transformation which is how, our retail disbursements have grown not by a small number, but 9x of what we did in H1 of fiscal last year compared to this year. 9x is not a joke by any standards and we are firmly back as the third largest housing finance company in terms of retail disbursements and that too for the portion that we are disbursing and holding on to our balance sheet at a 3% ROA. So, it is a very profitable business that we are doing.

In order to continue to enhance on this profitable business, there is a significant investment in people, we have added over 1,500 people this year. We have continued to reward our performing employees and I would imagine that starting fiscal 24, we should start seeing efficiency gains and a trajectory which is back to a reducing number as far as our cost-to-income is concerned having made the investments through fiscal 22 and continuing through fiscal 23.

Our gearing, which makes the company a lot more safer from a debt investor perspective is now down to 2.5x and as I have indicated in the past this is about a floor that we would hit. So, we are at our floor balance sheet has stabilized, our AUM has stabilized I believe that our gearing here on will remain in the range of 2.5 to 3 times.

We are very comfortable on capital as 34% of which Tier-1 capital is 28%. ROA at a company level has inched up marginally, but that is more because of the profitable increase in our retail disbursements. So, though it is up all of 10 basis points, the retail disbursements are earnings us as much as 300 basis points of ROA and that is going to continue to add 10 basis points, 15 basis points every quarter to our company wide ROA. Most importantly, our NPAs have been stable and we have been able to manage our NPAs at both in absolute as well as at the percentage level in a very tight range while maintaining a very healthy provision cover which remains at 3% of our loan book and over 2.6 times of our regulatory requirements.

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From long term strategy perspective, I think the company has finally achieved a situation which we saw the situation that it had created for itself back in around 10 years ago in 2011, where we had created a serious base of transforming itself from a multiproduct NBFC back in 2008 - 2009 to a mortgage focused NBFC by 2011 - 12. The same sort of a base has been created. We have much like in the US where the securitization market is extremely streamlined, it is a more market place approach, there are standardized loan documents, there is a standardized credit appraisal process, and there is a standardized servicing process. Your company has been able to achieve, that today we have half of the public sector banks in India buying loans from us. One particular public sector bank, a very large one amongst the largest one, we just recently concluded a pilot where the entire buying process of a loan is hands off, neither do we nor do they have any sort of a human intervention it is completely hands off. Our documents are read by their systems and then the loans are purchased and there is a transaction which happens where we receive funds. So, that is the kind of a future which we perceive that we will continue to focus on our distribution invest in people. As I mentioned earlier, we have invested in 1,500 people through the course of the year, we have invested in retention and it is a very profitable business at a 3% ROA. While banks let us do that is because of the positive credit cycle cost that we have. We go out and invest in distribution and place our young boys and girls at various sites, which for various constraints public sector banks cannot and that distribution gets us to this profitable sort of an ROA. Our disbursements under the

asset light models in the prime segment

have been able to get to and scale up during the first half as high as ₹4,600 crores.

As I had mentioned in the last call our strategy for this fiscal year would continue to be in retention of our employees which was reflected in our employee cost. We have just concluded an annual increment, which has averaged at about 16%. Our ESOPs continue to be extremely lucrative we have repriced some of our ESOPs and made sure that there is a wealth effect coming into our employees. As we work on our retail loans, we are focusing specifically on the affordable segment, we have already created a book of around \$200 million with an average ticket size of Rs. 10 lakh, which is focused on what we call Bharat which is Tier-3 sort of locations and we continue to expand on those locations where we hope to get into a market domination position very soon. As we do that I think the focus of the last four years as we are in ILF&S crisis worked itself out. The company chose to focus on maintaining a fortress balance sheet through the strong pillars of capital adequacy, low gearing, high liquidity and robust provisioning, all of that has played out that has enabled the management to focus on operational priority. The operational priority has remained at unwinding, the wholesale books which is clearly getting tailwinds by the real estate up cycle and enhancing the retail book and especially the retail disbursement cycle. As we sit today we are even unwinding our cost on the wholesale side and focusing on packing up our retail disbursement, be it branches or people and that all should play out to us get into to about \$2 billion of disbursements in fiscal 24.

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Now, let us look at our gross NPAs if we look at slide #5 of the earnings update on the asset quality ;

As of the end of the September 2022, our gross NPA stood at ₹2,123 crores which in absolute value are flattish for the last four to five quarters , which translates to 2.94% and net NPA stand at 1.70%. Our stage 3 provisions stand at 42% of the stage 3 assets, our total provision stand at 3% of loan book which is as I mentioned earlier 2.7 times of our regulatory requirements. The retail collection efficiency stands as high as 98.8% for Quarter 2 fiscal 23. Very, very important over the last 7 quarters I had been consistently communicating that we should be able to hold our gross NPA range at between 3% to 3.5% and today at the end of first half of fiscal 23 we stand at 2.94%. For this year I had communicated that we expect our credit cost to be between 100 to 150 basis points , we are trending that and as I had said earlier if after this crisis in the last quarters , if one is to believe me then our credit cost should come down at half of these levels next year onwards.

On the liquidity side , we stand comfortable . More importantly , we continue to adopt a very conservative approach. Most of our stakeholder are aware that when it came to a large rupee redemption of a public issue bond that we had done of about a billion dollar , we created proactively reserve for that. When it came down to paying down mutual funds , we bought back our bonds and now when it comes to ECB lenders , today our board has approved the creation of a term deposit buffer much in line with the dollar bond term deposit buffer that we had created and more importantly then this near term payment which comes due in fiscal 24 even for the convertible bond due for repayment in fiscal 24, 25 , we would proactively continue or we will proactively create a term deposit buffer over 4 to 5 quarters for the same. So, this is going to get triggered in the next 7 to 8 days as we negotiate with banks and get the best term deposit rates. We fortunately already got it in the same cleared through our domestic banks and we are firmly in place to adopt this as a regular operating

practice for our ALM management ,

for all of our overseas borrowings be it our external commercial borrowings as well as our convertible bond borrowings if they are not to convert that is for time to tell, but at least as management we will assume that they will not convert to debt and we will have to redeem them and we will create deposit buffers for them. External commercial deposit buffers will start getting created over the next 7 to 8 days and at the FCC buffers will follow suit.

Now, moving on to the regulatory side there has been a lot of transformations on the regulation front , your company has been classified as a upper layer NBFC much in line with the large status of NBFC is that it has we are in incubated company and we are in the process of doing the transformation. The good thing is , we did a deep dive into the transformation today in our board meeting and I am happy to report that there is no significant P&L or balance sheet impact item as a result of the transformation to the upper layer , this is the provisioning or any other

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requirement of the capital transformation requirement which it has , there will be no P&L or capital charge that you will witness because of our transformation to the upper side NBFC. As a stakeholder it will be heartening for you that we will be regulated and supervised much like a bank , so we become that much safer . Just as an indication much like banks now we also follow LCRs , which is liquidity coverage ratio and as against a minimum prescribed of 50% LCR we stand at about 200% LCR , so we are operating very conservatively even basis what RBI has prescribed for NBFCs. On the ALM side we continue to remain positive and now with these fixed deposit or term deposit buffers we will be even more conservative.

As we stand today , I believe that we are at a very important transformation point for the company. The company over the course of the last four years has transformed itself from a business model perspective from a company which was looking at continuously growing its balance sheet. So, when we touched a trillion rupees a balance sheet we thought that we should be guiding the market to when we will touch 2 trillion rupees. When we touched 5 times of gearing , we said that we can go as high as 7 times as gearing . The business model has completely transformed through this transformation process we had to face macro and micro headwinds. The macro headwinds in terms of a full regulatory overall as well as a risk of as far as our industry is concerned. On the micro front because you were trying to do things very differently , there were all kind of muck which was thrown on us . The good news is that the company has been able to fairly seamlessly migrate from a near 7 x gearing to a 2.5 x gearing. Over the course of the last 7 odd quarters, it has been able to stabilize across all operating parameters.

We had said that we will continue to degrow our balance sheet for sometimes and very boldly we did degrow that. A lot of our stakeholders thought that it was about access to debt markets. We said this is just the more conservative and long-term more stable way of growing the business and at some point in time we will stabilize over the last three quarters we had stabilized. We also indicated that the business for NBFC especially NBFCs which lent to sectors where the borrowing is long, is not about keeping assets on balance sheet it is about originating assets and becoming a lean and mean origination machine. I think we have managed that fairly successfully and compared to our peers who are holding assets from their balance sheet, we are actually for the capital that we put on our balance sheet earning 2x of the return on asset. In absolute value terms it will take us another 12 months to 18 months to grow this in absolute profitability, but

from a ROA perspective it is already very healthy at 3% for incremental disbursements, which has started now ticking in terms of book ROA as well and there has been a 10 basis point increase that 10 basis points will continue to increase at a steady base over the next few quarters and should settle at about 200 to 250 basis points of ROA which would mean that the company would settle in at around 14% to 15% ROE by middle of fiscal 24 or so. So, that is the goal that we have been trending towards.

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We do not want to be a company or a management team which is known to shock or surprise. We would like to state things upfront. We said upfront that we would like to de-grow, we de-grow. Sometimes in life to transform you have to dig deep, we dug deep. I think at a stage where we can stabilize and that is the act that we have been following and we have stabilized and from here on we will see not a 9x type of a disbursement growth that you have seen in the last one year, but at least a 2x type of a disbursement growth for the next two years, year-on-year which should get us to a level where we are disbursing like \$300 million, \$350 million of absolute retail granular loans a month and that is a very unique franchise that you are adding something like 20,000 customers a month and these are very prime mortgage customers which stay with you and have a life cycle of 7 years to 8 years where you can sell multiple products on pure capital allocated basis you make 3% and then if you add other sources of income you make 3% plus ROA from these borrowers and these are prime borrowers. So, that is the business model that we will follow.

We will continue to unwind our wholesale book, the real estate business is doing extremely well in terms of the wider industry and that is benefitting us because the projects that we have mortgaged are selling and selling very well. So, on the NBFC balance sheet we will continue to unwind. As a result, we also would tweak the team and focus more on growing the retail team and for cost rationalization we will see how we have to best utilize our wholesale team. Our AIF platform is also growing slowly it is already at about ₹3,500 crores and it should get to about ₹5,000 crores by the end of this fiscal that is the other area of focus. So, from next year onwards the AIF platform should start contributing to our profitability and that is the key matrix that I would like to keep for fiscal 24.

For fiscal 23, I would just request all of you to measure our success on growing our AUM by 10% and managing to maintain our delinquencies, our stage 2 etc. Incidentally, our stage 2 is down almost 30% since the start of the year and almost 50% from the end of fiscal 21. So, we are trending extremely well basis the real estate cycle and I assume that this is the numbers that come in front of me we should be down in another 30% by the end of this fiscal year. So, all in all the business is in a very stable position and several of our stakeholders have continued to support us. We bought down our leverage given exit to several of our other stakeholders. We have covered our ECB lenders by creating this term deposit, we are committing to cover our FCCBs lenders by following suit on the term deposits. This is the best foot forward that the management can put forth and I would like to end my comments with a request of your continuing support. You open the questions now and thank you.

Moderator: Thank you very much sir. Ladies and gentlemen we will now begin the question-and-answer session. The first question is from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.

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Abhiram Iyer: Given the importance of AUM, could you please let us know what the number is at the end of the September quarter that is question one and question

two could you also elaborate a bit more on the higher provisioning cost that have been taken in this quarter as well?

Gagan Banga : So, when we have high PPOP we will continue to take high provisioning and we make sure that we continue to be better placed than having a volatile picture. Unfortunately, I am not in Bombay I am travelling so I do not have the specific number, but my IR team can give you the specific number in terms of provisioning. As far as AUM is concerned, we are pretty much flatish to where we were last quarter this is despite ₹2,000 odd crore gross inflow from our wholesale book and then we would have disbursed ₹600-700 crores on the wholesale book to get project completed. I would like to draw your attention to some of our key projects in the city of Mumbai, 25-South, which is one of our large exposures, which is opposite the famous temple in the Prabhadevi area that has achieved occupancy certificate. In the race course area another large exposure, what is the tallest building in India which is called Minerva that has applied for occupancy certificate it has achieved all the preliminary certifications required for that and I would imagine that by November the occupancy certificate would come in. All of our NCR exposures are seeing extremely robust growth, a few of our stressed loans in the Southern part of India as well as the Northern part of India because of steep appreciation in land prices are today actually seeing bids at 120 cents to a dollar where we would have imagined this is the provisions that we had created that we will actually recover 80 to 90 cents to a dollar so that is a pretty good situation to be in. So, all in all the AUM on the wholesale side will have a little bit of a pressure at a rate where we will receive ₹2,000 odd crore a quarter back, but our retail disbursements are growing rapidly and I imagine that we should be doing about ₹4,000 odd crores of retail disbursements plus around ₹700-800 crores of wholesale disbursement so all in all AUM as I said should be growing at about 10% as we speak quarter-on-quarter it is flatish.

Moderator : Thank you. Our next question is from the line of Raunak Mantri, Individual Investor. Please go ahead.

Raunak Mantri : Sir, last quarter you had written off ₹500 crore against a general reserve, so is it good to assume that this year also you will not be giving any dividend to your shareholders?

Gagan Banga : It will be very sad if you do not give dividend because we gave dividend all of our listed history since 2005, we listed in September 2004 and from March 2005 onwards aside of last year we have given dividend. So, there is no reason why we should not be giving dividend as we speak back of envelope, I think we are technically enabled at least as at the end of half year to give dividend that said I do not want to be that management which gives a commitment and does not live up to it. So, it shall be my endeavor to propose to the board to give dividend, but we will see we have a tricky second half with the geopolitical situation being where it is wherein with inflation being where it is with interest rate being where they are, it has been a very hectic Indiabulls Housing Finance
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credit growth in the first half, now deposit rates are increasing so we could even have a very rapid increase in input cost. So, given all of that I will not make a firm commitment. The firm commitment that I will make today is that the retail AUM will grow, retail disbursements will grow. As far as dividend is concerned, it is clearly the management intention much like you we are all shareholders, so we would love to get some dividend from the company, but the more important thing for the company is to be financial strong and regulatory compliant. Within the compliance perspective as we speak, we should be able to give we will take this decision or rather the board

will take this decision towards the end of the year. It shall be my personal endeavor to make sure that shareholder get dividend this year.

Moderator : Thank you. Our next question is from the line of Craig Elliot from NWI Management. Please go ahead.

Craig Elliot : I think importantly the base that you have set for growth is one for very high-quality growth, with the new business model, so my question is that what do you think and when will it take the general equities market participants those we do not know as well as we do, we would really appreciate what they are missing about how great this business is?

Gagan Banga : Craig, like you rightly said NWI is one of our most incredible investors which held faith in the management despite all that odds so firstly thanks to you and the rest of the investment team at NWI for continuing to support us. I believe now that with three quarters, four quarters of stability around AUM, balance sheet etc. now that the process of degrowth has kind of stalled. Over the next quarter or so the process of growth would take place and would accelerate and as that happens with the limited experience and knowledge of the capital markets that I have and my interaction with investors, I believe that should be 50% of so to say the problem getting unraveled for equity investors. The balance 50% is around governance perception, which is a topic which is uncomfortable, it is basically the elephant in the room and it should be addressed squarely.

The fact of the matter is that the company suffered a hell of a lot for folks who were trying to short the company and trying to take advantage because we were vulnerable, because we were widely held. We will come through that and we will come through that with fire and we have

just in India had this festival of Diwali , where we celebrate Lord Ram returns and when I was celebrating Diwali I was thinking that this is almost like the Diwali for Indiabulls. So, we have returned and we have returned with glory we were put through a test through fire and come through that the courts have upheld us, the various regulators have upheld us and as we speak today we are perhaps one of the strongest board in the country amongst financial institutional. I just come through a board meeting with lasted three hours to just discuss regular quarterly results. The audit committee last year for two and half hours, we have a regulatory measures oversight committee which convened on Saturday and lasted for three hours. So, before we
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come in front of you with the numbers that we come in front of you there has been 8 and half hour discussion at the board level , that is with people who are deputy governors and bank MDs and supreme court judges and audit partners and what have you. So, with this kind of governance and with the kind of come through that we have seen and with growth returning I see no reason why in a quarter or two we would not start trading at par and then perhaps beyond our book value. I needed to give a growth indication to our stakeholders . I think today I am firmly in a position to give that growth indication and there is no reason why book value and past book value should not get achieved over the next two to three quarters. With that said the management team is not taking any pressure and we are being abundantly honest about this, about the market cap etc . we are going about our job, we want to be focusing on investing enough capital in technology in being the best in class as far as technology is concerned so that by fiscal 25 , that start reflecting in our cost -to-income. We continue to invest in our people so that through fiscal 25 -26 we have single digit attrition numbers on our employees and if all of this interests the stock market it is very good for us if it

does not as a

management team we will still be very happy creating a massive retail franchise which is creating half a million customers or so on an annualized basis and these are the most finest customers that you can get in India. So, that is the way that we are approaching this whole issue. I am quite sure with my experience that there is no reason why the capital markets would not value us appropriately.

Moderator : Thank you. Our next question is from the line of Kayur Asher from PNB Metlife. Please go ahead.

Kayur Asher : So, sir if you could kindly share data on the developer loan book so you mentioned about the decline trends that we are seeing, so if you could mention what is the outstanding book as of September 22 and what is the guidance as to where would we look to see this book by the end of FY23?

Gagan Banga : The book is flattish to last quarter , I believe the AUM would be in the handle of ₹70,000 odd crores as was the numbers last quarter and as far as balance sheet we have reported that to have also stabilized and for the guidance we have formally guided if you go through the earning update the first page itself says that we look to grow our AUM by 10% odd in the second half of this year and that is the AUM growth number. Here on we will talk only AUM growth and I am quite sure that we will grow 10% here on.

Kayur Asher : My question was definitely regarding the developer loan book, so what is our guidance for that and what is the current side of the developer?

Gagan Banga : That will degrow by about 20% in the second half of this year.

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Kayur Asher : Any absolute number that you would like to quote here?

Gagan Banga : De-grow by about ₹2,000 odd crores.

Moderator : Thank you. We will take one more question from the line of Chandra Shekar Individual Investor. Please go ahead.

Chandra Shekar : I just would like to ask on the last commitment of Mr. Sameer Gehlot took the exit , so is that exit approved by all the authorities and then the updates on the PIL in Delhi High Court and then the ED cases in Supreme Court as well as NCLT cases I can see lot of NCLT cases pending in NCLT and your earlier commitments of NSE Prime, AIF Partners, name change, offering the board seats to PE investors and all this. So, one concern actually not disclosing all this to the exchanges and we being retail investors , finding very hard time because we are very long time investors and then our capital eroded after almost half of it actually, so could you please kindly help on this I would really appreciate?

Gagan Banga : I am sorry that you are capital eroded and it is beyond my control in terms of how capital markets move, but I would kind of disagree as to that we are not reporting anything to the stock exchanges , whatever we communicate with you either you or we put it in writing in our

earning update is all uploaded on our website and on our stock exchange disclosure section, everything is up there and we are not tried to do anything which is off the record on such a formal sort of platform.

Mr. Gehlot stake sale happened to the world's largest financial institutions. His stake fell down to 9.5%. We have formally approached the various relevant authorities as well as stakeholders for his de-promotorization. I would say 80% to 90% of the stakeholders have approved the balance 10% to 20% should approve, fingers crossed through the course of the next 30 days, as they approve, the de-promoterization would happen and once that happens then we will logically move away from the Indiabulls brand and rebrand ourselves it has to be a step-by-step thing. The Indiabulls brand has a large brand recall and it will be a massive investment in rebranding ourselves, but before that we have to take a step by step logical path to it and we are o

n that path. The most important step is that was in the context of India where de-promoterisation is a rare sort of thing. We must salute the founder to say that the institution is more important than him and for him to have taken this initiative. So, I believe that he will continue to make sure that the organization and the institution over the weeks and months to come becomes more and more independent. He is anyway not on the board; the board is completely independent of him and the board is led by Mr. Mundra for the last two years or so. So, it is well on course.

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As far as the PIL is concerned to the best of my understanding for one reason or the other and the legal luminaries are better placed to elaborate on this, but despite our best efforts to get that PIL listed it does not get listed if it does not get listed how do we get it dismissed? The prayers of the folks who came on the PIL when the find it against us was that someone should look into our books and they prayed someone should look into our books and what happened was that everyone looked into our books and then everyone looked into our books and filed affidavit saying that their books seem okay and there is nothing out of the ordinary in their books, they never came back. So, after this what else can management do, I do not know. As far as the ED matter is concerned we have already filed with the stock exchanges that first the honorable Bombay High Court quashed the underlying predicated offence as they call in the ED terminology and then the honorable Delhi High Court quashed the ED proceedings itself. So, as we speak there are no proceedings against the company, both the division benches have noted that there has been a great abuse of law against the company which has resulted in all stakeholders getting harmed. Your capital has halved, my blood pressure has increased. So, both of us are sufferers, but today I am quite sure that the management team will focus on execution and recoup your capital and slowly my blood pressure will also get okay. So, we are as far as that proceeding is concerned also on a strong wicket all in all I think we are in a pretty good place where we are today, we have to focus on our execution, we have to focus on building our retail disbursement franchise, we have to transform our wholesale business from the NBFC balance sheet to the platform for that we have to right size the organization, move people, do all of that which is hard core execution. Fortunately, we finally have the management bandwidth to focus on execution versus focusing on fighting these very motivated battles. So, having done that there is no reason why we will not be able to excel on execution and create value for all of you. So, that is where I would like to end this call unless I have not answered someone's question which was already asked. If there are any further questions, please feel free to email them to us and we shall certainly reply and we shall connect sometime in towards end of Jan, early Feb with our Quarter 3 earnings, which I hope will be as stable as the first half earnings. Thank you so much and look forward to speaking with you in the New Year. Good bye.

Moderator: Thank you very much Sir. Ladies and gentlemen with that we conclude this conference call. Thank you for joining and you may now disconnect your lines.

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"Indiabulls Housing Finance Limited
Q3 FY 2023 Earnings Conference Call "
February 14, 2023

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , INDIABULLS HOUSING FINANCE
LIMITED
MR. RAMNATH SHENOY – HEAD INVESTOR RELATIONS AND
ANALYTICS , INDIABULLS HOUSING FINANCE LIMITED
MR. SACHIN CHAUDHARY – CHIEF OPERATING OFFICER ,
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MR. MUKESH GARG – CHIEF FINANCIAL OFFICER , INDIABULLS
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MR. ASHWIN MALLICK – HEAD TREASURY , INDIABULLS HOUSING
FINANCE LIMITED
MR. HEMAL ZAVERI – HEAD BANKING , INDIABULLS HOUSING
FINANCE LIMITED
MR. VEESHESH GANDHI – HEAD MARKETS , INDIABULLS HOUSING
FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Indiabulls Housing Finance Q3 FY'23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

To discuss the financial performance of Indiabulls Housing Finance and to address your queries, we have with us Mr. Gagan Banga ; Vice Chairman, MD and CEO , Mr. Ramnath Shenoy ; Head IR and Analytics; Mr. Sachin Chaudhary ; Chief Operating Officer; Mr. Mukesh Garg ; Chief Financial Officer; Mr. Ashwin Mallick ; Head Treasury , Mr. Hemal Zaveri ; Head Banking , Mr. Veeshesh Gandhi ; Head Markets.

I now hand the conference over to Mr. Gagan Banga. Thank you, and over to you, sir.

Gagan Banga: Thank you. A very good day to all of you, and welcome to the quarter 3 fiscal '23 Earnings Call. Our overarching theme and the takeaways we want to leave with you all are as following.

1) Our asset-light model is working and firing on all cylinders
2) Balance sheet is a fortress balance sheet with strong capital levels. We continue to de-risk the wholesale book. We have created very, very deep provision pools, so the net worth and the book value per share is extremely well fortified.

3) There is demonstrated progress on institutionalization of the company through the quarter and the year.

4) There is demonstrated prudent ALM management over the years and shall continue.

While we drive the company on the above aspect, we are, of course, also focused on delivering the numbers and maintaining asset quality. I will quickly run through the 9 months and quarter 3 numbers , before I get into the above company's strategic thrust areas and progress against them.

Please now open the earnings update and refer to Slide 3 #

- Our net interest income came in at ₹ 2,354 crores for 9 months and ₹950 crores for the quarter compared to ₹ 1,104 crores for 9 months last year and ₹ 688 crores for quarter 3

fiscal '22.

- Profit after tax was ₹ 867 crores for the 9 months and ₹ 291 crores for quarter 3 versus ₹ 871 crores for 9 months and ₹ 303 for quarter 3. So despite the reduction in the book and the AUM and the gearing and all of that, we've been able to maintain our profitability.
- Retail disbursements under the asset-light model had risen 3.3 times in the 9 months fiscal '23 to now coming at about ₹ 6,261 crores versus only ₹ 1,900 crores for the 9 months of fiscal '22.
- With this, our number of retail disbursements, we are firmly back to being the third largest mortgage lender in the NBFC/HFC category.
- The annualized net interest margin has come in at a very, very healthy 4.1%.
- The ROA has been rising for the last 3 quarters and has now expanded to 1.5% at the end of December '22.
- Gross NPAs are stable at 3.3%, and net NPAs are at 2.18%.

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- The safety that we have been able to try to build in has resulted in the net debt to equity, which has now declined to only 2.3 times.
- Our capital levels continue to be very high, and the capital adequacy stands at almost 34%, of which Tier 1 capital is 28.5%.

Now please refer to slide 4# of our earnings presentation which lays out our strategic focus areas and the action points within each

As I said, Retail lending would continue to be our growth engine. Along with our banking partners, we continue to grow the retail AUM in an asset-light model by originating on the co-lending arrangements and selling down loans. Co-lending and loans sold down used to be

only

10% of our liability mix at the start of the NBFC crisis in India, which was quarter 3 fiscal '18. Today, that number has increased to 33% of our AUM. And this increase makes this part of the balance sheet as granular as it gets. The repayments are co-terminus to the loan, and it signifies the transformation of the company from an asset-heavy model where a lot of capital was put to work to a smart origination machine, which is focusing on low-cost high-tech origination versus looking around for more and more capital.

We will sustain the present 3% plus ROA on this business, while ensuring high-quality assets. We are also using this time to continue to strengthen our strategic sourcing relationships with our partner banks. We have already achieved tech integration with most. The balance would be achieved by the end of the fiscal. And over the course of the next 3 to 4 months, our 7 partner banking relationships will also expand to 10 banking relationships.

In the background, we are also expanding our reach in terms of physical distribution and have increased our branch network by almost 60 branches, and we are continuing to grow our manpower as our disbursements continue to grow with a 6-month lag. So if we hire today, 6 months later, we start getting the benefits from a productive same employee.

The second very important area, and this is something that I would like to spend some time on today is the continuous derisking that we are achieving by running down our wholesale book. And in some ways, quarter 3 was an extremely important quarter just by the virtue of very specific progress that we could achieve in quarter 3. We have, in the past and continue to on an ongoing basis, we have been entering into structured deals to make sure that all the projects, which are funded by us, continue to achieve last mile financing. Banks are hesitant to extend financing for project completion, so we continue to get funding for project completion through structured finance. And as a result, several of our projects, which have been detailed in the slide, have already achieved occupancy certificate. As is well known, the real estate cycle has bounced back, but it is occupancy certificate, received buildings, which are seeing all the sales traction. So we are clearly benefiting from that.

Wherever projects are stuck, we continue to onboard joint development partners to make sure that the projects get completed. The steps that we have taken over the last 4 years are now bearing fruit as inventory is now getting completed. Our projects are receiving OCs, which is occupancy certificate. Cash flow has started getting generated, which is repaying the loans. And over the

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course of the next 2 years, by virtue of loan repayments, I expect material rundown in the wholesale book to continue.

Most importantly, through quarter 3, we've also been able to achieve breakthrough in several of the high-risk projects running into several hundreds of crores, which were performing part of our Stage 2 assets. And we have completely received monies from 2 large exposures that we had

in the National Capital Region (NCR), which were Stage 2 assets for the last 2 to 3 years. After receiving our monies completely, we have been able to generate an annualized return of 12% on one and over 14% on the other. So that is the depth of the assets that we hold and the security that backs the asset. And this area of focus will, in the short-term impact that the AUMs will rapidly run down on the wholesale side. As I've been mentioning in the past few calls, retail is scaling up. It's up 3.3 times in terms of disbursements year-on-year, but it can't possibly scale up at a level where this rundown is offset. Therefore, it is my request that please evaluate us today as a strong capital company, where the capital

is as real as it can get with adequate provisions to

take care of any exigency and a very, very large retail originator, generating a 3% ROA on the assets that it is originating on the retail side on an incremental basis.

The third area of focus is continuous proactive ALM management. We do this by maintaining adequate liquidity between what's on balance sheet and undrawn lines. The payment of lumpy repayments is a practice, and where regulations do not permit prepayment, which is largely overseas borrowings. We have been creating trustee managed to earmarked pools of money to meet repayment dues. All of these we have demonstrably been doing for the last many quarters now, and we will continue with that practice as has been detailed on the ALM slides in the earnings update.

Lastly, we continue to focus on the institutionalization of the company and moving it away from an entrepreneurial setup to a completely institutionalized setup. We have been taking definitive steps to transform the company into a board-run professionally managed institution. A step in this is de-promoterization. I'm happy to inform that now we have received all requisite approvals from shareholders, bankers, regulators, etc., And before 31st March 2023, this process will be completed. We are in the process of communicating all the approvals to the stock exchanges, and they should be doing this reclassification of the founder-promoter to a public shareholder very, very shortly, certainly before the end of the fiscal.

As we move forward on de-promoterization, and this is now a certainty, the management team and the Board is also working out on the simplification of the company's structure, which is the parent HoldCo and OpCo, and the few subsidiaries that we have. We are doing a reorganization such that the structure reflects the fact that we only want to do 2 types of business, which is retail origination business and via our AIF, wholesale origination business. Before the end of the fiscal, we will announce the reorganization to this effect also. And the marketing team has undertaken a rebranding exercise for the company, which will reflect our institutionalized character as well as our retail focus towards doing mortgage lending. All 3 of these initiatives, which is de-promoterization, reorganization such that we are a larger, more capital-efficient structure as well as a rebranded structure.

Now I would request you to turn to slide 5.

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In the 9 months of this financial year, we have disbursed a total of ₹ 6,261 crores of retail loans. We are sourcing now about ₹ 700 crores to ₹ 800 crores of retail disbursements a month under the asset-light model. This makes us firmly the third largest originator after HDFC and LIC Housing in the retail mortgage origination space amongst NBFCs and HFCs. This has come to be the mainstay of our retail business. 33% of our AUM is supported by CLM and loan sell-downs, which is up from 10% 5 years ago at the end of quarter 3 fiscal '18.

The asset-light model is both ROA as well as ROE accretive since, through the cycle, only 20% of the loans are retained on our books, while we continue to earn on the entire 100%. We have access to vast coterminous resource pools of the banks, and that's the constraint of having to raise monies on our balance sheet and fund loan growth is something we are now free of without having any ALM risk. Of the ₹ 9,400 crores of disbursements we have done through this model since fiscal '22, we are already realizing an ROA of well upwards of 3%.

As you can also see on the slide, the average credit bureau, which is CIBIL score, and average ticket size, the sourcing is happening in the prime segment. We are not in the mysterious affordable housing segment as it's called, which is low-ticket

size lending. We do prime lending.

We do it with high-quality banks, and this is high-quality loans, which is reflected in the delinquency, which is all of 10 basis points for these loans that we have sourced since fiscal '22, which are generating us a 3% ROA, but the 90% delinquency is all of 10 basis points. We are strategic partners contributing meaningful and sizable disbursement to the banks that we have tied up with for co-lending.

The tech integration has also meaningfully progressed. The documentation is the standardized documentation for the industry and is now our documentation is becoming more the norm for the industry. This is, in itself, a very unique franchise that we have been able to create. And now

we have passed the hump of getting the process, the documentation, the technology set up across our partner banks. We are now focusing on systematically increasing our branch count and our employee count so that we can double this number in the next 12 months, and realize this 3% ROA on a much bigger and bigger pool on a monthly basis.

If you can now please turn to Slide 6 #

As we continue to expand the retail AUM, we continue to run down and derisk our wholesale book. The current up cycle on the residential real estate side is something that we want to completely capture, and we also want to benefit from the last mile financing that we have provided to the various projects. As these projects achieve occupancy certificate, which as has been detailed a marquee project, which is the highest tower in India, has achieved occupancy certificate already for 60% of the units. 100% of the civil structure is complete. As a result, the sales offtake is very strong and is happening at a price point, which is 15% higher than what we had budgeted for a high IRR generation for the company.

Another super premium project, which is a residential project in Prabhadevi, has now become the highest selling project or tower in the country. There, again, we have done a last-mile financing transaction with a fund, which over the next 2 years, we expect that the funds facility, Indiabulls Housing Finance Limited

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the first one already stands fully repaid, the second one will also get fully repaid, and our loans should also get repaid in the course of the next 1.5 years.

Our super premium project in Worli in Bombay again has 90% of the civil structure complete, has received part OC. And this will result in a massive write back for us over the course of the next 2 financial years. Wherever the projects are still slow or stuck, we started entering into joint developments. Just in quarter 3, we've entered into 4 joint developments where we expect our loans to come back again over the course of the next 3 financial years.

Through the last few years, and this is a simple amount of math that I would request you to focus on, in order to create large provision pools, we had bumped up our Stage 2, and we had also prudently written off on a technical basis loans, so as to have high effective provision coverage. As we now recover these loans, we have willingly landed up building up a write-off and NPA pool of over ₹ 10,000 crores over the last 4 to 5 years. Over the course of the next 2 to 3 years, we expect at least 50% recovery to come through in terms of cash collections. Even if we are to conservatively keep it at 40% recovery, this would mean about 8% of our loan book would come back in terms of these provisions. If we add to this the provisions that we otherwise also carry, then in total, we have a total provision and implied provision pool adding up to 11.6%.

Now on the other side, if you look at our Stage 2 loans, at the end of December '21, our Stage 2 loans were nearly ₹ 22,000 crores. At the end of December '22, the Stage 2 loans have declined by ₹ 17,400 crores and now stands at all of ₹ 4,520 crores. So if I was to add m

y Stage 2 assets,

which is roughly 6%, to my NPAs, it would come around to about 9.5%, against which I have implied provisions of 11.6%. We have no restructured loans.

So the big point that one is trying to make here is, which I am every time repeatedly asked as to why you trade at 0.25x, book is the net worth real? The net worth is as real as it gets, and the provisions more than effectively cover the risk. The sharp reduction in Stage 2 loans in a period of 1 year, while adopting, and this is most, most important, while adopting the daily days past due recognition practice of the Reserve Bank of India, which was introduced last year, implies the asset quality that we have.

The other risk, which was highlighted in the past, which of late, at least one has not heard much in terms of a concern, but I would still like to speak about it is the ALM management. As of December '22, we had about ₹ 4,000 crores of cash. This excludes sanctioned but undrawn line. As access to funding has eased, we have rationalized our on-balance sheet liquidity levels to minimize negative carry. The ALM is shown on a cumulative basis up to each bucket. We are positive across all buckets, and we have positive net cash of almost ₹ 8,000 crores at the end of first year. Our detailed 10-year quarterly ALM is in the appendix slides from 19 to 23.

As per RBI Master Directions introduced in Feb '21, we are supposed to maintain an LCR of 60%. Against this, we have an LCR of 246%, which is only on the basis of high-quality liquid assets as defined by RBI. We continue to demonstrate proactive ALM management. Last quarter, we prepaid ₹ 1,000 crores of bonds. We continue to prepare for lumpy repayments. We've already started creating a reserve pool for our ECB borrowings, which will mature later in fiscal '23. And as discussed in the past from quarter 4, we will also start creating a reserve pool for our Indiabulls Housing Finance Limited

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FCCBs. While the management believes that the FCCBs will eventually get converted to equity,

we cannot assume so. And therefore, we will start to create a reserve pool of 25% each, starting from quarter 4 of this year.

I would like to also highlight that the company has repaid over ₹ 1 lakh crore on gross basis, over ₹ 80,000 crores on a net basis. This is the largest repayment by any corporate in India to lenders, be it in the financial or the nonfinancial world on a net basis. And this, I would believe, is one of the biggest achievements of the company and is also a reflection of the asset quality of the company.

Moving on to Slide 8.

We've been taking definitive steps to convert the company from a promoter-driven entity to a financial institution, which is Board-driven and professionally managed. Mr. Gehlaut, the founder and promoter, had stepped down from the Board and paired stake. As I shared earlier, by the subsequent to all the approvals now being received, we shall complete the de-promoterization process over the next few weeks. We are reorganizing the company such that we have only 1 or 2 subsidiaries. And the entire organizational structure is focused on only 2 things, retail origination via the NBFC and wholesale origination via the AIF. Similarly, the rebranding exercise of Indiabulls Housing would ensure that the new name reflects a brand-new image, which is aligned to our focus on home buyers and is also reflecting the institutionalized character of the company.

Now moving on to Slide 9, which is reflecting of the earnings update on the asset quality.

As at the end of December '22, Our gross NPA stood at ₹ 2,302 crores, which translates to 3.3% and net NPAs at 2.18%. We are fully compliant with the RBI circular on NPA recognition based on daily days past due, and these NPAs will not be regularized unless all overdues are repaid. At the end of December '22, our Stage 2 loans were only

6% of our AUM compared to 30% of

our AUM at the end of quarter 3 fiscal '22, which is 1 year ago. Reduction in Stage 2 loans are due to strong repayment traction on the back of pickup in the real estate sector.

Due to this and stronger recoveries, our loss given default has been empirically validated at lower levels than Stage 3 provisions we used to carry, following which Stage 3 provision levels have now been rationalized. Between the provisions we already carry are conservatively estimated recoveries over the next 3 years and some other releases such as the positive order that we have received on the YES Bank AT-1 bonds, which hopefully the Supreme Court will also confirm, we carry imputed provisions of about 11.6% of loans. This more than covers our Stage 2 and 3 loans, which are at about 10%. So we are effectively 100% provided on not only NPAs, but also Stage 2 loans.

To summarize, our retail asset-light engine, as I said at the start, is firing on all cylinders. We're up 3.3 times year-on-year and are firmly back as the third largest non-bank originator. The wholesale book continues to trend down, and that's the direction in which we would want it to continue to trend down, which will result in AUM contraction. This quarter, the AUM contraction was larger because of the resolution of 2 stuck Stage 2 NCR developer exposures.

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Not only did we resolve them, but made a very healthy IRR of 12% and 14% on the 2, and we will continue to have this focus to wind up this line of business as soon as possible.

Between rundown in wholesale loans and growth in retail AUM and our strategic imperatives, it is appropriate and we humbly request you that 1) we are on track on our retail disbursements, 2) on the proportion of the co-lending /sell-down and overall liability mix, which as mentioned earlier is up 3.3 times to 33% from 10% at the end of quarter 3 fiscal '18.

At the end, I would like to put in context a few numbers, which have played out over the last 5 years. Our balance sheet at the end of fiscal '18 was ₹ 132,000 crores. This has run down by 44% to now ₹ 74,000 crores. Loan AUM is down in these 4 years and 9 months by over ₹ 52,000 crores, again about 43%. Despite this rundown, despite COVID, we actually see that our net worth is up 21% or by ₹ 3,000 crores from ₹ 14,000 crores odd to ₹ 17,269 crores at the end of quarter 3 fiscal '23.

So we've done all of this rundown, which included classifying loans as NPAs, write-offs, whatnot, yet we have not eaten into our net worth and our net worth has actually gone up by about 21% or by roughly ₹ 3,200 crores. While our balance sheet is down by ₹ 8,000 crores. And by last year is relevant is because in the last 1 year, the new RBI circular has kicked in, and it was expected that there would be a large bump up in NPAs. Our net worth has again gone up by ₹ 800 crores. And our NPAs have gone down from ₹ 2,350 crores to ₹ 2,302 crores as we speak.

Most importantly, our Stage 2 plus 3 loans are down from 32.8% to 9.7% at the end of quarter 3. These Stage 2 plus 3 loans of 9.7% are fully covered by implied provisions of 11.6%. And to just put this period since March 2018 in context, we have, in this period, undergone over 15 inspections by regulators and other statutory bodies, fully adopted much stricter NPA

recognition, gone through a raging COVID pandemic, transformed the company, given the unprecedented liquidity squeeze for nonbanks, achieved the highest -ever repayment done by a corporate in India of close to ₹ 1 lakh crores. We've gone through a perfect storm. And this has been far tougher than the most stringent stress tests that we could have possibly gone through in the good times.

So while I appreciate there are questions around growth, and we would like to highlight that the growth that the company will pursue would

be around the retail disbursement side. On a net basis,

the AUM may contract for a quarter or 2 more, and it is only good if it is happening on the back of wholesale loans, especially loans which are on overdue and are giving stress to management or can potentially give stress to capital or earnings. We are often asked question about how real is the net worth, and thus is the book value per share real? By all the numbers that I have run you through, I hope the implication in this question, which is that we will have to pay significant write-downs from the wholesale book is today, once and for all, completely closed out.

The real estate sector is supporting us, and the book value is as real can be and only can go up from these levels. Our ratings have all been revalidated over the course of the last 3 to 4 months.

The overarching theme that we would like to continue to highlight is that we are fully focusing on growing our retail engine by maintaining the discipline of a fortress balance sheet.

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That was the update for the quarter. With this, we are open now for questions.

Moderator: The first question is from the line of Craig Elliot from NWI Management.

Craig Elliot: Congratulations on the spectacular results. I do think that although one could take a view that shrinking the old business a little faster than expected makes the headline smaller than you would have projected maybe a year ago. In the end, it's sort of like taking your medicine faster and transforming into the new business more quickly. So congratulations on that. And my question is particularly on the proactive ALM management. For the upcoming convertible bonds, the FCCBs presumably, in terms of granularity, you're just looking at putting aside 25% per quarter as you have done in the past for the other liabilities.

Gagan Banga : Craig, thanks for the kind words and the support. As I mentioned in my comments, and we've also detailed in the earnings deck, we would continue with that practice. So the second tranche for the ECB as well as the first tranche for the FCCB would get created by the time that the full year results are announced. So effectively, in quarter 4, we will land up creating both of these - the second tranche for the ECB and the first tranche for the FCCB and shall communicate to the trustee of each of those instruments after having created that.

As management, we still expect that given all the transformation that the company is doing, in due course, by the time that the actual maturity of the FCCB comes, it would get converted into equity, but that can't be a presumption since it is not, so we will take these results.

Moderator: The next question is from the line of Gautam Prasad from Deutsche Bank.

Gautam Prasad: Actually, the questions were already answered. Once again, congratulations on strong set of results.

Gagan Banga : I'm sorry, I did not get the question.

Moderator: Just a moment. He mentioned that his questions were answered. The next question is from the line of Vikram Damani from Damani Securities.

Vikram Damani: So a couple of questions. First is, recently there were a couple of news articles suggesting resolution of Ambience small loans, one was ₹ 1,500 crores and one was ₹ 450 crores, respectively. So are these accurate and were these assets, NPA or standard, if you could just throw some light on that, when can we expect upon if it's true that sort of thing?

Gagan Banga : So it's very difficult, as per guidelines, we can't be commenting on specific exposures, but we've already stated that it was a stubborn Stage 2 NCR real estate asset, which has been completely taken care of and has generated us an IRR of a little over 12%. So I hope the question is answered.

Vikram Damani: Just -- is that in Q2 -- sorry, the last quarter or this quarter? If you can just clarify that.

Gagan Banga: Last quarter.

Vikram Damani: Last quarter. Okay. What was your outstanding wholesale book on 31 December?

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Gagan Banga: It could be about 30% of loan book and about 20% of AUM.

Vikram Damani: Okay. And last question. Just a bookkeeping question. This net gain on the de-recognition of financial instruments, the number that has spiked quarter-on-quarter. Could you throw some

more light on this? Like what is this? And is this a sustainable number or something?

Gagan Banga : We securitized assets and as per the IndAS or IFRS guidelines, this is a model that is created. So IFRS is actually very liberal in that, that if we do a 30 -year loan, and we're expected to earn over 30 years, we should be upfront on that income. We have a more conservative model. So as we do more and more CLM and as we do more and more securitization, this number will keep going steadily up. As and when the company is going to do a reference rate change, the entire back book will also get repriced. So there would be an occasional quarter in which it would be a larger number than just the flow number coming from new business. But because one is very comfortable that year -on-year from last year to this year, we have grown at 330% in terms of disbursements. As the base becomes bigger over the next 12 months, we will grow at least 200% to 250%. So quarter 3, we will disburse at least 2 to 2.5x of what we disbursed in quarter 3 this year. As we do that, we should be able to ensure that whatever is a marginal one -off this time because we did a repricing of our loans in line with the repo rate increase. We should even without a rate increase, we should be able to manage that just on a flow basis.

Vikram Damani: Great. So can I look at it this way, that we are running down the existing book, but this income, which are compensated since you are considering most of the loans to third parties in the subsequent quarters?

Gagan Banga : That is correct. So as long as the company keeps disbursing, this will be steady state.

Moderator: The next question is from the line of Saurabh Sharma from ASK Capital.

Saurabh Sharma: There are a few queries. In the last 14 months since Sameer has exited his stake, in first few presentations, you talked about NSE Prime. From last 2 quarters, we don't see any update on NSE Prime. Are you going for it or not? Or you have dropped the plan?

Gagan Banga : No, we are completely going for it. We have already applied. We believe we are more than qualifying for each of the criteria laid down. I think NSE itself has not progressed on NSE Prime to the best of my knowledge, which is why I have not been updated on what is going on. Whatever we could do, we have done as far as NSC Prime is concerned. And I believe if there is to be an NSE prime index, then we will be there.

Saurabh Sharma: Fair. Second question, you talked about the AIF in the last the presentation, you mentioned that one approval you have got fund house and another you applied. Can you please mention the fund house, at least we should know with whom you're dealing as a shareholder? I think we should know which are the fund houses you're actually going ahead with you.

Gagan Banga : So we have to do NDAs till the time that we don't start drawing capital just by on the basis of getting a SEBI approval does not mean that we are doing business together. We have to start drawing capital. The management team has been focusing more on the retail engine. And I had also, so to say, confessed last time that there is a bandwidth constraint. This is a higher priority.

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And between quarter 3 and quarter 4, we will continue to focus on growing the retail base. And quarter 1 onwards, we will start working on the AIF. In the me

antime, we are trying to create an

internal system. Our AIF is already about ₹ 7,000 crores, which is creating a track record and all of that. So we focus on that. Once we start doing drawdowns, then we will be happy to share the name of the partner. You can only be assured that it is one of the largest international funds operating out of Southeast Asia, focusing on this marketplace. And we have done business with them in the past , in the process of having raised around ₹ 14,000 crores of money through structured transactions , they have been one of our most vital partners and some of the last -mile financing that they have done has also been recently reported in the press as project that was successfully closed. So it is that confidence, which gives them and us the hope that this will become in the long term very good business, especially as the wholesale financing space completely gets vacated with the HDFC & HDFC Bank merger, perhaps also going through next fiscal. So next fiscal is some time that we will start focusing on this, and I'll be happy to share the details at that time.

Saurabh Sharma: Okay. Fair. Last question. You committed that 10% AUM growth. You're left with only 45 days for this year. Are we on track of 10% AUM growth for this year?

Gagan Banga: No, we are not. We are running down the wholesale book, so we will continue, which is what I've been saying for the last 2 quarters. We thought that we will grow the AUM. We will not be able to grow the AUM. We will grow the retail AUM by much higher than 10%, but we will degrow the wholesale book very, very meaningfully. And that is strategically for us a far bigger objective than achieving the short -term AUM growth. So AUM growth for fiscal '23 will not happen.

Saurabh Sharma: So we would end up with a flat AUM in terms of growth?

Gagan Banga: No. We will end up with at least a 15% lower AUM.

Moderator: The next question is from the line of Rahul Bari, an individual investor.

Rahul Bari : Sir, Company did not give dividend last year and present year, why not give dividend?

Gagan Banga: So Rahul, you may be aware that over the course of the past 2 years, the Reserve Bank of India has come up with new guidelines, which basically are making NBFCs to be similarly regulated as banks and a variety of aspects, including dividends, are now regulated by the Reserve Bank of India. Late last year, we also classified certain NBFCs on the basis of their size as upper layer NBFCs, which will have bank-like regulation and supervision. In the long term, this is very, very advantageous to the company because in financial services, we are sort of supposed to be entities, which are operating as the epitome of trust. And the tighter the regulation, the higher the supposition, the more trust our counterparties have. The short-term pain in that is that we have to evolve our business models so that we fall in line with whatever are the ongoing policies with Reserve Bank of India.

Last year, we did not qualify to be able to give dividends. This year, at the end, we will see if we are qualifying. We would certainly like to continue with that practice. If not, then we have to respect the regulator's policy. So I'm not in a position to comment on it right away, but the Indiabulls Housing Finance Limited

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higher priority for the company is to comply with the RBI guidelines. And at the same point in time, if we get a chance, we would certainly like to give a dividend.

Let's take one last question, please.

Moderator: Yes, sir. We'll take the last question from the line of Vikram Damani, Damani Securities.

Vikram Damani: So just following up on a previous question. Now if you had some decent recovery from the NCR loans, I would have thought that we could have possibly had some write-back on the PL, but you also have additional ₹ 266 crores impairment

nt. So have we increased the PCR despite a large chunk?

Gagan Banga : So Vikram, as I mentioned, these are Stage 2 assets and not Stage 3 assets. Our overall Stage 2 has come off quite significantly in the course of the last 1 year. But in order to be remaining adequately provided, we continue to keep provisions. We have to release provisions as Stage 2 comes off, so we have to continue to pile up on write-offs. We also had to reduce our Stage 3 provisions because on the basis of the recoveries that we are doing, the loss given default is not justifying even 15% Stage 3 provisions. So we can't continue to have the 40% that we were holding. We have to have lower. And thankfully, there is a base set by the Reserve Bank. So we've been able to float just marginally above the base. So all in all, we will have only 1 tool, which is accelerated write-offs to be able to create provisions. Any one-off, like this time, we had a one-off in terms of the repricing of our entire book, which resulted in additional income. We will use that as to create provisions and not to bump up profits, which is how we are in a very comfortable position today that against the Stage 2 plus 3 of approximately 10%, our implied provisions are around 11.6%.

So people talk about 100% or 30%, 40%, 50% provisioning coverage ratio on NPA assets or 70%, 80% provisioning coverage ratio on NPA assets. I am today carrying 100% provision on all Stage 3 and Stage 2 assets. So this is a very unique and comfortable position to be in, which is how one is being able to do all of this management of the wholesale book, and at the same point in time, increasing the capital, both on a year-on-year basis and on a 5-year basis. So in this background, there would be no release in provisions in the foreseeable future. We continue to just deal with assets to give financial flexibility to run down the wholesale book on a more accelerated basis.

Thank you. Thank you, everyone. I hope we could bring home the point around the strategy as well as the success that the company has achieved around management of capital. We look forward to speaking to you again with the rebranding and the reorganization strategy more clearly along with our annual results with time lines for both. And hopefully, by then or very confidently by then, the company would be also a de-promoterized entity. So looking forward to all of that and looking forward to speaking with you with the quarter 4 results at the end of April or early May. Thank you.

Moderator: Ladies and gentlemen, on behalf of Investec Capital Services, that concludes this conference.

Thank you all for joining us, and you may now disconnect your lines.

Call: May 2023

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Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended - transcript of conference call – financial results for the quarter and financial year ended March 31, 2023

Dear Sirs,

We refer to our intimation dated May 22, 2023, informing that the Company has uploaded the audio recording of the conference call hosted by it on May 22, 2023 to discuss the financial results of the Company for the quarter and financial year ended March 31, 2023, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company. Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

for Indiabulls Housing Finance Limited

Amit Jain

Company Secretary

CC:

Luxembourg Stock Exchange, Luxembourg

Singapore Exchange Securities Trading Limited, Singapore

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“Indiabulls Housing Finance

Q4 FY2023 Earnings Conference Call ”

May 22 , 2023

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER , INDIABULLS
HOUSING FINANCE LIMITED
MR. SACHIN CHAUDHARY – CHIEF OPERATING
OFFICER , INDIABULLS HOUSING FINANCE LIMITED

MR. MUKESH GARG – CHIEF FINANCIAL OFFICER ,
INDIABULLS HOUSING FINANCE LIMITED
MR. RAMNATH SHENOY – HEAD INVESTOR RELATIONS
& ANALYTICS , INDIABULLS HOUSING FINANCE LIMITED
MR. PINANK SHAH – DEPUTY CHIEF FINANCIAL
OFFICER , INDIABULLS HOUSING FINANCE LIMITED
MR. ASHWIN MALLICK – HEAD TREASURY , INDIABULLS
HOUSING FINANCE LIMITED
MR. VEEKESH GANDHI – HEAD MARKETS , INDIABULLS
HOUSING FINANCE LIMITED
MR. HEMAL ZAVERI – HEAD BANKING , INDIABULLS
HOUSING FINANCE LIMITED
Indiabulls Housing Finance
May 22 , 2023

Page 2 of 13 Moderator: Ladies and gentlemen , good day and welcome to the Indiabulls Housing Finance Q4 FY2023 earnings conference call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. For the call we have with us Mr. Gagan Banga - Vice Chairman, MD & CEO, Mr. Sachin Chaudhary - Chief Operating Officer , Mr. Mukesh Garg, - Chief Financial Officer , Mr. Ramnath Shenoy - Head, IR and Analytics , Mr. Pinank Shah -Deputy CFO, Mr. Ashwin Mallick - Head, Treasury, Mr. Veekesh Gandhi - Head, Markets and Mr. Hemal Zaveri - Head, Banking . I now hand the conference over to Mr. Gagan Banga. Thank you and over to you Sir!

Gagan Banga: A very good day to all of you and welcome to the Q4 and full year FY2022 -2023 earnings call.

In the FY2022 -2023 , we have consolidated on the foundation laid in the previous year which was FY2022 Co-lending and asset light path of growth which amongst our peers we were the first to pick up on has

now been accepted and adopted by all industry stakeholders including banks, other non -banks, rating agencies, etc. This year we have disbursed retail loans of almost ■ 8000 Crores under the asset -light model. This is over 2.5 times of what we had disbursed in FY2022. We now work with eight partner banks and for each of these partners we are a strategic relationship as we make meaningful contribution to their incremental retail book within the product segments that we have tied up with them for. For us in turn , this is highly earning s accretive model and gives us access to a relatively unlimited and ALM match resource pool. Our balance sheet and loan book as a result are now stabilizing and in fact, we registered a slight growth over Q3 FY2023 with balance sheet at almost ■ 75,000 Crores and loan book at over ■ 54,000 Crores.

Now I will firstly cover an important update on the reorganization and rebranding we discussed last quarter as one of our strategic focus areas for the fiscal and the year ahead . Please refer to slide 4# of the earnings presentation .

The exit of the country' s largest housing finance company from the non -bank space by the end of the current quarter , which is Q1 FY2024 , provides the company with a unique opportunity. A side of the largest housing finance company which is vacating the non -bank space , we are probably the only mortgage focused player that has done at scale home loans , retail LAP loans, loans to developers as well as other loans backed by real estate . To put these numbers in perspectives in the last eight years , we have disbursed over ■ 1 lakh Crore Indiabulls Housing Finance

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Page 3 of 13 of home loans to over 4 lakh home loan borrowers with an average ticket size of approximately ■ 25 lakhs. In the same period, we have disbursed about ■ 4,400 Crores of retail LAP loans to over 60 ,000 companies' , small businesses at an average ticket size of just under ■ 75 lakhs and we have contributed to the country's housing stock by disbursing nearly ■ 60,000 Crores loans to developers, etc. Thus, we see a unique opportunity for India bulls to emerge in this space which is getting vacated and to achieve the same we are focusing on creating dedicated separate structures which will enable co -lending to capture the retail opportunity where on an incremental basis we are generating 3%+ ROA and the wholesale loans we're historically through the cycle and you are well aware now that we are at the positive end of the cycle , through the negative end and through the entire cycle we made a 5% + ROA on the developer loans. So the endeavor is to create an organizational structure which is giving us an opportunity to capture both of these opportunities , which are the 3%+ ROA retail opportunity and the 5%+ ROA wholesale opportunity. By doing so

successfully we expect that our current ROE which is under 10 %, should double to mid-teens by FY2026 .

What is also helping is the fact that over the last three to four years as an outcome of various regulatory changes , the difference in regulation between housing finance companies and non -bank finance companies has largely been harmonized. So today the company can work on a plan of reorganization without any financial or operational disadvantage as a result consolidate its balance sheet into one large NBFC , focused on asset -light retail origination engine , disbursing home loans and retail MSME loans .

This reorganization will result in a great consolidation, enhancement of capital levels, a reduction in gearing, all of which will give great comfort to our lenders and rating agencies, and I will explain this point in a minute . This will also lead to a simplified structure,

reducing compliance requirements of multiple entities and improved transparency and governance standards . Especially , as we look to fold in all non -operational subsidiaries of the company as well . All of this is obviously subject to the requisite approvals from shareholders, lenders, regulators and the other statutory approvals. We are essentially taking advantage of the harmonization of the various regulations and ensuring we have NBFC structure where we can do MSME and LAP loans and an AIF structure which will allow us to continue to work on the opportunity around the wholesale loans.

Now to just put this in perspective , the local lenders which are banks which are our primary source of capital look at lending to us . They do not look at consolidated numbers they look at standalone numbers. Indiabulls Housing standalone capital adequacy is 23 % with a Tier-1 of 18.6 % but once we go through this exercise of consolidation then our capital adequacy rises to 31 % with a Tier-1 of 26.6 % . Obviously this higher capital adequacy and Tier-1 is Indiabulls Housing Finance

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Page 4 of 13 going to look more interesting and solid to any entity which is focused on lending around these numbers , which is essentially our banks .

In parallel we are also undertaking a rebranding exercise. The company over the last three years has walked a path of changing its governance framework and as we do the reorganization of our business and the entities involved we want the name of the company and the entire corporate identity to resonate with our lenders , with our rating agencies, the various other stakeholders, with our customers as well as with our employees and it should also reflect the mortgage backed products which are being offered by the company especially as the company expands into the hinterland. Subject to requisite regulatory and statutory approvals we expect the new brand to be unveiled in about 120 days.

Now getting on to the operational path, I will go through FY2023 and Q4 numbers. Please refer to slide #3 of the earnings presentation

- As I mentioned our AUM and loan book has stabilized and marginally gone up, the balance sheet and the loan book have marginally gone up quarter-on-quarter .

- Our net interest income is standing at about **₹ 3,089 Crores** versus **₹ 2,752 Crores** for last year. This growth was supported mainly by income from the asset -light model and sale of investments .

- The profit after tax was marginally lower about **₹ 50 Crores** lower , basically on the back of the increased opex that we did on people and branches of approximately **₹ 86 Crores** .

- So even though year -on-year the book declines we were able to preserve our margins to make sure that our pre -provisioning operating profit came in strong at **₹ 2,270 Crores** versus **₹ 2,019 Crores** and as I explained because our opex increased by 12% to **₹ 819 Crores** versus **₹ 733 Crores** , it had a marginal impact on our net profit for the full year.

- Retail disbursements were up from **₹ 3,000 odd Crores** last year to almost **₹ 8,000 Crores** this year.

- The net interest margin is at a strong 4% and the ROA has expanded to 1.4% . Asset quality has been stable, and I believe this is one of our biggest victories of FY2023 besides the scale up in the retail business.

- The gross NPAs on percentage basis are the lowest over the last six quarters, on absolute value basis are the lowest over the last 12 quarters at **₹ 1,918 Crores**. Net debt to equity is very, very nominal at 2.2 times only and the consolidated capital adequacy is at over 31%.

Now please refer to slide #6 of the earnings presentation which lays out our strategic focus areas going forward and the action points within each.

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ail lending will continue to be our growth engine. Along with our banking partners we will continue to grow the retail AUM in the asset-light model by originating under co-lending arrangements and also selling down loans. At the end of FY2023 the contribution of CLM which is co-lending and loan sell downs, increased to 34 % of our AUM versus 10% in Q4 FY2018. We continue to sustain the 3% ROA through last year even though we scaled up and the high-quality assets that we are originating will ensure sustainability of this business such that we can reach business volumes which will generate an ROE in the mid teens 14 % to 15 % against the 7.7 % where we are at right now thus doubling the ROE. We will also, through FY2024 and FY2025, continue to expand our reach and continue to hire people. We have added almost 15% to our workforce and 30 % to our branch network last year and we will continue with that exercise through FY2024 and FY2025 also. That cost-to-income through these two years will remain at 20 %+ but by FY2026 it should start coming down which will help us in the ROE target that we are setting up about 15 % for FY2026 .

The de-risking of the legacy wholesale book would continue that book continues to run down. This book has performed extremely well for us, and it has been a 5% ROA asset class for us . In the last five odd years we have also built a pool of over ₹ 10,000 Crores of non-performing and written-off loans from the wholesale book. The good thing is in these last five years we have already recovered ₹ 2,500 Crores out of this ₹ 10,000 Crores pool and over the next six quarters this is very, very important, over the next six quarters , we are now confident that we will recover another ₹ 2,500 Crores so of the ₹ 10,000 Crores ₹ 2,500 Crores is already recovered and on the basis of the success we are confident that in the next six quarters itself over the next one -and-a-half years we will recover another ₹ 2,500 Crores.

There are other provisions and write backs which are expected totaling to a provisioning implied provisioning cover of around ₹ 6,500 Crores which covers our gross NPA 3.4 times and if you look at a combination of our stage 2 and stage 3 loans then we have an implied provision of 88 %. So not only is the capital adequacy very, very high at 31% , the provision coverage is much more than comfortable.

The ALM liquidity management has been something which the company has been focused on . We have been talking about a rock-solid balance sheet with adequate capital buffers and liquidity buffers and we continue to proactively manage our ALM. The company had created a reserve fund to repay \$270 million of ECBs which are due later in August this year as well as \$170 million of FCCBs assuming that they will be put on us due in FY2024 -FY2025 . We have already deposited two tranches amounting to ₹ 966 Crores which represents 50% of the total repayments for the ECBs and an initial tranche of ₹ 314 Crores which represents 25 % of the repayment for the FCCBs . We will continue with this

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Page 6 of 13 practice as we did then we had to repay our dollar bonds last year which we very successfully did, and this type of a buffer creation will continue as a practice for all such instruments where we are not allowed to pre pay at our choice.

The other area of focus is the institutionalization process which is an endless process in some ways. We are reaping the benefits of that and now with the depromoterization behind us we would like to start moving forward on various other aspects of ESG and continue to improve our various goals and scores and in true letter and spirit become a more environmentally

and socially responsible financial institution with high standards of corporate governance.

If you can now, please turn to slide 7#

We are sourcing now close to about over ₹ 800 Crores of loans per month which allowed us to disburse for the full year ₹ 7,800 Crores. For this year our goal is to disburse at least ₹ 12,000 Crores. We will retain only 20 % of these loans and we are fairly confident that we should be able to grow this to ₹ 12,000 Crores this year given the fact that we have already over the last year -and-a-half or so disbursed over ₹ 11,053 Crores through this model . We are fully focused on maintaining asset quality right at the start where we focus on loans with a high CIBIL score which is reflected in the 90 days past due of this pool which is below 0.10% which is 10 basis points.

We have standardized our policies , processes, documentation, etc., across all of our partner banks and our eventual objective here is to have a co-lending marketplace tech platform where we source loans which are made available seamlessly to all our partner banks on this platform . This will vastly improve efficiencies , which will result in higher ROAs and support the ROE goal that we have set for FY2026 .

Now moving on to the ALM management, which is detailed on slide 8#

We carried liquidity which is cash of approximately ₹ 4,500 Crores this excludes sanctioned but undrawn lines. As access to funding has eased, we have rationalized our on-balance sheet liquidity to minimize negative carry. The ALM is shown on a cumulative basis up to each bucket. We are positive across all buckets and will have a positive net cash of ₹ 6,833 at the end of the first year. Our detailed 10-year quarterly ALM is in the appendix slide on slides 20 to 24.

As per the RBI's master direction for housing finance companies, we are mandated to maintain a liquidity coverage ratio of high-quality liquid assets as have been defined by the Indiabulls Housing Finance
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Page 7 of 13 RBI which even exclude banks' fixed deposits against the desired 60% we are at a comfortable 108%.

What is very interesting is that since September 2018 we have repaid debt and securitization liabilities of over ₹ 1,52,242 Crores on a gross basis and over ₹ 70,000 Crores on a net basis. This is probably the largest debt repayment by a corporate entity in India across both financial and non-financial companies and this in some ways is reflective of the quality of the portfolio we have built and also our approach to asset liability management. We will continue to adopt this conservative approach towards ALM management. We do not assume any sort of refinancing be it domestically or internationally while we seek refinancing, we do not assume so and that is how we build our ALM. As we move forward, we will continue to maintain strong capital and liquidity buffers to provide both comfort as well as confidence to our bondholders and this entire exercise of reorganization will provide greater capital buffers for our local banks.

Now moving on to slide 10# on asset quality

Our gross NPAs were at ₹ 1,918 Crores which translates to 2.86% and net NPA is at 1.9%. As I mentioned earlier asset quality is steady. Our gross NPAs are the lowest they have been for six quarters, in absolute value terms they are the lowest for 12 quarters. This is despite being becoming fully compliant last year with the RBI circular on NPA recognition based on daily DPD and these NPAs will not be regularized unless all overdues are repaid. At the end of March 2023, our stage 2 loan assets

declined to 8% of our AUM compared to

31% of our AUM at the end of Q4 FY2022. Reduction in stage 2 loans is due to strong repayment traction as well as on the back of the pickup in the real estate sector.

Between the provisions we carry and our conservatively estimated recoveries over the next three years and some other releases we carry imputed provisions of 12.1% of the loan book or ₹ 6,559 Crores which covers our gross NPA 3.4 times and our stage 2+3 loans by 88%.

So, to quickly put all of this together our retail asset-light strategy has proven to be a game changer for us and has been able to create a nimble and high ROA retail ecosystem. We are back to being the third largest non-bank originator of retail mortgage loans in the country and soon shall go up to being the second largest. The wholesale book is showing strong repayment traction which also aids recoveries from previously written-off loans and represents a very interesting opportunity of partnering with foreign institutions to cater to the incremental requirement that this segment has of debt capital. Between rundo wn and wholesale loans and growth in retail AUM and our strategic imperatives it is appropriate that we track on our retail disbursements and our CLM and sell down in the overall liability mix this is something that I had requested last time also and as I said we have already expanded Indiabulls Housing Finance

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Page 8 of 13 the contribution of this to 34% up from 10% at the end of FY2018. We expect the ROA which is currently at 1.4%, to continue to expand in the direction of 3% which is where the flow of loans is happening and as that happens over the course of the next two to three years by FY2023 the ROE will also expand to about 15%.

Now just to put some numbers in perspective: Over the course of the last five years our balance sheet which was at the end of FY2018 at ₹ 1,32,000 Crores has run down by 43% to ₹ 57,000 Crores and that is the quantum of repayment that we have done so the balance sheet is now at about ₹ 75,000 Crores down from ₹ 1,32,000 Crores. This has all happened by loans coming back and is thus reflective of the asset quality of our borrowers to whom we have given loans as of FY2018 and thereafter. Loan AUM is down by ₹ 54,000 Crores again by about 45% but what is interesting is that despite the facts that we have done a ₹ 10,000 Crores classification of loans as either NPAs or technical write-offs, our network has gone up 30% in the same period by over ₹ 4,000 Crores from ₹ 13,400 Crores to ₹ 17,316 Crores. Even last year from March 2022 to March 2023 the network has gone up by over ₹ 650 Crores, while our balance sheet was still down by about ₹ 7,000 Crores. So, net-

net the important thing is that despite NPA s which were down despite the cleanup that we have done and the recoveries which have happened , we are still expecting further recoveries of ■ 2,500 Crores in the next six quarter s and this enhancement in net worth and this management of asset quality has happened in an environment where we have undergone 15 inspections by regulators and other statutory audito rs Since October 2019 we have been going through a concurrent audit by o ur lenders of every rup ee in and out of the company . We have fully adopted a much stricter NPA recognition and upgradation policy . We have gone through COVID , we have gone through a period of unprecedented liquidity squeeze for non -banks as well as the rea l estate sector and despite that not only have we increased our net worth by ■ 4,000 Crores we continue to recover and recover handsomely and year-on-year we have grown our retail dis bursals to 2.5 times . We have gone through a perfect storm much more tha n the most stringent str ess test and believe now that FY2024 should be a period

where we reorganize , rebrand and restart the growth journey such that we can get back to a respectable ROE over the course of the next three yea rs. Through this period and even recently our engagement with the rating agencies continues to remain positive . All of them have only recently revalidated our ratings .

To conclude, as we shift further and further towards co-lending on the retail engine scales up, we believe there is a l arge opportunity of doing co-lending on the whole sales side also and we are creat ing dedicated vehicles for that. We believe Indiabulls Housing having done scaled up business of home loans, L AP loans as well as wholesale loan s is in an unique position amongst NBFC s to take advanta ge of the emerging opportunity and thus we should be able to grow our retail AUM s, we should be able to grow the assets and the management of our AI F and target a 3% + ROA very shortly .

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Page 9 of 13 This was the update for the quarter . We are no w open for questions.

Mode rator : Thank you very much . We will now begin the question -and-answer session . Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Craig Elliot from NW R. Pleas e go ahead .

Craig Elliot: Good evening, Sir and thank you. Congratulations on the excellent results . I am especially excited about the turning point that we have got up in this previous year and t he growth in the new business more than makes up for the rund own of the legacy business s o congratulations especially on that . My question has to do with slide 10 the asset quality is excellent, and we talked a lot about the old book I see that we are now seeing about 0.1 % delinquency 90 plus days what do you think that n umber looks like through an entire cycle higher, lower or how do you perceive things developing things ?

Gagan Banga: Yes, thanks Craig for the kind words . To answer your question the way that through the cycle the retail asse t typically performs is that in about five years from origination home loans will settle at somewhere between 1 % to 1.5 % of the dis bursed amount as NPAs and retail SME loans will be about 100 basis points higher to that but these are 90 days past due numbe rs at peak and then the recov eries start and eventually the loss given default is only about four to five basis points since all of these loans are secured and the recovery process takes about 12 to 18 months after the loan gets classified as an N PA. So wha t is 10 basis points this is on concurrent basis. If you look at it on a static basis this will probably be closer to 20 basis points , this is a book with a blended average of about 12 to 14 months on our book . By the time it is 60 months on book it will g et to between 100 to 150 basi s points and then we will start the process of recovery on the static book, and we will start recovery . The wholesale piece where we are not incrementally doing a lot of business, we are doing only a little business through the AIF there typically the delinqu encies will go much higher they will go as much as 7% to 8% , loss given default will be about 1.5% to 2% , but as I said there the pricing power is such that you still make about 5% ROA. The ■ 10,000 Crores of write -offs and NPAs that we took we expect that through the cycle over the next further three years or so the total recovery will be between 60 % and 70% of that 25% has already happened over the next six quarters 25 % more w ill happen. We got delayed by almost three years i n the whole process because for three years , two years of COVID and then certain forbearances continued by the courts , etc., recovery proceedings practically came to a standstill since the Repossession A ct in India was p

ut on in a b and but it has been about t

eight months that we are bein g able to again restart all the recovery proceedings and we are already seeing a good traction on that so these are broadly the numbers which will play out through the cycle . I hope I have answered your question .

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Page 10 of 13 Craig Elliot : Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Rishikesh Oza from Robo Capital . Please go ahead .

Rishikesh Oza: Thank you for the opportunity . Sir, my first question is regarding the loan book growth . So when exactly will we see the loan book regrowth stop at some point and how can we grow the loan book in FY2024 and FY2025?

Gagan Banga: So, my sense is that by the Q3 of this fiscal year , the next two quarters our retail disbursements will average at about a disbursement of about ₹ 800 Crores to ₹ 900 Crores a month in the second half it will average at about ₹ 1,300 Crores to ₹ 1,400 Crores a month . The moment it goes about ₹ 1,200 Crores to ₹ 1,300 Crores or higher per month we will start regrowing, net of the money that come back from retail as well as on the wholesale side so for that to happen unless we get some opportunity of being able to very profitably do some large scale disbursement for which we can also raise the right kind of capital which will not come from banks which has to come from other sources on the wholesale side so apart from that which is more opportunistic at this age and not strategic over the next six months I would imagine that we will be flattish in the next six months . From a sharp decline we have kind of flattened out over the last six months. Over the next six months we should remain flatish and in the second half as we reach disbursement numbers of about ₹ 1,200 Crores to ₹ 1,300 Crores a month , we should be able to start growing on a net basis . Now if the co-lending platform on the AIF side is to grow to the level that I fully see that the opportunity is there then this can happen much faster perhaps by a quarter or so not that much faster. It is something that we will start working on in terms of net disbursements in Q1 itself we have done small business in FY2023 , whatever we did in FY2023 we will do as much as that in Q1 , Q2 we will accelerate more and then by Q3 some of the partnerships that we have stuck even on the wholesale side should start approving the loans that we are proposing to them . The typical approval cycle by a fund for any wholesale type of a loan is around two months and then the paperwork takes about two months, so we know exactly what we are going to disburse by June. We even know what we are going to be disbursing in July and August so that pipeline is already ready and it is on that basis that I am giving you all of this guidance . So net-net first half of the year we should be flatish, second half we should be growing on a net basis and once you do start doing that then obviously FY2025 we will grow further.

Rishikesh Oza: Thank you Sir. Sir, my second question is with regards to dividends so can you like give an update on dividends , can we like expect dividends in this financial year ?

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Page 11 of 13 Gagan Banga: We are now technically able to give dividends even for FY2023 but it is a matter that has to be first is a technical qualification then the matter has to be taken up by the Board and subsequently by the shareholders for a final dividend to be declared in the AGM so the only update I can give to you is last year we were not technically enabled since we had dipped into the reserve . This year also we had dipped into the reserve but we are still technically enabled given the various calculations but the decision has to be taken by the Board and subsequently by the shareholders so we will discuss

this in the Board and if the Board so approves then it will be put up to shareholders for a final dividend.

Rishikesh Oza: Thank you Sir.

Moderator: Thank you. The next question is from the line of Elesh Gopani from Gopani Securities And Investments Private Limited . Please go ahead .

Elesh Gopani: Thank you for the opportunity. I want to ask the question this reorganization can we not end up with big financial partner and grow the business fast and since there are no promoters now so can we not search a good promoter and enhance the business ?

Gagan Banga: Yes, so the whole idea of the reorganization is to be able to have specific entities, one which is pursuing a retail business and another which is pursuing the wholesale business . We would need strong financial partners on the whole sale side. On the retail side we already have financial partnerships in terms of banks , which are providing us the capital on the co-lending side, and it is a question of putting one foot in front of the other we run a listed company, so we have to make our investments in people and branches in a calibrated manner . We can only allow our opex to go up by so much . It is ultimately a human-based business and human beings take a certain time to understand policies and processes to become productive so all of those lags one has to bear so it is not that I can make 5,000 people, 10,000 people and the business will double from tomorrow morning . It has to be done in a calibrated manner. Some of these partnerships are in play for the wholesale side on the retail side they are already in play. As far as equity partnerships are concerned if you have a structure which is very dedicated and focused you obviously become interesting to

people who are looking at a specific opportunity . Some people are more convinced about the retail opportunity in India and some other s around the wholesale opportunity in India, so we have created a structure and we have also built a track record. We have become without a promoter. Management team does not feel it needs a promoter. Financial partnerships are something that we will be equity or debt we are certainly open for . If there is anything which is more specific, we will obviously inform you, but we are obviously taking feedback from the various investors who already either own us or have in the past owned us and we are doing all of this reorganization basis the feedback such that the structure becomes more investable .

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Page 12 of 13 Elesh Gopani: Thank you Sir.

Moderator: Thank you. Ladies and gentlemen, we will be taking the last two questions. The next question is from the line of Kayur Asher from PNB Metlife . Please go ahead .

Kayur Asher: Thank you. Thank you for the opportunity. Sir just wanted to understand if you could talk about the progress on the liquidation of the wholesale book . Where we are on that front and if you could quantify the size of the residual wholesale pool and what is the target that we are setting for the coming quarters? Thanks .

Gagan Banga: So the liquidation process which we started I think more or less is now done . We do not have to liquidate a lot , another other maybe ■ 4,000 Crores to ■ 5,000 Crores on net basis is something that we will look forward to doing through the course of this year but at the same point in time that kind of disbursement we would like to see happening from the AIF and through the second half or the Q2 and the Q3 itself should materially produce some of these numbers . So I think as I mentioned a short while back there is no gross reduction in anything which is happening . We have to just make sure that the correct pool of capital is backing the right asset and what is very clear for me is that debt capital cannot back wholesale lending done by the company . It has to be done in a more speci

fic and dedicated

vehicle which we have created, we scaled up, we have generated returns there and so on so we are confident that that track record is getting us partners and will continue to get us partners We have also done transactions of over ■ 15,000 Crores to ■ 16,000 Crores with various global funds over the last three years and they have seen the success of those portfolios so that additional bit of traction which comes by people lending out money and receiving their monies back . So my sense is the numbers are not going to be very significant going forward . There could be one or two chunky loan repayments which come back but aside of that it is more or less normalized now and which should allow as soon as our retail disbursements scale up by another ■ 300 Crores to ■ 400 Crores net growth is to start happening .

Kayur Asher: Thank you.

Moderator: Thank you. We will take the last question from the line of Ca Kanwaljit Singh from Balaji Infin Investment . Please go ahead .

Ca Kanwaljit Singh: Good evening . My question is regarding how many recoveries that you have made on the wholesale book in the current quarter and is there anything to be recovered from the previous promoter?

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Page 13 of 13 Gagan Banga: We have never lent to the previous promoter , we have no debt issuances to the promoter or any of his companies in which he is a promoter. The erstwhile promoter incidentally till the time that he was a promoter to the best of my knowledge anyways did not have any debt. As far as recoveries are concerned, I think last year we recovered about ■ 600 Crores. In the three years prior to that we recovered about ■ 2,000 Crores and as I mentioned in the next six quarters, we expect to recover another ■ 2,500 Crores fairly steadily over each quarter so about ■ 400 Crores to ■ 500 Crores per quarter including Q1 is the expected recovery that we hope to see .

Yes, thank you everyone for attending this call and thank you for your support . As is evident we are doing fairly well and now step -by-step we are also moving in a direction where we can start to materially enhance on our franchise so as we do that we will be in touch and look forward to seeing you next quarter. Thank you.

Moderator: Thank you very much . Ladies and gentlemen, on behalf of Indiabulls Housing Finance that concludes this conference. Thank you all for joining us. You may now disconnect your lines .

Call: Aug 2023

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Date: August 17, 2023

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Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter ended June 30, 2023

Dear Sirs,

We refer to our intimation dated August 14, 2023 , informing that the Company has uploaded the audio recording of the conference call hosted by it on August 14, 2023 to discuss the financial results of the Company for the quarter ended June 30, 2023, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company. Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

for Indiabulls Housing Finance Limited

Amit Jain

Company Secretary

CC:

Luxembourg Stock Exchange, Luxembourg

Singapore Exchange Securities Trading Limited, Singapore

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“India bulls Housing Finance Limited
Q1 FY2024 Earnings Conference Call ”

August 14 , 2023

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN ,
MANAGING DIRECTOR , AND CHIEF
EXECUTIVE OFFICER , INDIABULLS HOUSING

FINANCE

MR. RAJIV GANDHI – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER , ICCL
MR. RAMNATH SHENOY – HEAD IR AND
ANALYTICS , INDIABULLS HOUSING FINANCE
MR. ASHWIN MALLICK – HEAD, TREASURY ,
INDIABULLS HOUSING FINANCE
MR. SACHIN CHAUDHARY – CHIEF
OPERATING OFFICER , INDIABULLS HOUSING
FINANCE
MR. MUKESH GARG – CHIEF FINANCIAL
OFFICER , INDIABULLS HOUSING FINANCE
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Page 2 of 14 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2024 earnings conference call for India bulls Housing . We have with us on the call today Mr. Gagan Banga, Vice Chairman, Managing Director & Chief Executive Officer , Mr. Rajiv Gandhi , MD and CEO, ICCL, Mr. Ramnath Shenoy, Head IR and Analytics , Mr. Ashwin Mallick, Head, Treasury , Mr. Sachin Chaudhary, Chief Operating Officer and Mr. Mukesh Garg, Chief Financial Officer. As a reminder all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call , please signal an operator by pr essing “*” then “0” on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Gagan Banga, MD and CEO . Thank you and over to you .
Gagan Banga : Thank you. A very good day to all of you and welcome to the Q1 FY2024 earnings call. Banks and financial institutions fail ed not because of bad credit, but because of lack of liquidity to service dues or debt essentially an ALM management failure. This is true in th e case of Lehman Brothers back in 2008 and it is also true of the recent bank and non -bank failures globally.
ALM risk is inherent and all the more acute for non -bank mortgage lending in India. That relies on whol esale borrowing, which is at best of three to four years a

verage maturity,
while the loans extended are often average maturity of seven plus yea rs. After the default to IL&FS , credit flow to nonbanks without storied corporate parentage shrunk to a trickle . Some sections of the debt markets like those from mutual funds completely close d the tap. Indiabulls Housing through these last five years has been trying and making attempts on three fronts. One is monetization of assets, refinance and funding to mobilize liquidity to service debt in a proactive and timely manner. Two de -risking the balance sheet especially from wholesale loans to builders who are suffering twin challenges of a weak housing market and the shutdo wn of credit flow from non -banks and the third was a building perspective business in an asset light mode such that reliance on large scale ALM mismatched borrowings is done away with. I say all this because at the end of this quarter, the July, August, Se ptember quarter, as a matter of fact, by the end of this month itself , we would have declared victory on all of these three fronts.
In this quarter, which is Q2 FY2024 , we have total repayments of approximately ■ 4,800 Crores, w hich comprises of domestic b onds , \$270 million of ECB borrowings, etc. For ECB repayments of \$270 million plus interest, we have liquidated the voluntary created FDs and have initiated the transfer of funds ahead of repayment due next week. We hope to have this account funded with th e trustee at least one day prior, if not earlier, one day prior
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Page 3 of 14 to the due date. The fund movement of that has already started. Further, we have also as per our ex change disclosures today , year marked t rustee managed FDs of ■ 628 Crores corresponding to 50 % of FFCB put option dues payable in March of 2024. Total outstanding of these FFCB are \$149.5 million while one is fairly confident basis the outlook on business that this option may not get exercised by bondholders, but as a matter of prudent ALM managemen t, we have gone ahead and created 50% of the dues c oming up in terms of deposits .
At the end of this month and a lot of the investors on this call are perhaps foreign investo rs. It would be of interest for them that at the end of this month, which is Augu st 2023, we would have repaid all of the over \$3 billion of foreign currency borrowing we did in the last few yea rs, What is very important to note is that \$2 billion of this \$3 billion has been repayed after the IL&FS default. We are now only left with quasi equity convertible bonds and \$100 million of dollar denominated borrowings done from Indian banks, so all th e tense

of foreign lenders, I would like to express my thanks to them at this stage and hopefully come next week, we would have parted this, perhaps temporarily, on a very good note with all of you having received all of your principal and interest in full. Thanks once again for the support.

From here on out and this is an important point to appreciate, we believe we have hit a key turning point for ourselves. Going forward, our debt repayments are only in the ballpark of ₹ 500 Crores a month, which will be more than comfortably covered by the repayments that we received regularly from the loan portfolio. Even if we have to assume some chunkiness of FCCB put options for which we are anyways creating FDs, even then the average repayment on a monthly basis from October 2023 will only increase to ₹ 650 Crores per month, against a contracted loan portfolio repayment receipt of about ₹ 850 Crores a month. As at the end of June, our borrowing had shrunk to just about ₹ 40,000 Crores, which will be down to about ₹ 36,000 Crores at the end of September 2023, which is about al

most ₹

80,000 Crores lower than what it used to be at its peak. When you see the detailed ALM on the liability side, which is borrowings plus securitization, liabilities, etc., the ALM stands fully matched and against ₹ 36,000 Crores of borrowings, we will have about ₹ 11,000 Crores close of cash investments and other assets plus around ₹ 42,000 Crores of loan assets net of securitization liabilities, translating to 150% cover over our borrowings with the borrowing being comfortably ALM matched. Excess collections over debt repayments, which would be in the ballpark of ₹ 600 Crores to ₹ 1,200 Crores a quarter and all incremental borrowings will now be available for asset growth. Here again, our asset-light model has fully matured and as we have been sharing in the past, we have co-lending relationships with 8 partner banks for each of whom we are a strategic relationship
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Page 4 of 14 contributing significant amounts to their total disbursal. Importantly, being asset light co-lending, we will not need to build large borrowings to support this and we can grow and earn on the entire AUM without building ALM risk.

Our de-risking of the wholesale book has been supported by a very buoyant housing market, which has turned around and is witnessing strong growth. Projects that had been problematic and sticky for a long time are either getting resolved or have already been resolved with us roping in partners, both development partners for project execution and partners for funding and refinancing.

We have thus hopefully been victorious on all the three fronts that we have been fighting on for the last five years and this fight while it was fought through an extended pandemic with complete lockdowns, etc., I hope we have emerged victorious and by the end of this quarter, we should restart our growth path and demonstrate strong growth going forward.

At the macro level, the economy has emerged very strong and resilient and the housing sector is seeing strong secular growth across price segments. Many longstanding industry observers and experts are unanimous in their view that this is the start of a long upcycle for the sector. Growing urbanization, nuclearization of families and a fast-growing economy and concomitant rise in incomes are factors that are always favoring housing demand in India. All of these are now playing out. For the company stability in profits, good recovery traction from, wholesale loans and receiving risks means that we are now on a good strong footing. Accordingly, the Board of Directors in their meeting held on July 28, 2023, recommended a final dividend of ₹ 1.25 per share, subject to the approval of members at the ensuing annual general meeting. While the amount per share is more a token amount, it was more a message that we wanted to send out to our stakeholders especially our shareholders that time for growth is back and hopefully going forward we should be able to get back to our strong driven track records, through which we have distributed over ₹ 11,000 Crores of dividends through our listed districts.

As businesses has now stabilized and the company gets back on the path of growth subject to regulatory limits, we aim to resume consistent payment of the dividends. There are now regulatory guidelines for NBFCs around this, so we will have to operate within that. After a period of consolidation through the last five years, it is now the management's focus to also besides dividends focus on ROE and I am quite hopeful that we would be a mid-teen ROE company over the course of the next three financial years.

In the near term, another priority for the company is the entire reorganization and rebranding exercise that we have been focused

on for the last four to five years. The
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Page 5 of 14 company has over a period of time, transformed itself to a board run, professionally managed and diversely held financial institution. The company's Board of Directors exercises effective oversight over the running of the company through both constituted sub-committees with key committees chaired by independent directors. The erstwhile promoter, who is now classified as a public shareholder along with the entities he controls, had a shareholding of 9.77% at the time of the de-promoterisation. This has now declined to around 1% and as per my understanding, he is probably going to be completely exiting the company. With the completion of the de-promoterisation and we are also in the process of transforming and changing our brand identity. We have already gotten our board approval for this and we are awaiting regulatory approval, post which we will be going back to shareholders and getting shareholders approval. All of this should hopefully happen within this quarter and over the next 45 to 60 days, we should have a new brand identity for ourselves.

Gradual regulatory changes have been done away with any meaningful differences between HFCs and NBFCs. The entire regulatory framework is now scale based. We are in the upper level of NBFCs being amongst the largest NBFCs in the country and accordingly, since we do not get any advantage of remaining in HFC, we have written to the RBI to change our certificate of registration to that of an NBFC. That change should also happen along with the name change, hopefully within this quarter itself.

Coming to the updates for the quarter.

In this quarter, we have disbursed retail loans of around ₹ 1,837 Crores under the asset light model. These loans have been disbursed in partnership with our banks. There is no concentration on any one bank and all eight partners are almost equally contributing. To take you through the Q1 FY2024 numbers, please refer to slide 3# of our earnings update.

The net interest income is at ₹ 562 Crores, profits at about ₹ 296 Crores versus ₹ 261 Crores in Q1 FY2023 and ₹ 287 Crores in the same quarter last year. Retail disbursements, as I said earlier, stood at ₹ 1,837 Crores and cumulatively since FY2022 stand at almost ₹ 13,000 Crores. Net interest margin is very stable at 3% and RoA has marginally expanded again to about 1.7% from 1.4% in Q4FY23. It is on an upward trajectory. Gross NPAs and net NPA are at an 11-quarter low. Gross NPAs are at 2.87% and net NPA is at 1.69%. Our net debt to equity is now as low as two times and capital adequacy on a consolidated basis stands at 31.2% of which almost 27% is tier-I capital.

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Page 6 of 14 On a standalone basis, the capital adequacy is 23.46%. As part of the reorganization, if the path chosen is to consolidate the subsidiary, then the standalone would also go up to 31.2%. That is work in progress. We are engaged with various stakeholders on how to take this forward and hopefully through the course of the quarter or early next quarter, we should be able to give more specific guidance on the reorganization plan and the organization structure, etc.

As I spoke at the beginning of the call, we are also undertaking a rebranding exercise. We have already shared the timeline for it. As part of our strategic discussions, a suitable name has been chosen, but I would like to emphasize that the company would remain a mortgage focused NBFC. It would still focus on home loans, loans against properties and via the alternate investment platform, small contribution or a co-

lending equivalent for builder

loans. For Q1 and Q2, the focus is basically to scale up the retail engine and to do prudent ALM management. From Q3 onwards, we will have bandwidths to scale up the retail engine further and perhaps hopefully also scale up the wholesale platform with our partners. Now focusing on retail lending which is our growth engine. Along with our eight banking partners, we continue to grow the retail AUM in an asset light model. At the end of Q1, 35% of our AUM is now funded through either co-lending or securitization, up from just 10% in FY2018. We have disbursed, as I mentioned earlier, almost ₹ 13,000 Crores of loan since last fiscal year and we hope to sustain the present 3% RoA that this incremental business is generating, so 1.7% RoA will steadily inch up towards the 3% run rate RoA that we are generating for the incremental business as the incremental book becomes larger than the back book.

We continue to invest in expanding our reach, building up trained manpower and keeping a key eye on the disbursement growth, which will result in opex remaining elevated through FY2024 and FY2025. By FY2026, the cost income will go normalized and that is how we will be able to get to 15% RoE by FY2026.

The de-risking of the business by running down of the wholesale book continues and it will only gather pace over the course of the next six to 12 months. A lot of capital has been put into projects where construction is going on and steadily these projects are getting

completed and now we are getting into a situation where collections are increasing in the escrow accounts on a healthy basis. As this trend continues over the next six to 12 months, I hope to see this book run down at an even faster pace.

Now, can you please turn to slide five. We are sourcing now about ■ 600 Crores ■ 800 Crores of retail loans a month under the asset-light model. It is evident from the CIBIL Indiabulls Housing August 14, 2023

Page 7 of 14 scores, which is the credit bureau scores and the average ticket size that the customer segment is prime. With strong demand s both from end customers and our partner banks, we had invested in expanding our retail franchise. Our branch count is up 18% from last year and we have added almost 300 + employees in this period. We are now at about 217 branches and 5,166 people. We have also been working on the further digitization and integration with our various banks and hopefully as we complete that one by one with various banks, the scale up can be reasonably rapid since our sourcing engine is already in place. This is all to make sure that the RoA tends and trends towards 3% and the RoE trends towards FY2026. The growth should be evident from H2 of FY2024.

Now that the ALM has been managed, the repayments are in the process of happening. A lot of it by the end of this month should be behind us, we should start utilizing the surplus of repayment inflows and that is how the entire fund strategy would be working towards growing the AUM.

Now our little bit on asset quality.

As of the end of June 2023, our gross NPA stood at ■ 1,886 Crores, which translates to 2.87% and net NPA stood at 1.69%. We are fully compliant with the RBI circular on NPA rectification based on daily DPD days this past due and these NPA will not be regularized unless all over dues are repaid. Between the provisions we already carry and our conservatively estimated recoveries over the next three years and some other releases, we carry imputed provisions of ■ 6,385 Crores, which is 12% of the loan book and covers our gross NPA 3.4 times.

The engagement with the rating agencies continues to stay positive, we are AA rated and I believe given

the rapid deleveraging that the company has done and the high capital adequacy, the ratings have a reasonable amount of support, especially given the stability on the balance sheet also, which has been witnessed over the last four quarters as well as the earnings and the improving asset quality.

All in all, I think it has been a tough five years. We have come to the end of the very tough period. By the end of this quarter we would have done perhaps even India proud in repaying such large amounts to international investors. We have certainly done the company proud and the management is again extremely thankful of the support given by international debt investors. We will continue with our engagement and hopefully we will have a good transaction soon stitched up, which will help us grow our business. Engagement with investors continues.

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Page 8 of 14 On the equity side also, I believe once growth is back, the company's valuation, etc., would improve. As a gesture of stability and growth being around the corner, the management and the board declared a small dividend, which should get confirmed in the AGM. Equally importantly to all of this is the entire reorganization where a lot of strategic initiatives are being taken about the group structure, the ownership structure and so on and so forth and what is really happening is the fact that we are significantly smaller to what we used to be. Our borrowings have shrunk significantly and the large shareholders now are all financial institutions, both domestic and international and therefore can work very closely with a well-managed board, which is extremely mature and a management to come out with structures, which are long term good for the franchise.

On this note, I will end this call and now we are open to questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question is from the line of Riddhesh Gandhi from Discovery Capital. Please go ahead.

Riddhesh Gandhi: An apology for sounding actually blunt here. Just had a question, we have been sort of highlighting the companies distancing from the erstwhile promoters, but the leadership team has obviously been with the erstwhile promoter and a loyal to him for a long period of time and also in the case recently where the erstwhile promoter had actually existed in real estate business. There were some illegal lawsuits, which have come up with the embassy with regards to some loan repayments and stuff like that. Just want to understand how should we

be thinking about going forward and how independent really is it and are there any potential in liabilities, which I think could arise that which we are not aware of it?

Gagan Banga : Sure, that is a very relevant question and I would like to put it on record that Indiabulls Housing and its erstwhile promoters have no financial entanglements. He owes us nothing ; we owe him nothing. There is no recourse that either party has on each other for any open transaction of even a single rupee. I hope this is as transparent as one can get on this right. On your other question about the leadership team being loyal, the leadership team is loyal to the company, which is why through a period of extreme stress where all of us as management are fiddly little shareholders. We have decided to stick together as a group and manage this crisis. While if you look at practically all the NBFCs and HFCs of similar size, smaller or larger through this period of crisis on the NBFCs. Practically each of them whichever survives has seen a change in

leadership, so that just indicates that this period of turmoil has taken a toll on professional managers such as myself and my colleagues, but because we are more loyal to the company than to any individual while we individual has Indiabulls Housing
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Page 9 of 14 exited, we have not. It is a situation which is not witnessed in any other NBFC. In other NBFC typically the owners continue to remain the same. The managers have changed and gone. In our case it is the opposite, so the way I think of it is I have given personally my best to make sure that the company in the first place survives, then transforms and hopefully we are now at the cusp of growth. This is the best that we as a management team could do. My appointment is decided practically every other year by shareholders. If they feel that I am doing a good job, they will allow me to continue otherwise in a company which is as diversified owned as Indiabulls Housing is shareholders have ultimate power, right and and there is no one group, which can block anything that shareholders do not want to happen. I do not want to be negative about this. This is a time of perhaps not celebration, but time where one can at least take a step back once this quarter is through and say okay five tough years, now let us get started with something else. That is what I am focused on that and that is what the team is focused on. We keep our heads down, work every day to make sure that we continue to repay our lenders and continue to take care of our employees and of our customers and frankly that is the best that we can do.

Riddhesh Gandhi: Got you and we appreciate all the efforts and we are reasonably confident that like how the issues came up in that case of Indiabulls Real Estate we have sort of scrapped through each of our accounts to ensure that there are not any potential skeletons, which will have come out of the closet?

Gagan Banga : I am putting it on record here in this call is recorded and is up there for the rest of my life that between Indiabulls Housing and the erstwhile promoter group, there is no financial entanglement. There is not one rupee that either he owes us or we owe him. It has been a smooth transition. As a matter of fact, he has been fairly graceful in his entire exit and has been supportive of the company, so I doubt that there could have been a more graceful exit in this. With that said, there is also a lot made about this whole de-promoterization, etc. The quality of the portfolio is if one takes a minute to reflect on it, one could not have paid ■ 1,50,000 Crores on gross basis and ■ 75,000 Crores on net basis. That ■ 75,000 Crores has come from the portfolio. It has not come from heaven. I am not the central bank. I can not print money. It has come from the portfolio, so that is best reflection of the portfolio quality, which has been built, which should hopefully put any such concern at rest and as a financial entity, we have also gone through a fair degree of rigorous inspections and audit. Just the other day I was taking stock with my risk and compliance team. In the last four years, we have gone through 32 regulatory audits and inspections and compared to what was being alluded to at times, I think we have pulled through with practically no issue at all. Another thing, which may not be of knowledge to the wider audience is that since October of 2019, the lenders of the company have started a process of a concurrent audit where Indiabulls Housing
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Page 10 of 14 every rupee in and out of the company is compiled and reported back to the lenders. There are only one or two collection and disbursement accounts that we have, which the banks have complete control over, so all of these plus the fact that now we are an upper layer NBFC and th

erefore there is tremendous regulatory oversight, which is all extremely good for the long term. That is how the sector and all of you will get greater confidence and hopefully these questions will never be asked again, but this is all that we have to let us say actions speaking louder than whatever I can assure you why.

Riddhesh Gandhi : Sure and last question I had was is there any indication as to it given the valuations we are trading at and given effectively the growth in front of us that , with the promoter, I can understand that if he is not going to be operationally involved , any sort of indication as to the reason you will be sort of existing at these prices and an as opposed to potentially exiting the private equity ? You could sort of come in and bring some instability just sort of exiting in the public market and sort of thoughts around that and I understand obviously you guys are not the promoter, but I am sure there will be ?

Gagan Banga : I am not the promoter. I cannot speak for him. I can just speak common sensically . As I said, this is a company that he started. He took it to a large size and he continues to remain fond of the company and in a situation where you are not a promoter , but you are still the largest shareholder, it becomes very difficult for the management to go out there and propose any sort of a strategic transaction. With such a large shareholding still vested in someone , who is not involved in day -to-day management and therefore will not be in a position to give any sort of commitment to the wider market or the strategic partner or anything of that sort. I think we understood that this situation was neither here nor there and if the company had to move forward, the situation had to get resolved and he voluntarily chose to help the company resolve the situation and today put us in a position where we can have more meaningful and consequential discussions with only institutional investors having any sort of meaningful shareholding, otherwise the shareholding is extremely widely spread out so. He has only facilitated the progress that the company needed to show on multiple number of fronts including being well diversified in terms of its ownership and I appreciate his gesture .

Riddhesh Gandhi : Thank you and appreciate all of your responses here. Thank you.

Moderator: Thank you. The next question is from the line of Craig Elliot from NWI Management . Please go ahead.

Craig Elliot: Good evening and congratulations on great results and taking a step back on these, as you said, several years of transformation , we have always believed in you and you have always
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Page 11 of 14 delivered so thank you . We look forward to the next five to 10 years On that note , there is spectacular promise in the macro and in the housing up, what do you think is the smart and target range for you to grow book just very broadly let us say over the next few years or beyond?

Gagan Banga : Thank you Craig. You have been amazing supporters through this transformation and both as financial investors as well as giving both moral support and advice , so I really appreciate NWI's help through this entire period . On the growth path, I believe that through the next five years , which should have a reasonably buoyant residential real estate cycle and therefore the underlying business will have momentum in home sales and stability in home values, etc., to be able from where we start FY2025 in terms of monthly disbursements, which should be in the ballpark of \$200 million a month. We should be able to grow that at a steady rate of around 18 % to 20% every year for the next five years, so by the Q1 of FY2025 , which is April to June 2025 is to be considered the base. Wherever we are at that time and the estimation is \$ 200 odd million a month we should be able to grow that disbursement

at a base at about 18 % steadily for the next many, many years , so that is the broad guidance. Obviously, it needs to be caveated for interest rate movements. Real estate historically has been a step inflation asset class . Home should not become unaffordable, etc. If things are to move more in a logical manner both on interest rates as well as home prices, this is the kind of growth one can expect.

Craig Elliot: Thank you. Have a nice evening.

Moderator: Thank you. The next question is from the line of Kenny Lee with Vontobel . Please go ahead.

Kenny Lee: Congratulations with the good results. I just have quick question for me . I see we have built out \$270 million in the escrow to repay the ECB and also 50% of the FFCB , can I get the sense in terms of the social funding? How do we do that? Do we use raise more debt to replace those then?

Gagan Banga : No. The leverage and the reduction in debt indicate that all of this is happening through collections. There would be some debt, which we have raised and some securitization that we have done and money is fungible , so I can not say that every dollar in a practical way comes , but a large portion of these repayments or the repayments which have been happening over the course of the last five years have all been happening through our customer collections.

Kenny Lee: Excellent and can I ask if we are going to do similar structure where we try to do the escrow for the September 2026 FFCB as well?

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Page 12 of 14 Gagan Banga : That is something , which I first want to get this quarter done and then basis how is the engagement with rating agencies and other stakeholders. The ALM now is extremely smooth. This was all done in order to give confidence to stakeholders that they were chunky periods in some months and quarters and therefore we prepare well in time for those chunky periods in order to not have any last-minute pressure on ourselves and that if you go through our ALM , I mentioned this in quite a bit of detail. The monthly run rate, even if you were to assume that the put gets done, is only about ₹ 675 Crs, which is roughly \$80 million a month , which is insignificant and therefore these kinds of steps may not be required , but I do not wish to rule it out. It was well -thought out plan along with the board. Let this quarter end and then we will certainly group back with our board as well as our domestic lenders, since most of the money is only of domestic lenders and reconfirm this back to you. With that said, it is managements endeavor to make sure that we keep doing proactive ALM management, so if it is required we will certainly walk that path, but I do not want to put myself on record here and then later not do it because what you will appreciate is that all of this has a tremendous negative carrying cost on the company and as with granularize our asset book and as we retailize it more, the earning power of the company will obviously continue to take a hit. We can not keep putting more and more pressure on the earning power of the company and still expect the same kind of profitability return on asset, etc , so it is a measured call to be taken. It is also as the situation to transform s both at the macro and micro, different times required and different actions. I will be able to confirm this to you by next quarter.

Kenny Lee : Okay. Thank you so much. That is it from me.

Moderator: The next question is from the line of Shaurya Chaplet with MUFG Bank. Please go ahead.

Shaurya Chaplet : My question is related to the voluntary reserve fund for the \$270 million so as per March 2023 results you had created 50% of the fund, so I just wanted to know that as on date have you created 100% of voluntary FDs, which following the liquidation has been initiated or is it like 50% of the voluntary FDs that were created with this plus 5

0% volumes will be

balance sheet cash and also the balance sheet cash which is around ₹ 5300 Crores does that include the voluntary reserve funds as well?

Gagan Banga : Yes, it does include the voluntary reserve fund and since then all the FD's have been liquidated . We are something like six working days from transferring the money and it requires that much time and we have two holidays in India, so as it requires that much time to move the money, convert it, move it to the trustee and so on and we usually if you have been an ECB holder for a while, you would realize that we usually try our level best

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Page 13 of 14 depending on working day, etc., to try and credit the money one day in advance , so given that as we speak, the money movement is in motion.

Shaurya Chaplet: Thank you.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from with Kotak Institutional Equities . Please go ahead.

Nischint Chawathe: Thanks for taking my question , but just not small point if you could sort of remind us of what is the max proportion of CLM or sell downs that we can have in our AUM .

Gagan Banga : The max proportion is 100%. All the disbursement that we do, we do with an intention of co-lending . A couple of quarters ago I had shared this statistic that almost 98% of what we had disbursed in the past 12 months, we were able to successfully co-lend so that is the kind of a track record we are trying to maintain and as we speak we are at similar numbers and our goal is to just lend in the background or being able to co-lend it quickly with the bank within 45 days or so and there is no limit so if we see like I indicate to Craig that we should be touching a \$200 million of run rate on disbursements that \$200 million by April of 2024 and that \$200 million would all be with an intention of being co-lending. Eventually we will end up holding \$40 million on our balance sheet and the balance \$160 million would be going onto our bank balance sheet .

Nischint Chawathe: Got it. When you are saying 35% of the AUMs are funded by CLM and sell down then what we are trying to say that these 35% is the gross amount of 100, right and 20% is what we have in the balance sheet.

Gagan Banga : Yes.

Nischint Chawathe: Okay , got it. Thanks a lot.

Gagan Banga : We will take the last question now, please.

Moderator: We will take the last question from the line of Rishikesh from Robocorp . Please go ahead.

We seem to have lost the line for Rishikesh . We will take the next question from Nitin Garg from Aviva Life. Please go ahead.

Nitin Garg: Thank you very much for taking my question. I have two small questions. First of all, did you have any discussion with the rating agencies on this change of this status from HFC to NBFC?

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Page 14 of 14 Gagan Banga : Yes. We have kept our rating agencies and all stakeholders updated and there is no consequential change in anything as a result of the company's ability to lend or borrow or service its debt or grow its book, does not in any way get either hindered or improved by this. This is more technical and this basically enables us to do as much co-lending as we would like to do rather than holding assets onto our balance sheet, which is what a classic HFC would require to do. The rating agencies have been assured that the business model of the company is not going to change. We are not going to become a NBFC, which is going to be doing personal loans or gold loans or commercial vehicle loans. Mortgage is our area of focus and whatever we have been doing for the last 16 to 17 years is what we would continue to do and I believe therefore there should be no concern out of this transition.

Nitin Garg: Okay and secondly, can you throw some light about that recoveries out of those impaired or write

ten off assets? Anything happened in the last quarter?

Gagan Banga: We had meaningful recoveries of almost like ₹ 400 odd Crores and as I said we will try and write back this amount significantly. We will continue to carry higher provisions, so that is what we have done. We have written back an insignificant amount and we have just used other loans to continue to carry those provisions, but as the recovery is a track record. If not every quarter every other quarter you can expect ₹ 500 Crores to ₹ 1000 recovery.

Nitin Garg: Yes, sure. Thank you very much for taking my question.

Gagan Banga : Thank you everyone for joining in and I hope that by the end of the current quarter, this entire period of struggle and trouble ends and from H2 FY2024 we can be back to reporting to you steady growth. Thanks for your support through this period and thanks once again to all the foreign debt investors who supported the company over the past 10 years

Moderator : Thank you very much. On behalf of India Bulls Housing that concludes the conference. Thank you for joining us ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2023

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Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and half year ended September 30, 2023

Dear Sirs,

We refer to our intimation dated November 14, 2023, informing that the Company has uploaded the audio recording of the conference call hosted by it on November 14, 2023 to discuss the financial results of the Company for the quarter and half year ended September 30, 2023, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company. Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

for Indiabulls Housing Finance Limited

Amit Jain

Company Secretary

CC:

Singapore Exchange Securities Trading Limited, Singapore

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“Indiabulls Housing Finance Limited
Q2 FY 2024 Earnings Conference Call ”
November 14, 2023

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER -
INDIABULLS HOUSING FINANCE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Indiabulls Housing Finance Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Banga, Vice Chairman, MD and CEO. Thank you, and over to you.

Gagan Banga: A very good day to all of you, and welcome to the quarter 2 FY '24 Earnings Call. A very happy Diwali and wish you a happy, healthy and prosperous year ahead. We shall start with Slide 4 and then come back to the key financial highlights on Slide 3. I request everyone to please turn to Slide 4. .

Quarter 2 fiscal '24 was a turnaround quarter for the company. It is the last quarter of chunky debt repayments for us. In quarter 2, we repaid debt of approximately INR 5,000 crores. And for the 12 months ended September 30, 2023. We repaid a gross debt of INR 19,305 crores. Since September 2018, the start of a period of elongated liquidity squeeze for non-banks, we have repaid gross debt of over INR 1,64,000 crores and net debt of INR 85,587 crores.

This translates to gross and net debt repayments of almost INR 33,000 crores a year and INR 17,000 crores net debt, respectively, every year. Contrasted with approximately INR 19,000 crores that we have repaid in the 12 months, and INR 5,000 crores that we have repaid in quarter 2, our debt repayments for the next 12 months are only INR 4,700 crores; for the next 24 months, including the INR 4,700 crores to be paid over the next 12 months, a total of INR 10,267 crores which translates to a debt repayment of only about INR 400 crores per month. Against this, from our loan portfolio, our inflows will be approximately INR 800 to 1,000 crores per month. This relates to an excess liquidity from the ALM of between INR 1,200 crores to INR 1,800 crores a quarter. This, along with incremental borrowings is now fully available for the AUM growth in the target segments primarily retail.

Please remember that under the asset-light model, we need to fund only about 20% of the incremental retail disbursement and the rest gets turned as it is sold down to our co-lending and sell-down partner banks. A few other numbers on the slide later point strongly about how comfortably we are now placed on the ALM front.

Our gross gearing is now under 2x, and net gearing stands at only 1.6x -- we have a very comfortable liquidity cover, which works to over 1.5x next 12 months debt repayments. In the long term, we intend to keep this number given the now very, very benign ALM. We intend to keep this number at about 80%. I would request you to now turn to Slide 5.

With the ALM turning positive, we are now in a position to step up disbursements under the asset-light model. From presently about approximately INR 700 crores a month by March '24, as we have been speaking about earlier, we should be at about INR 1,200 crores of monthly retail disbursements.

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In anticipation of this degree of freedom afforded by liquidity from a positive ALM, we have been expanding our manpower and our branch network. We are now at over 5,400 people, up by about 2,000 people from March of 2021. And we have expanded the branch network to 220 branches.

This is about the same number where we were both on people and branches in fiscal 17, when we used to average an approximate INR 3,000 crores of disbursements a month. We are capitalized for over 2.5x of the number that we are currently doing. We intend to mature both the

people as

well as the new branches to make sure that we can continue to grow on the INR 1,200 crores per month that we wish to achieve by March of 2024.

At the macro level, the economy has emerged very strong and resilient, and the housing sector is seeing strong secular growth. Across price segments, many longstanding industry observers and experts are unanimous in their view that this is the start of a long up cycle for the real estate residential sector. Growing organization, nuclearization of families, and a fast-growing economy and concomitant rise in incomes are factors that were always favoring housing demand in India. All of these are now playing out. For the company, stability in profits, good recovery traction from wholesale loans, and receding risks mean that we are also now on an extremely strong financial footing. We have thus got all the engines firing for the AUM growth that we are henceforth targeting.

I will now go through Quarter 2 Fiscal 24 numbers, for which I request you to turn back to slide

3 of our earnings update. Our net interest income came in at INR 893 crores versus INR 821 crores in the same quarter last year. For H1, the number is INR 1,454 crores versus INR 1,404 crores in H1 of last year. Profit after tax for the current quarter was INR 298 crores versus INR 289 crores in the same quarter last year and for the half year, it is INR 594 crores versus INR 576 crores for first half last year.

Annualized net interest margin stood at about 4.8%. RoA has expanded to 1.6% and is inching upwards to the desired past 2% mark. Gross NPAs stood at 2.88%. Net NPAs stood at 1.66%. At INR 1,830 crores, the gross NPAs are at the lowest that they have been in the last 12 quarters. Net debt-to-equity is muted at 1.6 times. And capital levels are standing very comfortable at a CRAR of 35.7%, of which Tier 1 is over 31%.

As we've been indicating, we are now beginning to see healthy recovery from the portfolio that we had prudently technically written-off over the last five years. In the first half itself, we've had recoveries of INR 546 crores. For the period, recoveries and NPA upgradations were higher than the new NPA formation, resulting in reduction in NPAs and increase in provisions.

Resultantly, as mentioned, our NPAs are at the lowest that they have been in the last 12 quarters. As the wholesale portfolio assets get further developed, the portfolio logically de-risks and is further aided by the sharp turnaround in the real estate sector, which is also resulting in our Stage 2 loans having dropped to their lowest level in the last 12 quarters. They're now at just under 5%, approximately 4.9%, down from a high of 24% during the period of the COVID pandemic.

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So 24% is now down to 4.9%. Retail disbursements under the Asset Life model are at INR 4,807 crores in the first half.

Cumulatively, the company has disbursed almost INR 16,000 crores since Fiscal 2022 under the Asset Light model. We've set the foundation for this, and now we are at that stage where both from a capital availability as well as capacity perspective, we can rapidly grow this.

At the end of September '23, we carried liquidity of about INR 6,000 crores. The ALM, which we have displayed on a cumulative basis for each bucket, we are positive across all buckets and will have a positive net cash of over INR 10,000 crores at the end of the first year. Our detailed 10-year quarterly ALM is in the appendix slide of the earnings update on slides 19 to 23.

As per RBI Master Directions for housing finance companies introduced in February '21, IBH is required to maintain a liquidity coverage ratio of 60%. Against this, the company's LCR stood at 925%. Please know that LCR is only basis high-quality liquid assets maintained as defined by the RBI and excludes even banks FDs, the

actual liquidity that's available with IBH is much, much higher.

In line with our approach to create and build up trustee-managed pools of monies to grow out to meet [chunky], repayments, while management continues to strongly believe this is a traction on business that the foreign currency convertible bonds would get converted in March and September of '24, but as a prudent measure, we have for the March '24 maturity, created FDs totalling to about INR 942 crores, which is 75% of the USD 149.5 million or INR 1,255 crores. Our stock exchange in-timation regarding this has also been made today. We have another foreign currency convertible bond of about USD 135 million, which will have put options in September '24. As I said earlier, given the conversion price, and the traction that we are seeing in our business and thus, we hope that would get converted into the market price of the stock as well, which should lead to conversion.

We strongly believe that would happen. But, we are now in the process of obtaining the requisite approvals from the requisite external stakeholders, vendors etc. and we hope to create the first 25% of the fixed deposits that we have historically created for our foreign currency borrowings. And we will keep topping up this with 25% with every passing quarter. The first 25% we should create in the current quarter itself.

Since, September 2018, we have repaid debt and securitization liabilities of over INR 1,64,000 crores. This achievement marks the largest debt repayment, both on a gross and net basis by a corporate entity in India, encompassing both financial and non-financial companies. This is reflective of the quality of the portfolio we built and also our approach to asset liability management.

But in some sense, it's also a 5-year pause that the company took for reasons both beyond its control as well as a part of its internal strategy, where we needed to evaluate and measure the quality of the portfolio that we had created in the steady 10-year compounding that we had done between 2009 and 2019. So we thought it is prudent that we take a gap, allow a large part of the

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portfolio that we've built to run down to assess what is the terminal asset quality that we are able to achieve.

Through this period, we've also repeatedly provided reassurance to all our debt investors, that the company has a conservative approach to ALM management, and we plan well ahead of due repayment. So we really used the last 5 years to conservatively approach and affects both our liability program, which has also compounded at a very steady rate through '2009 and '2019 and had encompassed at the end of 2019 having over 250 Indian and overseas lenders.

To each of them, we had to go back with an approach that we are both conservative borrowers as well as conservative lenders. The company's ALM management and liquidity planning has never resumed -- sorry, assumed refinancing of domestic or international bonds. On the liability side, we will continue to maintain a strong liquidity position. We will continue to maintain a strong capital buffer and with the asset book having significantly run down, we believe that we understand the provisioning requirements, the credit cost requirements as well as the credit standards that we need to maintain and the guardrails that we need to set that as we approach growth, we are both from a liability as well as the asset side, a far more mature organization than we were 15 years ago.

We have a long-term rating, which was reaffirmed by CRISIL just earlier this month of AA/Stable on November 3, 2023. CRISIL, as we all know, is an S&P affiliate in India and the reaffirmation of our AA rating post our half year performance is a big boost to the company's long-term efforts to now start growing the AUM again.

Moving

on to asset quality. If you can please refer to slide 9. Gross NPAs stand at INR 1,830 crores, which is 2.88%, net NPAs at 1.66%. We are fully compliant with the RBI circular on NPA recognition based on daily days past due. And these NPAs will not be regularized unless all over dues are repaid. Our Stage 2 loans have declined from INR 22,000 crores that they were at the end of March '20 to all of INR 3,000 crores. Between the provisions we have already created and carried are conservatively estimated recoveries over the next 3 years and some other releases we have included provisions of approximately INR 6,204 crores, which is 12% of the loan book and over 3.4x of our gross NPA.

To conclude, we believe we are well capitalized, our ALM is benign. We are a mature and stable management team with great oversight from our well diversified board. We're also an upper layer NBFC and thus have a very proactive sort of supervision and regulation by the Reserve Bank of India.

All in all, I think we have a good base to now resume the journey of growth. Growth is in our DNA. We took a call to assess to get our bearings and we believe we've landed on our feet so we should start running again now.

On that note, I would end the update for the quarter and open the house for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We'll take our first question from the line of Craig Elliott from NWI Management.

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Craig Elliot: Good Evening! Congratulations on the great results. I wanted to say that we partnered with you through a number of years, including some harrowing ones like during COVID, we have been in 4 different debt instruments. And I wanted to compliment you that you've always laid out in advance which you're going to do and you end up doing what you say. We invest all over the world and our experience with you is world-class.

As far as questions, I'm happy to see that CRISIL appears to understand your new asset-light business model and did indeed affirm your rating. Let me know if there's any thing you'd like to add around that? And then the second question is in local market liquidity. You've done a great job, especially vis-a-vis international investors like ourselves, in terms of paying down the financing. What are you seeing as far as local markets as a source to potentially drive your growth in the future? Thank you.

Gagan Banga: Firstly, thank you, Craig, and thank you, the entire team at NWI and having -- to have really partnered with us through what has not been in 4 to 5 years, both for the company at a macro and a micro or the world with COVID raising, etc. And your words that our approach is world class is like a compliment to the team on how we would aspire to continue to say what we do and do what we say. It's not always easy, but we will try and continue to keep on foot in front of the other entities and hope that we grow from now. CRISIL and Indiabulls have had a 19-year association.

We have while perfectly understanding that rating agencies go through their own internal cycles as well as there also in that sense, influenced by what is happening externally. There would be divergent views coming from various rating agencies. We have historically in the past tried to work with all the relevant rating agencies in the country. And our goal is essentially not to try

and do rating arbitrage and go and get the rating, which is suitable for us at the moment or not. The other big realization for the company is that much like other stakeholders, rating agencies can tend to be a little bit more pro-cyclical. And it's a big learning. And I'm not faulting the rating agencies. I believe that when you are on the path of growth, to see an event like what one saw in the IL &FS crisis or through COVID, etc

. these are clearly black swan events, which if one starts building into a rating thesis, nobody will ever get to a very high credit rating level. These are all learnings for the company. So I'm grateful to the CRISIL team that they have appreciated the model. They have been extremely patient in giving us the necessary audience to explain our business case, and they continue to be one of the most mature rating counterparties that I have interacted with over the last two decades. Their reaffirmation clearly helps us both domestically and internationally.

Our current audience is the domestic pool of debt capital, largely focused on three pools. One is the co-lending pool, which is the most crucial, the second is the bank term loan pool, which is the second largest pool. And the third is a franchise which we are trying to create, which is raising bonds which are sort of quasi deposits in our case from retail and high net worth individuals and trying to granularize our liability program to the extent that, the extant regulations allow us to do.

On the co-lending pool of capital, rating agencies and their views are important. So what is even more important given the very long track record that we have with our counterparties on the co-Indiabulls Housing Finance Limited

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lending and securitization side, is how our underlying pools are performing. And I keep telling all stakeholders in one-on-one interactions or on calls such as these that the risk on the co-lending or the asset-light business model is not how much demand is there.

There is 10x of the demand out there than what we can potentially produce quickly. The biggest risk and in ways -- in some ways, a moat that we have created for ourselves is the underlying asset quality of the loans that we've originated. The moat is that, we have done transactions of over INR 60,000 crores with about 25 parties, of these 25 parties, 8 of them are current co-lending partners. And over the next -- over the course of the next two to three quarters, this number will expand to 12. So after 25, 12 would be our co-lending partners. And they will largely long term be guided by how our back pool is performing.

If our back pool continues to perform to what they bought from us last year or the year before that, continues to perform, there would be demand. They would obviously get impacted and influenced both positively and negatively by the rating. But the more influencing factor is going to be the performance of the back pool.

The second pool of debt capital is bank term loans. There, again, given the almost a little over \$7 billion of sorry -- almost \$10 billion of net repayments that we have done with the equivalent. A large portion of that has gone to domestic banks. And that has built a lot of comfort. Obviously, they rely on external ratings to help them assess our current financial health.

There also are organizations which are capable of doing their own internal credit appraisal, which they do. And as things stand today, I think today they're more comfortable with our financial health as well as their understanding of what the company does, how does it work and all of that. Because of regulation, we've had a concurrent auditor appointed by these banks for over four years, auditing every rupee in and out that additionally gives them comfort.

I believe today, as our lending counterparties, they've also matured in their practices. They are aided by much tighter and stronger both supervision and regulation of the RBI, and therefore, all of this as a combination provides them a great degree of comfort that we are an upper layer NBFC. And there are all of 15 NBFCs in the country, which are in the upper layer. And RBI is indicating that the trend line for upper layer NBFCs would be a bank like approach to both supervision and regulation that additionally provides

comfort to this pool of capital.

The third pool of capital, which is the high net-worth individuals and retail individuals, which today as a percentage of our borrowings would be approximately 5%. But on an ongoing basis, we would like to see this pool contributing starting to contribute at least 20 - 25%. This would get swayed by our credit rating for this pool to continue to give us capital at a comparative cost, we would need to maintain our focus on credit rating and reaffirmation of credit rating coming from the country's premier rating agency is a huge boost in our endeavour to address this new pool of capital for us, which is a relatively virgin pool of capital for us.

That's my perspective. All these three pools are providing us adequate liquidity. So there is no issue as far as the free flow of capital is concerned. Now it's all up to us as a team to really

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prioritize what our approach has to be, operate within the guardrails that we have said and focus on the quality of the portfolio that we are creating versus the quantity.

So when the management team speaks to our feet on the street, we talk about periodically accessing the quality of our origination whether the cost, whether the turnaround time of our co-lending portfolio in terms of how long do we have to hold, the acceptance of what we're originating versus just the quantum of disbursements.

So the quality of what we are disbursing is far more important for us. And while maintaining that quality of disbursements, there is adequate flow of capital, which is available to us.

Sorry, I gave a very long answer to what was perhaps a very direct question, but I just wanted to use this opportunity to explain the model properly to everyone.

Craig Elliot: That's great detail. Thank you very much.

Moderator: Thank you. We have a next question from the line of Shabad Thadani from Arkkan Capital.

Please go ahead. Mr. Thadani.

Shabad Thadani: Thank you. Yes. Gagan thanks and congrats on a good set of numbers. I think testament to the work that you and the team have done over the last few years to get yourself in this position. Just one question from me. With regards to the wholesale portfolio, can you give us a sense of what the gross and the net exposure on that is at the moment? And what is the plan to, I guess, keep running that down? Or I think there was some discussion of some AIFs being set up previously and how the transfers are going?

Gagan Banga: Shabad, through quarter two we were fundamentally focused on ensuring that the lumpy sort of liquidity repayments that we had to make. Those were the primary sort of areas of focus for the company. We were also allowing the larger part of the organization to focus on stabilizing the retail distribution platforms. There's a lot of integration work that needs to happen, which we used quarter two for.

We haven't really had the bandwidth through quarter two to focus on strategic initiatives as far as wholesale lending is concerned, whether we do it via credit platform or partially via credit platform and partially via an NBFC. It's an important decision to take and it's an important contributor to profitability medium to long term. In the short to medium term, our profits will get aided by the recoveries that we get from the wholesale book.

But over the medium to long term, we do intend to do wholesale lending. I would request you to bear with me for another month and a half or so for me to really chalk out a very clear plan in terms of the scope of the credit platform, how much effect would be loaded on the NBFC. How much effect we do via third-party funds and all of that. Those are numbers.

We clearly see approximately on a steady-state basis, a disbursement of opportunity of anywhere between \$2 billion to \$3 billion every year. But if we have to do \$2 billion

to \$3 billion, we have

to also ensure that we have the capacity to contribute to approximately 20% of that from our balance sheet directly on the NBFC or our – as our contribution to the credit fund. So we are Indiabulls Housing Finance Limited

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working out all of those details. Please bear with us for the time that we declare quarter three results to be able to give you a more clearer picture as far as that is concerned. Till that time, we rundown of the past book continues. A large part of it in terms of new contributions that we needed to make towards construction, I would say, a large part of that has already happened. We would need to make another about INR 3,000-crores of fresh commitments to make sure that the entire pool comes back. These INR 3,000 crores would be disbursed over the next 12 months to 24 months and over the next 24 months to 36 months, we can get back the entire book. But that's not our goal to how to calibrate that, how to mesh it with new disbursements and thereby have a full game plan around that like we have a game plan around our retail business. We should be able to firm up over the next three months.

Shabad Thadani: Okay, great. And so can you just give me a sense of what the size of that back book looks like both on a gross and a net basis?

Gagan Banga: It's only a gross basis, so gross would be about 20%.

Shabad Thadani: Okay, great. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Amit Mahendale from Robo Capital. Please go ahead.

Amit Mahendale: I appreciate the opportunity. My question is on AUM. What do you expect that AUM to be by FY '26? And also, if you could indicate credit cost for the next couple of years, like FY '25 and FY '26.

Gagan Banga: Yeah, so our thought process is that quarter 3, which is the current quarter which is going on, the AUM will stop declining. Quarter 4 will ensure that on a year-on-year basis, which is March '23 to March '24, we would have grown somewhere around 7% to 8% on AUM. So that's the

kind of increase that we see between now and March.

Though this quarter would be more about stabilizing the AUM and the next quarter we'll see a pretty large net growth. And then from where we end up quarter 4 to fiscal '24, which is where we end up fiscal '24, we would imagine a steady compounding of AUM for the next three years at between 15% to 17%. So my sense is if we go by that number, we will be by fiscal '26 give or take at about a INR 1 lakh crores of AUM.

Yeah. Then in terms of credit costs, on a normalized basis, we will run with credit costs of under 100 basis points annually, 70 basis points to 80 basis points annually. We could see large provisions. We could also use those provision releases because of technical write-backs. We could also use those large provision releases to do some, to tip some guys over where we feel that recovery with hastened legal action can happen. So in normal course of business, you will continue to see credit costs of just under 100 basis points annualized.

Amit Mehendale: Great. And just to follow-up on the credit cost, for this quarter, we have taken INR 257 crores of impairment. And now that we are already at a 12% kind of provision coverage, including the write-backs, etc. So that looks, at least from outside, looks like excessively conservative type of

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provisioning. So any comment on that would be helpful? Or the other way to look at it is, one may feel that there is some hit expected in some quarters. That's why we're building the war chest or something like that. So maybe some, why are we taking additional hits, if you could throw some light on that?

Gagan Banga: So what I've steadily maintained for the last three years is that at every opportunity that we get

, we will use that opportunity to create larger provisions. We had a larger than expected gain this quarter outside of normal course of business. It was larger to the tune of approximately INR 200 crores. And our endeavor would be any such event. And that has been the case over the last eight - ten years that any gain that we will have, which is larger than what we had estimated on an operating basis, we will use that gain to kind of create additional provisions.

All-in-all, if you look at it for the first half, in the first quarter, we had a write-back. In the second half, we've taken a slight amount of provision. For the full year, I would still imagine that we will, between write-backs and provisions, we will land up with give or take 100 basis points provision.

Amit Mehendale: Okay, great. Thanks.

Moderator: Thank you. We'll take the next question from the line of Bhavan Gala from Marine Capital. Please go ahead.

Bhavan Gala: Hi, Gagan. Very good evening to our entire team and the festive greetings as we all. I have been tracking India bulls Group for a decade now. And the way the Group has navigated the entire turbulent period is nothing less than commendable. I have only a few questions. One is on the recovery rate that you envisage. Why I could understand in H1, there was a recovery of INR 550 - odd crores. What are your recovery expectations for H2 and FY '26? And also, if you can guide on, what is the recoverable pool expected? So that is my first question.

Gagan Banga: So the recoverable pool is north of INR 13,000 crores. From that, the recovery would be anywhere between over a period of time would be 60% to 70%. Time value adjusted, it will be 40% to 50%. And therefore, those carried numbers go into the estimation when we say imputed provision stand at 3.5x of our current gross NPA. It's very difficult to say, how these provisions play out quarter-on-quarter. In the second half, my sense is that our recoveries would be similar to the first half.

So for the first full year, this year, we will land up having recoveries well north of INR 1,000 crores. If all goes well, that number could be closer to INR 1,500 crores. But some portion of this recovery is also or a large portion of this recovery is linked to the maturity of various legal proceedings. And we all know that while our judiciary always tends to provide the right sort of a decision, it tends to also sometimes take its own time, which is perhaps why the right decision eventually emerges because it listens to both parties carefully to arrive at a decision, which then is usually in favor of the lender.

So as a lender, we typically have enjoyed the support of the judiciary, but both the judiciary as well as the regulator is also extremely mindful that it should not land up creating a one-sided

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playfield where whatever the lender is saying or claiming, the borrower who perhaps is a defaulter is not given even a chance to rebut that.

So, given our reliance on the judicial process, we can't really give you an exact time line, I can estimate that on a rolling basis, we should still continue to have credit costs of 100 basis points,

which they can as part of the assumptions that we do that on an annualized basis, we should be at least every year over the next three years be able to get INR 1,200 crores to INR 1,500 crores kind of recoveries coming to us. So that's the broad math and I hope I have not very specifically but given you an estimate of how the credit costs and the recovery will play out.

Bhavan Gala: Yeah, sure. So, the second question is on the scale of the business that we plan to ramp up. While you have already guided on you achieving INR 1,200 crores for disbursement starting FY '25 first quarter. And you have also told that you have created adequate capacity in the system to target

for 15% to 17% kind of an AUM growth year-on-year. Could you please give us a brief sense, a broad sense in terms of when our peak days of performance could return? I mean, we just want a fundamental view from you on this.

Gagan Banga: So we are targeting INR 1,200 crores of disbursement a month by March. So in the first quarter, we should be targeting anywhere between of next year, we should be targeting between INR 3,600 crores to INR 4,000 crores, which will be approximately 45% of what we used to do at the peak. It will take at least two years after that to go back to that number. The only way to expedite that is a large infusion of capital. If we do a large infusion of capital, we can clearly fast forward that number.

We are calibrating this is two things. One is the free flow of capital and the other is the quality of the business that we are generating. We've set good ground rules for the credit side of it or the efficiency side of it, we have the right number of people. If we get clear flow of capital, then we can accelerate that.

If we get the flow of capital like we're getting today, then it will take us two more years to get to roughly INR 3,000 crores odds of disbursement a month. As a management team, we are focusing more on the quality aspect of the business. And the quality, I mean, what is our cost to income ratio?

What is our per person efficiency, going forward now, since we have a benign ALM, what is our relative cost of funds to G-Sec and everything else. So those are the quality parameters. How is our ALM looking like that we are more focused on rather than the gross disbursement number.

Shabad Thadani: Sure. I'll ask my last question. Given the kind of valuation that you are quoting at, which is essentially point half the price to book, what are the strategic opportunity you are getting across? I mean, have you seen in recent past interest coming on from reputed fund houses or private equity players or any financial investor to put in capital? If you could please give us a sense on the kind of discussions that are happening.

Gagan Banga: If you have to assess the company, the company has a diversified ownership with no dominant shareholder. We have a very well diversified board, again, which is highly independent. Only Indiabulls Housing Finance Limited

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two executives and the entire board is independent aside of one nominee of LIC, which is the largest shareholder of the company and the largest lender as well.

And then on the management team side, we have a team which has been together, managed both the ups and downs together. So this is from a strategic level how we look like. From an operational level, this is a company which has established expertise in management of both assets and liabilities and on assets, all types of mortgage assets we've done at scale, which is home loans, loans against properties, commercial developer loans, loans to corporate, commercial loans, etc.

So, for such a franchise, for it to be quoting at some halftime book is essentially an outcome, I believe, of two things. One, that if the company is de-growing, how do you value it? And two, if the company continues to carry a wholesale book, then unless you get a very granular assessment of it, how do you assess the kind of hits that can potentially come on that book? And this contributes to the current valuation. The management team is per se more guided by RoA and a directional RoE rather than any personal gain. Now, I'm amongst the management team, the largest shareholder, and my shareholding is 0.89%. So we are not really on a day-to-day basis very swayed by the market cap.

What this provides is an opportunity for private equity funds, corporate houses, other NBFCs to talk to us to see whether there can be a larger platform that can get created to leverage on both our retail as well as wholesale oppor

tunities. We are seized of these various options in front of

us. We continue to remain engaged with them, and we will eventually take to our Board what we feel is in the best interests of all stakeholders.

At this point in time, we are not committed to any option, but I would also not deny that we have not either been in discussion or progressed with any of these options that I highlighted. But let's just wait. Let's let the management team focus on the operational challenges.

You may appreciate that, we had a big operational challenge in sorting out these chunky

repayments, and we had to therefore de-prioritize a few of these strategic calls like what do we do on wholesale lending, what do we do about our capital and ownership structure and all of that. Now we have a little bit more of strategic bandwidth, so we should be able to report some progress to you guys on that also shortly.

Shabad Thadani : Thank you, Gagan, for explaining it very, very elaboratively, and all the best to you and your entire team. Thank you very much.

Gagan Banga: Thank you. I'll just take one last question, please, if there is any.

Moderator: Sure, sir. We'll take a last question from the line of Rishikesh Oza from RoboCapital. Please go ahead.

Rishikesh Oza: Hi, thank you for the opportunity. Sir, just one question from my side. Could you please give a sense on the NIM and the OPEX trajectory going ahead in H2 and FY '25 going ahead? So

basically we're aiming to do mid-teen RoE by FY '26, so just wanted to get a sense how exactly

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are we looking to achieve it with our revenue growth would be surpassing the loan book growth of 15% - 17% and how do we go about it?

Gagan Banga: The biggest aid as far as our RoA and our profitability, so we are not targeting at revenue growth to exceed asset growth and do any of that. We do expect right backs to be aiding profit growth.

So while I've been conservative in my credit cost assessment, I am being a little bit more ambitious on my RoE assessment. And I said we should be able to get to about to get to about INR 3,000 crores of disbursements by FY '27.

By '28, we will get to mid-high-teen of RoE and our current short-term goal is to take our RoA by fiscal '25 or first half of fiscal '26 to be past 2%. So, these are broadly the timelines that we have set for ourselves and on cost income basis, we will from fiscal '25 onwards start seeing a decline.

First half of quarter-on-quarter in the first half our OPEX has been flattish. Quarter 3 and quarter 4 we will add more people and in order to prepare ourselves for next year and that will provide a little bit of uptick in our operating expenses. But on a cost income basis, fiscal '25 onwards we should start seeing a decline and the goal is that by fiscal '28 which is when we are looking at sort of an 18% RoE, we should be in the handle of a 20% cost to income from the current 30% odd that we are at. Those are broadly the numbers that we will be tracking.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Gagan Banga for closing comments. Over to you, sir.

Gagan Banga: So thank you everyone. Thanks for joining us as you do every quarter and again wishing your family and you a very, very happy Diwali and a happy new year. I hope to catch you in a new calendar year with the October to December results, hopefully by which time aside of giving you an update on the operational side, we would have also moved ahead on the various strategic initiatives which were discussed today and I'll have something to report to you on both of those as well. On that note, thanks again and bye.

Moderator: Thank you, sir. On behalf of Indiabulls Housing Finance Limited, that concludes this conference. Thank you for joining us and you

may now disconnect your lines.

Call: Mar 2024

Indiabulls Housing Finance Limited (CIN L65922DL2005PLC136029)

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Date: February 20, 2024

Scrip Code - 535789
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IBULHSGFIN/EQ
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“Exchange Plaza”, Bandra- Kurla Complex,
Bandra (East),
MUMBAI – 400 051

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended - transcript of conference call – financial results for the quarter and nine months ended December 31, 2023

Dear Sirs,

We refer to our intimation dated February 14, 2024, informing that the Company has uploaded the audio recording of the conference call hosted by it on February 14, 2024 to discuss the financial results of the Company for the quarter and nine months ended December 31, 2023, on its website. In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company. Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
for Indiabulls Housing Finance Limited
Amit Jain
Company Secretary

CC:
Singapore Exchange Securities Trading Limited, Singapore
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Q3 FY 2024 Earnings Conference Call”
February 14, 2024

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
INDIABULLS HOUSING FINANCE LIMITED
MR. SACHIN CHAUDHARY – CHIEF OPERATING

OFFICER – INDIABULLS HOUSING FINANCE LIMITED
MR. RAMNATH SHENOY – HEAD INVESTOR
RELATIONS AND ANALYTICS – INDIABULLS HOUSING
FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY 2024 Earnings Conference Call for Indiabulls Housing. We have with us on the call today, Mr. Gagan Banga, Vice Chairman, Managing Director and the Chief Executive Officer; Mr. Sachin Chaudhary, Chief Operating Officer; and Mr. Ramnath Shenoy, Head IR and Analytics.

As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Banga, MD and CEO. Thank you, and over to you, sir.

Gagan Banga: Thank you. A very good day to all of you, and welcome to the quarter 3 FY'24 Earnings Call. Perhaps our last call as Indiabulls Housing Finance. I'm quite hopeful that by the next quarter, the name of the company would have formally changed to "Sammaan Capital". And here on, you will be getting updates from Sammaan Capital, hopefully by the end of quarter 4.

To start off, I'm very pleased to inform you that the bidding for the rights issue, which closed yesterday. We were expecting to raise close to about INR3,700 crores. And we received over 2x of that as bids. We got approximately INR7,500 crores adjusted for a partly paid structure, which translates to over a 2x subscription. I thank all of you, especially those amongst you that are shareholders for your whole hearted support and participation, which made this possible.

There have been a lot of well-wishers, which have stood by us through our ups and downs, shareholders or otherwise. And some of them may be on this call. I would like to thank them personally whether they are bondholders or just well-wishers, thank you so much for whatever you've done for us through the last 24 years and especially through the last 5 years.

With this fund raised, we should get back on a positive rating trajectory and fully normalize our access to debt as well as rationalize our borrowing costs, which will subsequently also result into a competitive cost/income ratio and shall be an outcome of an accelerated growth of our retail AUM.

We have been on the path to achieve all of this for quite some time, having built a high-quality asset-light model, but this sizable equity infusion speeds up this process and will enable us to achieve our goals sooner.

When things go wrong, everything goes wrong. And when things start falling in place, I believe the Almighty gets all the ducks in line. Another good news in the recent couple of weeks is that the Honorable Delhi High Court dismissed the PIL, which was lodged against us in 2019 by Mr. Prashant Bhushan. He was motivated by blackmailers, whose case had already been dismissed by the courts. But given his background and credibility, the PIL, at that point in time, created massive market cap destruction, value destruction and those pained were minority shareholders. Through the course of the last 5 years, specifically 4 years since this PIL, I have, at several times, said very loudly that most of the allegations or every allegation is completely wrong and

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misinterpreted. Finally, after 5 long years, the summary dispersal by the Honorable Delhi High Court, the following observations should lay to rest any lingering concerns in the minds of our stakeholders.

This court is of the opinion that the allegations leveled by the petitioners are not substantiated as these are not supported by any evidence. Finding no merit in the present petition, it is accordingly dismissed. In the considered opinion of this court, due to articles published in magazines a

nd newspapers, the tweets made by member of the petitioner firm or a member of Parliament, the shareholders of accused companies were jolted and they were made to suffer huge losses.

As management, I apologize to shareholders to have put them in this place, but there's nothing that we could have really done when there is mala fide in people's intentions in attacking us. We do make mistakes when we conduct our business, but governance is supremely important to us. And this was a case which was just done to create massive shareholder value destruction. Businesses world over, in their regular conduct of business, especially in the lending business,

tend to face multiple litigations. As we wind down our wholesale book, we will face litigations as a counter blast to our recovery efforts. I cannot do nothing about that aside of the fact that I am, along with my team, performing a fiduciary to recover as much money as possible for the company.

If there is a counterblast, we will take it on our chin and we will continue to fight on merit. And you will, from time to time hear of such a counter blast. If by repaying close to INR1,20,000 crores, if by coming through this PIL, there is little credibility that the company's management has built, please trust us. These counterblast are merely a planned efforts to enable or disable the company from recovering its dues.

As stakeholders of the company, we should all stand together and ensure that if there is a defaulter, the defaulter is brought to book. Against the industry average of being able to recover 30% to 40% from assets sold to ARC, your company in the last 3 years has recovered over 76% of what it has sold to ARCs. I most humbly request you to hold my hand while we, with all of our energy and effort, go behind trying to recover maximum and try to grow the franchise value of this business through accelerated disbursements on the retail side.

Moving on to the quarter's results. Please refer to slide three of our earnings update. Our balance sheet has stabilized at INR73,500 crores. The net interest income has come in at INR900 crores for quarter 3 fiscal '24. For the 9 months, we have made over INR2,300 crores. The profit after tax for the quarter is INR303 crores versus INR291 crores same quarter last year. For the 9 months, we made INR897 crores versus INR867 crores for 9 months of last financial year.

The net interest margin is stable at 4.9%. ROA has marginally grown to 1.6% from 1.5%.

Spreads are stable at 330 basis points. Gross NPAs have materially declined year-on-year and the net debt to equity is extremely low at 1.5x.

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Retail disbursements under our asset-light model have now grown to INR7,200 crores in 9 months. Cumulatively, the company has disbursed over INR18,000 crores under the asset-light model in the last 2 years.

Since September 2018, the company has repaid debt of INR1,66,750 crores on gross basis, INR85,000 crores on a net basis, INR1,20,000 crores, almost INR1,21,000 crores, including interest. When this entire crisis started, our full loan book was INR1,14,000 crores. And there was skepticism around that, all of these litigations and allegations and what not. From that book of INR1,14,000 crores on a net basis, your company has repaid INR1,21,000 crores. What more validation can we provide to you?

In doing this, the company has had to run down its AUM by over half. Through this equity raise, I'm now confident that we will capture back the half that we've lost and grow much beyond. By fiscal '27, we should be back to being a 15% ROE company or higher. And the challenge that the management has taken is can we pull the fiscal '27 target forward to fiscal '26 and push up our ROE to 15% over the course of the next 2 years itself.

If I can now request you all to turn to Slide 6, which is our ALM's

summary, several of our lenders

would have logged in, and this is crucial for them. At the end of December '23, we had INR7,000 crores as cash. The ALM, which has been shown on a cumulative basis up to each bucket, has a positive net cash of approximately INR10,000 crores at the end of the first year.

The detailed 10-year quarterly ALM is there on Slide 16 to 20 of the earnings update. As per the RBI master direction for HFCs, we have to maintain a LCR, liquidity coverage ratio, of 70%.

We are comfortably placed against that. Further, we have liquidated voluntarily created the FD of INR942 crores, which was created for the put option of our FCCB in March '24. The funds are already moving. And on or before 4th of March 2024, all of our FCCB holders who exercised the put option, the date of which the put option exercise ends tomorrow, all of those guys will get their monies on or before 4th of March.

To give additional comfort to the bondholders, the FCCB holders, which have a put option in September '24, we have started the process, as we always do, or have been typically doing for the last 3 years. We've created a fixed deposit of nearly INR300 crores, which is equivalent to about 25% of the FCCB. And assuming that this also gets put, this will be very systematically funded as we have funded over \$3.2 billion of overseas borrowings that we have done in the last 5 years and repaid them.

Our long-term credit rating has been reaffirmed by the top rating agencies of the country, CRISIL and ICRA, at AA stable as of November and December end. The asset quality has been stable, while we continue with our efforts of trying to recover. And in our earnings update, we have demonstrated that we carry imputed provisions of approximately INR7,000 crores, which is 13.4% of the loan book and covers our gross NPAs approximately 4x.

We still need to do that recovery and management will make all efforts to make sure that, that recovery happens. That was the update for the quarter. When the monies came in or the bids

emotional moment for me. The last 5 years personally have been tough for both me as well as my team. And I can't thank you guys enough for having stood by us for logging into these calls, listening to the story of a management, it should always come and say, we are degrowing for A, B, C, D reason.

It is my strong assurance to you pretty much as strong as an assurance I gave to my debt holders over the course of the last 20 quarters, that your monies are safe. On a similar note, I give all my equity holders assurance that the story has turned, the page has turned. The light at the end of the tunnel is very bright. If you are not already out of the tunnel and growth shall resume. Last time around, this management created a 20 -plus percent annualized compounding story for 42 quarters. With all the experience and the mistakes and thereby the learning of the mistakes that we committed, I can assure you, we are now set for a compounding of 15% to 16% annualized for the rest of my working life.

Thank you so much for your support, and I'm happy to take questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Craig Elliot from NWI Management.

Craig Elliot: Congratulations, Gagan on the great business results and the success of the rights issue. I wanted to express a few things on NWI's behalf. We've been involved in virtually every external bond issuance. And as you said, the wide paths for the last several years for the business has been a little up and down, but we really appreciate that you've established your credibility. You always say what you're going to do and you deliver what you're going to say and tha

t's very impeccable
business.

Number two, you mark -- embarked on a monumental transformation to that asset -light model in a market, which currently still is super focused on balance sheet growth and I think they still really haven't appreciated that, but we're looking forward to the market continuing to appreciate that more and more, and we appreciate that you don't flourish in your transformation and your commitment to that. And then lastly, we really enjoyed the transparency and professionalism. We wish you and other stakeholders the very best of all success. Thank you very much.

Gagan Banga: Thank you so much, Craig. Between Hari and you, you guys have been like pillars for us, both professionally and personally as -- to get Hari's sound counsel when one is wondering what we're doing in business has been quite remarkable. I am really glad that we are in this position today that we are able to return your monies with all that we contracted for.

And I really do hope that in one capacity or the other as a bondholder or whatever capacity it's possible, we continue with our association with NWI. I really, really do appreciate the entire team support there. And my team and I are very grateful for whatever help you have extended to us over the years.

Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities.

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Bajrang Bafna: Congratulations for a good set of numbers. Gaganji, I just -- the entire speech that you have given is really emotional and being the -- in this community and tracking the banking sector for 20 years and the kind of journey that you have gone through and your entire team, it is sort of inspiration for all of us to learn from these hard times. And really appreciate the way you have tried to assure all your -- not only the debt holders, but the equity holders is unbelievable.

So just to put questions forward. My first question pertains to if you could just glance us through the -- we have already provided somewhat INR800 crores for the AIF thing. And the net worth that we have shown during this quarter, just to glance us the comparison from last quarter to this quarter, how it has come to almost a similar number?

And just one more accounting clarification that the ESOPs that have been issued to -- which has been vested and the share capital has gone up. So just the accounting principle that we are following in the books, how that has been accounted for would be really appreciated?

Gagan Banga: Yes. Thank you for your very kind words. And I'm sorry if the speech was too emotional or something. But the last 2, 3 days of the last week has been kind of an emotional joy ride, thankfully, it has ended up creating value for most of us and has been an assurance for the team. So thanks from my team and on their behalf to all the stakeholders. The accounting that we did for the AIF, and I just request Ramnath to come in and clarify on the numbers. I don't have the numbers top of my head. I'll just give you the principle.

Very regularly as a housing finance company, we make annually reserves, create reserves, which are called additional Section 29 C reserves, which we are allowed to dip in from time to time

depending on extraneous situations, which are not in the normal course of business. It's an enabling provision given by the regulator. We have dipped into this 3 or 4 times in the past. The first time I remember was after the global credit crisis and thereon. So this was a unique sort of a situation. So we have dipped into it in the ballpark of just under INR700 crores. The exact working of the net worth as well as how it has played out, I believe our profits for the last 9 months would be in the handle of INR800 crores, INR900 crores. And therefore, year-on-year, it would show a growth of a couple of hundred crores since we've di

pped in to the tune of

about INR700 crores. That's the top of head kind of numbers.

Ramnath, if you can just jump in and explain the exact math, please?

Ramnath Shenoy: So we had -- for the quarter, profits of, as you all can see, about INR303 crores. So net of tax, we have dipped into the additional Section 29C results, as Gagan mentioned, of about INR600 - odd crores. There has been addition to the securities premium account, both on account of ESOPs and other items and OCI. All of these put together added another INR175 crores. So the net effect of all of this was a reduction of about INR200 crores. So broadly, hence, the net worth has remained pretty much stable, except for this INR200 crores difference.

Gagan Banga: And he also inquired about the ESOP accounting and how we go about doing that?

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Ramnath Shenoy: Yes. So on -- can you -- on what aspect of the ESOP accounting is your question about, sir? Is it on how it goes into the profits or...

Bajrang Bafna: Yes, both profits as well as balance sheet? You have already indicated that INR175 crores has been added to securities payment account. And since it is a double entry, where is the second entry that you are putting in?

Ramnath Shenoy: No, no. So these are new shares that get created and hence, they add to the net worth when they are issued.

Bajrang Bafna: No, that I got it. But sir, since we follow the double account -- double entry method.

Ramnath Shenoy: On the other side, it comes in as cash. On the asset side, it comes in as cash and it adds to the net worth on the liability side.

Bajrang Bafna: Okay. So this amount has been received in cash from the ESOP holders. That is what you are trying to...

Gagan Banga: Yes, yes, it has to be received in cash.

Ramnath Shenoy: Yes, it has to be received in cash before the shares have to be -- before the shares are issued.

Bajrang Bafna: Okay. Okay. Because some amount has already passed through P&L also in a couple of cases. So that is why I just wanted to...

Gagan Banga: No, no, that ESOP accounting through the P&L as a completely different concept. But if someone is exercising investing in a stock and is receiving stock, they have to obviously pay cash. There's nothing else. The ESOP accounting is on the basis of the option valuation, which is getting created because the employee has that option and the price moves up and down. And therefore, the option valuation goes up and down. And therefore, it under Ind AS has to get accounted for in the P&L. That has nothing to do with the cash flow of it. If anyone is getting 1 share, he has to pay for that 1 share. He or she has to pay for that 1 share.

Bajrang Bafna: Got it. Got it. Thank you very much and all the very best that we come back on the growth trajectory from -- probably from FY '25 onwards, and all the good wishes to all of you.

Moderator: The next question is from the line of Pradyumna from Flute Aura.

Pradyumna: Good evening everyone and thank you for taking my question. Gagan ji and team, many congratulations on the rights issue and the success. I just have a couple of questions that pertain to and I'm just touching upon the previous participant's question and 1 more. Obviously, we've come a long way from the last 5 years like you mentioned in your opening remarks. .

Gagan ji I had one question regarding the net worth. So obviously, our net worth, and as you mentioned, our CRA R requirements, et cetera, already quite on the higher side. If you could just shed a little bit more light in terms of the rationale and the usage for the funds from the rights

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issue because obviously, that's going to further pad up the network. But if you could just shed some more light in terms of the timing of the

requirement right now would be very, very useful.

Gagan Banga: Yes, that's a great question and I should have actually addressed it in my comments. So if you have to really restart the growth trajectory, I am firmly convinced of the fact that on a long-term durable basis, we have to leverage on our distribution on our credit appraisal capabilities, and we have to leverage on our relationship with banks and their ability to hold loans on a long-term

basis versus our ability, which is when we are funded wholesale, we can't really hold anything long term.

The company came all of this way because, thankfully, amongst the many mistakes that we made, we did not make one mistake, which was borrow short, lend long. So we -- our ALM was matched, which it continues to be.

If we have to really continue with a robust balance sheet and a quality focused business, we need to make sure that we have the ammunition of being able to cover the entire play field and not just be restricted to priority sector loans because we are so focused on asset light. Asset light under the co-lending structure is a recent creation and a forbearance of the RBI. And we are grateful that the RBI has done this for us.

If you look at the last 15, 20 years of Indiabulls' existence, always close to about 15% to 20% of our assets used to be assets that we would securitize -- originate and securitize. So that's a business that we would like to get back to.

And -- but for doing that, we have to hold on to assets that we create for 6 to 8 months and eventually securitize them, unlike an on-tap arrangement, which is there under the co-lending scheme where you can kind of receive the liquidity for the asset in 30 to 45 days itself.

So we needed to get capital to be able to break this logjam, start this process where we are holding on to assets, originating and holding them on. And subsequently, the cycle will begin where banks are churning these assets for us. And we did not necessarily want to pad up on our leverage at this time. We continue to remain extremely mindful for leverage.

In due course, willy-nilly out of our business model leverage from 1.5x will grow to 2, 2.25x, not more than that. But that's a gradual and slow increase that we would like to see versus an immediate increase. But to grow our disbursements from INR800 crores - INR900 crores a month to INR2,000 crores a month, we needed this injection. So that's the general utilization of the liquidity that we shall receive. We've transitioned out basis what the requirement of liquidity will be. And therefore, we've not fall for the entire sum upfront because we will need it in due course.

We can't -- even if you want, we can't disburse INR3,700 crores tomorrow or over the next month or 2. So we've tried to be extremely transparent and fair in how we are trying to draw up this liquidity.

There would also be other strategic and tactical utilization of this capital, which will facilitate both a cost of fund reduction in due course of time and improving cost income ratio over the Indiabulls Housing Finance Limited

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next 12 months and acceleration of recoveries through this capital by our ability to provide over the next 12 to 24 months.

So all in all, my sense is that whether it is a contribution to earnings compounding or reduction of cost of funds or accelerated recoveries, the benefit of this INR3,700 crores, which in the short term will accrue to investors, will be in the quantum of -- will be to the quantum of INR10,000 crores, which was our market cap when we started with this entire thing.

So through this INR3,700 crores, the intention of management is by using this money from a liquidity perspective to also achieve certain strategic objectives as well as to use it tactically between the 3, create cash of approximately INR10,000 crores and that's what we're out to do.

Pradyumna:

Understood, sir. Very, very helpful, thank you for elaborating. Sir, just one more small question. Just touching upon what my previous participant had mentioned. If I'm -- it's more of a clarification, actually, if I remember correctly, in our FY '23 annual report, we had mentioned somewhere that the investments in the AIF units by our company somewhere to the tune of INR3,000 crores to INR3,500 crores. My apologies...

Gagan Banga: No, it was a little over INR4,000 crores, if I'm not mistaken, stand-alone was INR3,000 - something crores. Ramnath, can you please take that? You will have the granular data on how it has been processed. It has largely been run down. So that is one thing. There will be a some impact on capital adequacy in due course, which we have more than compensated through this capital raise. And we have created provisions, but Ramnath can perhaps run you through the exact drill down of what's happened there.

Ramnath Shenoy: Yes. So that has been unwound. We had AIF investments in some of these structures where we had moved our -- few of our developer loan exposures. And hence, pursuant to this circular, we had to make the provisions that we have.

Pradyumna: So are we looking to -- will we be providing for the balance INR3,000 crores...

Gagan Banga: No, no, we have taken care of that. So whatever take compliance we needed to do from a provision perspective of the December, 18 circular, that's been completely done.

Pradyumna: Okay. So no residual impact, we are expecting as of now...

Gagan Banga: From the December 18 circular, no.

Pradyumna: Thank you, so much sir. Very, very useful and all the best to you and the team.

Gagan Banga: I'll just take one more question and then we'll -- you can obviously all ask us anything one-on-

one. I'll just take one more question on this platform.

Moderator: We have the next question from the line of Rishikesh from Robo Capital.

Rishikesh: Thank you for the opportunity, my first question is, if I see the other income in this quarter has gone up from INR15 crores to INR60 crores. So just wanted to know whether there is any one-off? And if you could share the nature of the same, is it sustainable or not?

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Gagan Banga: It's not a very large sum of money. Yes, just jump in and clarify this INR45 crores, please?

Ramnath Shenoy: Yes. So this has mostly come from an income tax refund that was due, which has now been received and hence the interest and interest on the refund.

Rishikesh: Okay. Secondly, most of the provisions this quarter were, I believe, taken for AIF other than which provisions were not much. So how should we see the net provisions going ahead in Q4 and for the next 2 years, as FY '25 and FY'26?

Gagan Banga: Yes. So provisions will be a matter of -- will be a matter of strategy. We are discussing that internally to see how do we accelerate the rundown of the wholesale book in a systematic manner. And we have the requisite capital buffer. So we have to basically look at what is tactically the right thing to do. I don't wish to, at this stage, give a guidance on credit costs because we are in the midst of taking this decision.

All I can say is that whatever we do over the course of the next 24 months, we should be able to, between recoveries from past write-offs, et cetera, bring back cash to the tune of INR7,000 crores to INR10,000 crores, which is what I mentioned too, in the previous question as well. So that's the goal.

We will just look at provisions and NPAs and write-offs and accelerated recoveries and what kind of litigation cost do we wish to pay and so on and so forth and take a very tactical decision around it. But much as we have been able to recover very successfully, as I mentioned, we sold down -- of what we sold down to ARCs, we've already recovered over 75%.

We will be ni

able footed, stay on our toes and continue with this process of recovery as incrementally, we focus on two things. One is the retail disbursal growth and the franchise creation around that, where clearly, the goal is over the next 12 months to double the disbursals. And then also use the wide opportunity which has gotten created for getting back to wholesale lending, but not on our balance sheet, not using our capital.

Much like we are using our distribution and credit appraisal abilities on retail, we would like to utilize our experience of managing the life cycle of a real estate loan without really putting our capital to risk in a very transparent structure in partnership with the global fund. I've been talking about this for the last 6 months, and that should be the other area of focus.

On credit costs, perhaps along with our quarter 4 earnings, we would have internally decided as to what should be the trajectory of that, and we'll certainly guide all stakeholders on that.

Rishikesh: Okay. Lastly, so the 15% ROE that we expect, is that after factoring write-backs or no?

Gagan Banga: It is after factoring everything. So the net worth, in my sense -- in my opinion, between now and then will grow by close to about INR6,000 crores to INR7,000 crores.

Moderator: Mr. Banga, that was the last question.

Gagan Banga: Thank you so much, guys, and thank you so much, everyone. And again, I apologize if my comments were more emotional than extremely data-based as they should be in normal course

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of business. But perhaps some of you may appreciate that after having done these calls for the last 10, 11 years, and bored you with the same data, data, data for the last 40, 45 quarters, this may be just an interesting break where I get emotional. Thank you so much for your support, and I look forward to speaking with all of you again along with the annual results. Thank you.

Moderator: Thank you, members of the management. On behalf of Indiabulls Housing Finance Limited, that concludes this conference. Thank you all for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2024

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Date: May 29 2024

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MUMBAI – 400 001

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended - transcript of conference call – financial results for the quarter and financial year ended March 31, 2024

Dear Sirs,

We refer to our intimation dated May 24, 2024, informing that the Company has uploaded the audio recording of the conference call hosted by it on Friday, May 24, 2024 to discuss the financial results of the Company for the quarter and financial year ended March 31, 2024, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

for Indiabulls Housing Finance Limited

Amit Jain

Company Secretary

CC:

Singapore Exchange Securities Trading Limited, Singapore

India International Exchange (IFSC) Limited, (India INX)

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Q4 FY 2024 Earnings Conference Call "
May 24, 2024

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER --
INDIABULLS HOUSING FINANCE LIMITED
MR. SACHIN CHAUDHARY -- CHIEF OPERATING
OFFICER -- INDIABULLS HOUSING FINANCE LIMITED
MR. MUKESH GARG – CHIEF FINANCIAL OFFICER --
INDIABULLS HOUSING FINANCE LIMITED
MR. RAMNATH SHENOY -- HEAD, ANALYTICS &

INVESTOR RELATIONS -- INDIABULLS HOUSING
FINANCE LIMITED
MR. RAJIV GANDHI -- MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , ICCL
MR. ASHWIN MALLICK -- HEAD, LIABILITIES &
TREASURY -- INDIABULLS HOUSING FINANCE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY 2024 Earnings Conference Call for Indiabulls Housing. We have with us on the call today, Mr. Gagan Banga, Vice Chairman, Managing Director and Chief Executive Officer; Mr. Sachin Chaudhary, Chief Operating Officer; Mr. Mukesh Garg, Chief Financial Officer; Mr. Ramnath Shenoy, Head, IR and Analytics; Mr. Rajiv Gandhi, MD and CEO, ICCL; and Mr. Ashwin Mallick, Head, Treasury.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Please note that this conference is being recorded. I now hand the conference over to Mr. Gagan Banga, MD and CEO. Thank you, and over to you.

Gagan Banga: A very good day to all of you, and welcome to the quarter 4 FY '23, '24 Earnings Call. I hope all of you have the earnings update handy. Financial year '23, '24 has been a year of stabilization for the company, and I shall begin with the highlights of the year.

I request you all to turn to Slide number 4. In Feb of '24, we raised INR3,693 crores, approximately \$445 million of equity shares by way of rights issue. The issue was subscribed over 2x times and was one of the most successful rights issues of significant size in India in the last 5 years. This equity infusion will support borrowings, accelerate the retail disbursements, put credit ratings on a positive trajectory and will thus overall serve as a springboard for our retail originations engine. While meeting with investors, existing shareholders, et cetera, I highlighted that with this rights issue, we should be able to take forward our local borrowing program. If you go through the slide on our borrowings which I will also go through in due course of the presentation. You will realize that the borrowing franchise from the banking sector has already started growing.

Last month, our dollar bond issue of \$350 million also saw great success. The issue was subscribed over 3x and this success was supported by our track record of having raised and repaid \$3.2 billion of foreign borrowings over the last decade. Of the \$3.2 billion repaid, \$2.2 billion was repaid since 2018, which has been a period of 5.5 years of very tight liquidity conditions for most Indian nonbanks. These moneys have been raised under the sustainable financing framework and will be deployed towards retail disbursements towards affordable housing loans and loans to MSMEs.

Under our asset-light model, this year, we disbursed INR9,560 crores of retail loans, up by 22% from fiscal '23. Through the course of fiscal '25, which is now just, what is now just under INR1,000 crores per month will be scaled up to INR1,500 crores by the middle of the year and towards INR1,800 crores per month by the end of the year. The year also saw completion of the de-promoterization exercise, and we began 4 years -- which we began 4 years ago in 2020. The erstwhile promoter has since completely exited his entire shareholding in the company.

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Our long-term credit ratings have been revalidated and reaffirmed by both of India's premier rating agencies, CRISIL and ICRA at AA stable as recently as this month, earlier this month, which is May '24 by CRISIL and December '23 by ICRA.

In the month of March '24, Moody's upgraded the company's long-term rating by 1 notch. In the same month, the international credit rating S&P also signed up a similar rating, which enabled the dollar bond to go through.

Very importantly, in fiscal '24, in January of '24, the Delhi High Court finally s

aw the dismissal

of the extremely frivolous Public Interest Litigation, which had been troubling the company for the last 5 years, which was launched by a group of vested interest against the company. For affidavits filed by regulatory bodies and government agencies after conducting new audits on the company. The Honourable Delhi High Court dismissed the PIL, finding no merit in the allegations. The court also strongly pulled up the petitioners noting that their irresponsible allegations and conduct resulted in losses to shareholders and other stakeholders.

The success of financial year 2024, actually owes its foundation through mission fortress balance sheet, which we had launched in fiscal 2020. Since then, through disciplined deleveraging and prudent ALM management, we have indeed built a fortress balance sheet based on the pillars of moderate gearing, high capitalization, ample liquidity and stable asset quality.

The strong financial footing and the market confidence we have established has laid the foundation for a multiyear steady compounding much like the decade -long compounding that we witnessed between 2009 to 2019, where we had done a CAGR of 22% across all financial parameters. We now are well set, having consolidated over the last 2 years to begin or now as we go into the second quarter of that compounding journey.

We've also overhauled our entire corporate governance framework. And now we can probably call ourselves, a Board run professionally managed, diversely held financial institution. No individual owns any significant or strategic stake. Large financial institutions are only key stakeholders of the company. And the shareholding base today cuts across more than 0.5 million shareholders.

All key committees are chaired by independent directors with relevant experience. And the Board has a very effective oversight over all aspects of the company's operations. The build -out of the fortress balance sheet and the sustainability of that relies heavily on the scale up of our asset -light retail origination engine, which also was an initiative which we started in fiscal year 2020.

Over the last 4 years, while we were pretty much the first movers as far as the asset -light model is concerned, we have leveraged our 1.5 -decade -long sell -down relationships and laid the path by formulating joint lending policies and undertaking technology integrations with our partner banks.

We now have strategic and sizable sourcing partnerships, cutting across midsize public as well as private banks. And we are, by far, the largest co -lending mortgage lender in the country. Most importantly, today, our loan documentation, our valuation methodology, our low life cycle

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management processes, our all industry standard processes accepted by multiple private and public sector banks and so are our credit policies. This is perhaps India's first such example of a financial institution's loan management model starting from origination to the entire life cycle management, becoming an industry standard and provides us with a great foundation of pivoting towards our goal of being a very efficient, large -scale distribution and origination machine. Around 37% of our AUM is now funded by co -lending or sell -downs, up from a mere 10% in fiscal 2018. The core strength or the moat as investors call is the fact that in all of these relationships, the 90 -plus delinquency, which is the 90 DPD or the NPA or Stage 3 delinquency is only 15 basis points.

In the quarter ahead, our near -term goal is to expand, given the fact that our entire loan management methodology is now an industry standard. We can easily expand the number of relationships to 12 in number, again, increasing our focus on midsize public and private sector banks.

Supported by the growth in retail disbursement, AUM and loan book have sta

rted growing from

quarter 3 to quarter 4, which is something that I had committed that by the end of quarter of the financial year, we will resume the growth process. It took us around 3 quarters to consolidate and now towards the end of the financial year, the growth has started, which will only compound and speeding up hereon.

We are well aware that the nonbank sector is going through unprecedented developments, both on the regulatory front as well as there is a phase of consolidation. Companies around us, a few of them are choosing to become larger. Some are going public and others realizing that there is a harmonization between banking and nonbanking guidelines are choosing to become smaller. These developments generate a variety of value -creating opportunities for the company. Given the consolidation that we have performed over the last 5 years, we believe it is time to be strategically poised to be able to take advantage of these opportunities, which may arise from time to time in the products of our interests.

In order to do so, today, the Board has given us an enabling provision, subject to shareholder approval and other regulatory approvals of raising equity, if required, of up to INR3,500 crores. At this juncture, our balance sheet is fortress. It is highly and most strongly capitalized. We are moderately geared and have a very stable asset quality.

Unless it is for strategic reasons, which create shareholder value, we will not need to raise this capital. But at the same point in time, there are very good deals, which one can get, if one is nimble -footed. Historically, Indiabulls has been nimble -footed, and we would like to have this enabling resolution in our bag, subject to shareholders also approving it and other regulators and lenders also approving it, we will be well poised to take advantage of this evolving -- rapidly

evolving situation as we see it around us.

Our fortress balance sheet, a built-up and trained manpower, branch network reach and our co-lending partnerships present us an opportunity to accelerate our disbursal growth. To further facilitate this, we have extremely strong macro enablers. For those of you in India, if you've read Indiabulls Housing Finance Limited

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the newspapers of today and yesterday, the 2 key large real estate markets, which are -- which is the Delhi NCR and the Mumbai Metropolitan Region are now having inventory, which is at the lowest point in the last 6 years, which, in some ways, signifies how strong the real estate market is.

And given the government focus and the policy support historically, for the last decade or so, on the housing loan sector, we expect this macro enabler to further facilitate the acceleration of our disbursal growth.

Slightly philosophically speaking, I request you all to turn to Slide 6, where most respectfully, we have replicated or reproduced a word from the Bhagavad Gita. On the eve of the Mahabharata War, Lord Krishna expounds on the concepts of duty and the path of the warrior. Why I am -- we are reproducing this, because we feel having lived through and fought through the last 5 years, we have goals to achieve.

But we are also all warriors in our own light. This verse emphasizes the importance of single-minded determination and focus in pursuing one's duties. It contrasts the resolute individuals who have a clear and focused mind with the irresolute, who are distracted by many desires and ambitions.

The key message is that, true success and fulfillment come from dedicated and undivided focus on one's goals, avoiding the distractions that lead to confusion and inefficiency. The management team, having fought the battle over the last 5 years has come through only with this single-minded focus.

Now as we have the beginning of a new journey, under a new name, practically a new life, under the brand of Sammaan Capital, which

we should be adopting in the next 40 days or so. I'm happy

to announce today all, every regulatory approval, RBI, ROC, et cetera, everything is in place.

And now we are going through the very logistical mechanics of implementations of the name change, which we should do well within this quarter.

As we begin this new life, what we are focused on ensuring is that Indiabulls Housing or Sammaan Capital, as it will be called, will remain an earning machine. We have stood as a team for steady earning compounding. This earning machine, unlike earlier, where the earning compounded relied on balance sheet compounding would rely on our ability of becoming a very efficient or remaining a very efficient origination machine and compounding our origination numbers.

What is also very important in a widely held company, which is completely board managed and run by professionals, the key board members who are guiding the company as well as the key management personnel who are leading the company every day, have a performance-linked sweat equity plan so that their wealth is completely tied to the company's performance. We have to make sure that Sammaan Capital is perceived as one of the most transparent companies with the best disclosures in the industry. And as we prepare to begin our lives under Sammaan Capital, to be very, very transparent, we are putting route, as we have put out the goals of fiscal '27.

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I'll just go through the logic, the goals and how we will keep you updated. I'm sure at the end of this call and over the course of the last few years, I have dealt with this question, and I will deal with this question again that Gagan, if you are what you are, and if the balance sheet is what it is, why do you guys trade at 0.5, 0.6x book? I strongly believe having come through the last 5 years, the discount is merely an inability of the market to value the pace of growth, the pace of compounding and it is just the cost of capital which discounts us every year. And thereby, we are unable to move beyond this 0.5, 0.6x price-to-book valuation.

I'm not a stock market pundit. I don't know how to value the company appropriately or inappropriately. But I've also heard that your portfolio will require provisions. I have myself admitted that we need to be tactical to achieve our variety of goals. And one of the key goals is the unwinding of the legacy AUM.

Therefore, without getting into specific details, what we are directing or advising is that from our current net worth of approximately INR19,000 crores, the net worth would grow to at least INR23,000 crores by fiscal '27. This implies that we have done our math, taken care of all the tactical moves that we will need to make in order to meet the other 7 objectives. And with all of

that calculation behind us, what we are guiding is that by the end of fiscal '27, the net worth will grow to at least INR23,000 crores. This does not factor in the balance amount of rights that has to be called. This is merely on the basis of our earnings compounding net of credit cost that we expect to do.

The legacy AUM, which is rapidly winding down. In our mind, it's an AUM or earning asset, which has actually stood the test of time. If you notice our Stage 2 assets, there has been a significant reduction in our Stage 2 assets, in our Stage 3 assets. Despite that, we believe that there is a degree of opacity that the market views in all that we did prior to 2022. So the entire loan book, which is prior to 2022, irrespective of the underlying asset, we think of that as our legacy AUM. And by the end of fiscal '27, this AUM would be sub INR5,000 crores.

The incremental retail AUM would be past INR1 lakh crore. So the legacy AUM would be sub 5% of that. 95% of what we would be having in fiscal '27 would be assets, which would have been originated by us, but blessed

by one or the other counterparty, which is a bank.

In order to get to INR1 lakh crore, we will need to be making about INR35,000 crores of disbursements in fiscal '27, which will require us to ramp up what is INR1,800 crores in March of '25 to about INR2,700 crores, INR2,800 crores in March of '27, which means every month, we will need to add INR50 crores to INR70 crores to our monthly disbursement and we should be able to achieve this.

We used to do back in 2018, INR35,000 crores of annual disbursements. We have kept the underwriting and the distribution machinery intact, as a matter of fact, grown the coverage of cities by almost 50%. So we are extremely confident of being able to create the franchise value of disbursing INR35,000 crores and create an earning powerhouse, which is extremely capital efficient by having a retail AUM, which is completely blessed and transparent of over INR1 lakh crores.

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The retail ROE target on incremental disbursements by fiscal '27 would reach 18%, the ROA would be at about 3.2%. Historically, we have been a very cost efficient machine. We have tried to make sure that our team stays together. And as a management team, we've thought about payouts to the team as investments. We are quite sure that now with the scale up, we will be able to bring down the cost/income ratio, and it should be operating in high teens by fiscal '27. The net NPA should also be at a moderate 1.2%.

Starting quarter 1 fiscal '25, which is the next quarter, the coming up quarter, every quarter on the first slide of our earnings update, we would not present our financials. We will present to you an update on these 8 parameters. The sweat equity plan that I mentioned, which the Board had kindly approved in Feb of '24, which we stopped from implementation since we were putting together this entire model is linked, is going to be linked only and only to the successful achievement of each of these 8 milestones or 8 key parameters on a quarter-by-quarter basis. If you look at these numbers, just to put them in perspectives, at 18% ROE, this will be by far the best reducing ROE of 100% or near 100% retail, and that also secured retail franchise. This franchise will be unique that it will have no asset liability maturity risk, will be running at a very moderate sub 2x gearing. And on an annualized basis, it will be producing 2x of the stock, of -- it is -- just via disbursements, 2x of the book that one of the recently listed HFC has produced over a decade.

Moving on to the quarter's results. Please refer to Slide 3 of our earnings update. The AUM and the loan book have resumed growth, as I mentioned, supported by retail disbursements. The net interest income has come in at INR964 crores. For the year, it is at about INR3,318 crores, up approximately INR300 crores over last year.

The profit has also nicely moved up from INR320 crores for the quarter from INR261 crores.

The gearing remains moderate at 1.2x, and we believe that plus/minus 0.5x, this is going to be the operating range for the company. The spread is at 300 basis points. It has declined. It should decline in other about 20 to 30 basis points as the granularity of the book increases and the character of the underlying loans change. This is all factored into the 8 key parameters that I've spoken about earlier. And we are extremely mindful of the fact that we are not magicians. We can't build stable, granular, secured book and yet have spreads which are similar to a company, which is in either unsecured lending or gold loan lending or some such asset class.

Our gross NPAs were at INR1,754 crores, and net at INR995 crores. From an asset quality perspective, this is the lowest gross and net NPA in the last 15 quarters. I mentioned earlier that of fiscal '24, one of the key achievements was the elimination of the end and a very respo

stable

end from our perspective of the frivolous Public Interest Litigation filed against us. As we look to manage our asset quality, as we look to achieve point number 2, which is a rapid rundown of

our legacy AUM. As a team, we are mindful that we will have to be tactical in our approach to the legacy book. And some of our borrowers will do counterblast by doing litigation, by using their contacts with various agencies and enforcement divisions. We'll have to take it on the chin, fight it out in the court of law. We have great belief in the courts of India. And at the end of the day, we are lenders, we are only trying to recover our money. I'm sure, as the courts have been

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supporting us in this endeavour over the last 5 to 6 years, the courts would continue to support us.

So please do pardon any headlines which may appear out of our endeavour to get our moneys back. This is part and parcel of doing business in India and we are fairly resolute that this is the right way of going about doing our recoveries, with the legal remedies, which the legal system of India gives to any and every lender.

The Board has also recommended a final dividend of INR2 per share, which is 100% of the face value of the share to the shareholders for approval at the AGM. There is a dividend payout policy now or a dividend payout regulation now with -- which the Reserve Bank of India had incorporated about 2 to 3 years ago. As the compounding gathers pace and becomes more steady over the next 24 to 36 quarters, I'm quite sure the past history of the earning machine, also being a dividend distributing machine as the earning machine grows in size the dividends distribution size will also keep increasing.

Slide 8 contains an update on the asset-light retail disbursement done in fiscal '24. Since the end of the last quarter, the company has signed up one new co-lending partner, taking the relationships to 9. The company is capacitized both in terms of trained manpower and branch network.

I already spoke about the unique franchise that we have created of being the industry standard for the entire loan origination, loan management, life cycle management process in terms of our documentation and reports, technology, et cetera. Given this benchmark that we have created, we will continue to look to expanding these relationships and expand the overall network such that we are comfortably placed to achieve the goal of INR35,000 crores of disbursements in fiscal '27.

As part of our mission fortress balance sheet launched in fiscal 2020, there has been since then heavy emphasis on disclosures around the asset liability maturity of the company. I'll run you through some of these disclosures which may not be extremely relevant now given our repayment track record and our moderate gearing. But we cannot ever ignore the fact that mission fortress balance sheet is a lifelong mission that we have to continue to follow.

Please refer to Slide 9. As at the end of March '24, on balance sheet, we carried liquidity of about INR7,000 crores. The ALM, which is shown on a cumulative basis on each bucket, we are positive across all buckets with a positive net cash of INR11,376 crores at the end of first year. The detailed 10-year quarterly ALM is also there on Slides 19 to 23.

As per RBI's Master Directions for HFCs introduced in Feb '21, we are required to have a LCR of 70%. We are very comfortably placed against this LCR only based on what is defined by RBI as high-quality liquidity liquid assets, which excludes even bank's fixed deposits.

As part of the fortress balance sheet process, we had initiated a program there for all large repayments. We would start the process of creating a voluntary fund, 4 quarters prior to the maturity. As part of that process, in April of '24, we deposited the second tranche of INR291.5 crores.

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Now we have deposits totaling to INR583 crores, which covers 50% of the maturity amount of the convertible bond where the put option comes through in September '24, assuming that the put option is actually exercised. We have already gotten it covered through specific deposits of up to 50% at INR583 crores.

As I mentioned, the total cash that we are carrying is actually INR7,000-plus crores. Please refer to Slide 10 of the earnings update on asset quality. Again, as I mentioned, maintenance of asset quality, especially in the asset-light mode, is a unique mode besides the industry standard documentation and loan management process. This mode remains a high area of focus. And with this focus, we've been able to achieve a 15-quarter low gross and net NPA. We are quite sure that the asset quality of the company is something that we are on top of. And as we look to run down our legacy book, we will utilize our provisions, our capital, et cetera, to make sure that our gross and net NPAs remain within a tight range.

We are also quite sure given the fact that our loans are all secured, largely secured. We will be, whatever goes into NPA also gets recovered. Just this afternoon during our Board meeting, I

was presenting a slide on progress of loans sold to ARCs. Over the course of the last 4.5 years, we sold loans to ARCs of approximately give or take INR5,500 crores over the last 4.5 years. And we have already recovered, and this is all present there. And this is in our annual reports and will also be present in the forthcoming annual report. Of this INR5,500 crores, we have already recovered 71%.

The industry average after 5 years of a loan being sold to an ARC, after 5 years, we have been consistently selling over the last 4.5 years. After 5 years, the industry average, and this is as per a review done by the Reserve Bank of India for all the ARCs in the country as recently as 10 days ago, is only 12%. So that's the kind of -- even if a loan slips into the nonperforming category, that's the kind of recovery expectation. And again, in the spirit of transparency. This is not what we are claiming. This is what is coming through, through external ARCs, and there are only 2 or 3 large ARCs in the country with -- and we do business with almost all of them. Between the provisions we already carry and this particular comment that has become extremely relevant, between the provisions we already carry are conservatively estimated recoveries over the next 3 years and some other releases, result into an imputed provision of about INR6,191 crores, which is covering 11.7% of the loan book and covers our gross NPAs 3.5x.

To deviate a little from the mundane discourse around earnings, as I met with hundreds of investors through the course of the calendar year, what I realized and concluded was that as far as NB FCs or most financials are concerned, the regulations will keep evolving. The regulator has taken a stance, which is very unique for the Indian regulator besides ever-evolving regulations, even the manner of supervision is extremely firm. The macro is evolving.

Today, we have a situation where we have so much of geopolitical tension that no economies in the world can perhaps predict where the growth would be 2 or 3 years hence. Government policy naturally has to be responsive to all of this. Interest rates are in a zone of their own, where no one being able to accurately again, predict whether we have 2 cards, 3 cards, 5 cards and when do we have that.

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From now -- now and then we do see credit cycles also emerge across asset classes. And as a nonbank finance company, we have realized that nonbank finance companies, irrespective of parentage, asset class, size and scale, tend to be slightly more pro-cyclical

than banks. We are

focused on trying to build an efficient earning machine.

We believe the best mitigant for this pro-cyclicality, which comes out of evolving regulations, macro, government policy, interest rate, credit cycles and 100 other variables, the most sustainable counterbalance to that is to have a low gearing, yet be on a path of being able to achieve a competitive ROE, which can only happen by very efficient usage of capital. Therefore, the earning machine has to be an outcome, not one of leverage of capital, but of how efficiently you build size and scale by remaining capital efficient.

We are thus taking one step forward every day, and we are confident of building a unique distribution-focused nonbank, which is the least pro-cyclical, as one hopes through a multiyear earning compounding process. Again, to remain on this track of not specifically being on earnings, for those of you who have been associated with the company.

And I've heard me on these calls over the years, a lot of you may relate to the fact that I love running. I ran many races across the world. Over the last -- since practically, January of '23, I have not run any race.

I was running the race of making sure that my commitment of stabilizing the company through fiscal '24, I do not fail on. And it was indeed the fag-end of a marathon and one was tired as one is after the 32nd kilometer of a marathon. But there is no point of life, I believe, if you're not focused on both health and wealth. I have decided to seize back my health. My running mileage for me is as good as it used to be over the 15 years preceding 2023.

We've also, as a management team, me, included, have made sure that we have a model, which is a transparent model, where our wealth, along with our shareholders' wealth and other stakeholders wealth also compounds. It is completely aligned and now completely and transparently goal linked. And as we move towards the higher and higher ROE and ROA, I'm sure all stakeholders will benefit from that.

On that note, we thank our shareholders for their unwavering support during these tough times. All our other stakeholders, the regulators, rating agencies, lenders and the employees at large and the various associates of the company, who helped us through the last 4 to 5 years, especially through the last 12 months, which is fiscal '24. We are excited to come up with that first sheet for quarter 1 fiscal '25 in about 2 months from now.

Thank you for your continued trust and partnership. And look forward to speaking with you with an update on the 8 parameters. Thank you. We are open to questions now.

Moderator: We'll take our first question from the line of Bajrang Bafna from Sunidhi Securities & Finance

Limited.

Bajrang Bafna: Congratulations for your again 2024 results. Sir, just my first question pertains to little wondering, we are already embarking upon a net worth of close to INR20,000 crores right now.

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And yet, almost close to INR2,400 crores is going to come from the rights issue, which is pending. And then we are talking about next '25, '26, '27, 3 years profit. And the net worth number that we have floated on this is close to INR23,000 crores. So are we building in some sort of the provisions, while calculating these numbers. So just not able to match the math part? That's my first question. If you can help me to understand...

Gagan Banga: I request you to stop there because it's a very important point to be highlighted. No doubt, our net worth is currently INR19,000 crores. In my comments, I very clearly said that the INR19,000 to INR23,000 crores does not include the balance INR2,400 crores that we have to receive from rights. So please remove that from your calculation.

The second point I also highlighted was that, as a team, we stand for being an earning machine, which

also compounds earnings, that gives out dividends very steadily. So this also assumes a healthy rate of dividend payout from the earnings as the scale of the company and the stability of the company has now been achieved.

We just have to start scaling up materially, and we also scale up our dividend payouts. We do rely and are mindful of the fact that we are very well capitalized. We have not 1, but 8 goals to achieve. And I very transparently also said that we will use all tactical measures to make sure that we make the best of the resources available by fiscal '27 achieves the milestones that I've spoken. We will continue to rely on capital.

Today, we have 11.7% of our loan book as provisions. I do not visualize any requirement of a large dip into our capital. That said, capital is there for a purpose. The larger objective of that capital is not only to provide stability to the company and comfort to its lenders. But for it to also get transformed into an efficient return providing machine for shareholders.

So within these ground rules, we will continue to operate. We've done our math. And without the -- again, I'll repeat, without the balanced rights issues and with a heightened dividend payout, materially heightened dividend payout, we will still get to INR23,000 crores.

Bajrang Bafna: Quite helpful, sir. And sir, we have also mentioned in the press release additional fundraising of close to INR3,500 crores. We are yet to receive additional INR2,400 crores and our capital adequacy is again close to 33% right now. So just get some -- if you could help us to understand the rationale behind further announcing the fund raising.

Gagan Banga: So if you read the exchange information which we gave last week as well as read the outcome of the Board meeting, you would have probably read that this INR3,500 crores is merely an enabling provision from the Board, any equity raise as is common knowledge requires to go through the process of shareholder approval.

I also mentioned the fact in my comments that we are extremely well capitalized. We do have INR2,400 crores of further equity at our disposal to be called from equity shareholders. Over and above that, given the rapidly evolving regulatory environment and macro environment. One is aware of the fact that they would be fairly rewarding opportunities which may come around. If they do come around and we have a situation that in some structure, we believe that we can create value for shareholders. It's not as if management can do anything unilaterally.

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There is no promoter here. We will propose both the opportunity as well as the capitalization required for that opportunity to shareholders and let them decide. So please be most comforted with the fact that when we say that we are management-driven widely held company.

Management is one of professionals, whose wealth compounding is completely linked to these 8 parameters.

If these 8 parameters are to get achieved, the wealth of share -- existing shareholders intuitively, should be up manyfold. And despite that, whatever we do, the empowerment of the shareholders, in our case, is 100% for anything and everything that the management may propose to do out of the ordinary. Fundraising or any other pursuit of strategic opportunity is clearly something which is out of the ordinary.

Bajrang Bafna: Got it. And just to get a sense, the new RBI circular that has come up, regarding this -- the guidelines where they're talking about 5% additional provision on the project loans, so do we -- are we impacted by that guideline if that becomes a circular, so your thought perception that will be really appreciated, sir.

Gagan Banga: It is a draft guideline. A lot of feedback has gone to RBI from all quarters pertaining to that. And

the projects that we have financed incidentally, if you look at

the, again, the goals where we are

talking about a rapid runoff and sub INR5,000 crores of legacy book and the legacy book comprises both of wholesale as well as retail loans.

Hypothetically if the circular does come. And hypothetically, what is left with us are INR5,000 crores of project loans only, it will be an impact of INR250 crores, which is immaterial. So in our current avatar when we are only focused on origination, origination in partnership, keeping our balance sheet light. If our balance sheet is light, the underlying capital requirements are light, the underlying liquidity requirements are light and the statutory provisioning requirements are also light.

So while I will await the outcome of the circular at this juncture, given our business plan, I do not see the circular having any meaningful long-term impact on the company.

Bajrang Bafna: Got it. Got it sir. And sir, my last question, just the growth guidance, you have broadly indicated the path for next 3 years, how we are going to grow in terms of broader numbers. But just for the sake of understanding, now we are embarked on the loan growth part. And this quarter, we have started that. So what sort of the final number that you are targeting, you have given the guidance for disbursement. But on a net basis, because you are going to run down the legacy book also, so net-net, what sort of overall growth in AUM, we can anticipate both your own and as well as...

Gagan Banga: If you look at point number 3 is very clearly highlights incremental retail AUM of fiscal -- by fiscal '27 of over INR1 lakh crores.

Bajrang Bafna: But for sir, this FY '25, if you can just get some sense in terms of growth.

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Gagan Banga: Just wait for the first quarter, like I said, the first slide would very categorically and clearly give you an update on what we've achieved towards fiscal '27 and what we are intending to achieve in the next few quarters.

Moderator: We'll take our next question from the line of PD Sharma from Yes Investments.

PD Sharma : Ganga ji -- Gagan Banga ji Namaskar. You have given net worth guidance INR23,000 crores till '27, which is now at INR19500 something crores net worth. So the ROE guidance which you have given in the past, are going to add only INR3000 crores?

Gagan Banga: As I have explained now, our dividend payout 40% to 50% of our profit were given in dividends. Today, the company's capital, delinquency, provisions, and ROA numbers, on that basis, we can still give dividends in that ballpark. We were just waiting for the company to stabilize first and then scale up. When our disbursements reach INR1800 crores per month in the next 2-4 quarters, we will scale up our dividends accordingly. So, if you see how much profit we can earn in the next 3 years, and if we give that much dividend, then it will be mathematically impossible to reach a net worth of more than INR23,000 crores.

Moderator: We'll take our next question from the line of Gautam Jain from GCJ Financial Advisors.

Gautam Jain: First of all, detailed discussion about how you have been doing? And what is your target for fiscal 2027? So my question pertains to, again some clarification. So you are saying that your loan book should be around INR105,000 crores in the next 3 years. And out of that INR1 lakh crores would be retained? Is that right to understand?

Gagan Banga: INR105,000 crores will be AUM, of which INR1 lakh crores will be retained. The balance, INR5,000 crores will be legacy. Some portion of that INR5,000 crores will also be retained.

Gautam Jain: Okay. And what would be the -- out of that INR105,000 crores, how much would be loan book, any rough numbers or percentage of that?

Gagan Banga: We will have to mandatorily hold approximately 20% of that on our balance sheet. Plus the throughput would ensure that we would

have another 10% to 15% on our balance sheet. So we

should be having of this INR1 lakh crores, around INR35,000 crores to INR40,000 crores of assets on our balance sheet.

Gautam Jain: This is less than what we have right now.

Gagan Banga: We will also have INR5,000 crores of historical assets. So our balance sheet assets, we have been guiding for several quarters, including today that are gearing and balance sheet quarters will remain very, very flat. It is the AUM. We are not talking about earning compounding, coming by balance sheet growth. We are talking of earning compounding via compounding of the origination machine by compounding of the disbursements.

Gautam Jain: Okay. Second question is that you are keeping very high liquidity of around INR11,000 crores, INR12,000 crores. So we will have continue to have this kind of liquidity in the future also?

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Gagan Banga: Sir, I mentioned the liquidity number to be in the ballpark of INR7,000 crores. And we have liquidity principles, which we continue to follow in terms of upcoming maturities, how many months of coverage, et cetera. We also perform stress tests from time to time to see how this number has to go up and down.

At the current level, given our analysis of the next 12 months, given all the variables that I spoke about, evolving regulations, macro, et cetera. We feel comfortable in a INR7,000 crores sort of liquidity and we've also provided over 50% and set aside the liquidity for our upcoming September maturity of the FCCB. With both of these numbers, we are fairly comfortable. We don't think, we need to go higher than this.

Gautam Jain: Okay. We have mentioned that our net NPA would be below 1.2%. And you also saw in the presentation your incremental net NPA on the disbursement is 0.15%. So here we are given the conservative guidance or you really think that net NPA could be even more than 1% going forward for the incremental book?

Gagan Banga: If the book runs down, as the legacy AUM or the legacy book runs down, what runs down are the good assets. The bad assets take a much longer period because we have to run through a recovery process. So it's -- the 1.2% will be a combination of assets, which come along our currently NPA over the next -- course of the next 3 years from the legacy book will turn NPA. And obviously, there would be slippages from the disbursements that we do. So it will be a combination of all 3 of that.

Moderator: Ladies and gentlemen, we'll take one more question. The next question is from the line of Yash Agarwal from JM Financial.

Yash Agarwal: I just have one question on this AIF provisioning. Last quarter, I think you made a INR850 crores provision and now it says that you sold that AIF, but I don't see any write-back in the credit cost. Could you just explain that a bit to me.

Gagan Banga: Yes. So this is not the time to be releasing provisions, whatever provisions are created for one reason or the other need to be retained. I also mentioned that in order to continue to run down the rapid -- as rapidly as we are doing the legacy AUM, we will adopt whatever tactical steps we can adapt.

And provisions besides capital is the go-to as far as any tactical step is concerned. We have not guided for any provision release. We have continuously and repeatedly stated that we are about 3.5x covered of our NPAs on an imputed provision basis, and we intend to use each and every cent at least for the time being of the imputed provisions to make sure that we first achieve goal number 2, which is the -- which is the reduction of the legacy AUM before we start thinking of any write-backs of provisions or adding that to profits and so on and so forth.

So at this point in time, I would again repeat that from a goal perspective, from a success measurement perspective, please focus on these 8 points

. There are various other hidden jewels in the company which we can continue to unearth from time to time.

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Over the course of the last 2 to 3 years, we had extraordinary gains on investments we have made in the past to the tune of INR3,500 crores, which came in extremely handy through the last 5 years. One is not going to land up selling all the family jewels for the short term. You have to keep some for the long term as well.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Gagan Banga, for closing comments. Over to you, sir.

Gagan Banga: Yes. I think I've spoken enough. So thank you so much, guys, and look forward to speaking to you in a couple of months. Thank you. Have a good evening, weekend.

Moderator: Thank you very much. On behalf of Indiabulls Housing Finance Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Date: August 20 , 2024

Scrip Code – 535789, 890192
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001 SAMMAANCAP/EQ, SCLPP
National Stock Exchange of India Limited
“Exchange Plaza”,
Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter ended June 30, 2024

Dear Sirs,

We refer to our intimation dated August 13, 2024, informing that the Company has uploaded the audio recording of the conference call hosted by it on August 13, 2024 to discuss the financial results of the Company for the quarter ended June 30, 2024, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

Amit Jain
Company Secretary

CC:
Singapore Exchange Securities Trading Limited, Singapore (“SGX”)
India International Exchange IFSC Limited (“India INX”)

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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“Sammaan Capital Limited Q1 FY25 Earnings
Conference Call Hosted By Investec ”

August 13, 2024

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MD & CEO,
SAMMAAN CAPITAL LIMITED
MODERATOR : MR. KAMAL SHAH – INVESTEC

Sammaan Capital Limited
August 13, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Samma an Capital Limited E arnings Conference Call hosted by Investec.

As a reminder, all participant line s will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now ha nd the conference over to Mr. Kamal from Investec . Thank you and over to you , sir.

Kamal Shah: Good afternoon, everyone. Welcome to the Q1 FY25 Earnings Conference Call of Samma an Capital Limited to discuss the “Financial Performance ” of the Company and to address your queries.

We have with us, Mr. Gagan Banga – Vice Chairman, MD and CEO of Samm aan Capital Limited. I would now like to hand over the call to Mr. Gagan Banga for his “Opening Comments” . Over to you, s ir.

Gagan Banga : Thank you, Kamal. Very good day to all of you and welcome to the Q1 FY25 Earnings Call . I would request all of you to keep the Earnings Update handy. It's been e -mailed to most of you , is on our Website and should also be on Bloomberg.

Before moving to the numbers, I would like to cover the key highlights for the Quarter :

In July '24 earlier last month, following a detailed review process spanning over six months, the Reserve Bank of India issued us a fresh certificate of registration, as an NB FC-ICC, which is a Non-Bank Financial Company , Investment and Credit Company . With this, we are now an NBFC , supervised and regulated by the Reserve Bank. Since a few years now, the regulatory approach is on scale based regulations. As Indiabulls Housing and HF C, we were classified as an upper layer NBFC, which we continue to remain. So, in most ways, life does not change for us, particularly since over the years RBI trust has been to do away with any regulatory reporting or disclosure arb itrage, especially betw een NBFC s and housing finance companies.

Following this conversion to NBFC -ICC, the Company 's name has been changed to Samma an Capital Limited . The Company shares are also now being traded under the script “Sammaan Cap” on the stock exchanges. Samma an in Indian languages means respect, honor, courtesy, and dignity. The Company intends its brand and the meaning of the word Sammaan in the Indian context to emphasize and convey to its stakeholders a customer centric approach, a sense of pride in buying the house or owning a business. These are the two products which are our focus in our retail loan product suite. We expect and hope that we are able to pass on to a customer an approach of a v ery dignified business conduct.

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As a systemically important lender, a mortgage focused lender and a Company with a varied set of stakeholders including investors, regulators, bankers, rating agencies etc., the brand name Sammaan connotes and conveys what our business stands for and how it is run with respect to each of these stakeholders. This is also the 25th year of our operations. The erstwhile India Bulls from which the Company originates, was incorporated in the year 2000. Our rebranding exercise around the new brand and our 25 years of operations is underway across various channels and our branches and points of presence.

Slide # 3 of the Earnings Update covers the entire rebranding outreach. I will now move on to the quarter's number, would request all of you to refer to Slide # 4 of our Earnings Update:

The net worth of our Company as of June end stood at Rs. 20,269. As most of you would be aware, the final call monies were called and the window to pay up the call money opened on 8th of August and will close on the 22nd of August 2024. When this money

is with the Company,

the net worth would rise by a further Rs. 2,462 crores. The AUM and loan book have resumed growth, supported by retail disbursements.

Net interest income has come in at Rs. 927 crores this quarter versus Rs. 562 crores quarter one of last year. Profit after tax for quarter one Fiscal '25 was Rs. 327 crores versus Rs. 296 crores in quarter one Fiscal '24. Gearing is moderate 1.9x. Our target is to maintain it between 2 to 2.5x. Return on assets for the quarter for the overall book was 1.8% versus 1.7% in quarter one last year. Gross NPAs are stable at the lowest level in 16 quarters at 2.68% and net NPA is at 1.52%.

Now if you can, please turn to Slide # 5. As I mentioned in the previous quarter's Results Call, subsequent to the receipt of the new certificate of registration from the RBI, the Company will initiate a detailed business planning exercise, keeping in mind the feedback received from the RBI and various stakeholders. We have since then received the new certificate of registration and the feedback through the course of planning for the rights issue and in our subsequent meetings with the large shareholders of the Company as well as through the meetings with bondholders through the dollar bond issuance done by the Company in March. A variety of stakeholders have given us feedback cutting across various aspects of our business. Our shareholders have provided us with the necessary capital buffers, which in the short-term provide us liquidity and over the medium term very importantly a tactical tool to ensure the legacy book which is the book sourced in Fiscal '21 and prior.

Our goal is to try and run this book down to single digit percentage of AUM level by Fiscal '27. Some of our larger shareholders have also committed support to management in the form of either debt or equity capital as and when required and have asked the management to focus single-mindedly on the execution of business so as to be able to provide the mid-teen ROE to the business by Fiscal '27, which is the target that we have taken upon ourselves.

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Capital, both debt and equity capital is extremely crucial for a non-bank finance Company to kickstart operations, to scale them up to make sure that one can continue to invest in the retail franchise. And I would like to thank multiple pools of capital, both debt and equity, which have worked with us. Some of them have participated in our various issuances. I am sure in due course of time, most others would either be forming part of our lender list or our capital register. I would like to thank all of you and also thank our large shareholders who given this assurance to the Company and now the management can therefore not worry about liquidity etc. and fully focus on this execution and execution around the 8 milestones that we had set up in quarter 1.

I would also like to inform all of our stakeholders is that along with quarter two Fiscal '25 Results, which is the next result, we will not only reiterate our key milestones for Fiscal '27, provide you an update on these as I will shortly for quarter one and provide you an update for these for Quarter 2. We would also like to unveil a completely new corporate structure they have as part of the Board outcome gathered that we are merging six of our smaller subsidiaries. We have also lined up the identification process of a couple of fee-based businesses. And what we intend to unveil for you as part of the corporate structure is how we would continue to pursue our retail businesses as well as complement those by a bunch of fee-based businesses. And what the overall structure would look like in light of the feedback received both from RBI as well as our other stakeholders.

We had committed that here on starting from quarter one, we would provide updates on 8 aspects of our business

. We have identified loans which we have sold prior to Fiscal '22, which is up to Fiscal '21 as what we would like to call legacy AUM. The distinction between legacy AUM and the incremental AUM is that the incremental AUM is a very transparent book. It is a book that has been validated both by our credit team as well as the credit team of the purchasing bank or the financial institution on a case-by-case basis.

To go back to the point of legacy book, the legacy book would be reduced to single digit percentage of AUM by the end of Fiscal '27. If we look at our track record since Fiscal '22 on the reduction of this book, this book has been reducing by an average Rs. 4,000 crores a quarter. To reduce this, we have estimated a very conservative Rs. 3,000 crores a quarter of collections, which we are fairly confident we should be able to achieve.

It is a dynamic world. Regulations change every day. There is geopolitical uncertainty. There are certain macro headwinds. But given the fact that the Company when it sells was trying to establish a new business model, was able to collect very consistently across the last three financial years at a quarterly run rate. Now with management's full focus on only this, one is fairly confident that the single digit percentage of AUM by end of Fiscal '27 for the legacy book would be achieved.

Since Fiscal '22, the Company has disbursed Rs. 35,195 crores, of which already Rs. 22,658 crores of disbursements have been placed through co-lending assignment and securitization. As I mentioned earlier, this is a very transparent book and the book that has been validated both by Sammaan Capital Limited
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us and the purchasing partner on a case by case basis, including all loan application and documentation etc. The collections are passing through an escrow account and this is a pure and simple validation of the scale that we have already achieved in our asset-light model. The goal by Fiscal '27 is to make sure that this book grows to at least Rs. 1 trillion.

Our incremental AUM, so we disbursed Rs. 35,195 crores, of which there has been run down. So, our incremental AUM stands at Rs. 29,180 crores, of which Rs. 22,000 crores have been sold down. We have per run rate in terms of manpower distribution capacity to steadily ramp up disbursements and thus up the target of Rs. 1,00,000 crore or Rs. 1 trillion of retail AUM by Fiscal '27. We can get there only by consistent disbursements. Our quarterly disbursement as of quarter one stood at Rs. 3,115 crores and we shall be trying to ramp this up to Rs. 5,000 crores by the end of the current fiscal year, which is quarter 4 Fiscal '25, we will be targeting a quarterly run rate of Rs. 5,000 crores and if we keep growing that on a normal basis, that should add up to a lakh crore of retail AUM by Fiscal '27.

On all of our other target parameters such as incremental ROA, cost to income ratio and net NPA ratio, we have provided a clear glide path as well as an update on the incremental number that we are achieving already and thus we are firmly on track to achieve our target for Fiscal '27.

Slide # 6 contains an update on the asset-light disbursements for quarter one Fiscal '25.

Under the asset-light model, we disbursed Rs. 2,058 crores which is we did transactions of about Rs. 2,058 crores. Presently, the Company has nine partnerships. We have inked in other partnership in quarter one and gotten a letter of approval in quarter two from another public sector bank. By the end of this quarter, we should be at about 10 functional partnerships. We also do sell down transactions with 16 banks and financial institutions. So, in total, we'll have close to about 26 partners with whom we are doing business.

Moving on to the ALM and the Liabilities part:

The most important point of the liabilities part is the kind of diversity that we have been able to achieve

in our incremental source of funds. If you refer to Slide # 16, you would notice that we have since April '23, which is the last five quarters raised close to about Rs. 24,000 crores, of which we start practically, each and every source of capital available to us. We have raised equity of about Rs. 3,700 crores. We have done term borrowings from banks of nearly Rs. 5,000 crores. We have raised about Rs. 834 crores through retail issuance. We placed bonds on a private placement basis of nearly Rs. 3,000 crores. And co-lending has been going on at almost Rs. 1,000 crores a month and we have now reached Rs. 11,617 crores.

Aside of the asset-light model, the other big achievement for the Company is the fact that we have created a pool of retail and high net worth bondholders who are currently contributing as much as Rs. 3,000 crores to our resource pool, which is close to about Rs. 1,000 crores per year and we have now close to about 45,000 investors who are holding our bond. This is a side of the Sammaan Capital Limited
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asset-light structure, a real franchise, very long-term durable debt capital, which the Company is sourcing on a regular basis.

Coming back to the point of ALM :

At the end of June '24 on balance sheet, we carried liquidity of approximately Rs. 7,600 crores. As we have been detailing our ALM, our detailed 10 -year ALM is on Slide # 18 to 22. At the end of the first year, we have a net surplus of Rs. 9,785 crores. As the Company is now converted into an NBFC, Samma an Capital is required to maintain a liquidity coverage ratio of 85%. Against this our LCR, which is strictly high-quality liquid assets as of June '24 stood at 211%. As defined by the Reserve Bank , even bank 's fixed deposits that we keep, which would be included in our actual liquidity are excluded from high quality liquid assets. We manage our ALM proactively and towards this the Company has been historically , voluntarily creating pre - funded pools of monies to meet the upcoming redemption of FCC Bs in September 24. Since February of 24, the Company has been setting aside 25% of the payable monies every quarter. This is now built up to 75% of the ma turity proceeds. And these will be duly paid on where ver the put option is maturing.

So, far, if we look at the last 10 years, the Company from overseas investors over 215 overseas investors have borrowed \$3.84 billion, of which it has already repaid \$3.25 billion. In the last six years, it has repaid \$2.15 billion. And I assume as our ratings improve with this kind of a track record, overseas borrowings would continue to be a large pool of capital and periodically it would also tend towards becoming a viable p ool of capital.

Referring to Slide # 9 of the earnings update on Asset Quality:

As at the end of June '24 , our gross NP A stood at Rs. 1 ,782 crores translating to 2. 68%, net NPA is at 1.52 %. NPAs are at a stable level of 16 quarters. As we have been sharing, the Company carries imputed provisions of 11.6% of the loan book. The freshly raised capital further provide s Company with tactical capital and all of these provisions and this tactical capital would be deployed over the next 8 to 12 quarters to make sure that by Fiscal '2 7 we actually do run down in the most profitable organic and systematic manner , the legacy AUM to become an insignificant portion of the overall AUM. Having come through this six -month detailed review process , before we were granted the fresh certifi cate of registration and keeping in mind the current regulatory environment , we are not only is one classified as an upper layer, non -bank finance Company , but what one is witnessing that the regulator is expecting regulated entities to keep compliance, ri sk management, liquidity management, etc . at the center of the Company . I would like to reiterate our key areas of focus :

The Company would continu

e to imbibe and deeply imbibe a culture of compliance and risk management. The business plan that we are evol ving and building on since Fiscal '2 2 and I hope that now with all strategic steps being behind us , the business plan would be keeping in mind Sammaan Capital Limited
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compliance and risk management at the core, while ensuring that it remains asset -light, the capital requirements are as less as possible, and the fee income generation is as diverse as possible. The Company would continue to focus on a very benign sort of an ALM and our entire borrowing plan is working towards ensuring that in no months do we borrow more than a few 100 crores such that three or five or seven years later in that particular month , there is no stress. Lastly, in order to remain competitive, as well as to further the cause of compliance and risk management, we are making heavy investments in technology. We have also just onboarded an advisor who is part of the RBI's core group towards IT innovation. Along with him, our technology team and our Board subcommittee are emphasizing on upgradation of our technology backbone , making sure that our various risk ma nagement modules are as good as they get. And from our customer perspective, both our relationship management and as well as the user interface on our app etc . is world class.

We will continue to give you regular updates on this front as well. That was the update for the quarter. We are now open for questions and thank you all for your support.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Abhiram I yer from Deutsche Bank. Please go ahead .

Abhiram Iyer: I just wanted to clarify a couple of points. One is on your NPA numbers , may I know what the difference is between what's declared on the financial statement that the NPA is about 3.4% gross and 2% net versus the presentation that's at 2.7% gro ss and 1.5% net?

Gagan Banga: Abhiram firstly, thanks to Deutsche Bank for supporting us continuously. The difference could be coming from that we report NP A as a percentage of AUM for us that is very strategically important to make sure that on an overall AUM basis, the NPA is maintained. I have shared in the past with various stakeholders that are mo at as far as this business is concerned is the credit quali ty of our AUM. And therefore we invest lots of reams of paper of the earning update as well on just demonstrating the quality of the overall AUM. So, one difference could be that either it could be coming from the fact that we declare both stand alone and c onsolidated numbers. And in the earnings deck, we report NPA as a percentage of AUM whereas the Earnings Results filed with the stock exchanges are more statutory in nature and I believe they

would be following a protocol of own book or balance sheet or something like that. So, I am sure my Investor Relations team can clarify that to you if it still requires clarification.

Abhiram Iyer: Thank you for that. The second question is on your current incremental funding costs. Can you just enquire what if you say go to the loan market or the retail market at the moment, what would you see your current incremental cost of warranty? And what does that stand versus last quarter?

Gagan Banga: So, again, I will go big picture down to specifics. We are strong believers of the fact that ultimately cost of capital can only be achieved and brought to competitive levels if there is a free flow of capital. As a Company on the asset side, the strategy that one can follow is either we

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become yield hunters because we are running a certain cost of capital or we continue to do prime loans that we do with higher yield loans as the exception and not the rule. So, when we look at our cost of capital, given our asset -

light structure, we have to look at two different aspects. One is what is the cost of capital which is coming to fund the 80% of what we are funding, that number today would be in the handle of 8.5%. And then there is the cost of capital for the residual 20% that we are funding and holding on our balance sheet. For the balance sheet borrowings, we would be borrowing at about 9.5% today. Between last quarter and this quarter, there has been an insignificant inch up or down. My sense is from the transformation to an NBFC to the name change and all of that, one is clearly witnessing post the capital raise, the flow of debt capital has become a lot more abundant, a lot more free. The quantum of debt capital on a daily basis that we are being able to raise is increasing by the passing day. So, it's a very comforting situation in that sense. We are not going and over borrowing in any particular month. We are very mindful of the ALM, so keeping all of that in mind, I would imagine that the cost of fund material decline that you will see would start emanating in 6 to 12 months from now. At this point in time, we are more focused on the quality of capital. I mentioned that we have raised Rs. 23,000 odd crores from a diverse set of lenders. That's more the focus of the Company that the borrowing mix should be as diverse, it should be coming from more and more lenders versus being skewed towards one lender type or one lender in specific.

Abhiram Iyer: Perfect. And just one last follow-up question. As you mentioned your quality of capital and the fact that the call monies will be called and expected by the end of this month, you are expecting basically the full amount to be garnered right with the investor base fully in sync with as you mentioned during the call with your growth plans for this year?

Gagan Banga: Yeah. So, I am pretty confident, very supremely confident that by the 22nd of August, the call window is 8th August to 22nd of August. By the 22nd of August, the money should be in the escrow account. And then there is a process which bankers have to follow. So, following that process, it will take another whatever week or so for us to get the monies in our account that's all procedural. This in my mind is already accomplished, it's already done. What one is now working towards is seeing the commitments through which have been made to the wider set of stakeholders, including the larger shareholders, the smaller investors through these calls, we take on targets on these calls. We take on these targets with the right earnest. It's a dynamic world. The macro keeps changing, the micro keeps changing. The risk framework keeps changing. The endeavour of management is to take on the targets and to keep it very objective. We have set these 8 milestones. We are not worrying about capital anymore. We are just concerned about how efficiently and quickly can we get and achieve those eight milestones and the goals that we have set for Fiscal '27 and make it as organic as possible by achieving something and making progress on every aspect every quarter.

Moderator: Thank you very much. The next question is from the line of Shekhar Singh from Excelsior Advisor. Please go ahead.

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Shekhar Singh: Sir, just wanted to understand the statistical rundown of legacy book which is mentioned in the presentation multiple times. What exactly does it mean and what is the quantum of this hit that can come in?

Gagan Banga: Why do you assume of a hit? Tactical rundown means a rundown which is organic, which is well prepared for, we do it in a planned manner. We do it leveraging our provisions. We do it leveraging our capital. And if there are any provisions like we have demonstrated in the past, that even if we classify loans as NPAs or do technical write-offs, we recover those monies, so we have to do it in a

time bound, organic, efficient manner and make sure that we are free from the legacy and we are able to focus and build on the Rs. 1,00,000 crore. So, I don't think anyone

needs to worry about given the track record of the Company on recoveries on how we will be able to run down the book. Remember this team has from a book of Rs. 1,20,000 crores which was there as of September 2018, from that book already collected a Rs. 1,50,000 crores of principal and interest and use that to repay Rs. 90,000 crores to lenders. So, we know how to collect, we will continue to collect. We also have set a goal and whatever it takes to achieve that goal, we will achieve that goal. Whatever is the planning that needs to be done in terms of achieving that goal. As I've already said, we will present to you a detailed plan next quarter as to how quarter-on-quarter are we going about achieving that, keeping in mind that we also are a regulated entity, we have lenders to who have covenants as well as rating agencies who evaluate us on various capital ratios.

Shekhar Singh: And secondly, sir, any indication on what the dividend can be in the years to come or the dividend policy of the Company?

Gagan Banga: The long-term dividend policy of the Company would be to keep dividends between 30% and 40% of profits. We have to use our capital and our earning tactically. We have said that the 8 milestones that we have laid out are what we are going to be focusing on achieving. If we are well on the way and quarter-on-quarter we are achieving those targets. Historically, the Company has taken a lot of pride in declaring dividends. We will happily declare 30% to 40% of our profits as dividends.

Moderator: Thank you very much. The next question is from the line of Abhiram Iyer, Deutsche Bank. Please go ahead.

Abhiram Iyer: Just one thing on your AUM mix, obviously the commercial real estate loans has come down to about 29% of the book. May I know the split of the 29 is between project construction finance and your lease rental discounting?

Gagan Banga: No commercial real estate will be a combination of construction finance, lease rent discounting, loan against property loan and everything. So, whatever is not home bank could be here. So, don't take it as that. That's the technical definition of what CRE is. Please, if you read yesterday's circular of RBI also, they further segregate CRE as CRE resi and CRE others. So, don't go by that. I would suggest that all stakeholders and we will also change this chart from next quarter

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should focus on legacy book, which is all kinds of assets, home loans, loans against properties, commercial real estate loans etc. All kinds of assets which were there pre-Fiscal '22 and post of Fiscal '22, we have been following the asset-light model structure. So, it's that this is what you guys and everybody else and this is how we are also internally working there is one team which is working on run down and another which is working on scaling up the asset-light model.

Abhiram Iyer: Got it, Sir. So, hopefully you get that break up next time on, but can we get it now if I ask what should...?

Gagan Banga: You can get in touch with Ramnath and he will provide you with this.

Moderator: Thank you. The next question is from the line of Narayan Dwivedi, Stock Insider. Please go ahead.

Narayan Dwivedi: My question on asset-light model. Sir, if we can lend the customer by ourselves, so why we are choosing co-lending and what strategic benefits it gives us to co-lend?

Gagan Banga: The big strategic benefit is that you are outsourcing your ALM. You don't take on the borrowing on your balance sheet. As and when the customer pays, you pay back the bank or the partner. It is not this that ever a situation can come that the customer for any reason is not paying. But the debt obligation of

repayment is on you and therefore your entire business gets disrupted in that sort of a situation. The second big advantage is that the cost of funds of the 80% which are bank finances, is a lot lower than the cost at which it would be willing to lend to an NBFC directly. Given this, the blended yield becomes much lower and we are able to lend to a far more premier customer, a far more, let's say higher on the credit Bureau score versus somebody who we could have lent, if we were lending solely from our balance sheet. So, given both the contribution of a very high-quality asset, as well as no ALM risk and therefore a very high-quality liability, co-lending is by far the most durable structure and it's a structure which is in line with how the western world also finances mortgages where the originator and the warehouse are different. I hope I've answered your question. I will take just one last question and then you can always send us an e-mail or something.

Moderator: Thank you very much. With that, we have come to the close of the call. You can write in to the Company if you have any further question. With that, I would like to hand over the call to the management for closing comments.

Gagan Banga: So, thank you so much. Thank you for your support through the multiple rounds of capital raise and welcome to Sammaan Capital. Look forward to speaking with you all of you again at the end of Quarter 2, thank you.

Moderator: Thank you. On behalf of Investec, that concludes this conference. Thank you for joining us and

you may now disconnect your lines.

Call: Nov 2024

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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Date: November 18, 2024

Scrip Code – 535789, 890192
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street,
MUMBAI – 400 001 SAMMAANCAP/EQ, SCLPP
National Stock Exchange of India Limited
"Exchange Plaza",
Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and half year ended September 30, 2024

Dear Sirs,

We refer to our intimation dated November 16, 2024, informing that the Company has uploaded the audio recording of the conference call hosted by it on November 15, 2024 to discuss the financial results of the Company for the quarter and half ended September 30, 2024, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2015 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

Amit Jain
Company Secretary

CC:
Singapore Exchange Securities Trading Limited, Singapore ("SGX")
India International Exchange IFSC Limited ("India INX")

MANAGEMENT : MR. GAGAN BANGA – VICE-CHAIRMAN AND
MANAGING DIRECTOR – SAMMAAN CAPITAL LIMITED

MODERATOR : MR. KAMAL MULCHANDANI – INVESTEC

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Moderator: Ladies and gentlemen, good day, and welcome to the Sammaan Capital Q2 FY '25 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kamal Mulchandani from Investec. Thank you, and over to you, sir.

Kamal Mulchandani: Thank you, Darwin. Good evening, everyone. We have on the call, Mr. Gagan Banga, Managing Director, joined by other senior management of Sammaan Capital for the Q2 FY '25 results. I will hand over the call to Mr. Gagan Banga for his opening remarks. Over to you, sir.

Gagan Banga: Thank you. Good evening, everyone. Today, as I speak to you, I do with a deep sense of pride and determination, pride in the results that we've achieved and a determination to chart the future of sustained growth and excellence.

Before I explain the various tactical and strategic steps that we have taken through this quarter, I would like to focus first on the strong operating performance of the company. If you refer to Slide 3 of the earnings presentation. Pre-provisioning operating profit is up to INR828 crores from quarter 2 fiscal '25 and INR1,525 crores for first half fiscal '25, up from INR679 crores in Q2 last year and INR1,015 crores in the first half last year.

Aside of the one-time fair market value related provisions of approximately INR4,000 crores, which I'll spend a lot of time on, the adjusted PAT for the first half fiscal '25 is INR601 crores, in line with the PAT declared in the first half of last year.

Cash collections, and this is the most important point. Cash collections from the legacy book were at their highest in the first half at INR5,053 crores. If you recollect, during the earnings call of last quarter, which is quarter 1, fiscal '25, I had set a target for ourselves that we would be doing cash collections from the legacy book of approximately INR3,000 crores. I am happy to update this audience that we have done cash collections of INR3,104 crores. And I'll run you through some of the recent transactions during the course of this call from where this money has come.

It may seem from the provision number, etcetera, as if there was a blip in asset quality. I would like to confirm to you that this provision is merely tactical in nature, and it creates a large provision buffer for an even more rapid rundown of the legacy book. There are no new major slippages in the legacy book or in the new book whatsoever.

Additional effective provision cushion of INR4,050 crores against the consolidated legacy book now implies almost INR10,000 crores imputed provision buffer, which runs to approximately 30% of the legacy book today we carry as imputed provisions.

We've done a very deep scrub of the book. Again, we would go into details of that. As a result of that, gross NPAs are at their lowest in 22 quarters. Gross NPAs plus Stage 2 loans at their lowest ever point. Net worth in the parent, SCL, despite the provisions stand at INR21,000

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crores, up by approximately INR3,000 crores since March of '24. Consolidated net worth is also up from INR19,792 crores at the end of March '24 to now INR19,979 crores at the end of September '24. Retail disbursements are now chugging along at a comfortable number of INR1,000 crores per month.

Two quarters ago, we had said that we will have 1 slide dedicated to the strategic priorities and we'll update all of our stakeholders on that in a dedicated manner, such that the tracking of the company's performance is that much easier. The legacy A

UM has increased to -- sorry, has fallen

from INR37,386 crores at the end of last quarter to INR30,918 crores, that almost like INR6,500 crore, INR7,000 crore reduction. The growth AUM, which is all the disbursements that we've been doing since fiscal '22, that AUM has increased from INR29,000 crores to now past INR32,000 crores, and we are well on our way to achieve INR1 lakh crore of growth AUM target by fiscal '27.

Annual incremental disbursements have increased to now almost a rate of -- touching INR15,000 crores annually. The incremental ROE, which is as an end target of 3.2% has now inched up to 3%. Incremental ROE has gone up to 15.8% versus a target of 18%, which we hope to achieve by fiscal '27. Net NPA is at 1.4%. We have to bring this down further, and this should come in line to about below 1.2% by the end of fiscal '27.

Cost-to-income ratio at the end of -- for the first half stood at about 25% as we gain scale and gain more momentum around our disbursements and the AUM, this is also coming towards the target of our fiscal '25 number, which is to bring it down to less than 20%.

So all the steps that we needed to take to build a diversified and granular retail business have been taken. The results of that are showing. The other focus area of rapid rundown of our legacy business, that is also happening and happening at a pretty rapid pace. And asset quality is supported by recoveries. There are steady recoveries, and the NPAs as a consequence, are the lowest in 22 quarters.

Now I would like you to refer to Page 4 of the earnings deck. From Page 4 -- in Page 4, what we are trying to establish is the impact of the rights issue, the equity raise that we had. At the time of the equity raise, in my earnings call at that time, I had mentioned that to bring back growth, we needed a trigger. And generally, equity capital raise is a great trigger. I'd also mentioned at that time that the objective of raising capital was tactical as well as for it to get the growth restarted.

I'm happy to update that as a result of that, the debt capital flow, which had been disturbed for about 5 years for the company, has now completely regularized. If you notice on Slide 4, in a comparable period, which is March to October in calendar year '23, we raised approximately INR7,300 crores. In the same period, March to October '24, we have achieved almost 2x of that. And if we go into November, it's already gone past 2x.

I would also like to clarify that these numbers do not include the rollovers that we do of our working capital facilities. Those are beyond that. And while in our ALM, we have a different Sammaan Capital Limited

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sort of an assumption. Otherwise, in day-to-day business, we assume that they would continue to roll forward.

The next slide that I would like you to look at is Slide 5, which is extremely important to put in context the steps taken by the company and why we believe those steps are proactive in nature and tactical in nature. We are all aware of the fact that there has been a change in outlook of the Reserve Bank. The Reserve Bank has been very, very hawkish as far as credit flow of some products from NBFCs and banks. There have been fairly stringent regulatory action happening around us with other regulated entities, both NBFCs and banks.

In that context, if you see Slide 5, our regulatory interactions are fairly robust. We got an approval from the regulators for de-promoterization last year, which was important. We then earlier last month, concluded our last financial year's annual inspection. And there was no impact on capital whatsoever. No fines whatsoever. Subsequent to that -- sorry, earlier, a few months before that, we had received the new certificate of registration for Sammaan Capital with some forbearance which were unique.

We also, in October, received a new certificate of registration for Sammaan Fi

nserv. Why I am

bringing this to everyone's attention is, again, to underline and highlight the fact that all the steps taken through quarter 2 fiscal '25 are tactical and proactive. That we would be taking tactical steps in order to run down the book more rapidly in order to pursue recoveries from parent borrowers is something that I have been highlighting in the last 2 earnings calls.

And there were specific questions. There were fairly specific answers to the extent that one can say. And the bottom line of this entire exercise is that thanks to cooperation of the shareholders, thanks to cooperation of the providers of equity capital, we've been able to take all the desired steps for a tactical rundown without impacting the net worth.

The net worth, as I mentioned a short while back, both on a stand-alone for Sammaan Capital Limited as well as on a consolidated basis, is now around INR20,000 crores. With a strengthened balance sheet and a focused retail strategy, and along with the excellent work that the team has been doing on all fronts, be it forwarding the retail priority or forwarding the cash collection target on the legacy book, we are now charting the path for accelerated growth.

We are not only looking at the growth of the AUM. I spent a lot of time last quarter talking about quality of the growth, making sure that the risk management culture and the compliance culture was at the center of everything that we do. If we have to make a lasting impact on the financial landscape in India, we will have to look at both the growth in AUM and profit, as well as the quality of this growth, which we are fully focused on.

In order to take this forward, we have utilized a license that we hold at a subsidiary level.

Sammaan Finserve Limited is now going to be our designated vehicle for pursuing a new line of business, which we had been incubating for the last 2 years under the Smart City program. If you refer to our last few earnings updates in the product suite, we've spoken about the Smart City program. The incubation process is over. And now we are in the process of scaling at this company.

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Sammaan Finserve Limited was a mirror image of the parent company. It has become a mirror image of the parent company over a period of time. We did a very, very deep scrub of the book in order to, at an arm's length, achieving fair market value and in full compliance with regulatory requirements, transfer what was not going to remain as a core asset for it.

As far as a business which is discontinued, with the help of advisers on both the legal, audit, valuation, et cetera, from names such as Deloitte, BDO, CAM and IndusLaw, we've done our transfer of assets. It has been done in the most transparent manner with a lot of rigor and diligence. And I'm quite sure it will lay down a very strong foundation for a very long growth trajectory, a very sustained growth trajectory in the affordable housing space, for Sammaan Finserve Limited.

To just put in context the degree of the scrub done locally on the opening book of Sammaan Finserve, when we started doing this exercise, the net NPA now left in that company is all of INR25 crores. That's the sort of a cleanup which has been done. This transfer also allows us to rightsize the capital structure of Sammaan Finserve. For the size of that company, it was overcapitalized. Now with a net worth of approximately INR3,000 crores, it's a very well-capitalized company. We've created a new growth avenue aligned with India's need for affordable housing, a sector that values innovation, commitment and also has a social impact. Peer companies in this space typically trade at valuations of more than 4x their net worth. Given the size that Sammaan Finserve already is at with an AUM of approximately INR5,000 crores, the AUM of this company will become of relevant size very quick

ly, which also provides

Sammaan Capital with an opportunity to utilize this as a quick monetization tool and bring in a strategic partner who will then further help to grow the affordable housing business.

Now spending some time on the business transfer from Sammaan Finserve to Sammaan Capital. Both the NBFCs today were conducting seemingly overlapping businesses. The -- what we have done is that we have effectively transferred the legacy business which was common from Sammaan Finserve to Sammaan Capital. Now the entire legacy book has been consolidated through this transfer of approximately INR3,000 crores, has been consolidated in Sammaan Capital Limited.

In the process of doing so, both companies, which is Sammaan Capital and Sammaan Finserve, with different objectives in mind, did a very detailed portfolio scrub. Some external advisers were also roped in, in order to facilitate the valuation of assets, loan to values, etcetera. Through this comprehensive and exhaustive portfolio evaluation, the brief given was that we should leave no stone unturned in ensuring that there is complete clarity around the portfolio. And we are absolutely ready to make sure that the commitment around the portfolio run down, as well as the recoveries that we are making, those will be achieved.

Our teams meticulously analyzed every loan on our books, took them forward 12 quarters to see loan by loan, month by month, what was going to be coming due, whether any of those repayments or the loans that were coming through for completion in terms of construction, whether there was going to be any delay in the construction progress or in the loan repayment progress.

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As is also noticeable from our deck, the legacy book in our case is an interest earning book. The collections that we do are split between principal and interest. So the INR5,000 -odd crores of collections that we have done are cash collections. A portion goes towards principal, and some portion is allocated towards the new interest. We also had to make sure that since there was a process of asset transfer involved, it is done in the most credible and impartial manner.

The regulatory requirements lead us to ensure that even though it's a 100% subsidiary which is transferring assets, it is done at an arm's length. It is done at a fair market value. It is done in a context that it makes business sense for both the subsidiary and the parent. So the process was adopted as if the sale was going to happen to a third party. Bids were invited from third parties, and we received 2 bids from third parties. All of this acted as a ground for us to be able to

appropriately value the assets.

As part of the valuation exercise, a portion of the credit cost of approximately INR4,000 crores which has passed through the P&L of Sammaan Finserve was allocated to a complete cleanup of anything which was overdue. I earlier mentioned that the degree of cleanup can be put in perspective from the fact that this company is left with all of INR25 crores of NPA. A similar exercise was done at the parent level. And whatever fair market value discount was to be offered was then transferred to the parent as a general provision buffer, which can be utilized for any assets which the parent has carried.

Before I move forward, I'd just like to highlight that in the earnings call last quarter, one of the participants had asked me about the quantum of hit that we take from the rundown of the legacy book. And I clearly said at that time, why are you assuming a hit? I had gone down to say we will take tactical steps. But look at our past track record. Whenever we have taken such tactical steps, that has resulted in recoveries from cases which would have been otherwise practically impossible to recover in quick time.

Cost of capital is very relevant in our case. Time value of money is even more

relevant in our

case. And all tactical steps tend to increase the net present value of the effective recovery which we end up doing. At this stage, I'll give you some examples of cases where we took provisions in the past which enabled us to pursue recovery actions, which resulted in recoveries from cases which were otherwise chronically tough to recover.

There is a very famous building in Worli, which is amongst the tallest towers of Mumbai. A few years ago, we had provided for INR750 crores on our books. We took swift legal action, and we were able to turn around that asset within about 12 months of having taken this recovery action step. There's also a case in the NCR, where on a running mall, we have taken provisions of a large sum of money, put it through the SARFAESI process and recovered INR600 crores from an asset which we had classified as NPA and provided for. The provisions enable the recovery process. And we were able to recover our entire loan amount.

There is another case in the National Capital Region. It was recently reported, again, a stressed loan against which we had created provisions in the past. The transaction, which just concluded, is a transaction on a mall and an office of approximately INR1,000 crores. Such collections, as I mentioned earlier, are an outcome of provisions and help us do the cash collections, which

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we've reported of over INR3,000 crores in this quarter and over -- almost INR6,000 crores in the first half.

For those who track annual reports, if you look at our financial year '22 annual report, you would notice security receipts standing there of INR2,181 crores. As of September 30, 2024, that INR2,181 crores stock of security receipts has already declined to INR500 crores. So from all of us know, asset reconstruction companies acquired stressed assets.

From these stressed assets -- when you sell to these asset reconstruction companies, you line up, taking provisions, making haircuts and so on. And via this sale, one is able to ensure that there is robust collection, which we have done off close to about INR1,700 crores in 2.5 years on just the book which was sold to ARC. Which is close to about 75% of the book.

These examples illustrate not only our meticulous planning, but also our ability to execute recovery strategies with precision and resolve. Our current provisioning, which has happened through this exercise, which is effectively rightsizing an overcapitalized subsidiary and using the capital of that subsidiary to make sure that the overall company on a consolidated basis is sitting with a provision buffer and extra provision buffer. And the entire book has been completely scrubbed.

At this stage, through this entire exercise, which I'll explain in a little bit more of detail, I would like to emphasize, assure -- just stopping short of guaranteeing, as there's no guarantees in life. But more than with almost 100% confidence, assure you guys that our track record of 145 basis points of annualized credit cost which we had in fiscal '23 -- '24, sorry, and about the same number in fiscal '23, that would now decline to around 80 to 90 basis points, sub 100 basis points on an annualized basis hereon. This provision buffer, as has been explained on the slide, will be -- is imputed provision. And as the book runs down, these provisions will also be written back. Now if we can refer to Slide 15, please. Through this exercise, what we have achieved is creation of an affordable housing subsidiary with its own business plan, cleaned up NPA and Stage 2 loans across the entire consolidated entity, which is the Sammaan Capital Group, both Sammaan Capital and Sammaan Finserve.

Now we have a provision cushion of approximately INR4,050 crores. The imputed provisions now stand at INR9,575 crores, representing approximately 30% of the legacy loan book. As I mention

ed a few minutes ago, the consolidated gross credit cost hereon will be 80 to 100 basis points on a running basis versus 145 basis points with favour in fiscal '24.

We've also significantly improved the financials of the parent, Sammaan Capital, on a stand-alone basis. This company is where we hold 95% of our borrowings. And any improvement in its financials significantly improves the probability of being able to get more capital at a cheaper cost. It's a stated objective that we have to be reducing our cost of capital. Rapid collections help us do that. Now the net worth stands increased by INR3,000 crores. The net own funds also stand increased by around INR3,000 cr ores. The asset quality -- reported asset quality of gross NPA, net NPA Stage 2, etcetera, have significantly improved. And further, we have a tactical

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provision pool which will help us enable collections on the legacy loan, thereby improving the net present value of these loans.

We've also been able to achieve a clean separation of the business. We have a prime housing loan and an urban MSME loan business which is humming along well in Sammaan Capital and a new line of business which will be the future of Sammaan Finserve. A complete separation of processes, systems, leading greater focus to these distinct lines of businesses is being put in play. This will also aid in greater shareholder transparency, regulatory compliances. And in due course of time, it will enable us to find an able partner in Sammaan Finserve.

If we are to spend a few minutes on the new entity that we have created. If we move to Slide 9.

The starting net worth of this entity is INR3,000 crores. We expect the entity to do about INR6,000 crores of disbursements next year, achieve an AUM of approximately INR10,000 crores next year, over INR15,000 crores in the year after. And by fiscal '27, get to profitability in the handle of INR500 crores with an ROE of around 15%, which can expand to past 20%.

When we run down the legacy book, I was often questioned as to, you are replacing a high-yielding book with a book that you are essentially doing around prime borrowers, and therefore, your spreads will be compressed. And overall, your ROA, how will it improve to the 3% that you're projecting. We were incubating this business. And now with the combination of this business, along with the origination machine, which has scaled up in Sammaan Capital, we are fairly confident that the consolidated ROA will get past 3% target that we've set for fiscal '27.

This is a large part of our growth business. The rest of the growth business is well discovered.

We've been doing that. We've built a book of approximately INR30,000 crores there. At INR32,000 crores of growth AUM, now we have tipped over earlier, the ratio of the legacy book to the growth book was -- the legacy book was approximately 60%. This quarter, we have tipped that over. Now the growth book is around 55% of the overall AUM.

If you move to Slide 17, this will give you good snapshot of the legacy book. The first point to highlight as far as the legacy book is concerned is that this contains everything that we had done prior to fiscal '22. Prior to fiscal '22, let's say, at the start of our degrowth phase, the legacy book stood at INR1,20,000 crores. As we speak, this book has declined to INR30,000 crores. That INR90,000 crores of principal rundown. And tens of thousands of crores of interest, which has been collected in the process. Which has resulted in cash flow, which has been used to net reduce our debt by over INR82,000 crores.

A net debt reduction can only happen from collection -- cash collection. Our primary source of cash collection is interest and principal that we receive. The new book is still very small. Most of the INR82,000 crores rundown, which has happened via our collections from this legacy book, which

I've shared with you, stands to the tune of approximately INR90,000 crores of principal has come down.

We are left with the tail of this book. And given the traction that we are witnessing that we've seen in the first half, we've seen in the second quarter, we are fairly confident and therefore, have been able to project that per half year, how much this book will run down by, which is

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approximately INR5,000 crores to INR6,000 crores per every half year. Again, I would like to highlight that this is just the principal rundown. The interest portion is on top of that. Therefore, the cash collections which are anticipated would be on top of that.

To spend some time on the expected cash collections and the recoveries from what has been already written down and/or provided for. In the second half of this year, we are expecting INR7,650 crores of cash collections on top of the INR5,000 crores of cash collections we've already done. In the second half of this year, both quarter 3 and quarter 4 put together, we are expecting write-back of INR1,650 crores.

In the first half next year, we are similarly expecting cash collections of INR5,700 crores, followed by INR5,800 crores and recoveries to the tune of about INR1,670 crores next year. These numbers have been detailed to the extent of every loan, which month it has to pay what, whether it will self-pay or we will have to get the asset liquidated. And then a reasonable degree of time lag has also been built in.

Why we are being able to do this is if you look at the breakup that we have provided on the book, this book runs at a very moderate loan to value. If you look at the loan-to-value slide, almost 70% of the book today runs at a loan to value which is not even 70%. A large part of this book consists of collateral which is backed by residential properties. There are -- there were some malls which we are -- which we have either liquidated. There were some office spaces which have been sold. Now, a large portion of this book is backed by a granular residential property. Only about 7% of this book is overdue, with Stage 2 assets at only 3.5%. What has been already classified as substandard is 4.2%. What has been written off would be a further approximately INR10,000 crores. So this book is largely current, paying both interest and principal. And therefore, our ability to work with these borrowers who are current and get them to pay in a systematic basis is very high. For those who are defaulting, we have taken them, created provisions against them, which as and when these assets get sold, the provisions will get unwound. The other big advantage is that we've not ventured into Tier 2, 3, 4 locations as far as the legacy book is concerned. The larger ticket assets are best done where land values are high, and thereby, that has an immediate positive impact on the loan to value. If you see, our entire concentration is on the top 5 cities of the country: Mumbai Metropolitan Region; the National Capital Region around Delhi, which is Delhi, Gurgaon and Noida; then Bangalore, Hyderabad, Pune. Anything beyond that, which includes, Chennai, Kolkata and other larger state capitals, all of those is, give or take, approximately 5%.

Most of these assets have been completed or have received occupancy certificate. We need to spend only approximately -- by spend, I mean, disburse further loans of only approximately INR1,000 crores for the balance, 32% to also get completed. Most of these assets are at very advanced stages. Practically, every month, we are getting occupancy certificate for assets of approximately 200,000 square feet. So in the next 24 months, as these assets mature, we should be able to sell the homes or select from sales already done. And which will run into the cash collections, which we have summarized in the table below.

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The cash collections that we have done in the first half. If you refer to the box on the left, these have largely come from a sale of a mall in Bangalore, where the transaction value was INR600 crores. I spoke about -- a short while ago about the mall and office in NCR, which was sold at about INR1,000 crores. There was a completed office building in Delhi, which was sold for about INR1,100 crores. And again, a residential property in South Delhi, which was sold at -- for INR100 crores.

Continuing with the analysis of the legacy book. I would request you to refer to Slide 18. If you look at this slide, in fiscal '20, we had a net worth of approximately INR15,000 crores against then a loan book of INR1 lakh crores. Which was the book built prior to fiscal 2022, which we now classify as the legacy book. This legacy book has since then declined now to approximately INR30,000 crores, in which the cash collection since fiscal '20 has been approximately INR70,000 crores. And the interest collection has been approximately INR25,000 crores. While doing our planning around and doing the deep scrub and cutting provisions and doing all of that, we built a hypothetical scenario and said let's do a capital allocation process. So we attributed INR15,000 crores of our net worth of INR20,000 crores to this book, legacy book. This implies today that the debt to equity of the legacy book is effectively 1:1. The balance, INR5,000 crores, we kept aside for our retail assets, where the effective debt equity then is a very moderate 3:1. By the first half of fiscal '26, the legacy loan book will be down to INR20,000 crores. And as this pays down further, the released equity capital will catalyze the retail loan book growth.

I refer back to my opening comments, where I said I am extremely happy with where we are and what we've achieved in the first half in the year, which have gone by. And this is why I'm so happy, that this has now become a self-fuelling growth engine. As we do recoveries which we have projected in the next few quarters of INR4,050 crores, that's the quantum of write-backs which will happen, which will aid profitability and will also provide cash flows for the retail loan book growth.

As we mentioned, there are implied provisions now of INR9,575 crores. So the legacy book today is running on a 1:1 debt equity and has an imputed provision cover of 30% of the book. I hope with this, any and every concern around the legacy book that you guys ever had gets done and over with.

On a personal note, as I reflect on our journey, I have been often told that this rundown that we achieved on the book since 2019, the fallout of the IL&FS crisis, how the sector was hit, how we were hit. A lot of people tell me, you weathered the storm, you survived turmoil, and good job, Gagan, you've navigated the company through unprecedented challenges. If I think about this, that if I was to hypothetically hang up my boots today, what would be my legacy? I believe it will be a legacy of being a survivor. I would not want to hang up my boots with the legacy of being a survivor. I'm here to build, build an institution that stands tall not just today, but for decades to come, for generations to come. And as a nd when I am to hang up my boots, it is my desire, ambition, passion and hope that I leave behind a legacy of being an institution builder.

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I hope Sammaan Capital will be an institution that isn't nearly resilient, but it is inspirational. A company that sets benchmarks, redefined norms and leaves an indelible mark on the financial landscape in this company. The journey going forward and that is how we should think about institution building. And this is a message not only to stakeholders on this call, but to my team, is that we are building something which is timeless, something whi

ch embodies strength, innovation, transparency and excellent.

And I believe as the CEO, I know how to do this. Between 2009 and '19. For 42 quarters, we demonstrated consistent growth. Several people talk about that as our golden era. Every year, we distributed 50% of our profits as dividend without sales. And then f rom 2019 to '24, we had, in the light of severe turmoil in the industry, we had to do course correction.

While doing the course connection, we built a new business model, did an orderly debt repayment program, chose to voluntarily move from a promoter -led company to a truly Board -driven institution on professionally managed institution. Perhaps it's a very, v ery unique transition in the financial services sector. I am not aware of any such transition which has happened where a promoter -led institution of size transforms to Board -led, professionally managed institution.

While we were fraught with challenges, we work very hard to make sure that the trust of our stakeholders is not broken, which is why the focus on ensuring that our lenders never feel shortchanged, scared about the money that they've lent to us. And we were managing a borrowing program of INR1,20,000 crores.

As I stand before you today or sit and speak with you today, the time has come, and I'm confident that the time has come to build growth back. The foundation is ready. The vision is clear, and the winds of opportunities are at our back. The real estate cyc le is on the upswing. It happens once in a decade. Demand for housing, particularly affordable housing, is surging, and the market indicators point to a sustained uptrend.

This cycle has been a tailwind for us in the past few years. And now we believe with this strong balance sheet and cyclical advantages, we are uniquely positioned to harness this advantage to its full potential. Thank you so much for your support, and I lo ok forward to responding to a few questions from your side. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session .

Gagan Banga: Yes. I would just like to clarify. I believe the team, by mistake, had sent a work -in-progress version of the earnings update and another mail was sent. Please refer to the second mail while looking at the data points and kindly ignore the first mail. We've also uploaded the corrected version on our website and have also sent it to the exchange in Bloomberg.

Moderator: Thank you. We have the first question from the line of Sumit Bhalotia from MK Ventures.

Sumit Bhalotia: Hi, Gagan. I think this time around you've shared a lot of detailed disclosure of the legacy book. So that's very helpful. Two questions from my side, one on the legacy book and second on the new book that we intend to grow.

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So on the legacy book, while you've have spoken a lot on the provision that you have done. just to get it right, so this is a one -time provisioning and now we are back to business as usual when our credit costs will dip to a much lower level than what we have seen for the last, say, 8 to 10 quarters. That is one.

Secondly, this transfer of assets that we did from SFL to the parent. Did that led to this INR4,050 crore s of provision or is it in general provision for the entire INR3,000 crores of book that we hold?

Gagan Banga: Okay. Thank you, Sumit, for the question. I would like to emphatically state, put this on record. There is no tail whatsoever to any sort of a scrub that we did. We've done a very, very detailed scrub, line by line, as I mentioned, looked at cash flows which are expected from borrowers for the next 12 quarters. This is indeed a one-time sort of an exercise that we did. The credit costs would be normalized at 80 to 100 basis points going forward. It's a growing business going forward. So the growth would reflect in the credit cost.

From the legacy book, we expect no further credit costs whatsoever. As far as -- I would also like to highlight that we got listed in September 2004. In 20 years, we have made close to about INR29,000 crores of profit. In these 20 years, we have distributed over INR12,000 crores of dividends. And there has not been a quarter where we've had to declare a loss. This is unprecedented. And if you do unprecedented things as management which is responsible, we obviously have done a very detailed DD. It's also not that I wanted to spring a surprise on anyone. And these are not exercises which are done in a month or 2.

If you -- with the investors with whom I had a chance to meet one-on-one during the capital raise as well as with a wider audience during the last 3 earnings calls, I have been talking about using our capital tactically to ensure that it is facilitating the rundown. At the same point in time, I have also been referring to the fact that we have stakeholders such as banks and rating agencies, which are sensitive to our credit ratios and our balance sheet ratios. So it's an exercise which has been done very prudently to make sure that the ratios improve. But at the same time, the management is tooled with being able to accelerate on whatever rundown of the legacy book we have to achieve.

As far as the transfer is concerned, the transfer came along with a general provision pool which can be utilized by the parent. On a stand-alone basis, on a consolidated basis, there is flexibility to do that. As I mentioned, whatever write-down of provisions had to be done were done first at the Sammaan Finance level. And now the rest of the provisions which came up of approximately INR2,500 crores acted as a general provision cover. I hope I answered your question.

Sumit Bhalotia: Yes, that's very helpful. The second thing is on the reduction of the legacy book. So we've reduced INR8,000 crores, almost INR8,000 crores of the book in the last 6 months. And so over and of the regular collection that we are having from say, Stage 1 of 92.5%, it is the recovery of the cash collection, which has helped reduce this book by that amount.

Going forward -- so 2 things, 1 is going forward this INR10,000 crores of reduction in the next 12 months that you have projected, what part of it are we looking at from offloading our assets
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to a third party? And similarly, in the last recent transaction, list of transactions that you have said, have you taken any kind of haircut which is already baked in the provision that you've been taking?

Gagan Banga: So if we've taken haircuts, it has been -- they were already provided for, and therefore, as I mentioned, there were no -- right at the start, there were no incremental slippages of any consequential size. If you transfer loan assets to ARC, it's in the most rare of rare situations that they part with cash. So it's typically SR. So any sale to an ARC would not result in cash collections.

When we are talking about cash collection and cash recoveries, that is real cash which comes in and hits the bank account. And that can only come when either the loan is repaid voluntarily or the loan is repaid via a sale of asset voluntarily or by a forced sale through the recovery process. Only these 3 situations result in a cash collection and the reference that we make of approximately INR10,000 crores and INR1,600 crores of recoveries, etcetera, these are all cash collections and cash recoveries that we are talking about.

Sumit Bhalotia: Okay. Lastly is on the new retail book that we intend to grow and you've given targets also the growth AUM will move up almost from INR32,000 to 3x to INR1 lakh crores plus by '27 plus. So if you can just elaborate a little on what is the infrastructure that we have, how are you so confident that we'll be able to increase our disbursement 2,000, 3,000 a month? If you can

throw

some light on that, what kind of strength addition that you have done in terms of sales team overall structure?

And also, what kind of liability side support you'll be needing, so what kind of capex you need to achieve that INR1 lakh crores, what would be the off-book on that? And how much -- whether the legacy book rundown capital release will be more than sufficient to achieve these targets that you've have given.

Gagan Banga: Thank you. So we are now staffed at approximately 5,700 people. Back in 2018, when we used to do INR3,500 crores of disbursements a month, we were at a similar staff strength. So that's the

kind of capacity that we are choosing to carry. As we build out the Sammaan Finserve platform, we will need to invest in the top deck of the management team. That management team has to be completely independent of Sammaan Capital Limited management's team. And we are fairly confident based on our interactions with professionals, that we should be having the management team in place before the end of the financial year.

The boots on the ground, they're already in place and will continue to keep moving up as that specific book numbers ramp up, those numbers we have detailed and I ran you through those numbers as well. So as we look to increase disbursements at Sammaan Finserve to about INR500 crores a month through the course of the next financial year, that company on a stand-alone basis will have -- will be employing approximately 2,000 people. To facilitate that INR500 crores disbursement. Most of that 2,000 people are already in place. The guys at the very, very top, who will also then help in bringing a partner -- a strategic partner in quick time. Those folks should be in place by the end of the fiscal year.

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Now on a consolidated basis, including the INR15,000 -odd crores AUM, which will get built up in Sammaan Finserve, the balance AUM is getting built up in Sammaan Capital. Sammaan Capital is running now at approximately INR1,000 crores of disbursements a month. In this financial year, we have done co-lending and assignment transactions of approximately INR4,500 crores. So our capital requirement on balance sheet is minimal. I don't visualize Sammaan Capital debt equity going beyond -- significantly beyond 2x in the future. And Sammaan Finserve Capital -- sorry, gearing also by fiscal '27 should be in the same ballpark of about 2x. So we have capital requirement, debt capital requirement for our -- the portion that stays on balance sheet. But within what is being collected on a cash basis, as well as now a stabilized debt capital flow, which I highlighted that in the last few months, we've already borrowed close to about INR14,000 crores on and off balance sheet. I think we are well placed to think about the kind of disbursements that we are -- we'll have to do to take us to a INR1 lakh crores of AUM in the next 2 financial years, 2.5 financial years.

Moderator: The next question is from the line of Prithvi from VicAsset .

Prithvi : Hi, Gagan and team. Thanks for this presentation. Just to follow up further on the discussion on Sammaan Finserve. Can you please shed some light on how you're thinking about monetization plans for the subsidiary?

Gagan Banga: So before I respond, I'd like to thank Oaktree for all the support that it gave us through our -- through the really tough time, and you guys have been brilliant partners, and I hope we can take this partnership and explore various other avenues as we go forward. Now that -- especially now that the firm is in growth mode.

As far as the monetization plan is concerned, we are extremely mindful of the fact that there is RBI forbearance, which is there where an NBFC is owning an NBFC. And we will have to work with the regulator to make sure that at an appropriate time, we de-subsidize this. At the same point in time, we have

enough capital out there to grow this business and take it up to a certain size.

As I mentioned, we are in the process of putting the top leadership in place for this so that the company can be run independently. I believe somewhere once the leadership team is in place and the scale has been achieved in guidance with the regulator, we will decide on the appropriate time for monetization.

What we are very clear is that we will -- we are in the process of building a vehicle which is very valuable and can get quickly monetized. The due diligence on such a type of an organization is practically a 2 -day job since the loans are just so granular. I can't put an exact time line. All I can let you know is that it's on our agenda, but we have to do it in a manner that we are also able to maximize the return for Sammaan Capital shareholders while making sure that we are fully compliant.

I, earlier in the call, have spoken about the compliance culture, which is facilitating a healthy interaction with the regulator , which is always very, very important and has become even more

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important in the current context of whatever is happening in the regulated entity universe. So bearing all of these in mind, I think we will move forward in the course of the next few quarters.

Moderator: The next question is from the line of Siddharth Dahiya from Aberdeen.

Siddharth Dahiya : We are holders of your bonds, as you may know. Just wanted to check, have you had any

discussion -- recent discussions with rating agencies around this? Anything that you can share, any feedback from them? Would there be any pressure on your ratings, on your international ratings?

Gagan Banga: Thanks, Siddharth. Thanks to the Aberdeen Group for always supporting us. I think of the \$3.5 billion that we've raised over a period of time overseas, you must have taken 10% of that. So thanks so much of that -- for your support, which is continuing.

We have obviously proactively reached out to all the critical stakeholders with whom we could have less unpublished price-sensitive information. Rating agencies are such partners, which anyways have a much deeper look into our numbers as compared to the wider market. The interactions have been healthy. The transaction has been structured in a manner where the various credit ratios, balance sheet ratios have only gotten stronger.

If we look at Sammaan Capital Limited on a stand-alone basis, the net worth has increased since the start of the year by INR3,000 crores. If you look at it on a consolidated basis, it's gone up. Sammaan Finserve has practically no external borrowings. As I mentioned, 95% of our borrowings are housed in Sammaan Capital. So that's the balance sheet, which is of relevance. In that balance sheet, on an operating basis, it has reported INR115-odd crores profit. For the full year, it will have a profitability in the handle of INR450 crores. Given that, the LD capital, the very moderate debt equity, I feel that the conversations with the rating agencies have been on the lines that we are creating buffers for the future. And this will also enable growth to come by.

Our recovery performance and our Stage 2 numbers, Stage 1 numbers, if you offer just 1 minute to refer to -- yes, if you were to refer to Slide 14 of the presentation, you would notice that the Stage 2 assets plus the gross NPA assets, which, as of June stood at INR4,415 crores, have declined to below INR3,000 crores. The gross NPA, which was 2.7% has declined to 2.4%. And the net NPA has also declined.

So all of the provisions have been used for specifically improving the provision coverage of any asset which was overdue as of June versus trying to cover for any fresh slippages, which has been and shall be explained at length to the rating agencies. In this context, I'm quite optimistic that we will continue to work positively with the rating agencies. I'll take 1 last question, please.

Moderator: The next question is from the line of Abhiram Iyer from Deutsche Bank.

Abhiram Iyer: This has been really helpful to us in the investor community and in the stakeholder community. I just had sort of a bit of clarification needed. Now when we transferred the INR7,200 crores out of the regular track record INR5,500 crores, you mentioned that the fair value, call it, give or Sammaan Capital Limited
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take, about \$0.50 cents, what was sort of achieved and we're obviously doing it at an arm's length. Could you just make it clearer on why this sort of estimation would not be required on, say, the remaining 20,000 -- INR28,000 crores, sorry, which are already -- were already present on -- in Sammaan Capital before -- outside of this transfer in terms of the legacy book?

Gagan Banga: Sure. That's a very, very relevant question. And I tried to explain, but I think more explanation will only make it clearer. The approach that we took while transferring Sammaan Finserve was one of making sure that it is completely at arm's length, and we achieved fair market value. If we look at the typical cost of capital, if anyone's looking at acquisition of certain assets, they will be looking at a cost of capital of around 20%.

And they would also be looking at the time value in which that 20% would get realized, but the discounting rate would be down 20%. They would look at the basis bit of interest. And then they would arrive at a value, presuming that the expected credit losses have already been baked into the provisions.

So the first job was that the expected estimated credit losses were provided for. So we ran that book number down. So we went with approximately INR5,500 crores of assets, on which a discounting exercise of 20% was done and some adjustments surveyed basis the net present value and so on to arrive at the number of approximately INR2,500 crores.

Now if you look at Sammaan Finserve Limited, Sammaan Finserve Limited is a loaning company. It has given out loans which will come out -- come due over a period of time and will get paid down over a period of time. Typically, these loans have contracted terms of 7 years, they would have a residual -- actuarial life for 5 years and so on. There is also, therefore, in liquidity sort of a discount which comes in. So between a discounting factor and liquidity factor and other basis points risk, etcetera, the fair market value discount was built in. This is also all detailed in Slide 11.

The important point and just to answer your question more directly, is that from a provisioning perspective, the provisioning on the entire book had already been done by the time that this exercise of fair market valuing happened. Now Sammaan -- now think of it from a Sammaan

Capital perspective, Sammaan Capital is fully capitalized from an equity point of view. Its incremental debt capital, comes at a cost of, give or take, 9.5%. So if we think about discounting this, we would do at a discount rate of 9.5 %. We would actually land up paying a premium, because we are going to be getting a spread on this book.

So our outlook versus the outlook of, let's say, any credit fund which would be buying this is completely different. Which is also reflected in the fact that when credit funds give out money - - and we've done business with the likes of Oaktree, who we were speaking to a short while ago, Davidson Kempner, PAG, etcetera, then we would -- when we were doing business with them, we would get like \$0.40 to \$1.

Today, if you talk to most of these guys, the monies have gone back to them. Some of these credit funds are in touch with me to partner with me for putting money to work in AI structures, etcetera. I didn't want to complicate our conversation further in this quarter. So we did not bring Sammaan Capital Limited
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that topic up. But that's what's happening. So their approach is very different to a prime lenders' approach like Sammaan Capital. Since it has to be done at a fair market value, it has to be done as if Sammaan Capital is also a credit fund, and therefore, the discount.

The other advantage to us was that the discount, which came with the book came as a general provision, which then becomes a provision buffer for us. So again, in no way, remotely also does that INR2,500 crores have anything whatsoever to do with the credit cost requirement of the book at Sammaan Capital Limited.

Sammaan Capital Limited has, through this entire transfer, built up imputed provision buffer, which is anyway, 30% of the legacy book. So if I look at any which way, left, right, up, down, it does not reflect on the credit quality. B, there is no risk whatsoever since we've created big, fat provisions. I hope I answered your question.

Abhiram Iyer : Yes, perfectly, perfectly. Just follow -up, if I may. Sorry, I'm mindful of time, but in case of the INR63,000 crores AUM, if I recall the last time around in terms of split about 50 -odd was retail mortgage loans. What's the split now, especially considering we've run down a bit of the legacy book and written down some of the -- via provisions as well? So a very broad, obviously, not exact numbers, but a very broad split of, say, retail loans, LAP loans and the larger ticket type loans?

Gagan Banga: If you're talking about the legacy book, the legacy book consists of loans to real estate developers, larger home loans, larger LAP loans, loans to corporates, etcetera. And the rundown which is happening in loans is primarily on account of what they're paying on a monthly basis as is their repayment schedule. These loans don't run on a moratorium of any sort. So there is a little bit of principal which comes back every month, every quarter, etcetera.

So the rundown would typically be of the overall book. There is no 1 subtype of the legacy book which will typically run down faster than the other. It will -- since most of the rundown is happening, basis regular repayment.

There is some portion of the book which is NPA, where we will do sales, which is a small portion of around 4.2%. There is some portion of recovery which would come from asset sales. Where I shared with you, there is a pool of INR10,000 crores which we continue to work with. The good book of the legacy book, which is roughly 96%, is all running down in pretty much a similar ratio. All subparts are running now in pretty much the same ratio.

Thank you so much for patiently listening to us. In some parts of the world, it's already pretty late. It's a Friday evening. So please, I wish you all a very happy weekend. It's also the holy occasion of Gurpurab here. So I wish all of you a very Happy Gurpurab and may God bless us all. Thank you.

Moderator: Thank you. On behalf of Investec, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2025

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Scrip Code – 535789, 890192
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Sub: D

Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and nine months ended December 31, 2024

Dear Sirs,

We refer to our intimation dated February 11, 2025, informing that the Company has uploaded the audio recording of the conference call hosted by it on February 11, 2025, to discuss the financial results of the Company for the quarter and nine months ended December 31, 2024, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,

For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

A

mit Jain

Company Secretary

CC:

Singapore Exchange Securities Trading Limited, Singapore (“SGX”)

India International Exchange IFSC Limited (“India INX”)

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“Sammaan Capital Limited

Q3 FY '25 Earnings Conference Call”

February 11, 2025

MANAGEMENT : MR. GAGAN BANGA – VICE-CHAIRMAN AND
MANAGING DIRECTOR – SAMMAAN CAPITAL LIMITED

MODERATOR : MR. KAMAL MULCHANDANI – INVESTEC

Sammaan Capital Limited
February 11, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Sammaan Capital Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kamal Mulchandani from Investec Capital. Thank you, and over to you, sir.

Kamal Mulchandani: Good evening. Welcome to the earnings conference call of Sammaan Capital Limited. We have with us on the call today, Mr. Gagan Banga, Vice -Chairman, Managing Director, joined by other senior management of Sammaan Capital and Sammaan Finserve Limited. I would now like to hand over the call to Gagan sir for his opening comments, after which we will take the question - and-answer round. Over to you, sir.

Gagan Banga: Thank you. A very good day to all of you, and I welcome you to our quarter 3 fiscal 2025 results. I request you all to keep the earnings update handy. The same have been uploaded on the Stock Exchanges and are also available on our website.

Last month, we successfully raised \$150 million, which is approximately INR1,300 crores via a qualified institutional placement. Via this qualified institutional placement, we onboarded some marquee investors on to our cap table. The cap table is now fairly stable with the top five institutional investors owning approximately 25% of the company.

This also, in some ways, signifies the end of the transition from being a promoter -led company, the erstwhile promoter owned 21% of the company. And now the top five shareholders own 25% of the company. Each of these investors have a long -term vision for the firm.

I'm extremely grateful to all of our shareholders and to all of these investors who have supported the company. The markets of late have been extremely volatile. And through these volatile times for them to have supported the company, for them to have shown confidence in the management has encouraged the management to try and work even harder.

Following the last calendar year's rights issue, which was a tactical capital raise and was utilized in reorganizing our business lines between the parent and the subsidiary, the QIP monies have now further added to the strength of the firm and to our capital ratios.

In all, including last year's rights issue, in the last 12 months, we have raised INR5,000 crores of equity capital. All shareholders have supported the firm, and I am, along with the management team, extremely grateful for the support.

On Slides 11 and 12, which I will, in due course of the presentation, refer to the strategic priorities. These strategic priorities will hopefully, and we have great conviction that they will certainly create value for shareholders. And I would like to commit that along with my entire Sammaan Capital Limited
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management team, we will do whatever it takes to try and achieve these strategic goals set for fiscal '27 and come back to you and demonstrate the success every quarter.

Coming back to this quarter's performance. Via this equity raise, we have demonstrated our access to equity markets. We have extremely high capital ratios. We have very moderate to low NPA levels. There is a traction in the growth AUM. And there is a great traction much beyond our expectation also in the reduction of the legacy book.

We believe this has greatly boosted the credit profile of the company, translating to steady flow of on -balance sheet debt capital. It is also supporting the asset -light model. And I believe now we are well positioned on the credit ratings front to have a positive rat

ings trajectory. We are

engaged with the rating agencies and are optimistic of a positive ratings trajectory in the near term.

I shall now go through the quarter's numbers. I request all of you to turn to Slide 3 of the earnings update. Our accelerated transition of the business model is moving at a pace which is faster on most aspects than we had originally budgeted. The more important part is that we have been able to manage this transition while maintaining steady profitability and a consistently improving asset quality.

Just as highlight numbers, the reduction in legacy AUM has happened to approximately a size of INR14,300 crores in 12 months. Collection from the legacy book in 9 months stands at almost INR10,000 crores, while half of that or nearly half of that has come in quarter 3 itself. Strong traction in the growth AUM continues.

We have now a growth AUM, which is approximately INR35,000 crores, and this forms 56% of our total AUM. The reduction in the legacy book is still outpacing the growth in the growth AUM. This may continue for a quarter or so more. I hope that from quarter 1, rather I'm quite confident that from quarter 1, the pace of growth of the growth AUM will be ahead of the decline in the legacy book without any compromise in the speed of decline of the legacy book. Again, the goals which have been set for the reduction of the legacy book via cash collections are not being changed, even though -- we have continued to make progress. We are very, very sure that we should be able to at least meet the numbers that have been committed to investors. Our consolidated net worth has now grown to INR20,331 crores. Our gearing is very moderate at 2.2x. Please note that the net worth numbers that are mentioned in the earnings update as well as what I just mentioned do not include the INR1,300 crores of QIP as this was raised in January of '25, and we are reporting numbers as of December 31. Our gross and net non-performing assets are at their lowest levels in 6 years and stand at 1.19% and 0.69%, respectively, compared with 2.85% and 1.71%.

At this juncture, I'll take a small diversion. And I'll remind all of us of the conference call that we had after the end of our quarter 2 results, where several investors had voiced a concern that if the provisions that were taken were to be seen as a reflection of the overall credit portfolio of the legacy book, what kind of estimate should be read into further credit costs. I had, at that point Sammaan Capital Limited
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in time, said that on an incremental basis, we will see a credit cost range of 80 to 100 basis points.

In the near to medium term, I do not visualize any requirement of any dip into capital and the pre-provisioning operating profit of the company is strong enough to comfortably bear this 80 to 100 basis points credit cost. At the end of quarter 3, I am happy to inform and update that whatever I have said at that time has happened.

The company has reported a quarterly profit of INR302 crores a credit cost of 100 basis points. And as I just said, net non-performing assets, which were 171 basis points 1 year ago, have declined by 102 basis points and now stand at 69 basis points. We have said the move is tactical. We have said the move will accelerate our cash collections and will also facilitate the recoveries. And within a short order, we have seen how cash collections have moved up significantly as we press on with all the legal remedies which are available to us.

Now moving on to Slide 4, which puts our journey from fiscal '18 in perspective. Since then, the net worth has gone up by INR7,000 crores. And we are talking of a period which in the initial phase had the fallout of the IL&FS crisis followed by COVID. Despite all of this, the net worth has gone up INR7,000 crores, while we've also paid dividends of almost INR4,300 crores through t

his period.

The legacy book, which was standing at INR120,000 crores at the start of the crisis in fiscal '19 is down to approximately INR27,000 crores and has generated cash inflows for us to have serviced INR83,000 crores of net principal debt repayment and interest of INR40,000 crores on this debt, thus the original INR120,000 crores book has already generated cash payouts to our lenders of INR123,000 crores.

This is actual cash, which has gone from our bank accounts into our lenders' bank accounts. And very importantly, it has gone at a time which was either ahead of the contracted schedule or in line with the contracted schedule. This, I continue to state and believe is the strongest possible testament to the quality of the book we've underwritten.

Fiscal '18 through days has been a fairly tough time for most nonbanks. Through this period, net of the loss reported in quarter 2, the company has posted profits of INR12,780 crores. Our borrowings from a peak of INR120,000 crores in the middle of 2019, including the PTC portion, which stays on the balance sheet is down to INR44,000 crores.

This has resulted in a reduction in gearing from almost 9x in fiscal '19 down to 2.2x. This also, in some ways, marks the end of the consolidation phase, which the company needed to go through in order to emerge significantly stronger. Our capital ratios are stronger. Our credit performance is there. And most importantly, as credit analysts would look, the static analysis of the company's portfolio has returned fairly healthy credit costs.

Having managed this transition in a stable manner with annualized profits of approximately INR1,200 crores, we believe the pace of acceleration of the growth AUM in an asset-light structure while maintaining the quality of the target ROA and ROE will be met and our goals of fiscal '27 would also be met.

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Our recent capital raise will facilitate further on -balance sheet borrowing, which in due course, will influence our partner banks and thereby increase their confidence in us. The partner banks anyways are enthused with the quality of the book that they are purchasing, and they further have a second check since they do a case -by-case due diligence. All in all, we have built a very strong support ecosystem for our asset -light strategy.

If you all can please now turn to Slide 5. Our growth business is structured in this manner. The parent company is Sammaan Capital Limited. We have set out goals for Sammaan Capital Limited. Sammaan Capital would continue to perform strictly in the asset -light structure. The stand -alone growth AUM target for fiscal '27, which we have set is INR70,000 crores.

The consolidated growth AUM target that we have set under Sammaan Capital, including itself is INR1 lakh crores by fiscal '27. This company on a steady -state stand -alone basis is moving towards generating a 4% ROA. Incrementally, it is already generating a 3% ROA.

We had introduced Sammaan Finserve in quarter 2 to our wider set of investors. Sammaan Finserve is scaling up slightly ahead of the numbers that we had set out. The business model has been created that it is a non -overlapping business. As we have shared, the company is building up on its leadership team.

The distribution will also start expanding into the target cities. We are looking at achieving a growth AUM, which is the target AUM that we have of approximately INR15,000 crores by fiscal '27 for this company. To facilitate that this company already has seven co -lending partners, a retail AUM of INR6,100 crores, a loan book on its own balance sheet of INR2,900 crores and ample equity capital of over INR3,000 crores.

For some time now, we have been talking about the AIF platform. In one of the calls, I had mentioned that while it is an important earning source, the management team was engaged in stabilizing the

transition of the NBFCs within the structure. We believe that, that transition was managed in a fairly stable manner through quarter 2 of fiscal '25. Since then, the focus has also included a buildup of the AIF platform.

As we speak, we are evaluating a transaction in which we, along with our partners, have an in -principle agreement to finance up to INR500 crores at an IRR of 18%. This will be in line with our asset -light model where the contribution from our company will be 10% to 15% via this, we will start the process of moving towards this target growth AUM of INR15,000 crores. And hopefully, as we move forward, the transaction speed will pick up.

Next slide, which is Slide 6. We would just like to remind you of our growth product suite between Sammaan Capital and Sammaan Finserve. Sammaan Capital is targeting home loans with an average ticket size of INR30 lakhs and LAP or MSME loans or secured MSME loans of INR75 lakhs with a 9.9% yield target for home loans, 11% yield target for LAP loans.

Over a period of time, our funding idea would be with a 6 -month lag, we would want to achieve the book to have gotten to a stage of about 40% of loans being assigned -- and with a 2 -month lag, we would like to see 60% of disbursements being assigned via the co-lending structure.

These are all principal amortizing equated monthly installment loans.

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Similarly, Sammaan Finserve is focused on pretty much the mortgage lending only. Home loans are with an average ticket size of INR15 lakhs, LAP loans of INR25 lakhs. This will have about 40% of the loans on its books. Again, it follows an equated monthly installment system.

Even though we are licensed as an NBFC, I had mentioned in the past that we have no intention of diversifying at this stage into products that this management team does not have significant experience around. This product suite, again, is a message to our wider stakeholder audience that our focus is very, very clear. These are the products that we intend to focus on completely. Our people, our distribution and the entire technology system is geared up to make us very, very competitive and scaled up in this product suite.

If you look at Slide 9, the scalability of this business is demonstrated by the fact that we have an experience of having done transactions with 24 banks and financial institutions to the tune of INR91,508 crores. Very few NBFCs can boast of having done such volumes of business through their life cycle. And this is just one portion of what we have been doing in the last 15, 20 years.

This INR91,508 crores is a number that we have done over the last 6, 7 years. Banks have really profited from it. They have seen this INR91,000 crores come down today to about INR20,000 - sub INR20,000 crores with a 90 days past due of only 54 basis points.

Now that after a long, long time, we've stopped looking at the rearview mirror for 100% while driving. We continue to look at the rearview mirror, which is our legacy business, but a large portion of management team's focus is now on looking ahead and driving. Distribution becomes

an area of core focus. We have been doing some realignment of our branches. We stand at about 214 branches consolidated for both the companies, and we expect this to be going up at a pace of about 25% per year for the next 3 years. We should be at over 300 branches, 300 to 330 branches by fiscal '27. We continue to have very stable relationships with our co-lending partner banks. Seven of our bank partners have relationships at Sammaan Capital and at Sammaan Finserve both. This is a model where we are carrying minimum ALM risk, which we believe and we've spoken about causes the maximum vulnerability to an NBFC. Through these partnerships, we are confident that we have created the base for compounding our earnings for at least the next 10 to 15 years.

Our bank partners are supporting us. The on-balance sheet borrowings have grown 3x in a comparable period versus last financial year. While year-to-date, we have borrowed roughly INR9,248 crores of long-term borrowings, either in bond structures or bank term loans. These are new borrowings. The rollover of our cash credit facilities, etcetera, continue versus INR2,951 crores in the same period last year, which is a growth of 3x. 12 banks and financial institutions have sanctioned fresh term facilities in fiscal '25 to date. The other investment that we had been making around doing retail public and HNI focused public issues is gaining in traction. And now we have over 85,000 investors who hold our NCDs. One of the shortcomings of our business model is that we do not have a deposit-taking license. This is the way we are trying to mitigate the shortcoming. Sammaan Capital Limited
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Slides 11 and 12 are probably the most important slides. We've been speaking about aligning our strategic priorities, making sure that we are giving an update on these boxes, good or bad on a quarterly basis. As I mentioned earlier, the legacy AUM has now declined to under INR27,000 crores. The growth AUM has expanded to approximately INR35,000 crores, moving steadily towards the consolidated growth AUM target of INR1 lakh crores. The annual incremental disbursement has moved up a little bit from last quarter, and now we are trending to INR15,000 crores. We still have a long way to our fiscal '27 target, but we have the people in place, the technology in place. And as we expand distribution, we should be able to get to a INR35,000 crores kind of run rate. We were doing this INR35,000 crores number through calendar '17 and '18. So we've handled these numbers. We've handled the scale, 7, 8 or 9 years later, we will only be that much more mature. So I'm quite hopeful that not only will we get to a disbursement of INR35,000 crores. The more important point is as far as the growth AUM target is concerned as well as the incremental disbursement target is concerned. More important than the numerical number, the qualitative number, what goes into this incremental disbursement is far more important. What we monitor is the pace at which we are able to churn, credit quality, how many partners are buying our loans? Is there any sort of chunkiness building up? Is there enough diversification? What is the ROA that we are generating per loan, so per unit economics are very important. And that really defines how much of disbursement do we do in the next months. If we continue with this kind of a focus, I'm very sure that our incremental ROA, which is at about 3% will certainly increase to 3.2%. There is work in progress around our cost/income ratio. We are capacitated for a significantly higher quantum of disbursement and book management. We have continued to make this investment for a fairly long period of time. And I hope now, the time has come to also get advantage out of this investment. As the cost-income ratio improves, the ROA will steadily also improve. The net NPA ratio currently is practically half of what the goal is. That's partially due to the tactical provisioning that we landed up doing through the structuring that we did in quarter 2. On a steady-state basis, we continue to believe that this business will have an 80 to 100 basis points credit cost. Sammaan Finserve, which is a subsidiary which is currently a key management focus item, has now a balance sheet size of INR7,250 crores, which is actually very close to the fiscal '27 target, and that's largely because it still continues to be highly overcapitalized. It does not need any capital whatsoever. The disbursements, much like Sammaan Capital have to grow significantly. We are investing in the people and the structure to get to an annual disbursement target of INR9,000 crores. The AU

M, if it continues to steadily increase its disbursements, will comfortably get to about INR15,000 crores. The ROA is a function completely of scale. As the scale improves, the ROA will improve and consequently, the ROE will improve. This is a business of investment. It has huge potential in being able to generate a 5-plus percent ROA.

We are fairly sure that with the right team, which should be on board over the next few months, the handing out of appointment should be completed next month itself. And with the expansion of the branches that we are already making, the INR150-odd crores AUM that we are targeting by fiscal '27 with the qualitative aspects that we spoke about in Sammaan Capital, very similar, should certainly happen.

We now would request you to move over to Slide 14 and 15. These are somewhat new slides we have introduced into our earnings deck. We believe, like I mentioned a short while ago, we spent enough time driving while solely looking at the rearview mirror. It is only with the grace of what that even though we were looking at the rearview mirror, we did not meet with an accident from the front. We still continue to look into the rearview, but a large part of our attention is in driving by looking in front.

The team has been focusing on the growth AUM, the wider team, and we have been steadily growing. So from INR26,000 crores in the fourth quarter last year, we are now up almost INR9,000 crores to INR35,000 crores. In the meantime, in this year, we have disbursed about INR6,700 crores through co-lending, done 22,000 loans. And in order to understand the granularity of this book, the average ticket size is all of INR59 lakhs and the median CIBIL score is 762.

What we've also achieved is a common and standard credit policy across all our partner banks, a standardized credit appraisal document, a standardized credit process flow, standardized credit appraisal memos and other relevant formats. And from a sustainability of this business, a highly technology levered process, which gives great comfort from a customer service perspective as well as from a compliance perspective. Having laid this ground, now we can certainly increase the pace from this INR9,000 crores, INR10,000 crores that we have grown between quarter 4 to quarter 3 to a significantly higher number as we ramp up disbursements.

In order to give full color of what exactly are we pursuing in the growth AUM, it is largely a residential property-backed book. 81% of the book is residential property backed. It is a business which is focused on remaining asset-light. 66.4% of the book has already either been co-lend or assigned or securitized via pass-through certificates. It's a book which talks to the middle income group of India.

It's also the segment which has recently been a great beneficiary of the income tax breaks that the government of India has given through the budget. That being our target segment, I believe that we have a massive growth boost coming by way of this additional financial flexibility that the government of India has given to our target mass market. Our home loan product is split roughly 50-50 between self-employed and salaried.

Our loan against property product is a secured loan to the MSME market, where both the business owner as well as the business come on the loan structure. The collateral, which is generally the home of the borrower comes on the structure. As a result, 61% of our borrowers are self-employed and 37% are salaried.

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This is a very high-quality book. The intended target of this book is our partner bank's balance sheet. So we have to do loans which are of an acceptable standard to them. And thus, a fair portion of the loan book, nearly half of what we have is sitting at a CIBIL score, which is north of 75

0. Banks and ourselves, we are generally even more conservative than what the regulatory caps are.

Even though in home loans of this ticket size, you can go up to 80%, 85%, a large portion of the book is sitting well below even 70%. Only 33% of the book is sitting at between 70% to 80%. All of these would be small ticket home loans. It's a well-diversified book. It's spread across several productive states of India. And as Sammaan Finserv increases its distribution and focuses more on Tier 3 and 4 locations, I would imagine that our focus states would double over the course of the next 12 to 18 months.

Credit quality is of no concern here. Credit quality is the single biggest moat that we have created. And therefore, it's the one item that senior management, even through the period where we were occupied in making sure that we were not falling short of our contractual obligations.

We continue to focus on this because this was clearly the franchise building that we were doing. 98.4% of the loans are in Stage 1. To summarize, 86% of the growth book is residential property backed. To sum up the scalability of this, 66% of the book is already sold down. It's

geographically well distributed and operates at a very conservative loan to value.

A slide that we had introduced last quarter, we've expanded that in terms of giving more granular information around the legacy book. The rundown of the legacy book and the accelerated pace I've already spoken about. If you look at the table just below the bar graph showing the decline in the book, you will notice that cash collections in quarter 3 are almost equal to the cash collections in the entire first half. And if all goes well, we should comfortably be ahead of our pro forma second half cash collections that we had projected in quarter 2.

The recoveries are also on track to reach a number of INR1,650 crores. Within just the month of February, which is the current month, we have recoveries between what has already come in and what will come in, in our 5 different transactions amounting to over INR600 crores. So we are well on track to be able to get to this number.

I will go into a little bit of detail in the next slide. But just to kind of give you a flavor, over INR166,188 crores has been collected on the legacy AUM since fiscal '19. And the period, which is the 9-month period is the highest cash collections that we have witnessed in any comparable period.

Also, what's important, and this was a point raised through the tactical exercise of last quarter, we have realized over 70% collections from pools sold to ARCs. And now when we look back and do a static analysis, I was looking at this number, 70% is well, well ahead, almost 2x, 2.5x of what the industry is collecting. So clearly, our strategy of using ARCs as a platform to facilitate the collections is working.

We will continue to tactically use these. We have the financial flexibility without impacting the pre-provisioning operating profits to take whatever impact it takes to sell loans to ARCs and to Sammaan Capital Limited
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collect. And you will notice that we will continue to report back to you the cash collections that we do via the ARCs on a static basis.

We had made an exchange disclosure a few weeks ago where to just give some flavor on recent recoveries so that you can get a flavor of the residual book. We have received INR175 crores from a premium project in Central Mumbai. This increase has increased to now INR325 crores. We have received a collection of INR210 crores, which was expected in March '25. We received that in December itself.

We concluded a INR220 crores transaction, which was a recovery transaction from a repossessed property via sale to a private equity fund. And we've received several court judgments, which have unlocked values of approximately INR750 crores of sale of inventory in the N

ational

Capital region. Some of these will directly contribute to our recoveries. Others will directly contribute to the cash collections.

Slide 18 is very interesting, and I would like to spend a minute on this or a few minutes on this. Our opening stock of the legacy book was INR120,000 crores. The legacy business as defined is all loans -- done pre fiscal '22, which by fiscal '22, we could not securitize. So business done between '19 and '22, which included the monies that were lent to projects to complete the construction was almost INR42,000 crores. The book paid, and this is not accrued, this is paid received by us interest of INR44,000 crores.

If we look at the breakup, we received repayments and collections of INR122,000 crores. We did refinance of INR31,000 crores, did portfolio sales of INR11,900 crores. This is how we received the cash. Approximately INR13,000 crores on a net basis through this period we wrote off or provided. And this is how we have achieved a closing number as of December of INR27,000 crores.

Why we did this exercise was to clearly and mathematically establish two facts. One, when we speak to our stakeholders about the legacy book, there is a perception that this is a problem book. What I want to emphasize through this slide is that from March '19 on a net basis, this book, net of provisions, etcetera, this book has yielded us 11.7%.

If we look at the total provisions and write-offs of INR13,418 crores on a static book of INR120,000 crores and add to that the INR41,000 crores of disbursements that we did, you will get to a static annualized credit cost of 1.5%. The rest of the book continues to earn up approximately 12%. So this is not a problem book. This is not a book which met with a significant accident. This is a business we chose to run down since it is a business which requires financing on balance sheet. which has resulted in our gearing going to almost 9x.

As management, we are comfortable with a gearing of 2x to 2.5x. Therefore, this business does not fit into our long-term strategy. Having run down so much and come down to these levels with an annualized credit cost of 150 basis points, I hope most of you now stop worrying about what more is to come and how much will need to be provided. We have enough provisioning covers to be able to take care of this book.

Let's move on to Slide 20. As I shared earlier, our gross NPAs have declined to 1.14%. Our net NPAs are down 2.66%. And on that INR26,000 crores book, we have a 31% imputed provision cover. Our net incremental credit costs for quarter 3 fiscal '25 are within the guided range of 100 basis points.

The NPA levels are at their lowest levels. And to provide you comfort about the imputed provisions because it does have an element of INR3,400 crores of expected recoveries. We have already done recoveries of over INR3,600 crores. So this INR3,400 crores additional recovery is well within striking distance.

Moving on, the asset liability maturity continues to be very stable. We continue to have a liquidity coverage ratio, which is well, well above regulatory requirements and stood at 218% as of end of December 2024.

To conclude, I would say that as we transition, -- we will continue to operationally focus. The areas of focus are building the growth AUM. Within that, there is a specific scale-up focus around Sammaan Finserv, a setup and then scale-up focus around our alternate investment fund. Both should be scaled up in the next 6 months or so, and then they would also get into a regular delivery business.

That said, we would continue to have some sort of hiccups. We've updated the Stock Exchanges on a minor hiccup where through an interim order, the court has restrained us in a manner which we feel around usage of the brand Sammaan. We believe we have a very strong case, and we have already challenge

d the matter. The matter we are seeking for dismissal or quashing.

Thankfully, the other comfort that I have as the CEO is that our company derives its strength on distribution. It's a very young brand. Thus, I personally feel that while we will seek all legal remedies from a day-to-day business perspective, I don't expect any sort of a distraction to come our way. We will continue to focus on delivering for you what we have committed to you on Slides 11 and 12. And I see no reason why any of those numbers should shake up because of any distraction.

As we continue to collect, I've already shared, we will have all kinds of hiccups, all kinds of legal challenges will be thrown at us. We will continue to overcome those challenges. We've overcome significantly tougher legal challenges thrown at us. We've come through investigations and audits and whatnot. And today, as we speak, I think about 95% of our bandwidth can be focused on just execution, execution, execution.

On that note, I would like to express my gratitude again to the investors who supported us through the QIP, through all of our shareholders who supported us through the rights issue, through your collective contribution through the INR5,000 crores that you have given to us, you have enthused, the management encouraged it. And we commit and recommit to our single-minded focus on delivering to you on the strategic priorities that we have detailed through this earnings update. We are confident in our ability to create long-term sustainable value for all of our shareholders and the wider stakeholder community. That was the update for the quarter. With this, now the management team is open for questions.

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Moderator: Thank you very much. Our first question comes from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.

Abhiram Iyer: Congratulations on a strong set of numbers and results. I had two questions. The first question was to do with the NPAs. Obviously, we've seen a significant reduction in the NPA levels. Could you just elaborate a bit more on is this a one-off? How do you see levels going forward? And effectively, how the reduction has been especially compared to peers? That's question one. The question two was pertaining to Slide 15. Thanks for giving a bit more color on the growth AUM portfolio. And as you mentioned, 66% is pretty much the co-lending part of it. What I just wanted to understand here is that is about 9%, which is mentioned as retained portion 8.5%. Is this basically your retain -- your attention of the disbursed product co-lending model? And is this par alongside the co-lending partner? Or does this fit as sort of behind the co-lending partner?

Gagan Banga: Sure. So firstly, just to understand and it's a good input next time, we will structure d answer because I get asked this question all the time. Co-lending is just one other form of assignment of loans. There are two options for assignment of loans. One is called direct assignment. The other is called co-lending.

The big difference between the two is a minimum holding period of 6 months and a minimum retention of risk of 5%. Whereas in co-lending, there is no minimum holding period. But the minimum retention of risk is 20%. Co-lending is further restricted only to priority sector loans. We are more focused on ensuring that a large portion of what we originate fits, especially capital fits into the co-lending structure.

Now both in direct assignment as well as in co-lending, the risk is shared on a pari-passu basis. The 5% or as a market practice, more than 10% that I minimum retain in direct assignment and the 20% that minimum retain in co-lending, which you see here as approximately 8%, 9% is not junior does not come after anyone. It is pass. As the borrower pays, they take 80%, 90% of what they are supposed to get, we take 10

% to 20% of what is owed to us. If a borrower does not pay, then they take 80%, 90% of the hit, we take 10% to 20% of the hit.

So there is no senior junior. There is no first loss default guarantee. There is no credit enhancement. There is another structure, which is a more classic securitization structure, which we don't really resort to very regularly. We -- it is called the pass-through certificate structure. It is typically resorted to in loans which will be slightly larger in ticket size. There one gives a credit enhancement. The instrument gets rated and this is the target rating, the credit enhancement is prescribed.

And if the excess interest flow, so the customer is paying over the instrument coupon typically, and that is getting trapped only if the default is to happen over the excess interest flow, does the credit enhancement get dipped into. In our history of having done about INR25,000 crores of such transactions, and these are rated and monitored by a variety of rating agencies, there has not been a single instance where the credit enhancement has been dipped into. And this is anyways on a going-forward basis, a very small part of our strategy.

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Sammaan Capital is a social housing company. 100% of what it does today is social between affordable home lending, all of which fits into the priority sector norms of the Reserve Bank of India. Even the MSME lending, which is secured by property, is priority sector for banks and that is our key focus area.

As for the other question around NPAs and credit costs, etcetera, our guidance for the credit cost on a total AUM basis has been detailed at 80 to 100 basis points annualized. And as I said, the fiscal '27 goal for net NPA is 120 basis points. We have used the provisions that got created through the various tactical steps that we took last quarter.

And we have created an additional provision cover, which has reduced the NPAs. But on a normalized sort of basis, the NPAs would be 100 to 150 basis points on an average about 120 basis points. This is net of the provisions that we will be making of around 100 basis points annualized.

Moderator: The next question comes from the line of Rishikesh from RoboCapital.

Rishikesh: So, sir, if I understand, we have added around INR9,000 crores growth AUM in last 9 months, and we would be adding around INR25,000 crores in, say, '26 and around INR40,000 crores in FY '27. So could you share what is the blended yield on that and spreads as well?

Gagan Banga: My friend, all of this is already detailed. So if you look at Slide number 6, we detail product by product of what the yields are, what the mix of the product would be. And if you flip back to Slide 5, we also talk about what would be the AUM on each company on a stand-alone basis and what is the targeted ROA.

So if you are to ask me on a blended basis, I would say Sammaan Capital would be generating about a 10.5% yield. Sammaan Finserve will be generating around 12% to 12.5% yield. And on that basis, we will be generating a 4-plus percent ROA in each of the two companies.

In terms of how we will get to this number, we have detailed the disbursement target. So next year, we should be disbursing around INR2,000 crores a month in Sammaan Capital. And the following year, we should be disbursing around INR3,000 crores a month, consolidated is about INR2,000 crores in capital and about INR1,000 crores in Sammaan Finserve.

Rishikesh: That is helpful. Can you also share the spread numbers, please? What would be the spread?

Gagan Banga: So the spread in our case, since we sell down the loan is not the correct way of looking at it. The 80% of the loan moves away from our balance sheet, which is why return on asset -- return on asset for the portion which stays back on our balance sheet is more relevant, where we are targeting 4% plus in each of

the two companies. If you want a full detailed calculation, you can reach out to our Investor Relations team, and they'll run you line by line as to how we get to the 4%.

Rishikesh: Okay. Got it. Sure. Secondly, also on the opex part, our other expense has gone down quarter -

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down from INR200 crores to INR180 crores. So can you please throw some light over here?
And how should we see this on a sustainable basis?

Gagan Banga: So last time, I had mentioned that there was a bunch up of the increment, and we paid the increment with a lag effect from 1st April sometime in the second quarter. And therefore, there was a heightened operating employee expense. The operating expense -- other expense typically moves up and down because of the way that ESOPs are getting valued. That's a fluid statement as far as IFRS 9 is concerned, and that makes the whole line slightly volatile.

Moderator: Rishikesh sir, may we request you to return to the question queue for follow up questions. There are several participants waiting for their turn. Thank you. The next question -- before we take the next question, we'll take two more questions. The next question comes from Megh Shah from Prospero Tree Asset Management LLP.

Megh Shah: So we are raising funds at around 10 percentage, 10.5 percentage. And you said that the yield for us is around 10.5 percentage. So how do we make profit on that?

Gagan Banga: Our flow cost of capital will be between 9.5% and 10%. And as I said, the -- we retain only a small portion of the loan on our balance sheet. For the portion that we sell down, we get a continuing trail income from the bank. So the bank will typically buy it at a lower rate.

So hypothetically, if we are giving them a home loan in Sammaan Capital, which we are originating at 9.9%, the bank would typically take that loan from us at 9.1%, which will give us a straight 80 basis points income every year. Plus the bank would typically also give us an annual management fees for managing the life cycle of the loan for doing the customer service, collections, etcetera. That would typically be in the ballpark of 50 basis points for the overall loan. So that becomes on our 20%, a very large contributor, almost 2.5%.

We also would be getting fee when we originate the loan on the 100% of the loan, we would typically in over 90% of the loans be able to attach an insurance product, which comes in handy to the borrower in the case of an unfortunate event of an accident or loss of life.

There also, we are able to make -- since the premium would come on the overall value of the loan on the portion that we hold back, it will be a 4x multiplier. This minus our operating expenses, which is on 100% of the loan and the credit cost, which is on the 20% of the loan that we hold, we make a 400 basis points return on asset.

So which is why I was explaining to the previous -- I was stating to the previous participant that ours is not a typical spread business where you borrow at X and lend at Y and your income is restricted to Y minus X. It's a business where we since we are outsourcing our liabilities and ALM, we continue to make a spread on the portion which is not on our balance sheet and therefore, is not funded by our on-balance sheet financing cost.

Moderator: The next question comes from the line of Damodar, an Individual Investor.

Damodar: My question is I'm a little investor. I have been investing in Sammaan Capital for almost 7 years. I hold a significant portion of the shares also. I mean my only question is when will our company
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be valued at 2x or 3x of the book value? I mean, just a prediction kind of a thing because investors have been not gaining much in last 5 to 6 y

ears. So if you can give an estimate like when will all the agencies, rating agencies or the fund houses give re commendations like good old days of 2016, 2017? That's my question.

Gagan Banga: Sir, firstly, I'm thankful for your support. We are held by around 450,000 shareholders and each of you as individual shareholders are the backbone of the company. So thank you for that. As management, you may appreciate we don't really control the up or downward movement of the stock price. What we certainly work towards is achieving certain return ratios for our investors, which then may make the company interesting. We have detailed in -- on Slides 12 and 13, what our goals are.

So hypothetically, if the company was to get to 15-ish percent -- 18-ish percent ROE, which we are targeting and a 3-plus percent ROA that we are targeting, it may be better on a normalized market basis that you may consult your financial adviser, if you have one, to see what kind of a value can be ascribed to this company.

What I can assure you of, like I said a few times in the call, as a management team, we had already been working hard. Our efforts were more over the last few years to stabilize the company. Our shareholders by giving us the quantum of equity capital that we have received in

the last 12 months have given us a different type of enthusiasm, a different type of strength. And it is with that enthusiasm and strength that I can tell you we are working even harder to make sure that we achieve these goals.

The good thing is most of the struggles that we had, which were distracting the management team are now behind us. And a large portion, if not all, of our management bandwidth is focused on achieving these ratios. Along the way, we will have hiccups. We now have the bandwidth and the wherewithal to manage those hiccups a lot, lot better than we could do a few years ago. So nothing should be distracting us from these goals. And I'm quite hopeful that we will, in the given time lines, be able to achieve the goals. And that should hopefully create value for you, much like how valuable this company was, as you said back in the good old days.

Thank you. Thank you for sparing so much time through this call. Thank you again for your support, and I look forward to speaking with you next quarter.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. On behalf of Investec Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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Date: May 20, 2025

Scrip Code – 535789, 890192
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MUMBAI – 400 001 SAMMAANCAP/EQ, SCLPP
National Stock Exchange of India Limited
"Exchange Plaza",
Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and financial year ended March 31, 2025

Dear Sirs,

We refer to our intimation dated May 16 , 2025, informing that the Company has uploaded the audio recording of the conference call hosted by it on May 16 , 2025, to discuss the financial results of the Company for the quarter and financial year ended March 31, 2025, on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

Amit Jain
Company Secretary

CC:
Singapore Exchange Securities Trading Limited, Singapore ("SGX")
India International Exchange IFSC Limited ("India INX")

May 16, 2025

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN AND
MANAGING DIRECTOR , SAMMAAN CAPITAL LIMITED
MODERATOR : MR. KAMAL MULCHANDANI – INVESTEC CAPITAL
SERVICES

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Moderator : Ladies and gentlemen, good day and welcome to the Sammaan Capital Limited Q4 FY '25 Earnings Conference Call hosted by Investec Capital Services.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr . Kamal Mulchandani from Investec Capital Services.

Thank you and over to you , sir.

Kamal Mulchandani : Good evening. Welcome to the Earnings Conference Call of Sammaan Capital Limited. We have with us on the call today, Mr. Gagan Banga - Vice Chairman and Managing Director, joined by other senior management of Sammaan Capital and Sammaan Finserv Limited.

I would now like to hand over the call to Gagan sir for his opening comments, after which we will take the question -and-answer round . Over to you, sir.

Gagan Banga : Thank you, Kamal. Good afternoon and thank you everyone for joining this call. We are mindful of the fact that it is Friday and so we didn't want to push it to the evening where we usually do a call at 5:30 PM here , so we preponed it to 4:00 PM . I hope it makes it more convenient for everyone .

We have announced our results earlier today . Fiscal '25 , if we put it in perspective, was a transformational year for us both at an operating level as well as at a big picture shareholding governance and the overall business structure itself . We successfully concluded two equity raise transactions , one Rs. 3,700 crores equity rights issue and then QIP earlier in January of 2025. That strengthened the capital base of the company. It also strengthened the CAP table of the company at the top. Now our top 5 large shareholders own approximately 25% of the company . As we went through the process of de -promoterization over the last 3 -4 years , the erstwhile promoter used to own about 21% of the company, so there is that solidity now there in the shareholder base.

We also went through a transformation of our license itself and the brand. Now , we are slowly settling into the brand Sammaan, and we hope that as the months passed by , the brand recognition of Sammaan improves over a period of time and it becomes solid brand standing for all the virtues that we would like it to be standing for customer service, quick solutions, etc. , in due course of time.

The other emphasis has been on building up of what we call the growth AUM, which is the business that we would like to do going forward, home loans, loan against property and selecting type of wholesale transactions. That growth AUM has now reached as much as Rs. 37,000 plus crores, rising from approximately Rs. 26,000 crores last year and now stands at about 60% of Sammaan Capital Limited

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the total AUM . Within this AUM, a very important element of success was to firstly establish

and then to scale up our asset light model. That is moving along well . There is a high rate of acceptance close to about 95 %-96% of the loans that we do are being partnered with banks in a variety of structures and this is providing us with the most stable form of ALM , the most durable form of A LM, and hopefully this will also provide a very solid base for growth in the years to come.

Another strategic initiative which we took through the course of the year was to recreate our subsidiary into affordable mortgage focused subsidiary, Sammaan Finserve . That initiative is chugging along well. The company is slightly ahead of the full-year projections that we had made for Fiscal '25 and I hope the same trend would continue through Fiscal '26 as well . A very key element for the success of any n

on -bank lender is a solid debt program of its own, where there is free flow of capital . Through Fiscal '25, we have established free flow of capital. We have borrowed about 2.3x of what we did in the previous Financial Year, and th is should then bring in the next level of competitive advantage driver, which is lowering of cost of funds . The cost of funds can't effectively reduce till the time that you are forced to borrow at any cost in every structure that is behind us . Through Fiscal '25, I think the quantum of borrowings that we have done on balance sheet well establishes that and Fiscal '26 should see us being able to reduce our cost of funds slightly ahead of the reduction which should anyways in normal course come to us with a reducing repo rate.

In terms of specific numbers, as I said, we did an equity raise, the net worth climbs to Rs. 21,822 crores . The AUM stands at Rs. 62,346 crores. The growth AUM is Rs. 37,000. The legacy is just under Rs. 25,000 crores . Net interest income is stable at about Rs. 1,082 crores. P POP was also stable at Rs. 744 crores . Profit last year same quarter was Rs. 320 crores , this year is Rs. 324 crores. The net interest margin has improved to 6.2%. The gearing has reduced to 1.9 x. Gross NPA is down to half at about 1.3% . Net NPA is at 0.8% and the credit rating is stable from both CRISIL and ICRA at AA stable.

We did see a n upgrade in our international credit rating and now with the full year results out along with the annual report, we hope to have a n engagement with our domestic rating agencies and we are hoping to be put on a positive trajectory over the course of the next few quarters. The numbers essentially witnessed and accelerated the transition of the business model. Our focus was to ensure that even though we are moving from a wholesale focused model to a n incrementally more retail focused model, there is steady profitability, and the asset quality should be steady to improving, which is something that we have been able to achieve in the second half of the financial year.

The growth AUM now stands at 60% and it will keep climbing up . What is most comforting is that the collection from the legacy book in FY '25 was at its highest ever point at Rs. 12,834 crores with Rs. 2,978 crores collected in quarter 4 itself , well in line with the projections that we have done. As I mentioned, a key competitive advantage driver is eventually the cost of funds for any non -bank , but before that there has to be free flow of capital. The other significant

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achievement so to say was a 2.3x growth on balance sheet borrowings from a variety of banks and also the enhancement of our retail bond issuance program. Now , we have over 88,000 investors who directly invest into our bonds.

We provided a road map to Fiscal '27 and within that we have been highlighting now for the last 4 quarters that we would keep certain disclosures very standard such that the whole business model is very comparable for those who are interested. In that context, on a goal of reaching a Fiscal '27 growth AUM of Rs. 1 lakh crore, we are at Rs. 37,452 crores , still a long way to go. But quite hopeful that as we scale up dis bursals at both Sam maan Capital and Sam maan Finserve and the AIF platform starts firing, w e should be in a position to hit this number.

The annual dis bursals are trending along well . With nominal growth 20%-30% every year , we should be able to achieve our target out there. The incremental ROA is also trending and now with a renewed focus on improving our cost-to-income ratio in the short term, I believe we should be quickly hitting the 3.2% mark. We are currently at 3 % . From our organizational ROE perspective, t he idea is to transition the company back to being a mid to high team type of R OE company. Our new business is already getting us thos

e kind of ROEs . As the entire balance sheet transforms to what is the growth AUM, the R OEs will eventually appear . We are well ahead of our net NPA goals, but we would still like to stick to the 120-basis points type of range and not over commit ourselves and a clear area of focus for Fiscal '26 is to start driving the cost to income ratio.

The ru ndown of the legacy AUM continues to remain an area of emphasis for the management. It takes up significant time of the management. Fortunately, the portfolio has been organically

run down by over Rs. 1, 70,000 crores since in the last 7 years . There is no reason why the tail that we are left with now should also not continue to run down organically and we will achieve a single digit percentage of AUM by Fiscal '27.

Sammaan Finservice , which is a very strategic subsidiary, continues to move forward on its goals towards Fiscal '27. Fiscal '27 goal for balance sheet is Rs. 10,000 crores. We are at Rs. 7,121 crores. The net worth goal is Rs. 3,400 crores. We are at Rs. 3,071 crores. Disbursements annually should be at about Rs. 9,000 crores. We should be looking to get to a run rate of Rs. 500 crores per month within Fiscal '26 itself. So then to be able to get to a goal of about Rs. 750 crores , a month of disbursements from there should not be too much of a stretch .

On AUM, we are slightly ahead , then we are projected at Rs. 6,017 crores. This mathematically with just the disbursements and the run-offs will get us to Rs. 15,000 crores. The ROA will significantly increase as the disbursements increase, and we are targeting 5% plus ROA and a 14% ROE. Our disbursements as we speak are on track and we should be able to get to Rs. 500 crore a month sort of a number in Fiscal '26. And what is also very importantly being done right now is the redistribution of the branch and the people transfer. It is an ongoing exercise, and that exercise is fully underway. It will take us another about 2-3 months . Hopefully , by the end of

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this quarter, we should be in a position to have Sammaan Finservice operating with an independent distribution, independent leadership team and independent execution team itself . It brings me to another important update. The company has been focusing on strengthening its leadership program. In that context, we are undergoing a full leadership review. We are looking at allocating senior resources to Sammaan Finservice , beefing up Sammaan Capital's leadership as well . That program in terms of its results has already started showing some initial results. So we just a few months ago hired a new Chief Technology Officer, Dharmvir, who comes with a long financial services experience and has served in mortgage companies like Home First, NBFCs like Hero FinCorp and a small bank like Spandana. So he has the relevant experience of new age as well as a well-rounded experience of financial services, and he has already started to make his mark internally in terms of the technology transformation that we are doing.

We have retained , I would say , globally, one of the largest human consultancy firms to help us do this reorganization and the NRC is deeply involved in that process. I am quite hopeful that towards the end of this quarter, early next quarter, the results of this reorganization and all the efforts that are being put in place to have a very solid succession plan , additions to leadership, etc., all of that from an implementation point of view would also be happening .

Coming back to business :

There has been significant improvement in asset quality . Year-on-year, our Stage -3 assets have dropped from 2.7% -1.3% on a gross basis , on a net basis from 1.5 %-0.8%. We continue to use asset recovery reconstruction companies for facilitating the recovery process . That is working along well for us. The credit costs have been guided

at about 100 basis points . In the second half

of the year after the large provisioning exercise that we did in September, the credit costs have come in at 95 basis points. So we are fairly confident that going forward as well, we should be able to manage credit costs at about 100 basis points. Our total imputed provisions stand at about 33% of the legacy book of Rs. 8,335 crores.

We have introduced the line , a slide. This is Slide # 9 where since the business is transforming and the business is moving from balance sheet loans to incrementally, there would be a bump up of loans being assigned in one structure or the other. We have tried to explain the various lines , so those of you interested in building models etc ., are guided by this. A primary revenue line is going to be interest income, in which we see income from loans. This should be for Fiscal '26, coming in at an approximate 1.5% of the average loan book for the year. The processing fee that we get on the loans that we disburse is approximately 1.25% of the retail disbursements. Currently , that is running at about Rs. 5,000 odd crores per quarter , so that into 4 with some growth is the estimated processing fees. As the AIF scales up, we expect for that AUM a processing fee of approximately 200 basis points. This is then netted for expenses and amortized. We also get income from loans that we sell of our balance sheet. So we continue to get about 50 basis points to 70 basis points of fee in management fee. Then , there is investment income in the

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nature of interest that we get which is roughly approximately 7 % odd blended for fixed deposits, bonds, etc ., that we would be holding.

And as we move forward in the process of recovery, there would be overdue interest amounts which will be sporadic, may come in one quarter or may not come in the other quarter. They

would be chunky in nature, and we would continue to use all such overdue interest, write-backs or recoveries largely towards continuing to create provisions. We expect this to be about Rs. 200-Rs. 300 crores for Financial Year '26. There is the fee and commission income that we get, which is linked to disbursements which is around 2% of disbursements. We get net gain on fair value changes. This is again approximately 7% of the investment book for the year. This is largely investment income other than those in the nature of interest. So dividends or something like that we may receive from time to time and then there is the net gain on de-recognition, which is effectively when we do an assignment under Ind AS are required to upfront the prospective income. That turns out to be approximately 4.5% of the value of the loan sold. These are our lines of income. Often during analyst conversations, we were asked these questions, so we thought that it is best that we put this down on a piece of paper. These numbers between Fiscal '26 and '27 would undergo a further change as the business model evolves, certain instruments become more favorable than the other, but this would be broadly the line of revenue streams that we will have going forward.

In terms of the structure, we had shared this structure after our Q2 Earnings. Sammaan Capital is an upper layer NBFC which is mortgaged focused, completely focused on origination and co-lending or assignment of loans. It operates in prime space. On the next slide, in the earning update, we have detailed the home loan and the LAP product that this company focuses itself on as well as via its subsidiary which is Sammaan Finserv which is more focused on affordable home loans and semi-urban LAP loans. Sammaan Finserv is targeting a standalone growth AUM of Rs. 15,000 crores by Fiscal '27 and a steady state ROA of 4% plus by Fiscal '27. What we have been working on and I am happy to announce that we have done one small transa

ction through the platform. Hopefully, we will conclude another transaction in the month of May, which is fairly material. This is a platform which will work with several of our partner funds more in our core investment format and this itself expects to be targeting AUM or getting to an AUM of Rs. 15,000 crores and in due course of time, of that Rs. 15,000 crores we expect about Rs. 1,500 crores to be our contribution, which is Sammaan Group contribution be it via the AIF or the NBFC, Rs. 1,500 crores. We have drawn an internal line that we would not want more than 10% of our net worth exposed in all of this, but we expect a 10% contribution to our profits coming from this vehicle.

All in all, between the AIF, Finserv and Sammaan Capital, we are continuing to focus on getting to a consolidated AUM of Rs. 1 lakh crore by Fiscal '27. We have given details about a variety of cuts around the retail business that we are building in terms of collateral, sourcing, income, occupation, CIBIL scores, loan to values, geographical distribution and stages. This is fairly typical of any home loan and LAP focused company. What is going to be of strategic focus Sammaan Capital Limited
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through Fiscal '26 is the first reorganization and then the expansion of the branch network. On a consolidated basis, we should get to about 350 branches by Fiscal '27, which would then be further split between Sammaan Capital and Sammaan Finserv.

Our focus remains on continuing with the asset light strategy, which is working well for us. Mode of this asset light strategy is the quality of this portfolio. On slide 15, we have detailed the credit quality of the portfolio. We have also shared some of our partner's names and this would continue to remain an area of high focus, the core funding, requirement of the company would be coming through that and it would reflect in the AUM mix in due course of time.

An important discussion in most of our investor meetings as well as discussions with analysts, etc., continues to remain the pace of the rundown of the legacy book. Whatever we had targeted for Fiscal '25, we have very nicely achieved all of that. As I mentioned earlier, we have had cash collections of Rs. 12,834 crores in Fiscal '25. In this quarter, we have collected Rs. 2,978 crores. As more and more of the projects that we have financed reach a stage of occupancy certificate, then it becomes a process of selling. All of us are aware that there is significant sales momentum in residential real estate. We hope to continue to ride on that for the next year to year and a half and then take out the big risk out of this book.

The ALM continues to remain well managed. We continue to remain fairly liquid given the uncertainties that the world was facing. Entering into April, we had created additional buffers which we will start unwinding in due course of time. The overall buoyancy in the economy from a retail lending perspective continues. I believe there is more, I would say, a steady hand on the regulatory environment as far as NBFCs is concerned. So that is again something that one can now work with that this is the set of regulations and how do we navigate our business through this.

All in all, if I was to kind of summarize Fiscal '25, I would put it as it being a transformational year. As far as Fiscal '26 is concerned, our key areas of focus besides continuing to run down the legacy book and recovering moneys on what we have already provided for or written down

or sold to ARC s is going to be to ramp up our disbursements around growth AUM. The 3 pieces of that we have shared with you. We continue to focus on reducing our cost of funds. I think the two key ingredients which were required to finally start playing into cost of funds which is demonstrating to the market, the ability to raise equity as well as getting

a free flow of debt

capital. Both have already been achieved, and one can now start focusing on reducing cost of funds. The per loan economics would start emerging by reducing cost of funds as well as having a key focus on our cost to income ratio. This I would say is amongst the most important agendas. And to take it slightly at a higher level, the next area of focus, which is more both execution as well as strategic is to get the AIF firmly off the ground, so that over the next 2 financial years we can build an AUM for around Rs. 15,000 crores here. And what I mentioned the internal reorganization, the senior level hiring, getting on the right talent, succession planning, all of that is again something which I would say is more H1 Fiscal '26 agenda rather than a full year Sammaan Capital Limited
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agenda. We had already fairly progressed on this and every few weeks you will keep hearing some or the other announcement around this. That was the year for us and hopefully, fiscal year '26 would be even more constructed as far as we are concerned.

With this, my remarks are over and we are open to questions, now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good afternoon, sir. Sir, on the legacy book, we have seen the provisions that you have made, but are you expecting any further losses which have to be routed via P&L on the legacy book?

Gagan Banga: So we have guided for an annualized credit cost of 100 basis points. What we have also guided is that the write-backs that we hopefully will get would be back as it in terms of release from the P&L would be back ended. So yes, the company would continue to incur credit costs, those credit costs are well within the budget of what our PPOP can handle. So if your question is do we expect in the near term, any near to medium term, any dip from capital, no, that is not the expectation. I think we are provided well enough. If the other question is do we expect any write-backs in the near to medium term, no, we would continue to carry those provisions as provisions and use them tactically for accelerating the pace, or at least making sure that the pace stays in line with what we have guided. In due course of time, as we come towards the end of Fiscal '27, based on the overall success we have achieved, we will take a call on if there are residual provisions, what to do with those residual provisions.

Sarvesh Gupta: So this 100 basis point is inclusive of legacy as well as the growth book. So it will be on the entire?

Gagan Banga: Yes, everything.

Sarvesh Gupta: And secondly, sir, in this quarter, I can see that versus the previous quarter, there is some 10-15 basis point spike in the GNPA as well as net NPA and last quarter, I think the impairments credit cost was also very low for only Rs. 6-Rs. 7 crores, this quarter, we are seeing Rs. 290 crores. So you can you throw some light on this?

Gagan Banga: Yes. So if you recollect in quarter 2, we had done a large provision. So we had done going forward 90 days sort of dive and as part of that exercise itself done whatever we could. Our more normalized net NPA number as I shared in my remarks is about 120 basis points. And that is what we will probably be averaging over the next few years. So unless we are significantly breaching that 120 basis points, I think it is all built into our business model.

Sarvesh Gupta: On the overall model, so we have around Rs. 20,000 crore s plus of net worth, but if I look at your plans excluding the legacy book on the growth side, most of it is looking to be very asset light nature. AIA a gain would be very asset light, so for this Rs. 1 lakh crore book, how much Sammaan Capital Limited
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would be the equity requirement? And once this legacy loans are sort of taken down, then won't we be very over capitalized in terms of equity if we are having this sort of an asset light model?

Gagan Banga: We are already barely geared, so we are already in a fairly well capitalized situation. In order to get free flow of capital, in order to get a reducing cost of debt funds, you need to remain in an over capitalized situation for an extended period of time for lenders, rating agencies and other debt side stakeholders to get increasingly comfortable till whatever is the business model that you are striving for, achieves maturity in terms of scale size, season cycle and all of that, so at least over the next 2-3 years, I expect that we would continue to stay in an over capitalized state.

Sarvesh Gupta: So then, sir, let us say in FY '27 exit, what could be the ROEs that we are looking at from the

growth AUM and overall on the company conventions ?

Gagan Banga : On the growth AUM , we are targeting high teens, on the overall book we should be hitting mid sort of tens.

Sarvesh Gupta : Thanks.

Moderator : Thank you. The next question is from the line of Niraj Chhajera from Pransh Capital Partners.

Please go ahead.

Niraj Chhajera : Hi, Gagan . With regards to Sammaan Finserve , is there a requirement to dilute majority stake in the company under the RBI guideline? And if there is by when you have to get this thing by detail?

Gagan Banga : Yes, there is no RBI guideline on this. There is RBI dispensation that we currently enjoy as far as an NBFC owning an NBFC and that is not a structure which will be long term enabled. So during the course of this year , we will go back to RBI with a firm plan around how exactly do we want to run this business and build a distinct business model . As part of that process, we had created a distinct business model in the second half of Fiscal '25 . So that is what we would be engaging with the Reserve Bank on and then seeking their guidance in terms of timelines , etc. So as and when there is any update on that, we will certainly inform you . Of this time, we are working on trying to get to Fiscal '26 and AUM of Rs. 10,000 crores and then once we get to that size , with just that size, a lot of optionality happens in terms of whether we want to de-subsidiarize it, whether we want to list it or do what with it . So at this point in time , the focus is more execution in terms of moving forward on a distinct business plan as well as creating the options which would facilitate the overall group.

Niraj Chhajera : So just a follow up on this one. The current dispensation given by RBI is for 12 months, which ends in June of 2025. So have you already made an application for extension of that?

Gagan Banga : I would not like to comment on whether we have made or not. All I am saying with a high degree of confidence is that as of right now, we are moving forward to be creating in an AUM of Rs.

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10,000 crores in Sammaan Finserve as 100% subsidiary of Sammaan Capital and we will take it from there.

Niraj Chhajera : Thank you.

Moderator : Thank you. The next question is from the line of Nilesh Doshi from Prospero Asset Management LLP. Please go ahead.

Nilesh Doshi : Yes. Hi. Just a small question from my side. In Q2, we did a provision of around Rs. 4,000 crores. So can we now assume that this current provision is sufficient enough to cover this current size of a loan book and that no additional provision will be made? And another question that what is the blended borrowing cost and lending cost in terms of percentage? That is all.

Gagan Banga : Yes. In terms of provisions, at that time, what I spoke about a few minutes back as a response to the first question as well as through the course of my presentation , we expect an annualized credit

cost of about 100 basis points. And that is what we are fairly hopeful and confident that we would continue to run with and the business can get managed within a credit cost of 100 basis points. We currently are borrowing at about a little over 9% and the book is yielding something around with all fees etc. , about 13% of which interest income would be coming at about 11 %-12%.

Nilesh Doshi : And just another thing , out of the total, what is the total provision that we have made from our legacy book and how much of it have we already recovered?

Gagan Banga : The total provisions that we have made would be in the ballpark of , so we are carrying existing provisions plus fair value provisions of Rs. 3,710 crores. We expect from stuff that we have written -off which would be in the ballpark of Rs. 10,000 crores , recoveries of around Rs. 3,750 crores. And then there are other recoveries expected of about Rs. 875 crores. So our imputed provisions are at over Rs. 8,335 crores.

Moderator : Thank you. The next question is from the line of Asm Raju, who is an Individual Investor. Please go ahead.

Asm Raju : Good evening, Gaganji.

Gagan Banga : Good evening.

Asm Raju : I like to ask when does our AUM start growing as it is declining from last year ? And when will our rating improve , overall rating?

Gagan Banga : Yes. So as I have been explaining on various calls, you have to look at the AUM in two parts , growth and legacy. There is net reduction in the legacy basis, a strategic decision taken. We have done cash collection with Rs. 12,834 crores. If we continue with these kind of collections , then I believe sometime in the second half of Fiscal '26, we should be in a position , on a net basis,

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grow the overall AUM. So the growth AUM will be growing faster than the reduction in the legacy AUM. As far as rating upgrade is concerned, it is not on me to be able to give guidance on that. We have had a long, good solid relationship with rating agencies. Most of the relationships are 15-20 years old. I think our financials reflect a very solid picture and we expect that through the course of this year, the ratings are put on a positive trajectory. Exactly which quarter, which month, that is very difficult to say.

Nilesh Doshi : Overall you are in growth path ?

Gagan Banga : Yes.

Nilesh Doshi : All the best. Thank you.

Gagan Banga : I will take one last question, please.

Nilesh Doshi : What about the dividend, sir?

Gagan Banga : So dividend, we will discuss with the Board and propose a small dividend this year and hopefully a larger dividend next year.

Moderator : Thank you. The next question is from the line of Sumit from MK Ventures. Please go ahead.

Sumit : Yes. Hi, Gagan. Thanks for taking this question. Just couple of questions. First on the funding side, so with the recent rate cut and our fundraising also behind us and the new governor being little supportive of the NBFC funding environment, we have seen a lot of changes on the liquidity front. So how has the liability side funding side eased up for us in terms of say, incremental borrowing rates as well as quantum? That is one? And secondly, on the co-lending, so the plan that we have for the next 2 years, we see now we are at a stage when look forward to scale up aggressively and co-lending of book is a vital part of our strategy. So what is your sense on the overall systems ability to absorb our volumes and if you can give some color on that, where do we stand on that, whether if we go to say Rs. 1 lakh crore in terms of overall book, including the Finserve, whether we would be able to do that kind of quantum in terms of book to the bankers?

Gagan Banga: Sure. Thanks, Sumit for the question. So our incremental rates that we are getting are about 35-ish basis points lower than what we were getting. The back book would get

repriced as and when

it is a cycle, so we typically would be running at MCLR plus 3-month MCLR or 6-month MCLR.

So over the next 3 to 6 months, whatever is the reduction in MCLR so far would also get priced into the stock of bank borrowings. From a quantum perspective, last year as I mentioned we have done 2.3x. In the first 45 days of the quarter, we have probably done 5x of what we would have done in the first 45 days of last year. So very clearly, we are seeing the benefits of reducing rate environment, a steady hand in terms of regulations and so on, so all of that is clearly flowing in from a capital flow perspective. Your question on co-lending is very important. So as we mentioned in a couple of our earlier calls, co-lending is one of the 3 structures which exist, co-Sammaan Capital Limited

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lending, direct assignment and pass through certificate. There is both macro and micro traction in all 3 and I will spend a minute on this. Co-lending is a business which has its advantage in terms of the capital circulating very fast. From return on asset, which is the residue left on our balance sheet, it is not as revenue rated as direct assignment. Direct assignment requires you to season the book for 6 months, but then on a longer-term basis, you only have to hold 10%, so you are able to work your capital that much harder. We were mindful of our own liquidity requirements and capital requirements and therefore were not wanting to commit that kind of capital where it is 6 months of money is locked in. Now, with all the positive developments of last year, I think we are in a position. So we are steadily working towards building a larger portion of our mix towards direct assignment versus the earlier years. And by Fiscal '27, I expect direct assignments to rise to 40%. Very interesting development, which also happening is I have been speaking for the last 2 years about the Government of India, focusing on setting up a residential mortgage-backed security issuance system in the country, that has finally taken off, the first transaction of our RMBS happened on the 6th of May. And soon all the other entities would also start working with this company, which has been promoted by the National Housing Bank. And so PTCs in due course of time would also emerge as a very interesting option because just because of the pricing advantage that instrument would have, the transactions would happen at a ballpark range of 7.5%. So asset light is Sumit where we will go, we will not get restricted with co-lending or direct assignment or PTC. We will tactically keep moving between these 2-3 options, depending on where are we getting the maximum return on asset for ourselves and where is the maximum scale that we are being able to build up on disbursements. Co-lending is also restricted to priority sector. There is a proposal to free that up. Let us see where that regulation eventually lands up. So at this point in time, just to sort of summarize, it is an asset light strategy, which is evolving and tapping into pass through certificates, direct assignment of co-lending tactically as and when whatever is best for us, we will use that and probably use each of them every month or every quarter and assign different proportions. As things are right now, it will

probably be a 40% co-lending , 40% direct assignment, 20% pass through certificate. This will be the core funding structure which will emerge over the next 4 -6 quarters . And if this is something that we are able to move forward on, then I think our desire to get to a 4% sort of ROA should get comfortably met.

Sumit : Thanks, Gagan . Very helpful.

Gagan Banga : Yes. Thank you, everyone for your questions, for your support and for patiently listening into us. As I said, Fiscal '25 was transformative, Fiscal '26 should be a year of improving returns , returns

for all shareholders , returns on all metric, that is what the company is looking at and we finally should be in a position to get to a comfortable ROE, competitive ROE by Fiscal '27. That is the goal with which the management team is working on. So thank you again and look forward to speaking to you shortly .

Moderator : Thank you. On behalf of Sammaan Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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Date: August 19, 2025

Scrip Code – 535789, 890192
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Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001 SAMMAANCAP/EQ, SCLPP
National Stock Exchange of India Limited
"Exchange Plaza",
Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051
Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter ended June 30, 2025

Dear Sirs,

We refer to our intimation dated August 13, 2025, informing that the Company has uploaded the audio recording of the conference call hosted by it on August 13, 2025, to discuss the financial results of the Company for the quarter ended June 30, 2025, on its website. In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company. Please take the aforesaid intimation on record.

Thanking you,
Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)
Amit Jain
Company Secretary
CC: Singapore Exchange Securities Trading Limited, Singapore ("SGX")
India International Exchange IFSC Limited ("India INX")

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"Sammaan Capital Limited
Q1 FY '26 Earnings Conference Call"
August 13, 2025

MANAGEMENT : MR. GAGAN BANGA – VICE CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
SAMMAAN CAPITAL LIMITED

MODERATOR : MR. ARYAN SUMRA – MUFG

Moderator: Ladies and gentlemen, good day, and welcome to Samman Capital Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Aryan Sumra. Thank you, and over to you, sir.

Aryan Sumra: Thank you. Good evening, ladies and gentlemen. I welcome you all to the Q1 FY '26 earnings conference call for Sammaan Capital Limited. To discuss this quarter's business performance, we have from the management, Mr. Gagan Banga, Vice Chairman, Managing Director and CEO, along with other senior management.

Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward-looking and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to Gagan sir for his opening remarks, and then we'll open the floor for Q&A. Thank you, and over to you, sir.

Gagan Banga: Thank you. A very good day to all of you, and I welcome you to our quarter 1 fiscal '26 earnings call. I request you all to keep the earnings update handy. We have emailed this to you and have also updated it on the exchange website and our website.

In August 2025, the Reserve Bank of India revised the co-lending arrangement directions, significantly expanding the framework beyond priority sector lending to now include non-priority sector segments as well. The new directions broaden eligible participants to include besides banks, NBFCs, HFCs, all India financial institutions and permit arrangements such as NBFC to NBFC co-lending.

Key changes also include a reduced minimum retention ratio from 20% to 10%. The guidelines move to a unified borrower level asset classification requirement, enhance customer transparency through key facts, statement and detailed loan agreements and mandate quarterly and annual disclosures on the scale, pricing and performance of the co-lending portfolios. These reforms are expected at our end to deepen partnerships, improve risk sharing and widen access to credit while maintaining strong governance and customer protection standards.

Our asset-light strategy has firmly validated itself as a powerful growth engine for our company. By leveraging co-lending partnerships and loan sell-downs, we have consistently scaled our retail origination platform without unduly stretching our balance sheet or our leverage. This approach allows us to efficiently distribute risk, access diversified funding and sustain high levels of capital efficiency, all while maintaining robust asset quality.

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The scalability of our distribution engine is evident in our steady expansion of disbursements through collaborations with leading banks and financial institutions, reinforcing the strength and sustainability of our asset-light model.

We were amongst the first movers as far as co-lending back in 2020 is concerned. Today, we are perhaps one of the largest loan originators in the country, working in the industry, working with close to 24 banks and financial institutions.

Through early adaptation and relentless innovation, we have set the industry benchmarks, helped partner banks augment their mortgage lending while ensuring high-quality long tenure portfolios and rapid execution through our technology-enabled platform.

The recent RBI's draft circular on co-lending had played a pivotal role in accelerating our business model. The updated guidelines formally thereafter have widened the scope and the

mandate enhanced includes borrower transparency and unified asset classification, which from a long-term perspective is for the better.

Soon after the draft circular was released, we worked on and invested heavily in building a robust technology integration framework that is at the heart of our operations. Our digital lending platform seamlessly connects with partner banks, credit bureaus, government databases and fintech APIs, enabling faster onboarding, instant credit assessment and efficient risk monitoring. If some of you may recollect, we've had spoken in the past about the fact that post the successful equity capital raise that we've done through calendar '24 and early '25, we now have the ability

to seamlessly pivot between direct assignment, pass-through certificates and co-lending. This enables us to ensure that we are able to monetize our loan book efficiently, enhance liquidity and optimize balance sheet usage while retaining the asset-light character to our growth model. This combination driven by advanced technology allows us to scale originations rapidly, deploy capital judiciously and maintain healthy asset quality, all while expanding our market presence without proportionately increasing our own leverage or credit exposure.

We've invested heavily in system integration and additionally we use services of a data aggregator we call "YUBI" which provides a secure and efficient interface for data transfer between us and our banking partners. It enables seamless real-time exchange of customers and loan data, cutting down processing time, improving compliance checks and reducing operational friction. This technology not only accelerates co-lending and assignment workflows, but also adds reliability and transparency to our partnerships, setting a new benchmark for speed and efficiency.

As the circular has evolved, there are now water type arrangements or strategic partnerships where banks would be soft underwriting or committing themselves to loans originated by their partner. We believe through rapid technology integration and transfer of data for a bank to be able to commit to transactions with us and complete them within the 15-day timeline that the Reserve Bank has set is fairly seamless in our case. And come January, we should be able to, without any issue, migrate to the new system of co-lending.

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Now getting into this quarter's numbers. I request you all to turn to Slide 4 of the earnings update. In quarter 1 fiscal '26, our net worth increased to INR22,137 * crores from INR21,822 crores at the end of fiscal '25, reflecting continued capital accretion. On the AUM front, total book ended at INR62,378 crores with growth AUM at INR39,805 * crores, forming 64% of the total, up from INR37,452 crores at the end of quarter 4.

The legacy AUM continues to run down and is in line of our H1 projections, where we are expected to collect approximately INR6,000 crores, and the legacy AUM stands at a little over INR23,000 crores now. The net interest income came in at INR1,200 * crores, the PPOP at INR993* crores and the profit after tax was stable at INR334 crores. The gearing continues to be moderate and the gross and net NPAs are very stable.

I request you all to now turn to Slide 5. On this slide, we have shown our progress towards our strategic goals at both the consolidated level and at Sammaan Finserve, our subsidiary. We have made significant progress across all four pillars of our medium-term strategy. And we have focused on strengthening our technology platform and expanding our co-lending partnerships. Slide 6 contains our asset quality, where as it has come in, our gross and net NPAs are stable at 1.5% and 0.8%. Slides 8 to 12 give granular details of the growth AUM. The last 7 years have tested our AUM from an

asset quality perspective, and we have done quite fine. We believe that as we move forward, as the growth AUM expands, asset quality would be the hallmark of this portfolio.

Slide 9 provides a greater depth of our Sammaan Capital and Sammaan Finserve product suite.

Now if we go back to Slide 8, I would like to draw your attention to a very well-integrated model, which has come out of strategic initiatives part of which we took last year.

If you recollect, we converted Sammaan Finserve, our subsidiary, into an entity focused on affordable home loans and semi-urban LAP. As we penetrate deeper, it was very clear that we needed to engage with our potential borrowers digitally as well as completely integrate our entire workforce to also digitally interact with the central credit departments and other such departments.

We've built an End-to-End Online Loan Fulfillment system, which not only onboards the lead, it facilitates the KYC and the entire document upload that a potential borrower needs to do. Via Digital Banking, we are able to draw the bank statements and eventually also do digital disbursements. As a result of all the information coming to us digitally, the entire underwriting is now being done digitally and the disbursement is also being done digitally.

* Note: During the call, Net Worth, Growth AUM, NII & PPOP figure was inadvertently said as INR 22,137 crore, INR 39,805 crore, INR 1200 crore & INR 993 crore respectively, please note that Net Worth, Growth AUM, NII & PPOP should be read as INR 22,106 crore, INR 38,897 crore INR 1213 crore & INR 934 crore respectively as a factual figure, as reported in the financial collaterals.

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We have partners, which are leaders in their own spaces. DigiLocker is a government initiative, CORPO SITOR, Riskcovry, SignDesk, et cetera, are facilitating this entire digital integration. This is now being rolled out for salaried borrowers. And before the end of the year, this will be expanded to even self-employed borrowers.

Our goal is through fiscal -- through calendar '25, we should be in our engagement with our borrowers, have a completely digital channel, which enables the borrower, which enables our internal workforce and allows us to integrate seamlessly this entire technology with the eventual home or the warehouse of the loan, which is our banking partners.

Over the course of the last 4 to 5 months, beyond the basic level integration, which was required under Track 2 co-lending, we expanded that such that decisioning can be done parallelly at both our end and at our partners' end on a loan-by-loan basis. That integration is complete with most of our partners.

Before the end of the year, every partner will be live with this. Thus, as I said earlier, come 1st January 2026, we will have a fairly unique tech edge, both in being able to evaluate a borrower, sanction a loan, integrate with the bank, send the information to a bank and get the whole co-lending loop closed all digitally.

As we look to expand Sammaan Finserve into the hinterland of India and Sammaan Capital works on prime origination in the top 100, 120 cities. This would positively impact our cost-income ratio and facilitate the end reach for the company, both the companies.

The product suite, which is there on Slide 9, you would notice in Sammaan Finserve, our home loans are all of INR15 lakh of ticket size. The LLP loans are loans given to -- secured loans given to micro businesses at INR25 lakhs. At 11.5% and 13%, these are fairly prime sort of borrowers. The credit costs are minimal, but the operating costs are fairly large.

The digitization of the entire journey should positively impact the operating costs and therefore, over a period of time, reduce our cost-to-income ratio. The mix between our salaried and self-

employed borrower is 50-50. So for 50% of our potential borrowers, the product is ready and is being rolled out. For the balance 50%, the product should be ready before end of calendar '25. Now how does this product work is detailed on Slide 10. It starts with Digital lead onboarding. So we have our own workforce. Then we have a large network of business associates who work with our workforce who are basically just giving us a lead. And then, we also have direct sales agents who have to integrate into the credit team to pass on information. They are capable of putting together the initial part of the file and then the credit team takes over and a relationship manager takes over.

60% of our origination happens between our team and business associates. 40% happens through direct selling agents. All of this information lands up via the digital lead onboarding system, which is accessible via our website, app or some portions of it are also available via chat to us. Then there is a document upload, which follows where all the key information documents such as income documents, KYC documents are uploaded. And then we use various government

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setups or setups which are allowed by the government to complete, our regulators to complete KYC formalities and everything else which is linked to it.

That entire journey is completed digitally. We use the integration with the various banks in the country to draw the bank statement and do a bank statement analysis completely digitally. We use the account aggregator system to pull whatever else is necessary from our banking partners with the consent of our borrowers. It's a complete integration with account aggregators for analyzing bank statements, which enables a very quick and accurate assessment of the banking history of our borrowers.

All of this information is then utilized for automated digital underwriting. The credit assessment is automated based on a review by the credit manager, a digital sanction is sent across. And then, once the loan is sanctioned, there is a notification which is received by the customer.

Using payment gateways, purchase of insurance through e-insurance platform, most of the paperwork gets completed for registration, et cetera, a physical visit is required. That's probably now the only relevant physical leg left to this journey.

As a monoline company, both Sammaan -- as monoline companies, both Sammaan Capital and Sammaan Finserve have digitized the entire journey. This, as I said earlier, enables us to go much deeper into India and enables us to expand our distribution network physically, reduce the cost and the cost-income ratio of the entire distribution network, automates the underwriting, thereby reducing mistakes.

Practically eliminates fraud since all the information is being integrated directly with the source.

So the bank statement comes from the bank, the tax statement comes from the tax department, etcetera. So the scope of fraud is practically eliminated.

And this just makes the entire organization more rule-based and allows us to, therefore, continue to operate at a large scale becoming larger without necessarily increasing our leverage since all of this is also integrated with our partner banks.

We've begun rolling out the e-mortgage product in select Tier 1 and Tier 2 cities. Early adoption has exceeded expectations. It would obviously, in today's day and age, continue to exceed expectations. The demand is strong. The customer is fairly comfortable with the tech. Over the next 3 quarters, we plan to expand this nationwide, fully embedding the platform into our co-lending and assignment framework.

And the next growth would be into the self-employed segment, which would be a high degree of disruption. Since self-employed underwriting today is considered as very heavy on paperwork, et cetera. We are trying

to make it as paper-free as possible.

We continue to realign our distribution network. We have to consolidate our branches in the larger cities, expand our network into the smaller cities. We currently operate with about 220 branches. And the sales team is around 2,000 people, of which around 1,300 people are on the field. This number, now that most of the branch consolidation is done, should continue to expand

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from here. As I shared earlier, we also have business associates and direct selling agents, which are over 8,000 number.

In terms of trying to understand what kind of a retail book is being built, 80% of the book is residential property backed. This is all detailed on Slide 12. It is geographically well distributed at a current ratio of about 25% on salaried and 75% on self-employed, going to about 50-50 between salaried and self-employed. With a moderate loan-to-value, the home loan loan-to-value is at 70% and for the LAP loans, it is around 55%.

We've had a long history of doing business with banks with the history denominator being over INR1 lakh crores now or roughly INR1 lakh crores now. The pool has now run down over 75% through the years and the 90 DPD is all of 50 basis points.

It is thus a demonstrated performance of purchase pools with our counterparties, which is 24 banks, which is the foundation or the most solid moat that we have created in our business. The organization is fully focused on making sure that the retail business, the credit quality remains pristine.

The scalability of our retail origination engine via the asset-light business model is demonstrated by our track record of doing transactions of over INR2,000 crores in quarter 1 fiscal '26. And with this tech leveraged approach and the expansion of co-lending, I would imagine an exponential increase in this in the quarters to come.

We've also been taking strategic initiatives. Last year, we took a strategic initiative of creating Sammaan Finserve into an affordable housing company focused on affordable loans and micro LAP loans. Through the quarters, we have spoken about the fact that we would be looking at bringing in a strategic partner. Decision has been taken to move forward with that process.

We would be looking to, over the next 3 quarters, bring in into Sammaan Finserve, a strategic partner who is rating accretive. The necessary interaction with the regulator is currently on. And we are fairly confident that over the next 9 months, we should be in a position to complete this process.

We had also announced the fact that as we do this, we will have to completely isolate Sammaan Finserve from a tech people, et cetera, perspective, such that our organization has its own distribution branch network and Sammaan Capital has its own focus, while Sammaan Finserve has its own distribution and focus. That required fresh hiring. That also required a certain degree of organizational restructuring at the management level.

Over the course of the next 3 weeks, we should be in a position to complete the process of appointment of the Deputy CEO of Sammaan Capital. That process has progressed materially. The NRC of the Board is seized of the matter and is in the process of completing the formalities. All of this is obviously subject to relevant approvals, but we are fairly confident of being able to close this entire process over the next 3 weeks.

Along with that, there would be a strategic reorganization of the top few people in the company with the necessary focus being put on Sammaan Finserve for its growth as a standalone

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organization. So through the month of September, we would also look forward to announcing the same.

And these are two key strategic initiatives which are going to happen, which would then build up to an equity partner coming in

at Sammaan Finserve. The arrival of a new equity partner with a strong market reputation should be rating accretive for the Sammaan Finserve entity and should also have a positive rub-off on Sammaan Capital.

As far as the legacy loan book is concerned, we have been working fairly hard at making sure that there is efficient resolution of the legacy loan book. Through financial year '25, we made very good steps in terms of running down the book. Quarter 1 is leading well into quarter 2, and we are very confident of being able to achieve INR6,000 crores to INR7,000 crores of collections as far as the legacy book is concerned in the first half of the year.

We projected a rundown of INR8,000 crores this financial year. We are well on track of that. The necessary resolutions are happening. Wherever the construction needs to be done to be completed is progressing well.

Month-on-month, more and more projects are going towards the occupancy certificate. We are working hard to make sure that the inventory that is there also gets sold out and the balance sheet becomes lighter and pivots more towards the type of loans that we want to originate and keep on the balance sheet on a longer-term basis.

So all-in-all, the health of the legacy book and the rundown of the legacy book is going well.

And I'm quite hopeful and optimistic that the numbers that have been detailed on Slide 14 is something that we should be able to comfortably meet like we met them in fiscal '25.

As we resolve this, one is very mindful of the fact that we would continue to face some litigations as some of the NPA written-off assets, et cetera, we go behind them to recover, there would be litigations. That is not going to derail the process or demoralize the management. We are very focused on the fact that this money has to come back to the balance sheet of the company, and we will continue to take whatever steps which are necessary.

Over the course of the last few months, you may have read multiple lenders face these kind of issues where all kinds of fictitious or fallacious complaints are lodged. And unfortunately, the system at times tends to entertain those complaints. That over the last 7 years is one learning that it will happen. We will have to navigate that.

And we are fairly confident that we should be able to navigate that and thus comes the confidence of being able to resolve the legacy book in a very organized manner as we have done over the last few years. The legacy book has thrown up cash of over INR1.5 lakh crores, and we are fairly confident that that track record should continue.

To conclude, I would like to thank all our shareholders, investors, Board members, employees, partners for your trust and support. Quarter 2 last year was strategic from a perspective of isolating Sammaan Finserve. Quarter 2 fiscal '26 is strategic from a variety of perspectives.

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At the manpower level, I mentioned over the next 2 to 3 weeks, we should be doing senior level appointments as senior as the Deputy CEO, making sure that the top deck of Sammaan Finserve is fully empowered to take home a transaction and get on board an equity partner, which should be accretive to Sammaan Finserve's credit rating.

At Sammaan Capital level, we are already taking -- seeing the benefit of the capital raise that we did. If you recollect, I had mentioned the most important thing for an organization like ours is free flow of capital. And as a result of our capital raise and the various initiatives taken by the organization, the on-balance sheet borrowings have started increasing.

The asset-light strategy despite the rundown of past PTC transactions that we had done or structured finance being run down has also started increasing. All-in-all, there is much better access to capital. And that should, over the course of the next 6 months or so also enable us to

cause the necessary competition for our cost of capital to decline. That from an operating perspective is the next level. The goals both strategically and at an operating level are well set, and we are committed to achieving those goals.

On that note, thank you so much, and we are open to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take a first question from the line of Ankita Agarwal from NJT Advisors.

Ankita Agarwal: So could you just provide an update on your borrowing mix, cost of funds and also the duration profile of liabilities?

Gagan Banga: So our liabilities, ma'am, as would be evident from the ALM would typically have an average maturity of roughly about 5 years. And so that's the contractual -- actuarial life, not the

contractual life. So about 20% to 25% of our liabilities come up for repayments every year, which would mean that approximately INR8,000 crores of principal comes due every year.

Ankita Agarwal: Okay. Also regarding capital adequacy and gearing ratio, so we can see there is a high capital adequacy and moderate gearing. So do you plan to accelerate loan book growth in FY '26? And also, will you prioritize maintaining balance sheet strength?

Gagan Banga: So ma'am, our strategy is not something which is to be spoken about just today, the strategy has been fairly consistent. We will continue with moderate gearing while trying to expand our AUM. The focus right now is more than rapid expansion to focus on how to increase yields, which is one of the reasons why we had taken the initiative of introducing products after due testing last year in Sammaan Finserve. So the idea would be to continue to grow the AUM without necessarily increasing the leverage. Leverage, which is around 2x should remain in the same range of 2x to 2.5x.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri: Firstly, congratulations on a great set of results in Q1. Hopefully, I'm audible.

Gagan Banga: Yes, you are.

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Darshil Jhaveri: So I just wanted to ask a bit about our provisioning policy. So in Q1, we have provided for around INR466 crores roughly. So what can we expect going forward for the full year provisioning, if that could be given as a guidance? And how would it move quarterly, sir?

Gagan Banga: So there are two parts to our provisioning policy, which we have spoken about earlier. On a steady-state basis, our credit costs would be about 100 basis points, on an annualized basis. And any one-off income that we receive, we would use that to enhance the provision buffer. We had a change in the accounting policy as far as de-recognition of assets is concerned. And we -- from some actuarial-based model, we made it actual contracted basis. That resulted in a onetime increased income of approximately INR400 crores, which has been used to create additional provisions. Aside of these onetime events, our annualized credit costs would be 100 basis points.

Darshil Jhaveri: Okay. Fair enough, sir. So other than that, from now in the rest of the quarters, how would the credit cost move like in terms of absolute value?

Gagan Banga: So it should be in the range of about, I would imagine, INR100-odd crores per -- yes, INR100-odd crores or so per quarter.

Darshil Jhaveri: Per quarter. Okay.

Gagan Banga: Unless we get some onetime sort of income. If it comes, then we continue with a policy which is now several years old. All onetime income goes into provisions.

Moderator: The next question is from the line of Nischint from Kotak Institutional Equities.

Nischint: I'm just trying to kind of connect the dots. Just reconfirming your AUMs are around INR62,000 - odd crores. And I guess the loans on balance sheet would be closer to INR4,950 crores. And the balance amount, is it f

air to say are the loans which are outside the balance sheet? And if that's the case, then how do we corroborate the INR732-odd crores income on net gain on the recognition of financial instruments. This is for the quarter.

Gagan Banga: Yes. So there would be the balance loans will be off the balance sheet and then PTCs, as you know, are peculiar that they are on and off the balance sheet. So that's a peculiar accounting treatment. But yes, assuming that PTC instruments continue to be on the balance sheet, the balance INR14,000 crores, INR15,000 crores will be off the balance sheet.

Nischint: Got it. And this INR732 crores is the one-time income, right, of whatever you would have sold out of the INR12,000 crores, INR13,000 crores during the quarter?

Gagan Banga: This is the one-time income from the entire sold-down book, not from the INR2,000 -odd crores of transactions done this quarter from the entire INR15,000 -odd crores.

Nischint: Okay. So this is the amortized and unamortized both put together?

Gagan Banga: Yes.

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Nischint: Got it. So just -- sorry, just if I can continue with this. What proportion do you book on an amortized basis and where do you book it upfront of the INR12,000 -odd crores?

Gagan Banga: There is a line income booked from via de-recognition of assets. That's where we book it. And earlier, we would book it on an actuarial life basis. Once the co-lending happened and we moved very close to prime rates effectively for the banks, that principle was not holding true. So we revisited that at the Board level and decided to make it as per the contract of the loan.

So if there are any prepayments, there would be a negative income. And if there are -- the income for a quarter would come from sale for the entire contracted life. If there are prepayments, then in subsequent quarters, there would be minor reductions. So that's how it will play. We have done a simulation, and we believe that we will go back to approximately INR150 crores of income via de-recognition starting next quarter, which has been the track for some time now.

Moderator: The next question is from the line of Vikram Damani from Damani Family Office.

Vikram Damani: Okay. So just one clarity. On Slide 5, you mentioned that your disbursements are INR3,736 crores. And on Slide 12, it says INR2,640 crores. So just wanted to know the -- if you can explain the difference between the two, please?

Gagan Banga: INR2,640 crores would be the co-lending, direct assignment kind of transactions that we would have completed with our partners. The gross disbursement will be higher than what we will be able to assign in a certain quarter. Whatever is not assigned, then gets subsequently assigned.

So as I mentioned in my comments, we pivot between direct assignment, pass-through certificates and co-lending. Co-lending under Track 2 typically would have a turnaround of 2 months, direct assignment about 8 months, and same for PTCs. Maybe slightly longer for PTCs.

So what we disburse would have a lag of 2 to 10 months before it gets transacted.

Vikram Damani: Okay. So we've disbursed the amount, it's just that is not yet gone under the asset-light model. The difference is due to the time lag in assigning the loans?

Gagan Banga: Correct. And we would -- there would also be a small element of loans that we will have to give out for completing the construction of the various projects that we are doing. So all of that gets added.

Vikram Damani: Can you quantify? Sorry, please continue.

Gagan Banga: Off-hand, I cannot. We can do that exchange over email.

Moderator: The next question is from the line of A.S. Raju, an investor.

A.S. Raju: Happy to see your total revenue growth. Sir, the cost of interest is not coming down, though we are having a cash of INR22,000-odd crores of net worth. Sir, what is the next 2 years'

earnings

projections? And the other question is what happened to the wholesale book and dividend for the last year?

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Gagan Banga: Sir, we have in a fairly detailed manner given the trajectory of the legacy book. So if you come to Slide number 14, you would see all the possible details which are there as far as legacy book is concerned. So last year, the legacy book came down to approximately INR25,000 crores. And this year, it should come down further to approximately INR15,000 crores. As for dividend is concerned, we will have the AGM sometime in September. As part of the resolution, we will propose to the Board to consider dividend.

And I am not in a position to be able to comment as to what that decision would be. We are in a stage where we are more focused on putting the capital to work to expand the business at this stage and use all the liquidity possible to expand the franchise. So that is a better utilization of our capital and liquidity at this point in time, which then will be used to enhance the ROE. ROE can only get enhanced if business gets enhanced. And we would look to work every rupee available to us to expand the ROE, and that's the focus.

A.S. Raju: What is the earnings projection, sir, for this year and next year?

Gagan Banga: So we would be looking at getting to a teen-ish kind of -- low teen-ish kind of ROE by fiscal '27. That's the projection that we have given. And that's what we would like to believe that we should be able to get to.

Moderator: The next question is from the line of Niraj Vijay Kamtekar from ProsperoTree PMS.

Niraj Vijay Kamtekar: Sir, company is constantly focusing on reducing the legacy book. And I think the reason for reducing the legacy book might be the ticket size or lending to the builders and developers. Sir, in this quarter, particularly in the quarter for quarter 1 '26, the legacy book is reduced by INR1,413 crores. I would like to know how much by collection of the [indiscernible] and how much is by making the fresh provision out of the outstanding legacy book?

Gagan Banga: All of it is through collections, sir. I would say 98% is through collections.

Niraj Vijay Kamtekar: And sir, what is the expectation, whatever today outstanding at the end of the quarter 1, how much the company is likely to make the provision out of the balance amount?

Gagan Banga: Sir, we have been maintaining that our annualized credit costs would be approximately 100 basis points. If we look at the provisions that we carry plus the recoveries that we can potentially have from the write-offs that we have taken, all of that put together, imputed comes to a cover of approximately INR8,000 crores. So we have imputed provisions, which is provisions plus recoveries of approximately INR8,000 crores covering this INR23,000 crores, INR24,000 crores. So we believe there is adequate provisioning.

There would be recoveries, which we would continue to recycle to keep this book adequately

covered till fiscal '27. That is the stated policy. Come end of fiscal '27 based on the outstanding legacy book, the provisions, we will see what we have to do. Do we have to do a release of provisions and do a one-time dividend or do we use those provisions for doing a sale of the balance legacy book? That's a call to be taken at that point in time. Today, the short answer to your question is we are very comfortable with 100 basis points of annualized credit cost. I'll take one last question, please.

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Moderator: The last question is from the line of Chintan Mehta from Puniska Family Office.

Chintan Mehta: Sir, one of the interviewer in TV mentioned that we are trying to monetize some strategic partner at Sammaan Finserve. By when we are looking to do that, sir?

Gagan Banga: So I have mentioned two initiatives. One is

an organizational restructuring, which includes induction of fresh senior talent. That process, I expect to complete over the next 3 weeks or so. And then with that, we will be in a position to work with potential equity partners, which are of a nature where they are rating accretive to Sammaan Finserve. That exercise we would like to have finished latest over the next 9 months.

Yes. So thank you. Thank you all for your questions. And as you may have noticed, these are fairly exciting times for us. There's a lot of work to do. So we'll get back to our work, both strategic and operational. And we look forward to speaking to you next quarter. Thank you.

Moderator: Thank you. On behalf of Sammaan Capital Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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Date: November 3 , 2025

Scrip Code – 535789, 890192
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National Stock Exchange of India Limited
"Exchange Plaza",
Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051
Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and half year ended September 30, 2025

Dear Sirs,

We refer to our intimation dated October 31, 2025 , informing that the Company has uploaded the audio recording of the conference call hosted by it on October 31, 2025, to discuss the financial results of the Company for the quarter and half year ended September 30, 2025, on its website. In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 notified by SEBI on May 5, 2021, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.
Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

Amit Jain
Company Secretary
CC:
Singapore Exchange Securities Trading Limited, Singapore ("SGX")
India International Exchange IFSC Limited ("India INX")
NSE IFSC Limited ("NSE IX")

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"Sammaan Capital Limited
Q2 FY '26 Earnings Conference Call"
October 31, 2025

MANAGEMENT : MR. GAGAN BANGA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SAMMAAN CAPITAL
LIMITED

MODERATOR : MR. ARYAN SUMRA – MUFG INTIME INDIA PRIVATE
LIMITED

Sammaan Capital Limited
October 31 , 2025

Moderator: Ladies and gentlemen, good day, and welcome to Sammaan Capital Limited Q2 FY '26 Earnings Conference Call, hosted by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the call over to Mr. Aryan Sumra from MUFG Intime. Please go ahead. Thank you, and over to you, Mr. Aryan.

Aryan Sumra: Thank you. Good evening, everyone. I welcome you all to the Q2 and H1 FY '26 earnings conference call for Sammaan Capital Limited. To discuss this quarter's business performance, we have from the management, Mr. Gagan Banga, Managing Director and CEO, along with other senior management.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to the management for their opening remarks, and then we can open the floor for Q&A. Thank you, and over to you, Gagan sir.

Gagan Banga: Good day, everyone, and welcome to our quarter 2 and half year investor call. Before I get into the specific business performance, I would like all of you to welcome Himanshu, who recently joined us as the Deputy CEO of the company. He is also on this call. And hopefully, over the course of the next few quarters will also be more actively participating on all of these investor calls.

Now to just get into the presentation, I will be referring to the earnings update deck that we sent out earlier this afternoon to all of you. So please refer to that and keep it handy. The most consequential event over the course of the last few months since we last spoke is the proposed preferential allotment which we propose to make to International Holding Company via their subsidiary Avenir Investment RSC Limited.

The total transaction consideration would be INR8,850 crores for a stake of 41.2% on a fully diluted basis. IHC's Avenir has also given an open offer to acquire a further 26%. Assuming all of that comes through, their stake would be 63.4%. The preferential issue warrants and the open offer all is happening at INR139 per share.

IHC is a well-known company. It's the most valuable holding company in the Middle East and has a market capitalization of 240 billion, assets of 113 billion and operates in 41-plus countries. They are completely keyed in on to the tech ecosystem and have made significant very successful investments in the technology world, besides the parentage and the capital big strength which Sammaan hopes to tap into is the technology ecosystem of IHC.

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As far as the next steps are concerned, on 29th of October, we received approval of the shareholders. In parallel, we have already applied for RBI and other related approvals. And the CCI application has also been made by Avenir. I expect all of this to take around 4 months or so and hoping that we are able to conclude this transaction before the end of the financial year or very early next financial year.

The announcement of this preferential issue has already had an immediate impact on the borrowing profile of the company. Within days of the announcement, we raised a dollar bond \$450 million at a price difference of about 150 basis points from where we had issued just 2 months prior to the deal announcement. So that kind of impact on the flow is already coming in. If we adjust the yield curve

for the longer tenure, then the reduction in incremental borrowing cost was about 200 basis points and with a very, very strong demand, which is playing out in the secondary market yields of all of our dollar bonds.

Even earlier prior to this transaction based on the equity that we had raised through calendar '24 and early '25, our debt flow had already significantly increased and now it has reached a level where, as compared to last year, we are operating at almost 1.5x of more balance sheet borrowings being made available to the company.

The rating agencies have also taken note. And Moody's has already put us on review for a possible upgrade. Over a period of time as these rating upgrades fructify soon, nothing would happen between now and the transaction from an upgrade perspective once the transaction is

completed, one would imagine that there would be significant rating upgrades, which would mean that on the bond program side, we could have a reduction of over 200 basis points. A large part of our borrowings are also bank borrowings, where within 1 year through price resets, through interest rate resets, we would land up on stock basis reducing at least 170 basis points, which would all translate to over a period of time, cost of fund reduction of at least 200 basis points, which in itself has a 50% impact on the profit after tax. On the asset side, as we prepare for all the approvals and are in discussion with all the approvals, the focus is on building the base for disbursements to increase from the current run rate of annualized about INR15,000 crores to INR35,000 crores next year the year after that. And in financial year '27, we would be at about INR35,000 crores. So we have about 6 to 9 months to prepare for that and then the rest of the financial year to be hitting those kinds of numbers. One very vital aspect of that preparation is the widening of the product lines. As we speak, the company is critically evaluating all the possible product lines in the loan segments, which address where our target segments, which is low income to mid-income segment requires loans. Each of these options are getting critically evaluated from an ROA perspective. And post the investment, we would look forward to quickly add more products to our product suite which would go beyond mortgages and make us a general purpose, NBFC in debtor, license and spirit. As I mentioned earlier, the IHC ecosystem around technology, around artificial intelligence, is very vibrant and thriving. They have several of their companies operating in multiple geographies, which are already getting the benefits of artificial intelligence. We are

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already in touch with a few of them. And as we look forward to enhancing our own customer experience, making sure that end-to-end disbursements are on the app, there's a quicker turnaround time, reduce cost to income,

I am hopeful that this time where we are waiting out for the approvals can be positively utilized to build up these tech capabilities. That journey is a constant, but over the course of the next 4 to 6 months, there would be significant transformation on the tech side, which we are aiming to do.

Mortgage business would remain a very significant portion of our business and the large part of that does require physical people, branches, And there is a clear chart plan which has been laid out in consultation with the investor, where we should be growing our people fourfold and our branch network also three to fourfold from here.

Now coming back to the performance of the quarter. The net worth as compared to last year has increased to INR22,373 crores. The growth AUM is now touching almost INR42,000 crores.

The legacy loan AUM has declined by almost INR9,000 crores over last year. And the total AUM has increased by about INR1,000 crores over last year.

The NII as we continue

to replace the more wholesale assets with the more retail assets would obviously mean that our yields are for the shorter-term going down. Over a period of time, the reduced cost of funds would even out the near-term margin compression that we see. But there is no work around this aside of just continuing to focus on cost of funds. As the balance sheet gets more retailized, this is a natural outcome of the same.

Last year, we had declared a loss of INR2,761 crores in the quarter versus that we've declared a profit of INR308 crores. On the lines of the net interest income, the net interest margin is around 5.5%, which, as I said earlier, is more an outcome of the increasing retailization of the AUM.

The gearing is moderate right now at 2x. It gives us in the change scenario, a huge, huge headroom for balance sheet compounding and AUM compounding. Gross NPAs and net NPAs are both benign and credit ratings are stable at AA levels.

The asset quality, as I said, is across stages is fairly stable, and so our -- the net and the gross NPA as compared to, say, the end of the financial year or same time last year. When we think about growth, most of the growth that we think about is on the retail side. So, the suite there of the retail type focused loans is currently on the mortgage side, we have started to cover the entire universe.

The strategy around Finserv, the subsidiary in light of this investment is still something which is being planned out with the investor. And we would get back to all of our stakeholders over the course of the next couple of months as to what exactly is the strategy.

Right now, as the business progresses, it still continues with Sammaan Finserv, our subsidiary being more smaller ticket focused mortgage loan player and Sammaan Capital being more the player which is adapting and the asset-light strategy and executing on that.

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There have been significant regulatory changes around our asset-light strategy, all for the positive. Earlier this year in August, the regulator came up with new regulations around co-lending, which were extremely positive.

Positive from a big picture perspective that as regulations evolve and eventually stabilize, it demonstrates regulatory comfort around a new initiative that they had taken, which was obviously evolving over the last 3 - 4 years.

And with these guidelines, it seems that the regulator is more or less comfortable with how co-lending has evolved over the last few years, which is why the scope, which was restricted only to priority sector has now been enhanced with no such restriction and any type of a loan can be co-lend.

The eligible entities, which were earlier only on a practical basis, banks, so you could do -- NBFC could do a partnership with the bank. We attempted it with back in the day with another housing finance company and we were told it's a relationship which is meant for nonbanks with banks.

That now has been formally via the circular being blessed to include the entire universe, even all India financial institutions like NABARD, HUDCO, have been cleared in this. The minimum retention ratio which has an impact on the return on asset has been reduced to half, so from 20% to 10%, which is usually ROA -accretive.

And there is also a lot of transparency towards the customer, which has been built in, which on a longer-term basis makes the product more sustainable, there is customer more sticky. And all in all, it improves the quality of the business that one is under writing. There is a parallel underwriting, which would be happening, which would be necessarily tech-driven.

If you flip to Slide 13, we have displayed there the journey and the integration that we have done with a variety of banks and with a variety of other service providers, both government and nongovernment to make this entire parallel decisioning reali

ty. We would be starting this parallel decisioning from December itself. So we get a month or so to prepare before the guidelines kick in formally by January.

We continue to focus on the branch distribution network and enhancing the access that our people have versus having multiple branches in the same city, we are now focusing more and more on more city deployment, and that is a trend which would continue and get enhanced given the fact that we have a clear goal of going to 500 -odd branches over the course of the next 2 to 3 years. So this would be a massively expanding network and an area of very large investment for us.

On the retail mortgage business on Slide 15, we've given various cuts of how the product suite is playing out and the type of collaterals. These are minute details, which all of you can go through in your own time. The book quality continues to be very, very superior against a lakh crores of disbursement for transactions that we have done with our partners. The outstanding pool is all of INR18,000 crores. So we have over INR82,000 crores of experience in terms of

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how these pools perform and amortizations running in approximately 77% with the 90 days past due being fairly benign at 0.53%.

The partnerships are across the universe. And as the new circular kicks in, I would imagine that at least 2 to 3 more banks would be coming in to join our partnership network. As far as the legacy business is concerned, the rundown continues.

As I said earlier, the reduction between last year to today is about INR9,000 crores. This reduction would continue to further pick up pace. It is usually back-ended in the year. And by the end of this year, we should be looking at about INR15,000 -odd crores, which is another INR7,000 -odd crores of reduction from here. That's the goal that we are going with.

The other minute details are there. as a book portfolio evolves and some loan assets rundown, the -- all these ratios will go through a minute change or sometimes even a significant change. But all-in-all, the more important thing is the real estate cycle continues to be very robust, and we are fully focused on making sure that the INR9,000 crores, INR10,000 crores of collections that we have done in the last year or so, we continue over the next 12 months on a rolling 12 - month basis, we continue with INR9,000 crores to INR10,000 crores of collections.

On the other key operating mandates, ALM Management has been a core area of strength. It is what helped us navigate the rather tricky waters of the last 7 years. It continues to be an area of strength. And as more balance sheet debt gets available at appropriate costs. I think the liquidity buffers from here would only strengthen further. And we would invest in strengthening those liquidity buffers further before we really expand on the borrowing program. for our own peace

of mind and stability.

The rest are more industry updates. As I said, on an overall basis, the industry continues to be robust customer demand continues to be robust. Sammaan Capital and its team continues to be extremely focused in the near-term from an operating perspective on its asset-light strategy. But in the medium term, we are also cognizant of having a significant parent and redrawing the strategy in terms of how much is asset light and how much is on balance sheet.

So, all the guidances that we had given for fiscal '27, are under revision as we speak. And hopefully, before the end of the financial year, we will be in a position to come back to you with fresh guidance for fiscal '27 and thereafter. Please bear with us for the next 2 quarters as we redraw the plans, do the product selection. And then with a greater commitment, we can tell you what the ROA, ROE targets would look like.

Thank you so much for your support. Several of our stakeholders stood by

us like rocks for us

to have gotten here and still be an attractive investment proposition for such a large company.

And I am fairly confident that the management team will make this a very profitable investment for IHC.

And hopefully, all the stakeholders who have gone through, some of them have gone through a lot of pain over the last 7 years, their pain will bear fruit. And all the counterparties will be extremely happy in the days to come. Thank you. And we are open now for questions.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Anil Sarin from K16 Advisors.

Anil Sarin: Many congratulations on the conclusion of this deal. I mean at least the approvals have come and I'm sure the rest will follow. So, I think a great job done over the last many years, I've been tracking. So, I think a lot of credit is due.

Also, your presentation has improved dramatically over the last 2, 3 quarters. I would request only one thing. Kindly add the disbursement amount for the quarter. I mean, there is a reference to an annualized figure, but many of us would appreciate the accurate quarterly figure.

I had just one general question. Is that considering you're going to add a lot of products or some products based on consultation with the new investors and promoters. Obviously, this is in response to the large amount of equity capital that will come in.

So should one assume that since the core -- the growth AUM is anyway growing at around 30%, the other products would be additive basically to take care of the extra capital that has now been absorbed or will be absorbed. Is that a fair understanding?

Gagan Banga: So firstly, thank you, Anil, for your kind words. And if you've been tracking us over the years, we've obviously been a company of interest. So, thank you for your support as well through this journey. We take your feedback. We've been specifically reporting disbursement around the asset-light strategy. We will, going forward, start reporting gross disbursements as well. More so now with the strategy probably evolving beyond asset light, it will be a relevant number to report.

As far as the new capital is concerned, more than the new capital, the goals are the following. One is that we continue with the rundown of the legacy book through fiscal '26. But towards the end of fiscal '26, early '27, we start running the company like a normal company, and we have an AUM. What's going on in the background in terms of some loans being rundown, some products being emphasized on, etcetera, are partly parcel of managing the credit cycle in any company.

We were sort of in a peculiar situation. We are emerging out of that peculiar situation, and we should be there on, be running like a normal company. And certainly, as the product expand, the product suite expands the disbursements will expand. So, on an annualized basis, INR15,000 crores would have gone to INR20,000 crores, INR21,000 crores. We are targeting to take it all the way up to INR35,000 crores next year itself, -- which is fiscal '27.

So fiscal '27 and '28 -- would be sort of catch-up years in terms of the loan book, the AUM, disbursements, et cetera. And then once we get to our size, which is beyond the at INR1.10 lakh crores of AUM. That's the time that we then start again normalizing our growth rates to 20%, 22%, 23%, which is a number which is healthier and which you can also finance in a very robust manner. So that's the broad trajectory in which we are thinking about our business as we speak.

Please appreciate that this is something which is Sammaan Capital's management team's thoughts at this point in time. This is not something that has been trashed out completely with

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our new incoming large shareholder

who will be controlling the company. Their views would also be important.

So as I said earlier, towards the end of the fiscal year, we will come back to you with a more specific plan around disbursements, what kind of disbursements, ROA, what kind of compounding over the next couple of years and all of that. Please bear with us till then. Thank you.

Moderator: The next question is from the line of Suryanarayanaraju Alluri, who is an Individual Investor. Please go ahead.

Suryanarayanaraju Alluri: I want to say thanks for the entire team who stayed in this bad period and maybe consolidated 8 years, though the promoter has walked out, few people have worked and so on. I think apart from ESOPs, something has more been done to the team, one.

The other one is, sir, what is the current borrowing rate? What will be nearby? I think we are borrowing at 8.5%. We may borrow plus in future. The other thing, is there any one-time write-off for the next 2, 3 quarters?

Gagan Banga: So firstly, Suryanarayan -ji, thank you for your kind words for me and the team and the senior team and the wider team. I think this was not about wealth. Obviously, everyone needs cash flows. So, people get their salaries. This is a little bit beyond that. And we are a set of, how should I put it, loyal people. And so our loyalty kept us together. And hopefully, over a period of time, rewards would not normally play out.

For us, the love and support that you guys have given to us and the opportunity which has presented itself via divine intervention is a reward enough. On the borrowing rates, our borrowing rates today are in the 9%, 9.5% handle. On an incremental basis, -- we should be going to 8.5%, 9% handle which is between now and the approvals for the transaction. Once the transaction comes through, costs should be more closer to the 7.5% handle blended for all the various sources of capital.

On write-offs, -- as part of the overall business plan, there is a strategy which the incoming investor has. They have an entry point to the company. This is their India financial venture. The ownership is more perpetual. Their desire is to increase their shareholding. They will wait out for the outcome of the open offer, but their desire, as stated to me is to take their shareholding beyond 51%.

So these are very long-term sort of calls that one has to take. I would want to use today's investor call to talk about the next 2 to 3 quarters. As I've been saying, this is a company in significant transformation. All of you have supported us for the last 32 quarters. Just bear with us for the next 2 quarters, and we should have all the plans of the future ready.

Moderator: The next question is from the line of Rucheeta Kadge from I-Wealth.

Rucheeta Kadge: Sir, my question was on Sammaan Finserv. So, what was the AUM for us during the quarter in Sammaan Finserv?

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Gagan Banga: Yes. The AUM of Sammaan Finserv, I believe is in the INR7,000 crores handle. It is flattish over last quarter. And by the end of the year, this year, we continue to retain our plan of taking that AUM to about INR10,000 crores.

Rucheeta Kadge: Okay. Flattish, because last quarter, it was around INR6,200 crores, so...

Gagan Banga: So I'll give you the exact number. So it's around INR6,200 crores, yes.

Rucheeta Kadge: Understood. And also, on our net gain on derecognition, right, we've kind of recorded around INR468 crores. So, what is the kind of run rate that we should look at going ahead? Because I remember in the last call, we had mentioned that on a full year basis, it should be around 4%.

So, I guess with this year, it's going to be above that -- so going ahead, how do we look at it?

Gagan Banga: . This year will be above because 2, 3 things have happened. One, if you recollect at the start of the year, we changed the accounting principle. Two, a lot

of the benchmark rates for these pools

are linked to external benchmarks. So they come down. Our cost of funds are linked to MCLR.

So there is some short-term arbitrage, which is there. On a more longer-term basis, you should think of it as a 4% sort of steady income stream.

Rucheeta Kadge: Okay. And also I had a question on the co-lending part. So going ahead, what is our plan? Like co-lending would be how much percentage of the book?

Gagan Banga: So over the next 6 months, nothing changes. 100% of what we originate on the retail side is co-lend or it's originated with the perspective of if not co-lending it, direct assigning it or securitizing it in one form or the other. On a longer-term basis, how much do they intend to keep on balance sheet, what gearing numbers?

If you look at industry benchmarks, then typically AAA-rated companies are operating at 4.5x

gearing. So there is a lot of comfort around the gearing levels rising. But at the same point in time, one of the most attractive things for them as far as Sammaan was concerned was the kind of double validation, which happens via a co-lending stroke securitization program.

And what has attracted them to us certainly will remain an integral part of the strategy. What percentage and proportion exactly, again, like I said to the previous 2 people who asked questions, please bear with us for a couple of quarters, and we should be able to come back to you by the end of the year.

Moderator: The next question comes from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: So as you mentioned about the net gain on derecognition. So this year, it will be higher, but steady state, it can be 4% of the book. So, I just wanted to understand, does it come from the legacy book as well or it's mainly from the new growth book?

Gagan Banga: No, it is 4% of disbursements, which are meant for co-lending. Our gross disbursements will be higher.

The AUM per se is not the relevant thing. We originate and then we co-lend. That transaction

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has to fructify for these gains to fructify. And therefore, it is only on the flow which we achieved via co-lending and direct assignment in the quarter, 4% of that is what will accrue.

The legacy book, one of the key definitions of the legacy book is a book which is not in the -- - not fitting into the asset-light strategy. And therefore, obviously, that book is only earning us regular interest spread and not any sort of one-time derecognition income.

Moderator: The next question comes from the line of Vinayak Dujari from Vinayak Securities.

Vinayak Dujari: Sir, basically, my question is the sale which earlier person was asking, what further provisions should we expect from the legacy book in the coming future?

Gagan Banga: The legacy book, as you may have noticed, has gone down by about INR9,000 crores since last year. That rundown is happening in a pretty orderly manner and should continue. The second point that I made was that we have to transform ourselves from being a company in a peculiar sort of a situation to be in a company which is very stable, has great parentage and is humming along. That sort of a company can't possibly have a growth and a legacy and all of that.

As we transform to that, that's a discussion and a roadmap that we have to make with our incoming investors as to how would they want to do that transaction, do they want to do it in an accelerated manner. What type of a product suite do they want? Where does wholesale lending fit into that entire picture?

So, as I said, this bear with us for 2 quarters as we build out the road map, we will build out everything, the annualized credit costs, et cetera. One thing that I'm very, very clear about is that come 2 quarters I'll give you one credit cost number, which need not be split between

our dice

between legacy growth, et cetera. There will be one credit cost number for the AUM representative of the entire AUM. And that sort of clarity is something that we are working towards.

Moderator: The next question comes from the line of Amish Kanani from Knowise Investment Managers.

Gagan Banga: And after this, I'll just take one -- after Mr. Amish's question, I'll just take one more question, and then we'll end. Mr. Amish, please go ahead.

Amish Kanani: Congrats for the transaction. Sir, one thought in terms of the cost of funds being reduced, how do you think about building our product suites with a lower cost of funding in the sense that are we thinking of keeping the entire gains in our NIM expansion? Or we are going to create product suite, which gives us that cost of fund advantage and we grow our book much faster.

And in that context, Mr. Banga, this INR35,000 crore's growth AUM target for next year, maybe it's tentative and depends on the post transaction, what the promoter and promoter face. How do you split that in terms of, if at all, some picture of housing versus non-housing and whether we use the cost of funding advantage to kind of create the new products around that?

Gagan Banga: So, see, the incoming investor is a very, very conservative corporate. It's their own money, not borrowed money. So, they're very, very careful about where every dollar and dime gets put out.

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So, it will be a conservatively run company, which is why I'm hesitating to give out any specific breakups in terms of INR35,000 crores, whether INR35,000 crores are the number or not.

We are capacitating ourselves for disbursements was around INR35,000 crores, bearing in mind that -- our target segments are mid to lower income. So the disbursements would typically be happening in lakhs and not small sums of money of a few thousands of rupees. So we're not really going to

the micro, micro space anytime in the near future.

As a management team, we've also, over the last 20 -odd years experienced almost all the asset classes, which exist today, have personal experiences around several of those asset classes. And there is enough data out there. So, I would say the cost of funds benefit would be split across 3 pieces of utilization.

One would be to widen the product suite in which mortgages would continue to play a very vital role, the core role, especially over the next 24 to 36 months. This is the business which is scaled up. This is the business that we as a team used to do disbursements of INR3,500 crores a month. And this would constitute, I would imagine, 80 -plus percent of disbursements that we do over the next 24 months.

As we widen the product suite, today we are focusing on a very small segment, which is ticket sizes of, let's say, INR10 lakhs to INR50 lakhs. We can go higher in terms of ticket sizes at least up to INR2 crores to INR3 crores without disturbing the granular nature of the book and a certain significant portion of the cost of funds would be utilized to address that market. And that market on the self-employed side is still a very underserved market in which we can make a pretty reasonable return on assets.

So that's a market that will clearly and certainly be part of our overall strategy. That's what the management team is most capable of and is most experienced with. The second aspect would be to overall increase the return on assets. So clearly, from the 1.5% handle in very quick order, we have to increase our return on assets to 2.5% handle.

The third way that we would utilize that savings would be to make the investments that we need to make around people, branches and technology. These are large investments. And the savings will be significant, but a large part of those savings would be rerouted into building up the necessary capacity around people, branches and technology.

That's how

big picture, the utilization of the reduced cost of funds would be to widen the product suite, keep mortgages at the core, increase the ROA and use the savings on a residual basis to also significantly enhance tech capabilities, significantly enhance the city presence. That's how I think things would play out. In terms of what would be the ROA target for fiscal '27, '28, '29, '30 and so on, those numbers, please be patient. And in 2 quarters, we should be able to come back to you.

Moderator: The next question is from the line of Saumil Bhatia from Motilal Oswal.

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Saumil Bhatia: Sir, just one quick question. Sir, given the change in the promoters and the company's performance challenges over the past few quarters, should we expect any major change in the senior leadership team or they will continue after the new promoter comes in?

Gagan Banga: This is sort of an acquisition-hire that they have done, they've obviously -- they are investing a large amount of capital, but they're also coming in at a significant discount to book value. So the value that they're putting to the company is more around the team and the management team is obviously at the core of it.

The mandate to me is to keep my core team together and make sure that they stay together for the next few years because there is a lot of work which needs to get done. You will see changes in the management team to the extent that we will have to continue to do hiring. We just added significant talent in the form of Himanshu, who has the experience of engineering or both witnessing and engineering is a very, very significant turnaround, which created shareholders wealth to the tune of 10x, 12x from where he joined to where he left.

So that's a very significant addition. -- we had made a significant addition in our CTO. We have a new Chief Compliance Officer. And so at the top tech, we will continue to make and make new people join to add to management bandwidth. But the core of the older people who held the ship together for the last 7 years, they are extremely valued, most trusted.

And each of them has to really now dig in deep for a very different type of a challenge, but which is a happy challenge of growth. So, everybody is very focused on growth, and I need everybody who stood by the company to continue to stand by the company and also get the fruits of the hard work that they put over the last 7 years.

Moderator: Thank you.

Gagan Banga: Yes. Thank you. And on that note, I would want to end this session. Again, thanks for all the support. We are, over the course of the next 2 quarters, going to be looking at things that we've not really looked back from a scale and size perspective for the last 7 years. It requires a lot of energy. It also requires a lot of good wishes and blessings. So please do continue to bless us.

Please do continue to support us. And we are all very grateful for your good wishes. Thank you.

Moderator: This was the last question of the day. On behalf of Sammaan Capital, that concludes this session. Thank you.

Call: Feb 2026

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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Date: February 10, 2026

Scrip Code – 535789, 890192
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
MUMBAI – 400 001 SAMMAANCAP/EQ, SCLPP
National Stock Exchange of India Limited
"Exchange Plaza",
Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and nine months ended December 31, 2025 .

Dear Sirs,

We refer to our earlier intimation dated February 4, 2026, informing that the Company has uploaded the audio recording of the conference call hosted by it on February 4, 2026, on the financial results of the Company for the quarter and nine months ended December 31, 2025 , on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) (Third Amendment) Regulations, 2024 notified by SEBI on December 13, 2024, please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

Amit Jain
Company Secretary

CC:
Singapore Exchange Securities Trading Limited, Singapore ("SGX")
India International Exchange IFSC Limited ("India INX")
NSE IFSC Limited ("NSE IX")

MANAGEMENT : MR. GAGAN BANGA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SAMMAAN CAPITAL
LIMITED

MODERATOR : MR. ARYAN SUMRA – MUFG

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Moderator: Ladies and gentlemen, good day, and welcome to Sammaan Capital Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aryan Sumra. Thank you, and over to you, sir.

Aryan Sumra: Thank you. Good evening. I welcome you all to the Q3 and FY'26 Earnings Conference Call for Sammaan Capital Limited. To discuss this quarter's business performance, we have from the management, Mr. Gagan Banga, Managing Director and CEO, along with other senior management.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward -looking and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to the management for their opening remarks, and then we can open the floor for Q&A. Thank you, and over to you, sir.

Gagan Banga: To start off, in this quarter, one of the major developments was the announced proposed merger of our subsidiary, Sammaan Finserve into Sammaan Capital. Post the announcement of the proposed preferential allotment to IHC, this was the next logical step. The consolidation of our lending business and distribution will enable Sammaan Capital to offer a full suite of mortgage -backed loans.

And as we had mentioned the last time, expand the portfolio to other type of loan assets for mid -market to low -income India. It will create a structure which will allow Sammaan Capital to pursue the loan products. Sammaan Finserve as a company will continue to exist and whatever other financial services we propose to offer in due course of time, under the guidance of IHC, would be housed prospectively under Sammaan Finserve.

And then we have our AIF platform, which has already built a track record of having lend approximately INR6,200 crores and having given good returns to investors. And having experience of lent in the top 8 cities, that would continue to be the credit platform for wholesale lending.

This creates prospectively a very, clean structure. There is a lending company, which is also a holding company, an AIF platform for everything wholesale and all other financial services prospectively, which may be pursued to be housed under Sammaan Finserve.

As for the preferential issue itself, post the approval from the stock exchanges, we have also received shareholder approval and CCI approval. We await RBI approval for the preferential allotment and SEBI approval for the open offer. Post that, it will take about 15 days to post the approvals to be received. It will take about 15 days for the shares to get allotted and the monies to be received by the company.

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We believe that the proposed merger of Sammaan Finserve, is facilitating an expeditious approval from both the RBI and SEBI. Both IHC and Sammaan Capital management are actively engaged with the regulators for the necessary approvals, and we are very optimistic that this

process has now entered its final stages.

Moving on to the financial performance of the company. Year -on-year, the net worth has increased by approximately INR2,000 crores and stands at about INR22,423 crores. The growth AUM stands at about INR44,000 crores. The profit after tax for the quarter came in at INR314 crores versus INR302 crores. Gearing is stable at about 2.2x. Gross and net NPAs are also stable at

1.2x and 0.7x.

On a 9 -month basis, we made approximately INR957 crores of PAT. Last year, if you recollect, we had a consolidated loss reported in the September quarter. So the consolidated loss 9 months was INR2,132 crores versus that, we have a net profit of INR957 crores. Everything else is the same.

Asset quality, as I said, remains stable. At the end of financial year '25, our gross NPA was at 1.3%, which is now at 1.2%. Net NPA was at 0.8%, which stands at 0.7%. As we await approvals, we continue to focus on mortgage loans and the asset -light strategy. The idea is to use this time to continue to focus more and develop technology and deeper skill sets, more automation around credit and other processes.

The product suite for now is consistent as it has been with the past. The only difference is that earlier we were pursuing the affordable lending opportunity in Sammaan Finserve, now everything has been consolidated into Sammaan Capital. So Sammaan Capital has 4 products, home loans for the prime segment at INR30 lakh, LAP loans at INR75 lakhs and then the affordable product where home loans are at INR15 lakh and LAP loans are at INR25 lakh.

At this point in time, there is no deviation from our asset -light strategy. New co -lending regulations have become effective from 1st January. I had shared with you earlier that the scope of the co -lending arrangement is much wider than the earlier model of co -lending.

And now it is not restricted to just priority sector, it is far more inclusive, it covers all types of loans. All types of financial entities are eligible. So we can do business with banks, NBFCs or HFCs, all India financial institutions.

Prospectively, as we transform ourselves in the new regime of having a promoter as IHC, this can also become a very interesting model for us to acquire assets. That will happen when it happens. For now, this continues to be a mechanism where we are integrated with banks. The first 2 quarters would be relatively slow as we continue to successfully operationalize the co -lending arrangement framework with a variety of banks.

We have done it with a few banks where we are already technically integrated and business volumes have started in the month of Jan itself, and they will pick up month -on-month to come back to original levels by about May or June of this year.

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The continuity is fairly seamless with all the partners. And once all of the tech kicks in, we expect on an operating basis, something like a 15% to 18% cost saving in the business that we do on an opex basis. The technology platform also relies itself on the e -mortgage platform that we had created back in 2017, '18, which we have continued to improve on.

And what we have functional is a complete digital lead onboarding system, a digital KYC and document upload system, digital banking for bank statement analysis and everything else that we need to do a credit appraisal, which leads itself to a digital under writing process and now a digital disbursal process also where there are e -payment gateways, e -signing is already happening and e -insurance is also happening.

Sammaan Capital, along with all of its vendors and partners continues to work with now banks to make sure that this entire system is integrated. And month -on-month, we expect the business volumes to keep increasing to steady again by May, June of next year .

We will continue to slowly focus on expanding our branch network. And once the investment process is over, we will continue to rapidly expand the branches. For now, we are consolidating our operations and focusing more on technology and all of that internal work before we start spreading our wings.

The retail mortgage business, the quality of that business continues to be stable, the NPAs, et c., are also stable. If you flip over to Page 15, the performance of

the pools that we have sold down

either under direct assignment or pass -through certificates or co -lending arrangements of roughly INR1 lakh crore s. That INR1.03 lakh crore s now stands at about INR17,000 crores.

So about INR85,000 crores of loans have come back to our partner banks and financial institutions. And the 90 days past due is all of 0.54%. This is a brilliant moat that the company has created for itself. It has done this at scale with a large number of players, and this would continue to remain a key part of our strategy even going forward under IHC.

The other priority that the company has had is the rundown of the legacy loan book. Even though there have been extremely good developments over the last 2, 3 months, that has not made us move our eye away from that. This year, we've already done net collections of about INR5,000 crores while maintaining the overall asset quality.

And I'm quite optimistic as it was last year, the fourth quarter would be a bumper quarter in cash collections and recoveries. Just earlier this week, we've had major progress in a couple of large recoveries on the IBC front. I'm sure that is going to have a very significant contribution to our numbers in quarter 4 and quarter 1 of this year.

On the ALM side, we remain reasonably stable. This has been an area of strength for the company from a place where this was right up there in everyone's attention. While it may have fallen off the attention of the market, this remains an area of high focus for the management, and we continue to remain a fairly, well-matched asset liability maturity organization.

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Before moving on to questions, I would also like to address the issue of the ongoing public interest litigation, which I'm sure is a matter of concern for all stakeholders. The matter is sub judice, and I am sticking to objective facts in the short update.

This is a long-running case, which was first filed around 7 years, 6.5 years back in 2019 in the Delhi High Court against the erstwhile promoter being targeted. The company was a party, so were other statutory and regulatory authorities such as the RBI, National Housing Bank, SEBI and MCA.

The allegations were all thoroughly examined by the regulatory agencies and statutory bodies, and it was found that the loans granted to various borrower groups had either been repaid or remained standard, demonstrating that the loans granted were not dubious. Procedural lapses, which would anyways get identified in any extensive audit process were also identified, which were done in normal course of business.

And as is dealt with, these were compounded in conformity with the process prescribed under the law. Since then, the principal amounts have turned nil for all of these cases. The company has received INR3,017 crores of interest income from these loans.

After considering the detailed affidavits and status reports filed by the various regulatory agencies and statutory bodies, in February of 2024, the Delhi High Court had dismissed the PIL. The court had also recorded that the regulators and statutory bodies had examined the allegations, found no major violations and that minor company law lapses had been duly compounded.

Roughly 8 months after that, about 15 months ago, the honorable -- the PIL, the petitioner, approached the Supreme Court by filing a special leave petition. At this stage, as the matter was heard, the Central Bureau of Investigation and Enforcement Directorate, who were not parties before the original PIL in the Delhi High Court were also added as respondents by the petitioners. The respondent regulatory agencies and statutory bodies, namely Reserve Bank of India, National Housing Bank, MCA and SEBI in fresh affidavits before the Supreme Court, again reiterated that multiple inspections, audits and special audits were conducted on Sammaan

Capital, where it was found that loans granted to various borrowers stand repaid or remain standard, demonstrating that the loans were not dubious.

CBI in its affidavit also confirmed that none of the loans availed by the company had ever been declared as NPA or fraud, and therefore, there is no loss caused to public monies in loans granted by the company.

These loans, which are subject matter of the PIL, were sanctioned during a period where Mr. Sameer Gehlaut was the Executive Chairman and thus the Head of the company, and he was also the controlling shareholder and promoter. In this regard, the Honorable Supreme Court had also clarified by its order 19th November 2025, that as far as the company is concerned, they are not expressing any opinion on the allegations.

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Since 2023, the company is no longer associated with Mr. Gehlaut. This is in public domain. He is no longer the promoter of Sammaan Capital after an elaborate process of de-promoterization. He is not on the Board. He has not been a shareholder since 2023 and is, therefore, in no way associated with Sammaan Capital directly or indirectly.

The allegations are against Mr. Gehlaut. They cannot be attributed to Sammaan Capital. The company has also from a materiality of distancing itself, even sold the brand name Indiabulls

back to Mr. Gehlaut companies.

Sammaan Capital is not privy to any transaction that may have existed between Mr. Gehlaut, and his privately held companies and the borrower groups mentioned in the PIL. The allegations of quid pro quo cannot be attributed to Sammaan Capital and/or its officers, and that is the way I believe the matter is progressing.

Following the information provided by the Enforcement Directorate, Delhi Police lodged an FIR to investigate the -- and this is important, the quid pro quo transactions between Mr. Gehlaut and the corporate entities, namely Americorp, Reliance ADAG, DLF, Vatika, et c.

CBI has its affidavit filed before the Supreme Court has clearly stated that all the transactions were done to cause a wrongful loss to the company that the company is a victim. The CBI has also submitted that there is no need to constitute an SIT as of now.

From a perusal of the affidavits filed by the CBI, Delhi Police, EOW, et c., and the various other authorities, it emerges that the investigations are being conducted against the erstwhile promoter and 5 corporate groups/entities who have availed the loan facilities. As per media reports, it also emerges that investigations are being conducted against the erstwhile promoter and the said corporate entities who had availed the loan facilities.

No financial loss, this is again very, very important, is possible as an outcome of this PIL to the company, which is Sammaan Capital, given the regulatory closures, loan repayments, and the fact that the company has already earned over INR3,000 crores of interest and has no principal exposure outstanding to any of the loans mentioned in the PIL, not even a single rupee.

The company is represented by leading legal stalwarts, and they have also lined up for the company that we are on a solid wicket as far as merits are concerned. I'm certain the stakeholders have been anxious on any fallout of the proceedings of the PIL matter on the preferential issue of controlling stake to IHC.

As is but logical, in any such transaction, Board approvals for the transaction and signing of the share subscription agreement are done following a comprehensive due diligence process, including legal due diligence. All materials around ongoing civil and criminal litigations are disclosed and examined as a part of this process. The incoming Investors Council also independently verified these litigations and factor in any related contingencies.

Of course, in a transaction of this size and particularly in a matter of the PIL, which has

as not only

been ongoing since 2019, but has been making regular noise in the media since 2019, disclosure Sammaan Capital Limited

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and diligence has been comprehensively done. The proposed incoming shareholder is fully aware of the case, and we have also kept them abreast of all the proceedings in the matter. Both IHC and Sammaan Capital are very actively and continuously engaged with the regulators, which is RBI and SEBI, with the stock exchanges to conclude the process of approval. Just recently, on January 14, which is about, 17, 18 days ago, the incoming investors via its investment banker also released some routine clarifications through advertisements in various publications. We are also together in the process of submitting some information and clarifications, which have been sought by the RBI as part of the process.

Both IHC and Sammaan managements are hopeful of a speedy conclusion of the preferential issue. And towards this, along with our respective councils, bankers and other advisers, we are all fully focused on obtaining the requisite regulatory approvals. I personally believe that we are at the last leg of this process.

While it is unfortunate that Sammaan Capital as a company and the management team over the last 6 years since this PIL has happened, despite the fact that we have reduced debt of the company successfully by INR76,000 crores, we paid interest of around INR55,000 crores, therefore, having ensured timely cash flow to our lenders of about INR1,30,000 crores.

Our net worth has increased by INR6,000 crores from INR16.5 crores to INR22.5 crores approximately INR1,000 crores. We have ensured that we lose no monies to these borrowers. We've earned INR3,017 crores. Yet unfortunately, we do suffer both at the management's level as well as at the stakeholders' level. I hope you can empathize with the management that we are trying to do our best to make sure that the company continues to make progress despite all adversity.

And we are fairly confident that we will bring home this investment, and we will put to rest this case as far as Sammaan Capital is concerned. We are headed in the right direction. At this point in time, I feel safe as far as the company is concerned and I'm fairly optimistic about the future of the company. Rather, I'm very optimistic about the future of the company and looking forward to moving on from just being a mortgage lender to a full suite NBFC.

On this note, we will open this call for questions. Let's proceed with that.

Moderator: Thank you, sir. We will now begin the question and answer session. The first question is from

the line of Amish Kanani from Knowise Investment Managers.

Amish Kanani: Congrats on the good numbers. Sir, one question that keeps bothering us as an investor is that with the company being so very well capitalized post the preferential issue and we also intending to continue the asset-light model. In one of the previous conference call, you did allude to a possibility of using the capital for lending.

The question is, how do we look at our leverage post the transaction because we are very, very lowly leveraged. And how are we planning to use, say, profits because in one of the earlier conference call, you did mention that we have a good dividend payout ratio because we don't

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need capital. How do you look at these 2 things vis-a-vis an RoE, which we need to kind of improve upon?

Gagan Banga: Sure. So thanks, Amish, for the question. It's actually a very relevant question from a longer-term strategy perspective. And this is the stage at which the strategy has certainly evolved. It will evolve into more specifics soon after the conclusion of the transaction.

When we say the asset-light model, what it allows us to do is to cover a very wide suite of products. So you can

start with products which are in the early 8% range and go all the way up to maybe 18%, 19%. For an NBFC to long-term hold loans, which are, let's say, 8% to 9.5%, even 10% on its balance sheet is not really very RoE accretive, but we have distribution, we have scale. And this is something that we have tremendous experience around.

As I shared a short while back, we have done business of this sort with banks and other counterparties of over INR1 lakh crore. So we leverage on that experience, and continue to earn from that experience and also sweat our distribution, people, technology, etc., that we built over the years.

As our cost of funds reduce, as the ratings probably improve, the leverage, which is about 2.2x, should settle in the range of 4x to 4.5x. That is the go-to long-term for the company, which I believe we should be hitting sometime around 2030.

And in a year or so of the investment, I believe we will be ready to start paying dividends. There is a dividend payout policy of the Reserve Bank of India. Conservatively, we believe that we should be in the 30% to 40% sort of dividend payout ratio over a longer-term, basis all the calculations of RoA and capital that we have simulated.

So yes, we would be a dividend-paying company. That's clearly an agreement of minds between the management and the incoming shareholders. The leverage will increase, but the leverage would increase to widen the product suite. There is no need of leverage on the existing product suite.

On the existing product suite, which is more prime mortgage type assets, it is best to continue to use the low and granular liability model of a bank and leverage on the experience built by the - of the company and continue to thrive using that model as well.

Amish Kanani: And sir, a quick follow-up on the collection side. You did mention that there were good collections continuing in the month of Jan as well. So is it possible one to quantify? And if not, should we assume that the targets that we have kind of set out an aggressive target for the second half, should we be easily able to achieve that, sir?

Gagan Banga: It's an aggressive target. So I'll not discount the team's efforts to say it will be easily done, but it will be done.

Moderator: The next question is from the line of Meet Nitin Mewada from Sunrise Gilts & Securities.

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Meet Nitin Mewada: I just wanted to know the RBI granted the approval of IHC, which is around INR8,850 crores. So is there any specific condition payment pending as of February 2026?

Gagan Banga: Nitin, we are awaiting the approval itself. So it's not as if RBI has granted and there is some specific condition. RBI will approve the preferential allotment. If we look at other NBFCs and banks, it takes about 6 months to 9 months. Our application is about 3 months old. But we are moving rapidly.

And as we were able to get faster than usual approvals from other stakeholders, we are optimistic given the fact that we are an upper layer NBFC and therefore, RBI is familiar with our operations and IHC is also a very large company. Thus, we should be in a position to hopefully expedite the approval process. As of right now, everything is on track, and we are progressing very well.

Meet Nitin Mewada: Okay. And another question is, in which new cities did the company has expanded the e-mortgage loans? And how many branches added lately in this quarter?

Gagan Banga: So these will be Tier 3 and Tier 4 type of cities. I don't know the names offhand. And as of right now, our pace is calibrated, so we will look at only adding about 10 branches a quarter. We've made a blueprint as to how do we get to about 400 to 500 cities very, very quickly over the course of the next 2 financial years. The pace of the rollout will increase very rapidly post the investment coming through.

Moderator: The

next question is from the line of Sambit Roy from Credit Analyst.

Sambit Roy: Congratulations on the quarter. I have 2 questions. One would be, could you give any projections or any guidance for the next 2, 3 years on the lines of the revenue and the cost of credit?

Gagan Banga: So what we've guided on the cost of credit is on a longer-term basis, an annualized credit cost of 100 basis points. That holds true with the existing product suite and the mix that we have of legacy and new book loans. If we are to expand the product suite, obviously, there would be associated credit costs, which I'm not in a position to talk about since I've not yet articulated with all of you the widened product suite strategy.

So as far as our core mortgage product is concerned, we are fairly optimistic of running it at about 100 basis points of annualized credit cost. As we look at new products and come back to you with a strategy post the investment, we will obviously elaborate the entire RoA tree as to how do we go from the yield, to opex, to credit cost, to cost of funds, to RoA, to RoE. All of that will be obviously elaborated on.

Sambit Roy: Got it. And anything on the lines of the revenue?

Gagan Banga: Again, Sambit, I think we are very close to a complete strategic shift in the operations of the company. So if we are to look at as is where is, it would not be very consequential. Like I said, I'm fairly hopeful of a fairly expeditious process coming through. And in that context, I would say that any revenue guidance or anything of that sort would be more material and relevant, once we lay out the whole strategy for you.

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As I had requested last time, just please allow for the investment to come through. It will take a quarter or 2, but the longer-term plan comes out post that investment. There's a full detailed business plan that we worked out on and finalized with the investor. We will be more than happy to share very granular details of that business plan with all of you.

Sambit Roy: No problem. And just one last follow-up, as you mentioned about the legacy book, can you mention what is the sort of proportion of the legacy book to the growth book? And next 2, 3 years, where do you see the legacy book to be?

Gagan Banga: All of that has been detailed in fairly granular numbers, what is the AUM, what is the legacy, what is the growth, the direction in which it is going down. It's all there in the earning update. So in the interest of time, since it's already all detailed, I'll move to the next question, and I'm sure the answers are all there.

Moderator: The next question is from the line of ASN. Raju, an Individual Investor.

ASN. Raju: Sir, what is the total provisions -- what was the total provisions? And what is the estimated time to recollect all those?

Gagan Banga: So we have given a collection number that out of all the write-offs, recovery and provisions that we have done, over a period of time, we will recover, give or take, INR4,500 crores. I think of that INR4,500 crores, we are still on track to net recover.

We had also spoken about the fact that till the time that the legacy book does not become a single-digit below as in INR10,000 crores, we will continue to use these provisions being released to stay as provisions and to facilitate the recovery, which is what we are doing. So we do recover about INR400 crores to INR500 crores per quarter. We package that as provisions, most of it and continue to carry those provisions.

On a net basis, over the next 3 years, once we are done with all of these provisions and the legacy book has run down, we should be able to cash recover about INR4,500 crores. We take one last question, please.

Moderator: The last question is from the line of Faizaan Joad from Singularity AMC.

Faizaan Joad: Just wanted to clarify the incremental cost of bor

rowing for Q3 and some colour on the uptick in interest expense as of the current quarter?

Gagan Banga: So we have done fairly aggressive borrowing. Right at the start of the quarter we did a large dollar bond issuance, we did a domestic bond issuance, we also did some bank borrowings, so the interest cost uptick is largely on that account. Right now, we are borrowing at, give or take 9%. And we expect, as I said, a movement down to below 8% quickly right after this investment is to come through.

On an overall stock basis, we would expect that in about 9 months to 12 months, the cost of

funds should go down by about 270 basis points. That's what the goal is that by the end of March
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'27, assuming that we are able to get this done very quickly by the end of March '27, the stock of borrowing should be down by a cost of about 270 basis points.

Faizaan Joad: Understood. Understood.

Gagan Banga: Thank you, everyone, for patiently listening to us, for your support and I hope to get back to you probably much before the next quarter's release with an update on the investment and the plans thereafter. Thank you.

Moderator: Thank you. I now hand the conference over to Mr. Aryan Sumra for the closing comments.

Aryan Sumra: Thank you. I would like to thank the management for taking the time out, and I would also like to thank all the participants. If you have any queries, feel free to contact us via MUFG, Investor Relations Advisors to Samman Capital Limited. Thank you.

Moderator: On behalf of Samman Capital Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

Sammaan Capital Limited (formerly known as Indiabulls Housing Finance Limited) (CIN: L65922DL2005PLC136029)
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Date: May 23, 20 26

Scrip Code – 535789, 890192
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National Stock Exchange of India Limited
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Bandra -Kurla Complex, Bandra (E).
MUMBAI – 400 051

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended – transcript of conference call – financial results for the quarter and financial year ended March 31, 202 6

Dear Sirs,

We refer to our earlier intimation dated May 20, 202 6, informing that the Company has uploaded the audio recording of the conference call hosted by it on May 20, 202 6, on the financial results of the Company for the quarter and financial year ended March 31, 2026 , on its website.

In this connection, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended , please find enclosed the transcript of the said conference call. The said transcript is also being uploaded on the website of the Company.

Please take the aforesaid intimation on record.

Thanking you,

Yours truly,
For Sammaan Capital Limited
(formerly known as Indiabulls Housing Finance Limited)

Amit Jain
Company Secretary

CC:
India International Exchange IFSC Limited ("India INX")
NSE IFSC Limited ("NSE IX")

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"Sammaan Capital Limited
Q4 and FY '26 Earnings Conference Call "
May 20, 202 6

MANAGEMENT : MR. GAGAN BANGA – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – SAMMAAN CAPITAL
LIMITED
MR. PETER ABRAAM – CHIEF STRATEGY AND
GROWTH OFFICER – INTERNATIONAL HOLDING
COMPANY
HER EXCELLENCY DALIA KHORSHID – CHIEF
EXECUTIVE OFFICER – AVALORA HOLDINGS
MR. RAMNATH SHENOY – HEAD, ANALYTICS –
SAMMAAN CAPITAL LIMITED

MODERATOR : MR. NIKUNJ JAIN – MUFG

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Moderator: Ladies and gentlemen, good day, and welcome to the Sammaan Capital Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nikunj Jain from MUFG. Thank you, and over to you, sir.

Nikunj Jain: Thank you, Alrik . Good evening, ladies and gentlemen. I welcome you to the Q4 and FY '26 Earnings Conference Call of Sammaan Capital Limited . To discuss the company's performance for the quarter, we are pleased to have with us Mr. Peter Abraam, Chief Strategy and Growth Officer, IHC; Her Excellency, Dalia Khorshid, CEO, Avalora Holdings; and Mr. Gagan Banga, MD and CEO, along with other members of the senior management team. Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Now without further ado, I would like to hand over the call to the management for their opening remarks. Thank you, and over to you, sir.

Gagan Banga: Thank you. Good evening, and a warm welcome to Sammaan Capital 's Quarter 4 and Financial Year 2026 earnings release call. I'm Gagan Banga, Managing Director and CEO of Sammaan Capital . Thank you for joining us. And before we start, our most sincere apologies for the 30 - minute delay, which was for unavoidable reasons.

This call marks a significant milestone taking you through our first earnings release since IHC's acquisition of a strategic stake in Sammaan Capital and the beginning of what would truly be a transformative chapter for this institution.

Introducing the speakers, before we move into the results, I want to introduce our new promoters joining us on this call. Mr. Peter Abraam, Chief Strategy and Growth Officer of IHC. Peter will speak of IHC's global investment philosophy, India's extraordinary trajectory as a long -term investment destination and the strategic vision they bring to Sammaan .

Her Excellency Dalia Khorshid, she is the CEO of Avalora Holding , the dedicated global banking platform within Ju dan Financial Holding, a subsidiary of IHC, established specifically to unify, expand and bring value creation to the group's financial services investments across emerging markets. Her excellency will walk us through the depth of diligence undertaken and the strategic ambitions we are all pursuing together. We are also joined by my other senior executive management of the company.

Now I hand over the call to Peter to take this forward.

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Peter Abraam: Thank you, Gagan, and greetings to all. Let me tell you a little bit about IHC's vision for Sammaan in the Indian market. IHC is one of the world's largest investment companies with a diversified portfolio of 1,300 subsidiaries across 4 key sectors: technology, infrastructure, financial services and consumer. Our approach is centered on long -term value creation. We invest in businesses and sectors where we see strong fundamentals, clear strategic relevance and the ability to build sustainable growth over time.

Today, IHC operates across more than 100 countries with investments and partnerships that reflect both global reach and long -term strategic ambition. As an organization, we focus on identifying opportunities where capital, operational discipline and long -term alignment can

support transformation and scale. That is the app

roach we are bringing to Sammaan Capital.

You would ask why Sammaan Capital. Our USD 1 billion investment in Sammaan represents an important milestone for IHC. It is our first promoter level investment in India and reflects our confidence in both the company and the broader Indian financial services sector. What stood out for us with Sammaan Capital was not only the platform itself, but the foundation that has already been built over many years.

The company has had a long operating history and an established presence in the Indian lending market, supported by a nationwide branch network and deep local market understanding. Equally important is the experience of the management team. Over the years, they have navigated different market cycles and periods of significant change. We're continuing to maintain the operational platform and positioning the business for its next phase of growth. For us, the investment is not about short-term positioning. It's about supporting the long-term development of a financial institution with strong potential in one of the world's most dynamic markets.

India is a strategic and long-term market and is probably one of the most important growth markets globally today. Its economic momentum, scale, demographic profile and ongoing structural reforms continue to create significant long-term opportunities across sectors. For IHC, India represents a market where we see strong alignment with our long-term investment strategy. We believe the country's financial services sector, in particular, will play a central role in supporting economic expansion, entrepreneurship and consumer growth over the coming decades. Our investment in Sammaan Capital reflects that broader conviction. This is not a stand-alone transaction. It is the beginning of a long-term relationship with the Indian market and with one of its established financial platforms.

Our long-term conviction in Sammaan Capital Limited and the IHC has already invested substantial capital in India and across multiple sectors continues to see significant opportunity for long-term partnerships and growth.

With Sammaan Capital, our objective is to support the company's next phase of development, both responsibly and sustainably, while working closely with management and stakeholders over the long term. We see this as a strategic partnership built on alignment, stability and shared ambition for the future. Thank you, Gagan.

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Gagan Banga: Thank you, Peter. And now may I request Her Excellency, Dalia, to also address all of us.

Dalia Khorshid: Thank you, Gagan. Thank you, Peter. It's a pleasure to be here today with everyone. To continue to what Peter has elaborated from IHC's perspective. Now getting into the details and the deep dive of the financial services sector. Within IHC Group, the financial services sector is under the Judan setup, where Avalora being the consolidator of the non-banking FI and FI platforms within the group is the new setup that consolidates all of the group's activities from Asia, Middle East, Africa, Central Eastern Europe and Latin America.

So from this perspective, Sammaan Capital comes and is in the core part of the investment strategy in Asia, as Peter has elaborated. And as everyone is aware, financial services is about people and systems. From this perspective, with Sammaan Capital's management team as well as with our systems, together, we create the financial hub and our investment in India.

Our confidence is in the team during their evolution and their maneuvering during the past period together with the capital as well as the digital and the AI technology integration that is coming forward. This is going to be the NBFC platform where it is very strategic from an Asia platform perspective for the non-banking FI business within Avalora.

The other important thing that we

wanted to note is how have we been integrating and engaging

ever since the acquisition. Ever since the acquisition, we've started to focus on our liability side and on our ratings. Every single local rating agency has been visited, has been worked on and have upgraded us.

So this very quickly, and this represents the confidence of bringing in IHC coming in as the new promoter for Sammaan Capital with its institutional framework. So this is something that is important to point out and mention.

We have been constantly engaged with all the rating agencies, and we view this as a meaningful external validation, reflecting the improved governance, strong institutional backing and the credible strategic outlook. Continuing to strengthen our ratings profile remains our priority. We are going to be working on it. And this is very important because it has a direct impact on our cost of funds and our lender relationships.

What is also important is that from an AI and technology integration perspective, the application

of our technology and our AI within Sammaan is part of the business and our DNA. It has already started, and it is actually going to impact both our front offerings as well as our operational efficiency. And therefore, this is going to come in our day-to-day business. The priorities are in our credit decision, in our customer experience, in our organizational productivity as well as our organizational efficiency.

So this is another core part of focus that we are going to be focusing on. As part of the investment and our positioning Sammaan Capital is positioned in the market to come and to start operating and performing, although it is one of the India's largest NBFCs. However, we are working on it on an institutional transformation basis with respect to all the credit decisions, the operational decisions as well as the risk decisions, the governance and the compliance. So we are working with them. We are hands-on together from this perspective.

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So before I close, I want to make sure that the strategic opportunity is well defined from our perspective. The execution capability is in place and the commitment from us to the business is long term and is there. So thank you, Gagan, and thank you, Peter.

Gagan Banga : Thank you, Her Excellency, Dalia. Thank you, Peter, again. And now I will run all of you through the presentation deck, which has been e-mailed is on our website and is also uploaded on the stock exchanges.

If we can please flip to Page number 4, which provides an update on the transaction. So Sammaan Capital is now a part of the IHC Group. The transaction stands closed with share allotment to IHC having been completed on 31st of March 2026. IHC's current equity ownership stands at 28.5%. IHC will own 43.5% of Sammaan after the warrant conversion, which has to happen within the next 18 months.

IHC is the promoter and strategic shareholder of the company. Mr. Alwyn Crasta, Group CFO, has been appointed as Nominee Director on the Board on 15th of May. IHC has direct operating oversight through nominee directors and hereon via Board subcommittees. Sammaan Capital's operating teams are already directly engaging with the IHC Group experts across IT, artificial intelligence, risk management, credit development and finance.

All in all, we've already received approximately INR5,652 crores or \$592 million on issuance of equity shares and on the 25% upfront payment on warrants. The balance approximately INR3,200 crores or \$335 million has to be received within the next 18 months on conversion of the warrants.

It may have come to your attention that when our honorable Prime Minister visited UAE as a stop over to his visit to Europe, he and the King met, the press statement coming out of that event by the Ministry of External Affairs highlighted this investment.

And subsequently,

even today, Economic Times carries the statement of the UAE Minister of Foreign Trade, emphasizing priority of large private sector joint ventures and strategic investments between India and UAE in key sectors, where again, the investment in Sammaan has been highlighted. This, we believe, signals long-term commitment to India's financial sector of IHC and to Sammaan Capital's growth platform.

Moving on to Slide number 9. IHC has become a strategic promoter and has committed USD 1 billion. And obviously, that has happened after an elongated process of a very detailed financial and legal diligence. And that should give each of us, including management, all stakeholders, all shareholders, a tremendous amount of comfort.

When a reputed global institution with strong financial services expertise invests, it does not invest only as a mere financial investment. It's a shared conviction, and it will certainly accelerate the growth strategy of Sammaan Capital.

IHC has experience of operating in multiple geographies. They have very superior risk management and governance practices. This will enable superior compliance, better asset quality, stronger Board-led governance, technology oversight and extremely important for Sammaan Capital Limited

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financial services. As Dalia rightly said, it's a people-based business, continuity and succession planning.

The balance sheet has already been fortified for growth with this capital, which is also reflected in the rating upgrades, which have started unlocking lower borrowing costs. This, in due course, will help us continue to maintain a very well diversified and matched borrowing program. Lenders will obviously be comforted with the backstop provided by the promoter. Rating

agencies have already gained confidence, lenders in due course would, and this accelerates the path to lower cost of funds.

The lowest cost of funds is the journey towards which we are walking. That, coupled with various tech-led initiatives, which would be supported by the massive tech ecosystem of IHC, would accelerate the digital transformation to facilitate growth. It would improve our credit underwriting practices to reduce credit costs and improve our cost income efficiency. Each of these are significant strategic enablers and differentiators in our financial services business. We strongly believe that with this strong balance sheet, which is levered by debt, the lowest cost of debt funds, which will come our way as the ratings continue on an upward trajectory, will enable a capacity to tap both organic and inorganic growth opportunities in India in financial services.

Now moving on to Slide 11. We built a fortress balance sheet. We have a 2-decade knowledge, and we are primed for growth. Now let me run you through where we stand today and what all have been the achievements thus far.

We start with an opening AUM, which has a 0 gross and a 0 net NPA. No incremental net provisions are required in future with respect to this opening AUM of roughly INR53,160 crores. The provision buffers capture terminal credit costs. If I look back at the disbursements through which from rundown, this INR53,160 crores has emerged, the disbursements were to the tune of INR3.6 lakh crores, which has over the years run down.

With all the provisions taken earlier as well as in quarter 4 fiscal '26, the annualized credit cost for this INR3.6 lakh crores disbursement adjusted for the rundown every year comes at 1.9% annualized credit cost which is fairly healthy and competitive. And from a long-term perspective, given that it is a terminal credit cost, gives us a very, very unique insight into how to provide for the disbursements that we do here on.

It's a demonstrated book. The most important demonstration of the quality of a book is via cash flow. The opening AUM is cash flow tested and has serviced borrowings, which stood at IN

INR1.35 lakh crores at the end of September '18, almost 8 years ago. Since then, the company and this book has managed to create business history of the highest ever deleveraging program in corporate India by servicing INR1.3 lakh crores on a net basis.

All of this navigation has obviously created institutional knowledge. The management team has stood together. And now the management team has seen cycles, learned from our mistakes and most, most importantly, we know what not to do, which is the key to building any successful business.

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Over the course of the last 4-5 years, we've also proven that the asset-light model can be scaled up. Over the last few years, we've disbursed as much as INR1.05 lakh crores or \$11 billion and sold that down across 24 bank and non-bank relationships. Our asset-light model playbook is fully operational.

What now happens is that the management bandwidth is freed to focus on growth, which results in us, though we are the largest multinational non-bank finance company in India, we retain the agility of a start-up.

Moving on to Slide 12. We focus on residential housing finance. We provide loans to business owners. We provide loans for commercial real estate, project loans, plot loans, etc. And we also do a little bit of unsecured lending, both business and personal. All in all, the book stands at INR53,160 crores, which is the AUM.

The chapter of the legacy book or the book itself stands firmly closed once and for all. The demonstrated collection efficiency with all of the credit costs is well north of 98%-99% in each of the product categories. Each of these product categories, we will continue to pursue. There is a funding strategy around each of them.

As far as residential housing is concerned, the prime mass market home loans, which yield us 8.5% to 10% would be more sourced with an idea to sell to banks. And the affordable portion of this book would be used to hold on our balance sheet, which should be yielding us 10% to 13%. Similarly, the business loans, the secured business loans to individuals, SMEs, corporates and the micro-LAP segment itself will also be split between the prime mass market loans, which yield us 9.5% to 11%, would be sourced to sell to banks and the affordable semi-urban and micro-LAP loans, which would be yielding us 11% to 13.5% would be sourced to hold.

The CRE project loans, would be done strictly on a co-originate model with credit funds in a pari-passu structure without any credit guarantee where our stake would be roughly 10% to 15% of the overall disbursements that we do. We would slowly invest in new products, some of which would be unsecured products. There would be other secured products which would be added. I would run you through the entire product suite in a couple of minutes.

What is very important to note is that our current opening AUM will give us the financial flexibility via the ROA generates of approximately 1.6% to make all the investments which we need to do in tech, in the branch network and in enhancing the people network.

As Dalia mentioned, IHC has been working with us with all the credit rating agencies. CRISIL upgraded us on 9th of April, CARE on 12th of May and ICRA earlier today. Just about 30 minutes ago, we uploaded the upgrade information on the stock exchanges. As a result, within the first 50 days of the IHC investment, and this is the power of the investment to be noted, all 3 domestic rating agencies have upgraded us.

CRISIL and ICRA a notch each and CARE 2 notches. And we continue to remain very, very optimistic and confident of this rating trajectory remaining in the positive zone over the course

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of the next few months as we continue to demonstrate, and this will apply to international rating agencies as well.

The yield movement

Post the IHC announcement, while the market still absorbs these rating upgrades, our bonds have already domestically appreciated by about 100 basis points. So our cost of funds, if we had to, in theory, raise monies should hypothetically be happening 100 basis points lower between where we were prior to the announcement of IHC's acquisition, which is September 2025, to date, our international bonds have appreciated almost 250 basis points. International borrowings are a relatively smaller component of the overall borrowing mix. So the number to really track is the domestic borrowing program, which has improved by 100 basis points and should be moving in the direction of improving by at least 60 to 70 basis points more, especially now that all 3 rating agencies rate us at AA+. Thus, it is a consensus AA+ credit rating.

Slide 14. IHC and its senior management across all of their investee companies believe a lot in the digital and AI transformation of each of these companies. We've been working with the relevant teams and a variety of their companies to also create AI adoption model and AI policy and AI integration. We built as many as 37 use cases. I'll take you through some big picture aspects that we are pursuing.

The first is about enhancing customer experience and service responsiveness, which is vital to any sort of sustained growth. The AI tools, which are currently under either evaluation or implementation will improve our response quality, consistency and resolution while enabling a human-led relationship-driven experience, which is very, very important for a lender which has tremendous experience in dealing with the self-employed small business owner, SMEs, micro companies and so on, which all require significant amounts of handholding and would continue to remain an important segment of focus for the company.

Cost-income ratios have to trend down. As I run you through the projections later, it is very, very important to ensure that the cost income ratio is below the 30% ballpark. And that cannot be achieved while one is pursuing strong growth, which is compounding steadily without great operational efficiency. So the other area of focus is to drive operational efficiency at scale. AI-driven automation enhances consistency and scalability, creating greater operating leverage.

As we pursue growth, having early warning signals and the appropriate risk management framework is important. We are putting in place all the analytical models, which will improve portfolio visibility and ensure proactive risk management. Irrespective of what we do, some loans would require collection efforts.

Again, how to improve our efficiency and productivity there while personalizing every complaint, every customer and ensuring a customer-centric recovery program using bots and other such experiences is also being implemented. Fraud is an integral part of any business which deals with money. And therefore, we have to continuously strive for better fraud prevention.

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Cybersecurity is a continuous risk. We have to become digitally resilient. We have to continue to evolve our fraud risks through the use of a variety of technology tools, which strengthen the trust, monitoring and the overall cybersecurity and operational resilience of the company.

The overall governance model has to also be completely focused on AI, what happens in Board meetings, what is the outcome of Board meetings, how do directors oversee the management through the Board subcommittees. Today, all of that can be tracked via various AI tools, which read through minutes and put out red flags or action points. This is a key tool for continuous governance going forward.

We've tried to also, on Slide 15, tangibilize some of these outcomes. We believe through all of this, our agent productivity, which is the people who are actually dealing with

the borrowers

every day, that productivity should go up by 30% our loan turnaround time on the secured mortgage side, which currently is about 5 to 7 days, should reduce to 2 to 3 days.

The fraud detection rate as miniscule as it may be, will also meaningfully increase. And the cost-income ratio, as I mentioned, would be in the ballpark of 26% by fiscal '30 through the various operational efficiencies that we are targeting to achieve.

The financial year target is to expand our workforce to 20,000 people, have a branch network of 1,600 branches and have over 15 products. We are not in any rush to hyper grow. We will continue to play on our strengths of the 3 to 4 products that I highlighted, which we have disbursed to the tune of INR3.6 lakh crores, run the whole cycle, have the unique experience of understanding terminal costs, etc.

And then we will build on that via loans against securities and gold loans, again, both which are secured at this point in time. Gold loans especially requires a completely different type of a branch network. So we will focus on that. It requires a different type of assurance and oversight function. We will focus on that. And from fiscal '28, we will widen that to include a lot of other opportunities, which we envisage would continue to remain in the marketplace.

The large products would be products that we are already doing or we will start doing in fiscal '27 and '28, and there would be additional opportunities which we have identified. All in all, we have to make sure that there is a lot of granularity in the book. The book is well diversified across many loan programs.

Moving on to Slide 17, which is probably the most key slide from an analysis perspective. We intend to, through this year, disburse approximately INR30,000 crores. We are targeting a profit after tax this year of INR1,400 crores. Dividend payouts are key. We would have a steady dividend payout policy of at least 25%. We would be targeting 40%, which has been projected here.

The net interest margin would start this year at 3.5% as we start to see the benefit of cost of funds. And as cost of funds declines by 150 basis points over the next 3 years, we would see just by that 150 basis points addition on our net interest margin, plus with the leverage, etc., the net interest margin should be touching a ballpark of 8%.

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The cost-to-income ratio should half from here. We are currently at about 50%. We are targeting to go down to 26%. The ROA will double year-on-year and thereon also increase 50%. We intend to target high-teen ROEs and be best-in-class in both ROA and ROE. The asset-light strategy remains key, but so does the balance sheet strategy.

So we would focus on both the return on asset as well as we are introducing a new evaluation metric, return on managed assets, which are currently at 1.5%. As the scale improves, we will get to about 3%.

The branch network would grow fivefold. The employee network from here would also grow fivefold. By the end of this year itself, we will be 8,000 people and the borrower base would grow about tenfold. As a result of all of this, the book value per share, which is currently at about INR160 per share would increase to and go past INR200 per share.

Most importantly, and I continue to highlight this fact that the well-buffered 0 net and gross NPA opening AUM, which is generating a 1.6% ROA, gives us a very unique position while we are a start-up NBFC with INR19,000 crores of net worth, we have the earning power coming out of this INR53,000 crores of assets under management.

All of this growth are good, healthy targets, but they would sustain and sustain over a period of time. If we have to ensure multi-decade compounding and steady best-in-class ROA and ROE, we have to responsibly grow while staying within the guardrails. On the portfolio mix, we would

target 60% secured lending, 20% unsecured or semi-secured lending. So 80% of the book would always remain retail.

The balance portion of the AUM with a minor stake on our balance sheet and the major with a variety of credit funds would be approximately 20%. On the balance sheet side, we have historically maintained a capital adequacy of north of 20%. We are starting with a capital adequacy of 20.2%. Pro forma for the warrants, we would be in the ballpark of 29%. So we have a lot of capital.

But despite that, learning from the various cycles, we would cap our gearing at about 3.5x to 4x. We would continue to maintain liquidity principles, which would be higher of 6 months of repayments or 10% to 15% of borrowings. The asset-light model has been immensely useful.

We have a lot of experience around that. It has been immensely profitable as well. And now we have integrated with a large number of banks.

Across various products, the numbers would range to as high as 60% for prime home loans to probably 0 for some unsecured products. On an average, for the incremental disbursements that we do, we will have approximately 30% of the loans of the disbursements being done with a target of pursuing our asset-light strategy under co-lending or direct assignment arrangements. We would be back to dividend paying. We would have a policy which is at least 25% with the target going to about 40% of profits to be distributed as dividends.

That brings me to an end as far as the financials, the strategy is concerned. I again thank Dalia and Peter for their time. And now the management team is open for questions. Thank you.

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Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Varun Ahuja with BlackRock. Please go ahead.

Varun Ahuja: Thanks so much for the results. A couple of questions. One is obviously a great outcome on the onshore agencies, from rating agencies, any thoughts or discussions with the offshore agencies? Any color on that would obviously be helpful given that you do have a fair amount of bonds in the offshore space. So that's one.

Secondly, I noticed that your cost of funds, they are falling, but obviously, it's a slow kind of decline over the next few years in your business plan. Can I presume that, that's more because you can't do much liability management exercises and they are non-call fixed maturity nature of instruments and which is why they have to fall only when they mature?

Gagan Banga: Yes, thank you, Varun. Thank you for sparing time to attend this call and thanks to BlackRock for being a true rock as far as the support to Sammaan is concerned, both on the debt and the equity side. We are, Varun, engaged with international credit rating agencies. Both Sammaan's management team, as well as IHC's management team has had multiple meetings.

And now that the financial results are out, our engagement would continue. And I would imagine that the positive rating trajectory that we have witnessed with our domestic rating agencies should get replicated with the international rating agencies as well.

For them, a very important metric is the cost of funds. Approximately 90% of our borrowings happen onshore. And it is but logical that as an outcome of these upgrades, our marginal cost of funds would decline by approximately 160 basis points. I mentioned that our current return on asset is 160 basis points.

So just as an outcome of this upgrade, our return on asset automatically doubles, very high-level math. So this would obviously go into whatever modeling international rating agencies would do. And I am fairly optimistic that given how our overall conduct has been, as well as now with such a strong promoter as IHC, much like the first 50 days have resulted in the domestic rating agencies upgrading, I would imagine the next 25 days

would result in a similar action from international rating agencies.

On the cost of funds, we have been extremely cautious. We have looked at all of our borrowings. And whatever is long-term maturity and most of our borrowings would be 3 to 4 years maturity, that stock would stay. We have a fair amount of borrowings from banks. We would like to negotiate with them. Let's see how it goes. We are a very attractive borrower from them, having repaid almost 80% of the loans which were given to us by banks on an absolute basis. So banks, like we have seen terminal credit costs on our portfolio. Banks have seen how money lent to Sammaan comes back. And that is obviously giving a lot of credit comfort to them. And that should result in possibly us being able to also negotiate our stock cost of borrowings as far as banks are concerned, which may accelerate the decline in the cost of funds.

The bonds can't be negotiated, and they would also have a similar 3 to 4-year maturity. It's our incremental borrowings, which will come in at a lower cost. So the cost of funds in that slide is

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a mathematical outcome of how we feel that this trajectory would go down. Today, AAA borrows at sub 7.5%. So as we move in that direction, our cost of funds have to move in that direction with a lag of a couple of years given the existing stock of fund borrowings. I hope I answered your question.

Moderator: Thank you. The next question comes from the line of Renish from ICICI Bank. Please go ahead.

Renish: Yes, hi. Thanks for the opportunity. Just one thing, I mean, we are aiming at touching AUM of INR2 trillion, But our experience historically has been going through mortgage. Now to reach

18% aspirational ROE, I'm sure we want to grow more in non-mortgage portfolios. So just on that, I mean, how we are thinking as a management to build some of these portfolios? And more importantly, who are going to drive these products because internally, our experience has always been on the mortgage side. So to build a non-mortgage book on a scale would obviously require different skill set, etc. So how we are thinking to build some of those portfolio? And as far as investment is concerned, you did mention about we'll be very focused on cost-to-income bringing down. But just wanted to understand what will be the maths, right and when we are investing in building such portfolio s, how we will manage cost, yes.

Gagan Banga: So, just as a high-level reaction to that and I will then come down to specifics. As Dalia had mentioned, this is a people's business. We well recognize that. The management team here has managed and we personally have managed secured and unsecured loans, personal loans, commercial vehicle loans, loans against securities, all done at scale running into tens of thousands of crores. So these products are not new to us.

What is a great enabler now is that tech allows you to control and continuously monitor the decisions being taken either by your system. So a lot of the unsecured lending actually happens on your app, which is a continuously learning process. And the second thing is we obviously have to invest in people. It is clearly not possible that I expect the mortgage team on the ground to now start doing personal loans or the personal loans team to start doing gold loans.

The branch network has to be unique for gold loans. The personal loan business is more an outcome of how well is the experience as far as the app is concerned. And on top of all of this, the huge amount of profitability is also derived by how successfully are we able to sell other products. Like today, we very successfully sell insurance to over 90% of our borrowers.

So that type of cross-sell, which is also not something which is trust on the borrower, but helps borrower manage their own risks is also very, very important. So, we would inv

est in people.

We would invest in tech. What is going to enable this in terms of our ability to be probably as good or better than some other players.

One is the fact that we are already starting when we start to grow towards a INR2 lakh crore s book, we already have a profitable INR53,000 crore s book, which is giving us earnings and steady earnings and is not giving us headaches. So whatever has been done has freed up, and it has been done very thoughtfully to ensure that the management bandwidth is fully dedicated to growth.

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The second part, which I would like to highlight and which probably underscores the overall strategy of Sammaan. In my personal experience, this business is not about asset management. This business is about liability management. This business is about, firstly, understanding that the real asset of this business or the real strength of this business comes out of the way that you manage liabilities.

Liabilities could be having a very diversified portfolio from where you borrow in terms of both lenders, as well as the instruments that you utilize, as well as heading in the direction of the lowest cost of funds. It is known to our promoter. It is known to us that cost of funds is the most significant competitive advantage that we will have, which will enable all and every growth that we are taking up on ourselves and committing to all of you in the presentation that I made to you guys.

This cost of funds is obviously supported by a strong promoter, but it has to be executed every day by the management. The most important thing is we don't try and do any cute stuff, which is why these guardrails have been built, liquidity principles have been built, capital principles have been built. All of this will ensure that we have a very stable liability franchise, which frankly is going to be the single biggest competitive advantage, which will continue to accrue to us over a period of time.

I strongly believe in the India growth story. I strongly believe India is underserved. It may be a cliché, but I believe Bharat is more underserved. So as we go into Tier 4, 5, 6 cities, we would be presented with opportunities where the asset growth is almost endless. It is about being able to push the last mile credit.

Nonbank finance companies, the well-governed nonbank finance companies have been able to grow by pushing the last mile credit. Our further learning is that we have to do this in collaboration with banks and not competing with banks, which would also allow us to pursue prime assets and continue to leverage on the partnership that we have built with banks.

All in all, I believe between investing in people, investing in tech, ensuring consistently reducing cost of funds and having the guardrails, which will sustain the steady compounding, we will get to the INR2 lakh crore s or the 18% ROE target or the NIM target, the ROA target, the cost to income target. Each of those would eventually result in the profit targets being met.

Without a key focus on any of them, nothing will happen. But we are in no hurry, which is why voluntarily before anyone asking me this question, we said growth for this year and growth for next year would largely be via mortgages. They are also higher ticket loans while we build capacity, reduce our cost of funds and build the other enabling factors. I hope your question is answered.

Moderator: Thank you. The next question comes from the line of Bhanu Chauhan with Barclays Bank.

Bhanu Chauhan: Congratulations to the IHC and Sammaan Capital teams on the successful completion of the transaction. I wanted to check, given the ambitious AUM growth targets outlined through FY '30, could you help elaborate on the execution road map as well? Specifically what proportion of growth is expected to come through the existing core segments versus the new product lines?

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Gagan Banga: Thanks, Bhanu, and thanks to Barclays as well to have supported us through this journey. The next couple of years, which is fiscal '27, '28, 80% of the disbursements would be dedicated to existing products, which would continue to come down as the other products increase. By fiscal '30, we would probably be having 50% of the disbursements through mortgage-backed products and 50% through other products.

The direction in which we will head to irrespective of which product is how much of the overall proportion of disbursement has been articulated in guardrail number 1, which is that 80% of the disbursements would be retail, 60% of the overall book would be secured and a large part of that would be mortgages.

The other secured product that we see at scale operating is gold. So the mortgage products and the gold products would be the secured products and unsecured business loans and unsecured personal loans would be the major drivers of the unsecured product. All in all, I think the mortgage products would give us the size. And the other products would help bring in the franchise by increasing the number of customers.

And then as an Order 2 impact starts the cross-sell opportunity. Each of these activities have been thought through all in terms of people, branches, tech and the mid-office variety of other assurance functions and work is ongoing in all of that. We want to do it slowly yet steadily and which is why we've said the front-loading of the business growth would be from what we have already been doing, which can be done at much, much greater scale.

I would like to bring back to everyone's attention that the quantum of disbursements that we are talking about in the year year '29 is INR72,000 crores, which is roughly INR6,000 crores. In the calendar year '17, calendar year '18, we had disbursed INR50,000 crores.

So we've already seen this kind of scale. The scale that we have to do this year and next year is something that we have done 8, 9, 10 years back. So we know how to handle the scale. And we have the experience of being able to navigate the new products, especially with all the tech-led enablement, which is available today.

Moderator: The next question comes from the line of Avinash Singh with Emkay Global Financial Services. Please go ahead.

Avinash Singh: Hi. Thanks for the opportunity. Just one question, I mean, around your business projections.

Given that, I mean, yes, the rating upgrades will probably follow. But yet, I mean, if we look now, we are in a situation where we have, I mean, AAA rated, strong parent impact, so many, I mean, large NBFCs and we are well capitalized, many of them have excess capital as well.

In this kind of a market competitive scenario, how do you see I mean because this is very, very different than, I will say, say, 8, 10 years back to your Indiabulls scenario, again, that time you were AAA, but there were not so many AAA. Today, you have a large list of AAA, strong and large NBFCs.

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In that scenario, how do you see this competitive scenario playing out? Because your projections are not just growth, it is a massive increase or improvement in profitability. So that is my question one.

Second, if I look again at the projections, I mean, the kind of the ROA, ROE numbers that have been talked and if I look at the cost to AUM or cost to income, that is something, I mean, not many NBFCs even at that scale have done. I mean there are very few and far.

So what gives you sort of a confidence about these projections that, okay, this time you are going to achieve these numbers? And on that front, I mean, I guess there is some kind of error, I guess, in your FY '30 ROA projection because that's suddenly going to 8-odd percent. I think there something is odd there. Thanks.

Gagan Banga: Sure.

So I will certainly check on the FY '30 number. And if there is any correction, I will try and make that live here or update this presentation. Yes, there is an error, and that number is 4.4% in financial year '30. We will update the presentation and resend it to you or also update that on the stock exchanges. Thanks for bringing that to our attention.

So the ROA, just so that everyone is clear, fiscal year '27, we expect that to improve to 1.8%, fiscal '28 to 3.7%, fiscal '29 to 4.4% and in fiscal '30 also be at 4.4%. So we are targeting around 4-plus percent ROA on a steady-state basis. You're right, there are now not many, a handful probably of AAA rated NBFCs. Several of them have emerged as AAA rated NBFCs in the very recent past. They have built this business from a relatively small scale over the last 6 to 7 years. So if we are to look at most of the conglomerate-backed NBFCs apart from one, they were of significantly smaller size to where we are right now. Some of these NBFCs are already adding and doing disbursements of the quantum that we are talking of 5 years later. And obviously, they don't control a very, very large market share. Nobody in a well-diversified financial system like India controls a very large market share.

So there is a market to be taken. The front ending would happen via mortgages. We have a material hold on mortgages. And now with the asset-light strategy being more an enabler than a compulsory type of a strategy, our productivity almost instantly month-on-month.

So between March and April, our productivity has gone up 2x. So that's the quantum of improvement that we are seeing. And we would disburse in the first quarter at least 50% to 60% more than what we disbursed in quarter 4.

First quarter, all of you know, is a slower quarter. And then we will probably use that as a base and increase that by 30% to 40%. So all of these numbers are reasonably thought through. We've gone through days and days of discussion with the IHC team. These numbers are also getting consolidated at various levels. And therefore, they have gone through a reasonable degree of review from a doability perspective.

From an opportunity perspective, very clearly, the play field is becoming larger and larger provided your cost of funds are lowering, which is why there is so much of an emphasis on credit ratings. The AA+ is just the first stop. AAA is the destination. We will get there much quicker

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than what may be captured in these sheets. We are working very hard to ensure that we build that compulsive case.

I'm sure, at least within my team, nobody was thinking that a AA+ would happen in the first 50 days itself. In our projections, we had thought of this as a quarter 3 event, but we've achieved it in the first 50 days.

So very clearly, the journey is towards AAA. The direction is upward. We have a strong promoter. We have a very, very strong operating team. And with that, we will get to AAA. Then it becomes a question whether there is opportunity in India to be able to disburse INR50,000 crores next year, which is INR4,000 crores with other AAA players or 3, 4 other AA+ players.

We strongly stand behind these disbursements, these yields. And the cost/income ratio is obviously going to be an outcome of the existing team becoming more efficient. Currently, my productivity is at 0.6 loans per person per month, which will go to 2-plus loans per person per month.

That itself is a huge reduction in the cost-to-income ratio. The entire centralized team or the senior management team, that cost gets amortized over those many disbursements and that much larger book that also drives down the cost-to-income ratio.

Is it possible to run a high-teen ROE company in India? Yes. Is it very easy? No. Therefore, our unique ability of having managed liabilities, having managed assets, scale them down, scale

them back up, scale them up to very significant levels, scale them down again.

No one in this country, and I say this with great pride. No one in this country has handled cycles like we have. India will go through cycles. And if we continue to do steady compounding, we will in year here or there, get to 18% ROE. That I am super, super confident of.

Moderator: Thank you. The next question comes from the line of Naintara Ghosh with Deutsche Bank. Please go ahead.

Naintara Ghosh: Thank you and firstly, congratulations on the IHC transaction and the rating upgrades, Gagan. So my question is on the new product suite that you're expanding into. How much investment do you expect is required for setting up these new products? Thank you.

Gagan Banga: Thanks, Naintara, and thanks to Deutsche Bank again, has been a core banker to us the last few years. I appreciate the bank's support to us. The investment is less in terms of how much of upfront investments in something, so this is not a great grand factory that I need to set up or a big power plant that I need to set up. I have to invest in branches. A branch of gold loan takes

about INR20 lakh of to set up. It takes about 3 years before it becomes fully productive and profitable.

Our 240 branches are already sized up to do the other products. So in physical distribution, we would have to invest, but these are not investments which are running into tens of hundreds of crores. The expensive part is in expanding the workforce, which we will do at a steady clip over the next few years. But again, there, given the core management team is there, we will require to do more assurance function handling, hiring and product level hiring.

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So that's again something which we feel is with our earning trajectory right now, we can well afford. So whatever are these investments in terms of per person cost, per person productivity per branch, how much will it take, how many loans will it be able to do? What is the tech investment? How many loans will our LMS be able to take and how many more will we have to do? We invested in CRM upgrade.

We invested in Salesforce 6 months ago in anticipation of this. So that cost is already taken. It is typically a huge cost. So these costs are all built in are all, none of them are, so to say, capitalized. They're built in, they would run through the P&L. And the P&L as a result of these costs would throw up the profits that we have projected. If you would want a more product-level ROA or something like that, you can always engage with the team and they can run you through the ROA for each product for your knowledge.

Moderator: Thank you. The next question comes from the line of Vineet Sharma with Param Capital. Please go ahead.

Vineet Sharma: Thank you so much for the opportunity and many congratulations on the successful closure of the transaction and the rating upgrade. My question was largely around the NIM expansion that we are seeing in FY '27 to FY '28. It's projected to go from 3.5% to 5.8%, whereas the cost of funds is not declining to that measure.

And the leverage also on the book is increasing despite what I think is a bit of equity infusion also, which has been assumed during FY '28. So just wanted to understand what are the levers which are actually leading to this such a significant yield expansion, which is leading to this increase in NIMs?

Gagan Banga: So the cost of funds that you see are cost of debt funds. These are not blended for equity. The equity which comes in is a very significant \$1 billion, which directly impacts the P&L. And while I have the highest regard for shareholder money, from a P&L perspective, it does not come with any added cost. The other enabler of the ROA is if you just go 2 lines below, just go to ROA and then more importantly, go to return on managed asset.

Since

the strategy for the first 2 years is to continue to do mortgages. And on mortgages, we would continue to do a fair amount of sell-down. As the return on managed asset goes up, it has a direct impact on net interest margin from a perspective of our net interest margin. My colleague, Ramnath, will just explain the calculation to you.

Ramnath Shenoy: Yes. See, what also adds to the NIM is our sold on book. So the spread that we make on the sold on book directly adds to the NIM. And hence, you see that expanding. So in FY '28, if you see the difference between the AUM and the loan book, that's about INR 30,000 crores, which expands to INR45,000 crores. So this boosts the NIM. The cost of funds mentioned here is only the cost of funds on the borrowings that is on our balance sheet.

Gagan Banga: So that does not factor in the additional equity, which has come in, which is liquidity. So there are 2 aspects of equity which is coming in. One is the cost the equity which is liquidity, and then there is the capital buffer. We've consumed the capital buffer, but we still have the liquidity, which we will continue to enjoy.

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Moderator: Thank you. The next question comes from the line of Arun Antony with JM Financial. Please go ahead.

Arun Antony: Hi team. Thank you for the opportunity. Congratulations, first of all on the transaction and the rating upgrades that were received recently. harping back on the cost of fund side. I think in the previous conference call, it was mentioned that over FY '27, around 270 bps decline in cost of funds is expected. So in the current backdrop of the West Asia conflict and yields hardening currently, do you think this 270 bps reduction in cost of funds is still achievable for FY '27?

Gagan Banga: Yes. So what we had said is 270 bps of cost of fund improvement will happen as we complete our journey from AA to AAA. It can't obviously come in on the overall stock of funds and AA

to AAA is not a direct journey. It will come with a stop, which is probably a pit stop, and we will be able to move up with a very strong case, both operational as well as the promoter once we are able to demonstrate to rating agencies that we have settled in as a AA+ credit, and we are ready for AAA in all aspects.

The balance sheet is very, very solid. It is as strong as when I look at it very dispassionately and compare it with any of my AAA rated peers, peer NBFCs, then we are there as far as all aspects of the balance sheet are concerned. So operationally, we are ready. Financially, we are ready. From a promoter perspective, we are ready. It's just a matter of time.

We stand by the 270 bps number. That on a marginal basis would require us to go from AA to AAA. As we go from AA to AA+, we would capture about anywhere from 120 to 150 basis points out of that. And then the next 120 to 150 basis points would come via the AA+ to AAA target migration and upward movement. Now the last question, please.

Moderator: The last question comes from the line of AS Raju, an Individual Investor.

AS Raju: Good evening Gagan ji. I'm shocked with your write-offs. What is the total outstanding write-off as of 31st March road map for writing? What will be the percentage of recovery from write-offs as the projections include all these writings or not?

Gagan Banga: So the projections, Mr. Raju, do include recoveries. We would recover close to about INR7,000 crores from what we have provided. And that has been baked into all of these projections in due course of time. I would refrain from calling this write-off. These are credit costs, which will enable management to focus on bandwidth. So yes, we have dipped into our capital one time to be able to add much more to that capital in due course of time via growth.

A lot of time has been spent by the management team in consolidating the company. Companies don't

go anywhere by just hanging in there, either they have to grow or the phase of consolidation would lead to something which is not very positive. We've navigated that, and I'm fairly confident that with whatever buffers we have on the balance sheet, as we have shown to you in the past, even if we, for example, do sales to asset reconstruction companies, we recover 70%, 80% of that.

And all of that has been discussed in various calls in the past. So this is just a technical step to make sure that we have the right buffers, we can fully focus and the INR53,000 crores of assets

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are painless assets, which give us full bandwidth to focus on growth and support us with the earning power of the 1.6% ROA, which will continue to expand as the cost of funds reduces. So that is my humble submission to you. Recoveries will be very comfortable and recoveries are part of the numbers that we have presented to you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question for today. I would now like to hand the conference over to Mr. Gagan Banga for the closing remarks.

Gagan Banga: So thank you, everyone. May I request Dalia and Peter, if you would like to say any concluding words and then what I have to say I have said. So thank you. Dalia, Peter?

Peter Abraam: Thank you, Gagan. Look, I just would like to reiterate, it's our pleasure. It's a wonderful opportunity for both IHC and Sammaan. We think that this relationship will benefit both organizations, and we see nothing but a very bright future.

I want to thank you for the opportunity. It was great to listen to a number of people who have spoken today. It's wonderful to see their support for the bank. And I think that we look forward to working closely together with you. And I think there is nothing, but strong prospects as we move forward. Thank you.

Gagan Banga: Thank you, Peter.

Dalia Khorshid: Thank you, Peter. Thank you, Gagan, and thanks for everyone who's participated with us today. Of course, this is the start of a number of series of calls that we are going to be coming back, and we're going to be constantly giving updates on.

So we are looking forward to working closely with the management team, as we've mentioned, in order for us to ensure that we have the operational and the product efficiency and to transform and to set all these trajectory KPIs going forward. So we thank you all for your participation and looking forward to a great journey together.

Gagan Banga: Thank you, Dalia. Thank you everyone for participating, supporting us. And we are, as a team, very, very optimistic about the future and look forward to engaging with you next quarter. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Sammaan Capital, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.